

Pidilite Industries Ltd. (PIDILITIND)

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Call: Aug 2022

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16th August, 2022
The Secretary
The Secretary
BSE Ltd. National Stock Exchange of India Ltd.
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Stock Code – 500331
Stock Code - PIDILITIND
Sub: Transcript of the Earnings Call

Dear Sir,
We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on
11th August, 2022.
A recording of the transcript is available on the website of the Company viz.
www.pidilite.com .
Kindly take the same on records.
Thanking You,
Yours faithfully,
For Pidilite Industries Limited
Manisha Shetty
Company Secretary
Encl: as above

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"Pidilite Industries Limited
Q1 FY2023 Earnings Conference Call"

August 11, 2022

ANALYST: M R. ARUN BAID - ICICI SECURITIES LIMITED

MANAGEMENT : MR. BHARAT PURI - MANAGING DIRECTOR –
PIDILITE INDUSTRIES LIMITED
MR. SUDHANSHU VATS – DEPUTY MANAGING
DIRECTOR - PIDILITE INDUSTRIES LIMITED

MR. SANDEEP BATRA – CHIEF FINANCIAL OFFICER
- PIDILITE INDUSTRIES LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Pidilite Industries Limited Q1 FY2023 Earnings Conference Call hosted by ICICI Securities. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Arun Baid from ICICI Securities. Thank you and over to you!

Arun Baid: On behalf of ICICI Securities I welcome you all to the Q1 FY2023 post results concall. From the management side we have Mr. Bharat Puri, Managing Director and Mr. Sudhanshu Vats – Deputy Managing Director and Mr. Sandeep Batra – CFO. Now I hand over the call to Mr. Batra for opening remarks post which the floor will be open for Q&A. Over to you Sir!

Sandeep Batra : Thank you and good afternoon and a warm welcome to all those who have joined the call. I take great pleasure in sharing my opening comments on the first quarter results which were approved by the Board at its meeting yesterday.

First of all delighted to share that on a consolidated basis the company crossed the milestone of Rs.3,000 Crores in revenues for the first time, this represented an over 60% growth over the same period last year, a combination of higher volumes and measured price increases.

Consumer and bazaar growth was across all geographies and categories of adhesives, construction chemicals, and DIY portfolio. B2B growth was also strong across all verticals. While input costs remained elevated, sequential EBITDA margins remained constant on account of calibrated pricing, higher volumes, and effective cost management actions.

Now I will share a summary of the financial performance for the quarter ended June 2022.

On a consolidated basis net sales were Rs.3,091 Crores a growth of 60.3% over the same period last year. Consumer and bazaar segment grew by 63.9% with B2B segment growing at 49.8%. As mentioned earlier, gross margins remained impacted on account of steep escalation in input costs. Material cost as a percentage to net sales for the quarter, were higher by 736 basis points over same period last year and 181 basis points higher over the immediately preceding quarter. EBITDA for the quarter was Rs.529 Crores, a growth of 52.3% over the same period last year. Profit before tax and exceptional items were at Rs.473 Crores and increased by 63.3% over same period last year.

I will quickly touch upon the standalone financial performance where net sales at Rs.2,778 Crores were higher by 62.5% over the same period last year with sales volume and mix growing by 44.3%. Consumer and bazaar sales were higher by 66.6% with an underlying

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volume and mixed growth of 49.2%. The B2B segment grew by 50.5% with an underlying volume and mixed growth of 28.9%. The prices of our key raw material Vinyl Acetate Monomer (VAM) have continued to increase during the quarter. Q1 consumption rates were \$2,230 per metric ton versus \$1,608 per metric ton in the same period last year. EBITDA before non-operating income for the current quarter is at Rs.487 Crores higher by 50.3% over same period last year. Profit before tax and exceptional items at Rs.443 Crores grew by 58.8% over the same period last year.

I will quickly now touch upon the performance of our

subsidiaries starting with the overseas

and international subsidiaries, which maintained positive growth momentum and reported high double digit constant currency revenue growth largely due to judicious pricing actions. Subsidiaries in Asia reported higher sales and EBITDA whilst the Africa subsidiaries continued the growth momentum. The subsidiaries in America reported higher sales, but EBITDA was under pressure due to higher input costs. The domestic subsidiaries registered good sales growth; however, the EBITDA margins of the B2B subsidiaries in India remained under pressure due to higher input costs. While the near-term remains challenging, we remain cautiously optimistic on the medium-term given the recent softening of input prices led by lower oil prices, a good monsoon and a continued good demand conditions in the housing

and home improvement sector. Our focus continues to be to deliver broad-based profitable volume growth.

Moderator : Thank you very much. We take the first question from the line of Mr. Avi Mehta from Macquarie. Please go ahead.

Avi Mehta : Sir I just wanted to understand the comments a bit on the 'near-term challenging situation' because it seems you have indicated that demand is positive clearly from the performance, input costs are also moderating so would love to hear why you have shared a challenging situation for the near-term?

Bharat Puri : Sure, why we are saying the near-term is challenging is because of two reasons. Reason number one is that Q1 of the year is when we have seen the highest input costs, which all of the inputs bought in Q1, a large part of the inputs will be consumed in Q2 and therefore Q2 from the near-term perspective is challenging because from a margin perspective it would remain challenge, the highest raw material cost that we believe we will see will be in this quarter. The second reason is largely given that on a year-on-year basis all building materials have seen substantial inflation, we are seeing some amount of slowdown/moderation of growth in the rural/small towns and until the effects of a good monsoon, money going into the hands of the consumer in rural and semi urban happens, which will probably happen only
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in the second half, the near-term will remain challenging. Thus the comment of the near-term remains challenging. Does that answer your question?

Avi Mehta : Perfectly yes. The follow up was essentially on the margin; is the understanding correct that the price hikes also will start to flow through a lot more in Q2 and hence from a margin perspective logically gross margin should slowly start to improve as we go forward, what I was trying to get to is it does seem like Q1 is probably the bottom in terms of gross margins?

Bharat Puri : I do not think there will be a substantial difference between first quarter and second quarter because we have taken some pricing in the first quarter, but as I said the highest impact of raw material, so material cost is a percentage of sale, if we would look at constant prices would be the highest in Q2 and not Q1. Having said that, let us see how the product mix works out and how consumption works out, but it is not going to be significantly better or significantly worse, it will probably be in the same range.

Avi Mehta : Okay Sir got it, and second bit is to just understand on the last call you had indicated a focus on innovation that you would try to start to build in so is there any update in terms of the initiatives that you had planned in terms of distribution and new product launches?

Bharat Puri : See first I will tackle distribution. Yes, on distribution we have continued our strong investment especially in the smaller towns and r

ural India. As we speak, we now have more than 7,500 Pidilite ki Duniyas in rural stores, in villages which have a population of between 5,000 and 10,000. We have now added another 17,000 villages to our direct coverage in the course of the last six months and these are normally villages with a population of between 5,000 and 8,000. Overall from a depth of Pidilite reach perspective, from our investment in route to market especially in small towns and rural areas, we continue the march. As far as situation is concerned, each of our divisions are for example, our waterproofing division has had an innovation in terms of products you would have seen advertised in the first quarter called Roofseal Classic which is a coating for roofs. Similarly each of the divisions now has an innovation program, each of these would be significant innovations which obviously over the next 18 to 36 months will start contributing substantially to revenue.

Moderator : Thank you Sir. We take the next question from the line of Mr. Abneesh Roy from Edelweiss. Please go ahead.

Abneesh Roy : Thanks and congrats on a very good performance. My first question is on the business which suffered a lot in the last two, two-and-a-half years, so on the art and craft you have mentioned the business has doubled because schools are now back, so want to understand here two
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things- how is the margin profile here have you managed to take the price hike here also almost 75% towards the inflation impact and second have you gained market share because such a tough time to your competitors so ideally you would have gained market share here?

Bharat Puri : Firstly good to hear from you. Really as far as art materials is concerned, a lot of the margins

in art material are linked to price points Rs.10, Rs.15, Rs.20 and therefore you tend to be a little more conservative. So again our pricing here while at the gross level would be at 75% of inflation, in some cases it may only be 60% because you want to maintain the sanctity of the price point. Having said that, have we gained market share, I think the answer is yes, if we look at our growth rates what has happened is there is consolidation happening and from a distribution and reach perspective the larger players clearly are gaining at the expense of smaller players.

Abneesh Roy : My second question is on the observation you had made in the Q4 call, that in the global shortage in raw material there were two issues, one was the force majeure clause of many plants which were there and there was cartelization. I understand the global recession here which is driving down most of the other commodities, but on these two aspects, what is the update on the closure of plants and cartelization?

Bharat Puri : There are still one or two plants, but obviously you cannot keep plants closed indefinitely so we are definitely seeing at easing. I suspect your next question is going to be on VAM rate so I will answer it straightaway. If you look at VAM we are finding the VAM is moderating and the spot rates are now gone below \$2,000, in fact they range anywhere between \$1,600 and \$1,800 a ton so clearly both from a force majeure point of view and the overall demand situation is such that it is not possible for, even these are all short-term phenomena which happen for three to six months. Now barring any unforeseen circumstances we have, last time in January we were confident that rates would come down and then Russia-Ukraine happened, as long as we do not have any geopolitical issues or some unforeseen areas that happens, we actually believe the second half of the year you will see a moderation across input costs.

Abneesh Roy : My last question is on Araldite a

nd the tiling solutions, on Araldite if you could give us some

update on the distribution and product extension that you have done in the last few quarters and tiling solution you had mentioned 15% penetration and I think Rs 1,500 Crores price.

Now with the kind of growth we are seeing across industries, a lot of good demand in the real estate also, where do you see this number for the industry in terms of penetration and price from a three to four years perspective?

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Bharat Puri : As far as tiling adhesives is concerned this is a fast growing market because obviously a lot of companies are investing and consumers with the larger and the vitrified tiles if you do not use adhesive you are going to have issues and people are realizing that. So very difficult right now because there are a lot of unorganized and small players also in the marketplace, it is very difficult to estimate what pace the market is growing, and I would not take one quarter, but if I take the last 12 months, I suspect the market is growing anywhere between 15% and 20%. We are obviously growing at rates far higher than that. As far as Araldite is concerned our march continues, we have now started introducing Araldite in small towns and rural in the first quarter of this year in one of the regions we have done that, we have tested, we are moving forward. The good news is that Araldite continues its growth path, we continue to register strong growths on Araldite, and we still believe there is a large amount of sales and distribution still to be attained even before we go into innovations of marketing, etc., which you will see in the second half. You will also see Araldite being blessed with traditional Pidilite advertising so wait and watch.

Moderator : Thank you. We take the next question from the line of Mr. Trilok from Dymon Asia. Please go ahead.

Trilok: When we compare this performance along with the other, we do not have direct competitor, but across the building materials' associated company despite having strong brands, are you sort of satisfied with the kind of two-year, three-year CAGR performance that you guys have delivered?

Bharat Puri : I first want to just clarify this because this keeps getting asked, is that the thing with Pidilite is, because we have no like-to-like, apples-to-apples comparison you fellows keep comparing us with different building material fellows largely as far as we are concerned you keep comparing us with paint. Why we are not an apple-to-apple comparison and this is especially for my friend Avi Mehta who always uses this comparison, the fact of the matter is that 15% of our business is B2B, another 15% of our business is FMCG, so really 70% of our business is what I would traditionally call bazaar and even in that I would say pretty much half our business compares to paint, another 15% to 20% compares to FMCG, another 15% to 20% compares to both projects as well as traditional B2B. Now when I look at therefore our own internal standards over a large period of time, today if I look at the end of the first quarter and obviously we are not looking at one quarter of growth - when I look over a three-year period

across both my B2C businesses and B2B businesses we have healthy double-digit growths, we have got obviously access to all of the peers numbers and we continue to be in the top quartile. Please remember that we do not add back, we actually equalize volumes for value, if we were to add back the volumes of say tile adhesives, etc., our volume growths would

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actually be one-and-a-half times what they are today, but that frankly is not a fair comparison. So at an overall level are we satisfied, yes, can we be happier, definitely we can be happier. I do not tell my teams I am satisfied, but at an overall level all our numbers and our indications show that we are in the top percentile of the top quartile of performers and that keeps us happy.

Trilok: Fair enough, we also understand that you guys are not like-to-like comparison, but from value perspective and volume both at least, for our understanding you guys seem to be lagging so that is why I asked are you guys satisfied with the performance and second is, in the historical competition we obviously never intended to venture into paint as a category, but as per our checks it suggests you guys seem to be planning to do so, could you just comment on that please?

Bharat Puri : You must understand that we have an overlap with paints in a lot of areas, a large part of waterproofing is coatings, now a lot of times paint companies take their exterior coatings and actually quote that under waterproofing. The roof coatings which also a lot of times come under waterproofing. Similarly, traditionally because of our pigment business we have had a tinting business, we have always had a rural DDL and distemper business which has existed for 20-25 years and then our premium subsidiary ICA Pidilite is in premium wood finishes. So actually if I add all of my paint businesses, we are a significant player in paint though we are not a consolidated paint major. As far as we are concerned therefore I suspect your question is shorthand saying are we going to do another five plants large scale paint entry, the answer is no. We are happy with the way we are going as the Pidilite model is about creating disruption, whenever we find we can create markets, we can disrupt markets that is where we focus on that is where we put our resources and that is what we continue.

Trilok: So the understanding of you getting directly into paints is not true as of now, correct?

Bharat Puri : As I told you we are already in paints.

Moderator : Thank you. We take the next question from the line of Mr. Krishnan from Motilal Oswal. Please go ahead, Sir.

Krishnan S : Typically Pidilite has always operated at a certain premium to the other brands and the other players in the market and therefore the guidance of 20% to 22% margins and now you have indicated that VAM cost have come down to about \$1,650 to \$1,800 per metric ton. Do you see a scope for a sharp deflation, sharp reduction in prices and possibly a sharper reduction

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in prices than the inflation in your own product prices, is that the likely possibility towards the second half of the year?

Bharat Puri : That is a great question, but very difficult to predict. See today's VUCA world where fortnight-by-foortnight things keep changing very difficult to work out, if nothing unforeseen happens, we do see VAM coming down to more palatable levels so on and so forth, but frankly wait another three months when we actually see the trend because right now it is like to a fortnight or a month of trends. Let us wait another three months and then we should be far clearer on what second half margins will look like.

Krishnan S : Again going in the same way that you had indicated in the last quarter that the unorganized and smaller players were more adversely affected from a commodity cost perspective, do you see a scope for competition increase in the second half of the year and beyond or again is it too early to say?

Bharat Puri : To my mind whenever the material cost situation turns ben

ign and I do not know when it will, competition normally increases because a lot more people jump in, in these current times when the situation is inflationary, most of these people have much longer credit periods and they tend to buy a spot from the market. So will competition increase? frankly in our sectors

we are no strangers to competition, we keep getting newer competitors as well as the old ones. Frankly we expect that to continue and we always work with the assumption that it will remain a very competitive space.

Moderator : We take the next question from the line of Mr. Percy from IIFL. Please go ahead.

Percy Panthaki : Hi! Sir, just wanted to know what is the total price increase you have taken in the last five to six quarters on Fevicol as well as on our overall company on a weighted average basis?

Bharat Puri : Good to hear from you Percy it is a very difficult question because as I said we have got so many product ranges, divisions, on a weighted basis I would say our price increase is anywhere between 14% and 18% over a years' period and Fevicol would probably be at the high end of that.

Percy Panthaki : So it is not as if Fevicol is like 1.5 times or 1.7 times?

Bharat Puri : Remember we have always said that we would be conservative, we would rather sacrifice short-term margin for medium-term volume and that is what we have been doing now. So Fevicol is not 1.5 and 2 times for any such thing.

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Percy Panthaki : Since VAM has come down I am assuming that there are no further price increases in the pipeline, right?

Bharat Puri : Absolutely, if this trend on VAM continues which knock on wood hopefully it should then obviously we would not need to raise any further prices.

Percy Panthaki : Secondly, I just wanted to understand some of the niche or rather smaller brands that you have on which you are focusing for growth so things like Roff or WD-40, etc., so if you take that as a portfolio what is the growth of that portfolio as indexed to your overall company growth?

Bharat Puri : As I say at every investors' meet we break our business into three buckets- core, growth and pioneer, core is where we already have a market leading position, our job is to grow the category- there we try and grow between 1.5 to 2 times GDP growth. In growth categories, where we are competing against non-consumption, things like waterproofing, things like floors, joineries, etc., we try and grow at 2 to 5 times GDP and third is pioneer categories where we want to achieve a certain minimum size, that minimum size normally is Rs.100 Crores in three years those are the parameters with which we operate each of our categories and largely actually in the last 12 months we have been exceeding these numbers.

Percy Panthaki : So would you be able to give some ideas on which are the brands which are in your pioneer categories, but which have sort of not reached that Rs.100 Crores mark?

Bharat Puri : Right now for example if I look at floor coating, we have a company called CIPY that largely currently operates in the industrial flooring space. We have not done much in the area of commercial flooring etc., now that is something that is a pioneer category. We have a whole category called epoxy grouts which we have a brand called Roff Starlike, epoxy grouts is another category where we are in the pioneer. So like this remember, at any point of time at Pidilite we will have anywhere between five and eight pioneer categories being tested in various places, these are some of those.

Percy Panthaki : One last clarification, this ratio of GDP which you are talking about. Firstly the GDP itself you are talking about the nominal GDP growth or the real GDP growth and secondly

in terms

of your growth, you are talking about volume growth or value growth in this equation?

Bharat Puri : Normally we try and equate real GDP growth to volume growth and nominal GDP growth to value growth.

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Moderator : Thank you very much Sir. We take this next question from the line of Sheela Rathie from Morgan Stanley. Please go ahead.

Sheela Rathie : Sir, the first question was a follow up, with respect to margins so you have said that we are seeing trends of VAM prices coming down. At the same time you have said that we would not be taking any further price hike, so in order for us to go back to the pre-COVID level margins or the high margins of the past, do you think we are at a point where operating leverage will be the key driver of margins going ahead?

Bharat Puri : Firstly good to hear from you Sheela I think that is a great question. Right now again in this uncertain VUCA world very difficult to say what will happen three, six months later but it

does appear from where we sit today, that going forward frankly the decrease in input prices will actually become a greater contributor to margin growth than anything else because we do not know at what extent and where they will fall to and we hope that they do. Otherwise your question is right, we do not see greater pricing action taking place hopefully in the next 12 months so therefore whatever leverage you will get will be operating leverage but in our belief it will take six to nine months for the whole input prices situation to really settle and for it to find its real level where we say that this is the new normal it is then that we will be able to ascertain where we are and what we need to do.

Sheela Rathi : My second question was with respect to your distribution strategy. You mentioned that you are really going into very small towns, if I heard it correctly the population size is about 5,000 to 7,000 people is it too small for a category like yours I would believe that you would focus more on the core category to spread your wings in those smaller towns but why is there a need to go in such small towns when the opportunity is much higher in urban as well as Tier-3, Tier-4 cities?

Bharat Puri : Sure that is a great question, remember it is not either-or, we are pushing hard in urban. For example, if you look at the last quarter actually the growth is led by metro in Tier-1 and even if I look at a three-year period, our metro and Tier-1 growths are very healthy, but our belief is that when I equalize small towns for income we still believe because of a lack of knowledge and a lack of understanding, we are not achieving what we believe is the right penetration for our products there, which is why we are doing all of these initiatives that people who can afford our products. Remember in the rural areas, whenever people have any form of prosperity it goes either into construction or into gold. Now construction is right up our sleeve and therefore if they do the right waterproofing at stage one then we have got trained users right from the base of the pyramid. The second thing of course is, that any objects that they have reused is a much bigger thing in rural areas whether it is your agricultural pipes for Pidilite Industries Limited

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which we have solvent cement, whether it is objects at home for which we have again a whole range of glues. Our belief is that we must keep investing in this market, while we continue urban and Tier-1 which is easier to focus on, by no means

are we taking our focus away from that.

Sheela Rathi : What would your revenue mix be with respect to urban and rural currently?

Bharat Puri : See very difficult to say because of the extent of wholesale but at a broad level it will be two-thirds, one-third.

Moderator : Thank you. We take the next question from the line of Mr. Ritesh from Investec. Please go ahead.

Ritesh: I am just trying to put my head on basically diminishing marginal returns, you indicated focusing on more villages with lesser population I am just trying to understand how do you look at the size of the market, the investment and what do you expect out of it, if one have to put it in numbers how should one understand that?

Bharat Puri : That is a great question. We have a whole system where we actually have divided the country into a whole set of sub-states based on economic prosperity and we obviously have surrogate measures of economic prosperity, against that we plot the penetration of our products in these sub-states and then based on obviously a system on where we believe the greatest bang for our resources is we prioritize a set of sub-states. So it is a fairly evolved system I would not pick it up here, but obviously your question is the right one in a country as large as India and as widespread as India how do you prioritize and make sure that you are not pushing water uphill. We have got a fairly evolved system over time where we realize that if a place has this kind of economic potential, this is what is our rightful share and then based on where we are try to prioritize and say this is what we will take up in stage one, we will do something else in stage two, etc. For example in places like Bihar, we are actually working with HUL where we are using their Shakti platforms to actually take forward our products because we realize that it is not viable for us to do the same, so like this we keep putting various experiments in place. Our whole objective remains to make sure that the first mover and first user advantage remains that any consumer in the smallest of small towns starts with Pidilite and hopefully stays with Pidilite.

Ritesh: Sir can you detail the actual platform that you indicated; sorry I could not comprehend it?

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Bharat Puri : HUL has this concept of the Shakti where they have the Shakti Ammas who go to the small towns and villages, etc., we are trying to work with them in a partnership with them where they sell not only HUL products but our products also in Bihar.

Ritesh: So if I have to put the question if I just flip it around. We have a basket of SKUs how do you look to cross-sell the number of SKUs, that is one; or the other way to look at it is if you are targeting a village with a population of say 5,000 to 10,000, is there a metric that will look at it to target on a per capita basis to make sense to go into the hinterlands so there are two questions one is per capita and second is the extent of ability on cross-selling SKUs?

Bharat Puri : The first one frankly the per capita one is the one that we use but we do not use a simple measure of per capita we use what is called per capita economic potential and how much of it are we actually accessing. As I said we divide this into sub-states, those sub-states we assess the economic potential and see against that potential how much of that are we penetrating. As far as cross selling is concerned, actually in the smaller towns and rural areas it is much easier because the outlet tends to be the same. See the guy in the small village and sells Kirana year-round and then he sells various seasonal products and sells stuff with building materials so therefore accessing these outlets and cross-sell

ing is not a problem.

Ritesh: Would it be possible for you to quantify per capita economic potential that we look at?

Bharat Puri : Again as I said it is different for different sub-states, may be like in a different meeting we can do that and take you through, but it is fairly evolved and I would say we have a lot of intellectual property invested in there.

Ritesh: My second question is you emphasized on disruption it has always been disruption when it comes to Pidilite, you did elaborate that we are in paint in different forms already, but if we really had to be in paint what would disruption mean over here to Pidilite?

Bharat Puri : See disruption would mean, if I was to go back in time, if we were the first guys with tinting machines that would be disruption right. So the things that disrupt the market where you become a one or two player where the others do not have a chance of, in a sense catching up with you, that is disruption to our mind or if you had some like miracle products so on and so forth. I am just thinking aloud given my old background in paints, but anything that where you get Aha from the consumer or the user or the seller or all three of them.

Moderator : We take the next question from the line of Mr. Rishi Mody from Marcellus Investment Managers. Please go ahead.

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Rishi Mody : Sir, just wanted an update on understanding in the past three, four years we have seen a lot of these paint players and a lot of hardware building materials players coming into the white glue segment which is your core category so just wanted to understand has there been any market share loss to the likes of Asian, Berger, Astral or are they taking the share from the unorganized sector?

Bharat Puri : That is a great question, we have been obviously keeping a close watch on them. Frankly the only player that actually puts some volumes which are significant out there is Asian. Asian uncharacteristically so, is actually operating at the bottom end of the market, their current pricing is actually the equivalent of economy glues they are tending to gain a lot of share therefore from the unorganized / small players, but if you look at our growth rates and again I am not looking at growth rates only over this quarter when I look over the last 12, 18 or 24 months, in our belief we are actually gaining share, we are not losing share in white glues by any stretch of imagination.

Rishi Mody : So on the waterproofing front as well there is a lot of aggression by the paint players, we are trying to do something which will replace Fixit so just wanted to understand like what kind of projects is Fixit getting used in and what kind of projects as Asian's waterproofing getting used and have, we lost any market share out there to the likes of Asian, Berger?

Bharat Puri : Again in waterproofing I have always said there are two large segments - new construction and repair and renovation. Normally the paint companies largely tend to play in repair and renovation though some of them are now putting up project teams for new construction. In new construction our competition tends to be the large multinationals like Sika or BASF or Fosroc. In retail which is the repair and renovation it tends to be the paint companies. Again with the entry of the paint companies what has actually happened is this was a tremendously underdeveloped market. The market itself is growing at a much higher rate when we look at our growth rates, we believe we are still growing faster than the market. There is also consolidation taking place but, in our belief, we have not lost market share at the gross level

to any of the paint players, in fact our growth rates remain very healthy. Most of the p
aint

companies also, remember in waterproofing are still playing in the coating space, products that painters can use rather than masons, etc. Masons is a new user for them which they are not familiar with. So even in repair and renovation they tend to be more concentrated on coatings if you see their offer, it is largely around coatings but as I said at an overall level when I look at the waterproofing portfolio we are maintaining our momentum and in fact actually what is happening because of all of this action is the category is growing and because we are the largest we tend to get a larger share of the category.

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Rishi Mody : So a lot of these paint players are also creating what they have been claiming to say that they are training people to become waterproofing specialists. So just wanted to get an idea on where we are on that front like because if the category is going to expand it is going to professionalize as well, we will have special list applicators for this and Masons painters there will be a differentiation then so just wanted to get your view on this?

Bharat Puri : This is something that Pidilite has been doing for years, we have a skilled water proofers program where we train people to become water proofers, we certify them based on their level of skill, we then recommend their services, frankly all that the paint companies are doing is just following us. In fact a lot of them have taken some of our people and therefore actually it is a great compliment to us because Imitation is the best form of flattery they are all actually doing what Pidilite has been doing for many years.

Moderator : Thank you Sir. We take the next question from the line of Mr. Rajesh from Informist. Please go ahead.

Rajesh Gajra : You mentioned about the input cost staying elevated because the materials that we sourced in the June quarter would also get consumed in the current quarter. So will it be possible for you to give us a sequential rise in your cost of production in the June quarter and how much do you expect the rise to be in the September quarter, the sequential quarter?

Bharat Puri : My friend if I put team on it, it will take a lot of time because remember we operate across 30 different verticals, each of whom has a different raw material cost, but at a level if I can tell you - our VAM consumption would be between \$2,200 and \$2,400 a ton in the first quarter, in the second quarter it will probably be between \$2,300 and \$2,500.

Moderator : Thank you. We take the next question from the line of Mr. Amnish Aggarwal from Prabhudas Lilladher. Please go ahead.

Amnish Aggarwal : I have just one question on the demand. So if we look at this quarter, our volume growth has been pretty healthy both in consumer and bazaar as well as in the industrial side. Now if I look at particularly say our topline growth trajectory so first time around we have now crossed the Rs.3,000 Crores like last year Q3 which is usually perceived to be the festival quarter we were at Rs.2,800 so is this you can say this kind of volume growth or the uptick we have seen is there some one off element or we should consider it as a new base and then we try to build upon this and is the demand so strong that it will continue like this?

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Bharat Puri : I again will remain cautiously optimistic. To our mind in this first quarter there has also been a certain element of pent-up demand and obviously when you are comparing bases you are comparing

versus two months of last year to three months of this year because for one month COVID was closed. Having said all of that, clearly we are seeing some tailwinds in terms of good housing demand, we are seeing that post COVID consumers are investing a lot more in their homes, be it in repair, be it in renovation, be it in upgradation, we are seeing an upsurge in the whole real estate sector and clearly you are seeing organized real estate and commercial real estate see some upside. On the other hand, the headwind is inflation. We all knows that in any emerging market, inflation will always be moderate growth. Now in across building materials, if you were to build a home between last year and this year, I do not have the exact numbers, but I suspect your costs are up anywhere between 12% and 25% and therefore that does tend to impact volume growth. I think the next six months will show where does really the new normal come to. Our focus will be obviously on profitable volume growth because

if we are able to make sure that we are getting volumes, then we will reach the next phase of growth.

Amnish Aggarwal : Just one thing incremental on this because we have been doing lot of innovations, new launches so what could be the share of topline from the products which we have launched in the last couple of years or last two, three years?

Bharat Puri : See let me say that number is a confidential number, but it is a significant percentage of sales.

Amnish Aggarwal : So is this in good double digits?

Bharat Puri : No, if it was a double digit then our growth should be something, as a percentage of growth it will obviously be in double digits, but in the percentage of total it will not be in double digits.

Moderator : Thank you very much. We take the next question from the line of Mr. Divij from Ankhonia Advisors. Please go ahead.

Divij: This might be a bit repetitive, but just to get a sense on Tier-2, 3 and 4 cities you said repair and renovation being one aspect and construction of new infrastructure of homes being another, what do you expect to drive this in say the next one year, again like you mentioned given the inflation constraints on the consumer with elevated food prices and energy, etc.?

Bharat Puri : See in most Tier-2, 3 and 4 towns new construction tends to drive growth though repair and renovations an equal piece during festivals, etc., whenever the crop earnings, etc., come in,
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consumers will both repair, renovate and then add a room or add a terrace and so on so forth. Based on the inflation, difficult to say where it will pan out, but I suspect the mix will not change, we will just have to see where the quantum is and it will really depend. To my mind this good monsoon will take another three months to play out. In the second half of the year hopefully you will see a good impact of this monsoon also.

Divij: Second question with regards to paint players and I am going to dial down specifically on Asian Paints, I think you would be well aware given your history with the company they have sort of morphed their business now as opposed to traditional coatings and paints into decorators altogether where they transform your house end-to-end, be it from consulting to in-house products available, so does that pose an additional threat as far as repair and renovation and construction is concerned, considering that their distribution network is sizable as is Pidilite's?

Bharat Puri : To my mind it all depends on the scale. Currently they have an initiative which is doing that but frankly it is only restricted to large towns and that also to small parts of large towns, for it to significantly impact the millions of customers who construct or

repair and renovate every

year involves a scale which is very, very different. I would say the jury is out as of now from a distribution perspective frankly we believe actually we have a reach which is far deeper than any of the paint companies.

Divij: Last question with regards to your distribution itself considering you have got such a robust network. If you can give an overview hypothetically, now that we have seen sort of an erratic monsoon and I am doubling down on Tier-2, 3 and 4 cities because that is largely the narrative as to where growth is coming forth in the next three or four years in India. What do you see with regards to monsoon because we have seen states like UP, Jharkhand, Gujarat and Bihar not have the amount of rain that they would essentially expect this year around, where we are saying paddy zone per square foot having reduced by about 13% do you think that is a bit concerning or are you still optimistic for the year to come?

Bharat Puri : See I think all the numbers you are giving are the right ones but my simple answer to you would be let us address this question at the end of the monsoon. It is clear that the pattern of the monsoon over years has changed, we seem to have these sudden spurts rather than this constant monsoon. Let us revisit around September 15, 2022 and then we will know where prosperity is high and where it hasn't been good very difficult to say currently.

Moderator : Thank you very much. We take the next question from the line of Sanchit Narang from Paras Sales. Please go ahead.

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Sanchit Narang : Sir I am saying that in C&B business we are seeing a 2% margin drop as we compare it to year-on-year basis, so when can we expect it to come back to the previous level like it was

24% previously?

Bharat Puri : See as of now as we have consistently said we have purposely moderated margins in the interests of volumes. As raw material prices ease, as input prices ease, we will see it come back we would rather prioritize volume. If you see the absolute profit we are still growing very healthily, so we would still prioritize volume over percentage margin, but given the way raw materials are difficult to say, but I would suspect hopefully our exit margins will be in our band of 20% to 24%.

Sanchit Narang : Okay that is helpful Sir and the second thing if you can guide us with the PAPL numbers in terms of revenue?

Bharat Puri : The PAPL has now got merged into Pidilite but if you have last year's numbers, I can tell you that our growth rates in PAPL are very similar to our growth rates at an overall level. So PAPL is growing very healthily.

Moderator : Thank you very much. We take the next follow-up question from the line of Rishi Mody from Marcellus Investment Managers. Please go ahead.

Rishi Mody : Just one broad question. So we are seeing a lot of this trend of a modular furniture coming into the play for people who are renovating their home, or they are buying new homes so just wanted to understand how you view this. Is it a positive, is it a negative because what we understand is that a lot of glue gets consumed in furniture and a bunch of it gets wasted which is going to reduce once modular furniture comes into play so I am coming from that thought line, so if you could just give me more understanding of this phenomenon that is taking place in the furniture industry?

Bharat Puri : See for long we have been looking at the whole area of modular furniture, it is actually not a new thing. Modular furniture has now existed for a large period of time, there are a large number of joineries that have been set up. One of the reasons why we did our tie-up with Jowat who is Europe's leader in a technology call

ed hot melts which actually go in these

joineries is that we wanted the same market share in the joineries that we have in retail. So having said that, what we are seeing is that while modular in a growth rate sense may be higher it is still 85:15 or 90:10 between customers making custom-made furniture because this is the only country in the world where you can custom make your furniture to your house, and it is cheaper than readymade furniture. Therefore while 10 years back we all did this trend
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work and thought that it is going to actually go up very substantially frankly the growth rates have not been at those levels at all. Having said that we are obviously alive to it, we keep studying it, we have similar market shares in the joineries that we have at custom-made furniture.

Rishi Mody : If I am to get an idea of how much value of adhesive gets used in a custom-made furniture versus a modular furniture including your joineries and everything if Rs.10 gets used in a custom made furniture how much would be getting used in a modular furniture in totality?

Bharat Puri : Frankly in value the number, because the technology used is different what joineries use is a technology called hot melt adhesives which actually melt under heat, now one or two other people may be still trying, but we are the only local manufacturers of hot melt, the rest is all imported. So on a per kg cost, etc., or on a usage cost there is not a great difference. It is only at the lower end of the market whereas the cheaper end of the market just as in a custom-made furniture you have economy glues in joinery furniture with the cheap joinery is may be using cheaper products.

Rishi Mody : So like ideally if modular furniture picks up over the next decade or so we should ideally benefit from it given the current scenario, of course there will be prices coming down in the future once more players enter, but the high value items go into modular furniture compared to the custom furniture?

Bharat Puri : It all depends on the quality of furniture just as in every market there is furniture for Rich India, Middle India and Aspirant India, it is the same here. So the quality is differ dramatically difficult to make one generalization.

Moderator : Thank you very much. Ladies and gentlemen that was the last question for the day. I now hand the conference over to Mr. Arun Baid for closing comments. Thank you and over to you Sir!

Arun Baid: On behalf of ICICI Securities I thank the management of Pidilite for allowing us to host the call. I hand over the call to the management for any closing remarks post which we can close the call.

Sandeep Batra : Thank you very much to all those who joined the call for their continued interest in tracking Pidilite and will connect with you after the second quarter. Have a good evening gentlemen.

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Moderator : Thank you. On behalf of ICICI Securities that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

(This document has been edited to improve readability)

Call: Nov 2022

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16th November, 2022

The Secretary The Secretary
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Stock Code – 500331 Stock Code - PIDILITIND

Sub: Transcript of the Earnings Call

Dear Sir,

We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on 10th November, 2022.

A recording of the transcript is available on the website of the Company viz. www.pidilite.com .

Kindly take the same on records.

Thanking You,

Yours faithfully,

For Pidilite Industries Limited

Manisha Shetty
Company Secretary

Encl: as above

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“Pidilite Industries Limited Q2 FY23 Conference Call ”

November 10 , 2022

MANAGEMENT : MR. BHARAT PURI – MANAGING DIRECTOR , PIDILITE INDUSTRIES LIMITED

MR. SUDHANSHU VATS – DEPUTY MANAGING DIRECTOR , PIDILITE INDUSTRIES LIMITED

MR. SANDEEP BATRA – CFO, PIDILITE INDUSTRIES LIMITED

MR. SUNIL BURDE – VICE PRESIDENT ACCOUNTS , PIDILITE INDUSTRIES LIMITED

MODERATOR : MR. KRISHNAN SAMBAMOORTHY – MOTILAL OSWAL FINANCIAL SERVICES LIMITED

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Moderator : Ladies and Gentlemen , Good day and welcome to the Pidilite Industries Limited Q2 FY23 Conference Call. As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to Mr. Krishnan Sambamoorthy . Thank you and over to you, Sir.

Krishnan Sambamoorthy : Thank s Mike. On behalf of Motil al Oswal Institutional Equities I welcome to the Q2 and H1 FY23 Results Conference Call of Pidilite . As always it is a pleasure to host the management of Pidilite Industries. We have with us Mr. Bharat Puri – Managing Director with us, Mr. Sudhanshu Vats – Deputy Managing Director, Mr. Sandeep Batra – CFO as well as Mr. Sunil Burde – Vice President Accounts. I will now hand over the call to the management for opening comments.

Sandeep Batra : Good afternoon. This is Sandeep Batra from the offices of Pidilite . I will begin with a summary of the financial performance for the quarter and half year ended 30th September , 2022 . On a consolidated basis , net sales for the half year stood at Rs. 6,090 c rores , a growth of 34.1% which was added by strong volume growth across categories and geographies. Growth was broad based across the Consumer and Bazaar segment which grew 35% and the B2B segment which grew by 33%. This growth was enabled by distribution expansion, innovation , a very responsive supply chain and our ongoing digital initiatives.

For the quarter , consolidated net sales was Rs. 3,000 crores at a growth of 14.8%. This quarter saw input cost s at all time high level with material cost as a percentage to net sales higher by 436 basis points over the same period last year and 74 basis points sequentially. Calibrated price increases as well as a sharp focus on operational efficiencies helped us to maintain EBITDA margins in line with the p revious two quarters. Absolute EBITDA for the half year at Rs. 1,029 crores was up by 14.7% over the same period last year. EBITDA for the current quarter at Rs. 500 crores was lower by 9% over the same period last year.

Now, moving on to standalone financial performance , net sales for the half year at Rs. 5,481 crores was 35% higher than same period last year again led by 35.4% growth in the Consumer Bazaar and 33.7% growth in the B2B segment. For the quarter , net sales at Rs. 2,703 crores were higher by 15.1%. The consumption rates of our key raw material VAM has continue d to increase during the quarter. Q2 VAM consumption rate was \$2,491 per ton versus the previous quarter being \$2,231 per ton.

Our current ra tes at which we are ordering are ranging between \$1,200 to \$1,400.

EBITDA before non-operating income for the first half was 11.5% higher at Rs. 951 crores and profit before tax and exceptional item s for the half year added Rs. 876 crores was 14.2% higher. I also give a quick overview of the performance of our subsidiaries.

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Domestic subsidiaries maintained positive momentum with the Consumer and Bazaar -oriented subsidiaries continuing to deliver industry leading growth and margins while the B2B subsidiary reduce their losses significantly. International

subsidiaries witnessed good sales growth, but

EBITDA remained under pressure due to higher input costs. We remain cautiously optimistic on improving demand conditions aided by favorable monsoon and increase in construction activities and with the decline in commodity cost particularly VAM, profitability will improve sequentially. Our focus continues to be to deliver broad-based profitable volume growth.

With this, open to any questions that the participants may have.

Moderator : Thank you. We have the first question from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta : I am sorry I just missed the initial comments on the VAM could you kindly re-highlight that first part?

Sandeep Batra : The consumption rate for VAM for the second quarter was \$2,491 per ton as opposed to \$2,231 in the first quarter of this fiscal and last year same period it was \$2,071 per ton. Current spot rates are ranging between \$1,200 to \$1,400.

Avi Mehta : So, just try and taking this forward given that the VAM situation is more or less kind of back to pre-COVID levels or actually closer to that, would you now argue for a more front ended return to the earlier shared guidance of 20% to 24% EBITDA margin in the second-half would that be the right way to see this?

Sandeep Batra : I think there are two factors to be looked at, one is while VAM is very important and key raw material. It is maybe around 20% to 25% of our raw material basket. There are other raw materials which have not yet come back to the pre COVID levels. Secondly, the currency has depreciated by more than 10% and thirdly we are carrying inventory both of raw material as well as finished goods. So, I think on a blended basis certainly while we see margins improving and maybe in the fourth quarter we should be able to report EBITDA margins North of 20%, but to give a very specific number at this stage would be difficult.

Avi Mehta : The second bit I just want to better appreciate the demand situation you highlighted that there will be some tailwinds for demand as we go forward given the construction activities improved, but you kind of shared some caution because there was weakness in this quarter, so in your best estimate do you see that we are now in the path of recovery to reaching back to double digit level and volume growth or is this going to take some time more for us to move back to that level your end comments on that front would be very useful?

Bharat Puri : I think that is the right question. See my invitation to you is if you look at and pick out quarters then it tends to distort the picture. If we look at the first half and we also look at CAGR which I think probably is the best indicator of including over the pre COVID period. You could find that

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for the first half whether it is our value or volume growth both will be in a CAGR basis in the mid teens. Therefore, to my mind as far as demand is concerned, while obviously the jury is out to see how does rural and semi urban comeback in the third and fourth quarter there is sufficient evidence to show that there is a tailwind especially in urban including the class 1, class 2 towns both from a real estate, construction activity and the consumer overall attitude towards the home. So, if you were to ask me at an overall level obviously our objective would be profitable volume growth and the way it looks currently for example I can tell you last year the second and the third quarter were bumper quarters for two reasons. One was the first quarter was a quarter of a lot of closures and therefore there was a lot of pent-up demand in the second quarter. In the third quarter there was substan

tial pricing that we had taken two large price increases because of the raw material situation and therefore dealer inventories have substantially gone up. When you equalize this over the year we are our objective remains double digit volume growth and we are fairly confident that for the year that is where we always trended and said listen core categories at one to one and half times GDP growth, growth categories at 2 to 5 times GDP growth and pioneer categories at 100 crores in 3 years. If you look at the last three year period were actually fairly consistent on these parameters in fact beating them by some distance.

Avi Mehta : As you strictly said quarter is getting a little noisy that is why I just wanted to kind of would you say because price hikes are also as you rightly said we started in the second half so there is not

yet base as we speak, so is the right length to see is as pricing starts to become normal this pricing growth will move towards volume or that is not the right thing that is what I was trying to appreciate better?

Bharat Puri : I think the right way to look at it is two things. One is definitely volume growth because in any emerging market that is a greater indication of greater usage as well as new customers and we will also keep looking at because we have had these unnatural year where somewhere second quarter is impacted, somewhere third quarter. So, we are also looking at CAGR over the pre COVID period and saying that listen overall equalizing for all of this are we growing substantially or not and fortunately for us the answer is yes.

Avi Mehta : And just a last book keeping request , would it be possible to give us a sense on the volume growth for the quarter it just helps us appreciate the three -year CAGR in volume a lot better?

Bharat Puri : It will be about 1.2% to 1.5% on Consumer and Bazaar and overall, you can take it as pretty much on par ; point something it is and for the first half it is about 21% volume growth.

Avi Mehta : 21% on an overall basis?

Bharat Puri : Yes.

Moderator : Thank you. We have the next question from the line of Ritesh Shah from Investec. Please go ahead.

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Ritesh Shah : Sir, my first question is how do you reflect upon the recent amendment which has come to section 194R under the Income Tax Act. Basically, it reflects on the incentive like gifts and perquisites which are given to the channel partner how does it impact us or how should we understand this particular variable for the company?

Bharat Puri : I think that is a great question . It definitely impacts us and all leading companies . Companies with leader products gives dealer non cash incentives so that there is no under cutting in the market. Now, we have obviously therefore evolved a set of policies . While taking this into account you know it is something that we do not welcome, but it is something we have to live and we will live with it.

Sandeep Batra : So, I think from a compliance point of view totally on top of it in terms of it . Not only how it impacts us, but also how it impacts our channel partners. So, we have from that point of view educated all the channel partners, the implications that this has on us , on our business with them and on their business and we have factored the impact of that in our business model going forward.

Ritesh Shah : Let me just rephrase the question . I will just take a step back , if one has to understand how much is the money that we put on the table for the distributors, for the dealers and the influencers separately . If you can explain it from a margin standpoint or if you are selling something for Rs. 100 basically there is a bridge available t

aking into account the margins for the different parts of the value chain?

Sandeep Batra : We have not reduced or adjusted the margins of the channel partners , whatever is the impact we have as I said factored that in our business model going forward . The amount in any case is not very material.

Ritesh Shah : But sir when we look at this particular variable from a market place standpoint is it something that we will incur more expense so that the dealer get the same quantum or basically we are telling the dealer that you will get less because we are adjusting for the tax collection?

Sandeep Batra : I think it is a combination , it is not hard and fast rule . Depending upon the program that we are running, the kind of benefit that is being given , we have calibrated that accordingly. So, there is no hard and fast rule that either dealer will bear or we will bear. It is something that we have as I said first of all it is not very material. Secondly we have factored that in without it anyway trying to compromise the relationship that we have with our channel partners. I am very happy to connect with you outside this call if you have any other specific questions on this topic.

Ritesh Shah : Sir, my second question is on price growth , you did indicate variables of rural and urban demand plus there will be some benefits on raw material prices actually softening going forward, so how should we look at incremental pricing trends for the two segments if you can provide some color over here that would be useful ?

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Bharat Puri : See as far as pricing is concerned we do not see ourselves taking any more prices I think we are currently fully priced and therefore we see no further pricing actions from us either on a B2C or a B2B . In fact, in B2B in certain cases , we will be looking at a reduction in prices in B2C we will look at the rupee as well as the overall cost of raw material and then take appropriate calls, but we do not see further pricing actions in terms of increasing price.

Moderator : Thank you. We have the next question from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra : Couple of questions , the first was if you could provide some flavor on what is the contribution or exposure of your portfolio towards new constructions and what is the kind of momentum you are witnessing on that part of the business?

Bharat Puri : See it is a very difficult question I will tell you why ; because different divisions of ours have different exposures to new construction. There are some which are more correlated like for example the tile adhesive business and obviously water proofing especially new construction tends to be a larger user. Having said that, the basic ground rule that we follow, but do not hold us to it to the last decimal points is , it is two -third and one third. Two third our business tends to come out of renovation and repair and one -third of our business tends to come out of new construction. Clearly, there is a certain tailwind as far as new construction is concerned across the board and it is visible both in an organized real estate sense as well as new construction in class 1 and class 2 towns .

Latika Chopra : My second question was around innovation intensity , you have alluded to the fact that you are looking to pace it up and probably every division will see one new launch every quarter if I remember correctly, I wanted to understand what has been the progress in that aspect, what are the kind of product introduction you are rolling out across the core categories and some of the new emerging categories and in what kind of revenue share some of these new products could eventually have in your view or what kind of growth contribution can these products do to the overall consumer and Bazaar in particular segment growth?

Bharat Puri : That is a good question . In a steady state the objective we give our people is hopefully one -third of our growth should come out of innovation and two third of our growth should have come on growing the core. Now, we have got a whole set of products again it is different for different divisions a lot of them for example have been launched already in the last 6 months you will see launching happening across the next 6 months . As things normalize and as we are able to undertake a whole lot of field activity and now we have enough legs in terms of being able to invest behind new products you will see this as the intensity go up , at Pidilite we are clear that our four big drivers of growth remains A . innovation, B . sales and distribution, C . digital and the last being D. resilient supply chain which aids better service and therefore growth and on all four we have an ongoing fairly aggressive program which is to my mind tracking on schedule.

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Latika Chopra : You just alluded to the fact that for B2B segment you may say some price reductions while for B2C one has to see how commodity trends behave. So, one part was what is the salience of B2B generally in your overall business mix and second was in the past cycles when commodities have seen deflation, how has your pricing strategy behaved for the core adhesive portfolio or water proofing portfolio in the past. So is there actually a need to return back the full price increases that you have taken because this time these have been very significant, how would you think about that?

Bharat Puri : If you look at the core adhesive portfolio from a B2C perspective , clearly we have always maintained and we thought that this raw material inflation was not permanent ; it was temporary and therefore we will only price at 75% of inflation. So, in our Bazaar and consumer segment we deliberately called out that we are going to reduce our margins because we believe that this is not something that is permanent and fortunately we have proven right as prices have now come southwards. As far as we are concerned our overall principle Latika is that we believe in the core adhesives portfolio , our brand command a premium of about 15% . That is the kind of premium that we maintained from a pricing point of view. We believe any premium that we take more than that tends to affect our volume growth and our mantra remains profitable volume growth. Therefore, that is the stance we will continue to follow as we go forward. As far as B2B is concerned , remember in B2B you raise prices also much faster and you reduce them because the customer is getting impacted straightway and given its size B2B remains about 15% of our business so it is not a substantial impact, but from a profitability point of view we have already obviously worked that through our plan.

Moderator : Thank you. We have the next question from the line of Krishnan Sambamoorthy . Please go ahead.

Krishnan Sambamoorthy : My question is on the comeback of smaller regional unorganized players . I think various estimates have picked up at about third of the market. Now given that we are seeing extremely sharp commodity cost inflation and particularly on a sequential basis, do you see a risk that since they are coming back , there could be even as a market situation improves would you see slower growth as some of these players who are badly affected by RM price, made our businesses unviable or given the shortage of VAM globally , or that they were not even able to procure VAM

would that affect your growth in the time that these guys come back?

Bharat Puri : There is no doubt about the fact that the smaller regional players will have greater access and lesser inventory and therefore they will come back. Remember a large part of their share has been taken by the bigger competitors, who could be regional or even national for example. We have intended to take far lesser share from them because these tend to operate at the price competitive end of the market, at the lower end of the market. Having said that , I think yes you will see greater competition, but I do also think when given the current trends you will also see greater demand and therefore even you will come back to a situation of normalcy I suspect by the first quarter of next year.

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Krishnan Sambamoorthy : My second question is given that Sandeep mentioned that there has been a steep reduction in your purchasing cost, have you taken any price reductions in the last month or so?

Bharat Puri : We have taken price reduction only for B2B customers where it was necessary. We have not taken in B2C areas because remember A . we have not priced to the full extent B . remember the 1,200 price was at a Rs. 73, 74 and not Rs. 81, 82 as it is now. So, therefore working that out there is a need as I said remember our stance is very clear. We will work with a price premium of about 15%. If we find that premium is going higher we will reduce prices now it maybe by discounts or it may be by price list cuts.

Moderator : Thank you. We have the next question from the line of Shirish Pardeshi from Centrum. Please go ahead.

Shirish Pardeshi : Just two questions at this point of time , what is our weighted inflation which we are seeing because I heard in the previous comments is that there is some prices of raw material that has not softened , so in that context just wanted to hear what is the current inflation and how the sequential inflation has moved?

Sandeep Batra : I will give you the answer by an index. We have raw material index that we track internally . If you take base year as 19-20 that index has reached up to 193 in June , went to 200 in September so look sequentially quarter -on-quarter there was an increase and we now see that index coming down to maybe 180 or something in the third quarter. Keep in mind, that even versus same period last year in material margin we have a 500-bps gap even if you take last year second quarter as the base.

Shirish Pardeshi : The second question I have if you can share some context into Consumer and Bazaar distribution expansion I think I really like that this time there is some more information which is happened, but maybe our efforts on expanding the distribution if you can give some color?

Bharat Puri : We consistently maintain Shirish that , one of our drivers of growth is sales and distribution and in our categories even equalized for income we believe there is a substantial opportunity in small town and rural India which is why we setup a separate division called emerging India which over the last four years has made tremendous amount of progress. Currently, for example over the last two years we have increased coverage in towns and village below 10,000 . We covered 24,000 villages against about 13,000 or 14,000 a year. In 10,000 to 20,000 we are pretty much now covering the large part of the universe, so it is in 25 to 50. So, we have a whole set of initiatives around reach , availability and the quality of availability and then obviously demand generation teaching people how to use , you know, we have an initiative called Pidilite Ki Duniya which is small rural stores and villages below 10,000 w

e are now slowly reaching about 7,000

such stores across rural India. So, on a consistent basis we believe over the next not just 12 months or 24 months, but possibly over the next three to five years this will remain an avenue of growth for Pidilite.

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Shirish Pardeshi : Just one follow up here . When we track the paint company they are also making an effort, now I do understand the comment what you passed on last quarter call that is just more curious to understand what is the distribution advantage to the paint company versus Pidilite?

Bharat Puri : I think very simply if you look at the number of outlets that paint companies cover directly vis-a-vis us our number is far larger because of the range that we have, the kind of price points that we have. So, for example, we would be actually covering pretty much twice the number of outlets that the largest paint company covers on a direct basis .

Moderator : Thank you. We have the next question from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah : Sir you give a very interesting data point . You indicated we try to maintain a 10% premium on the brand as that impacts our volumes did I hear it right sir?

Bharat Puri : Yes 10% to 15%.

Ritesh Shah : Sir, how could one better understand this number if one has to look at it from a price elasticity of demand standpoint and if you could bifurcate it between B2B, B2C I think that would be awesome?

Bharat Puri : This is purely on B2C not B2B. B2B tends to be different. B2B has a very large number of segments and therefore like you know for example what you will do in textile emulsion is very different from what you will do in pigments which is different from what you will do in joinery adhesives . So, leave B2B aside for a moment . B2B is much more a price value relationship. In B2C rarely we look at our competitors who we believe are competing head on against us and we believe A. we always maintain a product advantage one is Pidilite philosophy has always been to offer a better product which is demonstrably better and can be demonstrated so to the consumer and then obviously on that we overlay our brand building activities both with the consumer as well as the users and that gives us a premium of between 10% and 15% in the market.

Ritesh Shah : Sir, if one had to include the quantum of discount over here which we give to the value chain, how will this number change from 10% to 15%?

Bharat Puri : I am talking of nets post all discounts I mean every competitor of mine will be you know if you look at their price list they will price at the same rate as us, but they will be giving discounts four or five times ours.

Ritesh Shah : And sir what will be the number on the B2B side it will be significantly lower, how should we understand that and has that number changed given the competitive intensity has increased in the several segments that we operate in?

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Bharat Puri : See in B2B it is very difficult, but as I told you there are very distinct segments and technology plays a very large part like, for example, if you gave you an example of organized furniture the large furniture makers use the technology called hot melt adhesives. We are one of the few people in India who make European quality because we have a collaboration with the leading European. We are the only guy who makes it , everybody else imports it. Now, obviously therefore the margin there would be

very healthy. So, it depends product -to-product and what is the price premium, but as a company one of our movements over the last , I would say 5 years to 10 years have been to consistently keep moving up the value chain and vacating the commodity end of the market. Unlike, a lot of other companies in other sectors who have been going after volume for volumes we do not do that. Our mantra is profitable volume growth not just volume growth.

Ritesh Shah: Can you highlight any particular segment that we have catered over last five years, seven years specifically on the B2B side of things?

Bharat Puri : See we have a whole range of lower priced for example products which were at the base level in say for example for furniture centers, for joineries etc. Over time either we have improved and price goes higher and higher better products or we have vacated those. So, you will see this both in B2C and B2B.

Krishnan Sambamoorthy : Particularly with the growth that you have indicated in rural towns with over 20,000 population as well as between 10,000 to 20,000 , has the regional skew of your business change particularly what is the Northern and Eastern part of the country?

Bharat Puri : Actually no , overall our growth has been fairly secular across all regions of the country. I mean

there are at times you will find in one year or two year, but over a larger period of time actually we follow a system where we correlated to ability to pay and their frankly our penetration is fairly I mean our penetration in market share do not share dramatically over the four regions of the country.

Krishnan Sambamoorthy : As the water proofing business becomes larger would that regional s remain similar to your consumer and Bazaar segment?

Bharat Puri : No, in the water proofing segment by definition wherever there is more water therefore higher rainfall those markets tends to be bigger. So, as water proofing gets much bigger the coastal areas of the country the areas where there is higher rainfall will tend to play a larger role than the drier part of the country where the problem therefore of water proofing is not such you do not need if solutions they are rigorous and expensive.

Krishnan Sambamoorthy : My last question is as a book keeping question given the continued healthy demand prospects, what are your CAPEX plan for both FY23 as well as FY24?

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Bharat Puri : One of the first things we did during COVID is we realized that supply chains will have to change dramatically and in the course of the last three years we have actually completely rejigged our whole supply chain network. We now have expanded 20 of our facilities across the country substantially. These are Brownfield and in addition we have put 11 new factories in place. We now have more than 60 manufacturing locations across India forgetting those abroad for a moment. We have plans obviously and we are clear that we are positioned for the next phase of growth whenever we find and we plan on a three-year basis wherever we find even in three years later based on our projections, we may be running short we will always start looking at plans. So, you would see over the last three years and you would see over the next three our CAPEX tends to remain between 3% to 5% of sales, but it remains a very active part of our growth plans going forward.

Ritesh Shah : Just a follow up to that question are these new 11 new plants that you indicated are they something similar to what the FMCG companies are doing, ITC and Lever smaller and more nimble plants closer to demand locations?

Bharat Puri : Absolutely yes.

Moderator : Thank you. We have no further questions. I would now

like to hand it over to the management for closing comments .

Management : So, thank you very much. Thank you to all the participants for your continued interest in Pidilite and we will connect again after the third quarter results. Thank you very much and have a good evening.

Moderator : Thank you. On behalf of Motilal Oswal Financial Services Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited to improve readability)

Call: Feb 2023

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1st February, 2023

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Sub: Transcript of the Earnings Call

Dear Sir,

We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on 25th January, 2023.

A recording of the transcript is available on the website of the Company viz. www.pidilite.com .

Kindly take the same on records.

Thanking You,

Yours faithfully,

For Pidilite Industries Limited

Manisha Shetty
Company Secretary

Encl: as above

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“Pidilite Industries Limited Q3 FY23 Conference Call ”

January 25, 2023

MANAGEMENT : MR. BHARAT PURI – MANAGING DIRECTOR , PIDILITE INDUSTRIES LIMITED
MR. SUDHANSHU VATS – DEPUTY MANAGING DIRECTOR , PIDILITE INDUSTRIES LIMITED
MR. SANDEEP BATRA – DIRECTOR FINANCE & CFO, PIDILITE INDUSTRIES LIMITED
MR. SUNIL BURDE – SR. VICE PRESIDENT ACCOUNTS , PIDILITE INDUSTRIES LIMITED
MODERATOR : MR. AMNISH AGGARWAL – PRABHUDAS LILLADHER

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Moderator : Ladies and Gentlemen , Good day and welcome to the Pidilite Industries Limited Q3 FY23 Conference Call hosted by Prabhudas Lilladher Private Limited . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to Mr. Amnish Aggarwal of Prabhudas Lilladher . Please go ahead , Sir.

Amnish Aggarwal : Hi everyone, welcome to the conference call and thank the management for letting us host the call. We have with us today, Mr. Bharat Puri, Managing Director of Pidilite; Mr. Sudhanshu Vats, Deputy Managing Director; Mr. Sandeep Batra, Director Finance & Chief Financial Officer; and Mr. Sunil Burde, Senior Vice President Accounts. Without further ado, I hand over call to the management for the opening remarks followed by Q&A.

Sandeep Batra : Good afternoon, everybody, and thank you for joining the Q3 earnings call. I will first begin with a summary of the performance and then we will open the floor for Q&A. I'll cover consolidated sales first.

So, on a consolidated basis, net sales for the nine months ended December '22 stood at Rs. 9,077 crores and registered a growth of 23%. This was led by a 24% growth in Consumer and Bazaar segment and 19% growth in the B2B segment. Sales for the quarter were up by 5.1%, which on a three -year CAGR is a growth of 15%. Material cost as a percentage to net sales for the quarter was higher by 175 basis points over the same period last year but was 88 basis points lower than the immediately preceding quarter.

As we can see that input prices have moderated and gross margins have improved marginally though over the previous quarter, this is largely as a result of carrying a high -priced inventory which will get liquidated over the next couple of months. EBITDA margins are in line with the previous quarter despite increased spend on A&SP. EBITDA for the nine -month period ended December '22 was up by 5.5% over the same period last year, largely as a result of higher input prices that have not been passed on. Profit before tax and exceptional items for the nine months at Rs. 1,331 crores were 5% higher than the same period last year. Profit before tax for the quarter, however, was Rs. 419 crores and lower than the immediately, over the same period last year.

Quickly looking at the standalone financial performance. Net sales for nine months ended December at Rs. 8,179 crores were higher by 23.3%, led by strong growth in C&B segment, up 24.6% and B2B segment up 18.6%. However, for the quarter, net sales registered a growth of 4.8%, largely as a result of a very high base. Just for the information of all on the call, in the third quarter of last year, we had taken two price increases that would have led to some amount of inventory build -up in the channel and if you would recall, in the previous year third quarter, we had reported a revenue growth of 26%. So, coming off a high base and given the fact that there were price increases taken last year, the growth for the current quarter should be better

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looked at on a CAGR basis where the numbers are very healthy at 15%. If we look at

how input

costs have behaved, as I mentioned earlier, costs have moderated. VAM, which is our biggest raw material, the consumption rate in the third quarter was about 2,000 tons versus 2,500 tons in the second quarter. Current spot rates of course are much lower, they are around \$1,200 per ton range.

If I look at the performance of the subsidiaries, despite uncertain global economic conditions, currency devaluation and inflation, our international subsidiaries reported moderate sales growth, whilst EBITDA remained under pressure due to higher input costs and impact of currency depreciation. Our domestic Consumer and Bazaar subsidiaries continue to deliver industry-leading growth as well as profitability. We are increasingly optimistic for the future because of the significant input cost reductions as well as the increased construction activity combined with government initiatives in capex and the rural sector augur well for the future and our focus continues to be to deliver broad-based profitable volume growth. With this, we'll open the floor for Q&A.

Moderator : Thank you. We have the first question from the line of Umang Mehta from Kotak Securities . Please go ahead.

Umang Mehta : Just wanted to check Sir, in the last quarter you had given a guidance that you will reach 20% plus margins by fourth quarter, would you still stick to that? and just a clarification, this 20% guidance was for consolidated or standalone EBITDA margins?

Sandeep Batra : So, just to clarify, Umang, we as a company do not give any guidance. So, I think maybe the comment would have been misunderstood. All we had said was that given the trajectory that is there on input costs and assuming that there is no black swan kind of event and no major disruption in the economy, we are on track to achieve our EBITDA margins in line with the corridor that we like to operate, which is in the 20% to 24% range. We had not given any definitive comment on when we are likely to reach that number.

Umang Mehta : Understood, understood. Got it. That was the only question from my end. Thank you.

Moderator : Thank you. We have the next question from the line of Ankush Agrawal from Surge Capital . Please go ahead.

Ankush Agrawal : Sir, my question was around the wood coating segment the business that is done by our subsidiary ICA. So, this business has scaled up pretty well in the last couple of years. So, I wanted your thoughts to understand what is leading to growth in this side of the business and how big of this opportunity is there, like could it become Rs. 1,000 -2,000 crores of business for Pidilite?

Bharat Puri : Thank you for that question. As far as ICA Pidilite is concerned, it operates at the premium end of the wood finishes market, therefore, makes what I would call not even mass premium, but Pidilite Industries Limited

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pure super premium wood finishes. These are equivalent to the best available anywhere in the world. In fact, our Italian collaborator, which is ICA, has only two plants: one in Italy and one in India. As you can see, over the last four years, we have registered very healthy growth rates. Largely, this is because of, a) a lot of conversion from lesser premium, mass premium wood finishes to premium wood finishes and the increased prosperity across. Now, without going into numbers, are the growth prospects of ICA Pidilite good? I would say, absolutely, yes. The past is a great indicator of its future performance.

Ankush Agrawal : Okay and can you help me with the nine months revenue numbers for it?

Sandeep Batra : We do not share subsidiary-wise numbers.

Ankush Agrawal : Okay. Thank you. That is all I had.

Moderator : Thank

you. We have the next question from the line of Purushottam from Vintech . Please go ahead.

Purushottam : Please refer to Slide number 16 of the analyst presentation. I would like to know where do you reflect revenue from Araldite and revenue from GCP alliance and why it is not really benefiting the company?

Sandeep Batra : So, Araldite as a company has been merged with Pidilite. So, the numbers are subsumed in what we show for Pidilite. They are not shown separately and what was the second question that you asked? Can you repeat it?

Purushottam : How much revenue are you generating out of GCP alliance and what percentage of revenue in

the current quarter is related to GCP?

Sandeep Batra : I am not able to understand the alliance that you are talking about

Purushottam : There is a license agreement with GCP, USA who sells construction chemicals. So, where do you reflect that in the chart number 16?

Sandeep Batra : I am not able to relate to the name of the company that you are saying. Maybe if you don't mind, you could connect with me separately outside the call and I'll clarify that point, okay?

Purushottam Garg : Okay sir, thank you.

Moderator : Thank you. We have the next question from the line of Kaustubh Pawaskar from Sharekhan BNP Paribas . Please go ahead.

Kaustubh Pawaskar : Sir, my question is on the VAM prices. In your initial comment, you mentioned that the current spot prices are around \$ 1,200 and the procurement price for us in Q2 was around \$2,000. So, considering the fact that the inventory of high cost raw material is receding, should we expect
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our consumption price to reduce substantially in Q1 considering the prices remain stable at the current level?

Sandeep Batra : Actually, just to clarify, the current buying price is \$1,200 and it was much below \$2,000 also in the third quarter. The \$2,000 that I referred to , was our consumption price, which is a mix of the higher price inventory and lower price inventory. So, certainly, we will see benefit of the lower VAM prices starting from the fourth quarter itself. We will not have to wait till first quarter of next year.

Kaustubh Pawaskar : Okay, okay. Thanks for the clarification and my second question is on the demand per se, like Tier 2, Tier 3 towns are really living under the pressure. Tier 1 towns are a little resilient to what the current slowdown in the market is, but what is your expectation in the medium terms, where do you see demand shaping up in the medium term?

Bharat Puri : See, Kaustubh, let me first just do a correction. Actually, we are seeing fairly decent demand across Tier 1, 2, and 3 towns. It is actually Tier 4 and 5 that have been under pressure, which is really the rural and the semi -urban markets. We expect rural and semi -urban markets also to start hopefully turning around from January itself as the money from the new crop starts coming in, the government puts in more spends in this sector, we are expecting a turnaround and better demand in this sector and again, just to give you a perspective, unlike the conventional consumption mass FMCGs, our business even in rural and semi -urban India is not declining or constant, it is still growing. The only thing is normally our expectation is that it grows 1.5 times in urban. It has come at times to the same level as urban or even a little below urban and therefore, our hope that across the next six months, this will see a major improvement. Demand conditions in Tier 2 and 3 towns are fairly reasonable and we are seeing an increased amount of construction activity, we are seeing an increased amount of commercial activity, both of which really help

s the home improvement sector.

Kaustubh Pawaskar : Right, Sir, and should we expect any pricing action if raw material prices continue to stabilize in the coming quarters, so that would further help you to see recovery, rather, the focus would be on recovering the sales volume than focusing on maintaining the margins as well?

Bharat Puri : We have always said that our focus is profitable volume growth. So, volume growth is our priority. Frankly and again, I don't want to make any predictions because any prediction for the last three years has not been good, but we expect raw material prices to remain largely stable, at least across the next three, four months unless there are some new black swan events, new Russia -Ukraine or a situation like that. The depreciating rupee have therefore been accounted in that. If you recall, we took pricing only at 75% of inflation. We do not see the need now for any further price increases.

Kaustubh Pawaskar : Okay. Thank you.

Moderator : Thank you. We have the next question from the line of Amnish Aggarwal . Please go ahead.

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Amnish Aggarwal : So, I have a few questions on the scenario. First being that, if you look at the past few quarters, , people were hopeful that the demand will come up, but post festival season also I think the demand has not yet stabilized. So, do you believe that - not say in the one quarter that Pidilite

will be back to double -digit kind of growth rate in another couple of quarters and given the fact that now raw material prices are softer, so it will be largely a double -digit volume growth kind of a scenario, is that possible?

Bharat Puri : See, without again going into predictions, Amnish, we have actually, post the festival season not seen any drop in urban demand to Tier 1, 2, 3 towns. We are seeing reasonable demand. It is actually rural and semi -urban that remains under strain. Having said that, we expect this to continue. As we have always maintained, our plan/objective is, we divide our business into three categories; core, growth, and pioneer. We try and grow core categories at 1 to 2 times GDP, normally 1 to 1.5 times GDP. Growth categories are 2 to 4 times GDP and we hope the pioneer categories become growth categories in three years. If therefore, the market improves, GDP improves, we will see our volume growth also improve, but without making any predictions, we see an improvement in November and December over October. Actually, it was October with the extended monsoon and the long Diwali holiday that actually impacted demand .

Amnish Aggarwal : Okay. And sir, if you look at some of the companies on the wire side, which is also used in the construction on the residential as well as non -residential. They have posted clear encouraging set of numbers. So, do you think that because you can see overall activity there , will have a rub - off effect?

Bharat Puri : While I, by no means am I an expert on the wire industry, so I would mind making comparisons, but remember, overall, our business, two -thirds of our business comes from repair and renovation and about one -third comes from new construction. I suspect of things like wires, etc., is probably the other way around or even greater. We are seeing that construction activity, both organized construction and real estate in the big cities and individual houses in Tier 2 and Tier 3 are fairly robust and as you know, as houses gets complete, that's where home improvement comes in. So, we see that demand lasting for some period of time.

Amnish Aggarwal : Okay. Sir in terms of demand, are you witnessing any sort of a break -up that whether your adhesive segment is doing better,

or your waterproofing segment is or some of the new initiatives, so which one is the bigger driver today?

Bharat Puri : See, as we have said, the growth categories, like waterproofing is a growth category, so it is doing better at an overall level. A large part of adhesives is core. They are growing, both are growing. As we have indicated, when we look at our nine -month growth , we are growing at about 23%, 24%. All our businesses have to grow if we have to grow at 23%, 24%. Our CAGR in a volume sense are about 14%. So, actually, we are seeing fairly broad -based growth, both across categories and geographies. Obviously, the growth categories, which are waterproofing, tile adhesives, these areas are growing faster than the regular core categories.

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Amnish Aggarwal : Okay, understood. And Sir, if you look at this quarter's margin, the margins particularly on the domestic subsidiaries, then in the domestic subsidiary in the Consumer and Bazaar segment actually we have reported a loss. So, is there any one -off over there or can you throw some light on this?

Sandeep Batra : No, no, there is no loss. I think those numbers are not reported separately. So, if you are only subtracting from the consolidated numbers, that will not give you the correct number. None of our domestic subsidiaries have reported a loss. In fact, they have reported significantly improved performance over the same period last year. But separately, Amnish, maybe after the call, I can connect and clarify to you, but just to confirm, none of our domestic subsidiaries have reported a loss.

Amnish Aggarwal : Okay, because I was just referring to one of the tables which is given. Okay. So, it was on Slide number 12 right -hand side, B2B, there is minus 4.9%.

Sandeep Batra : That is previous year, Amnish.

Amnish Aggarwal : Okay, okay .

Moderator : Thank you. We have the next question from the line of Amit Purohit from Elara Capital . Please go ahead.

Amit Purohit : Sir, just two points questions on my side. One, you highlighted the growth pioneer and core categories, so would you be able to share some salience of each , is it possible to share that? And second, just wanted to understand what are the new channels you are exploring from a distribution perspective or you are seeing some industry trends, which are looking at new channels, what I mean is that, we have been seeing this dealer stock distribution channel and now they are large retail formats which are coming in, which are becoming a one -stop shop, so how do you see that shaping up plus the online channel? So, just wanted to have your thoughts how do you see the four years down the line things changing and how are we placing

ourselves?

Bharat Puri : See, on the first question, just when you talked about the salience of core growth pioneer, are you asking really as to what are the - what constitutes core , growth , pioneer?

Amit Purohit : No, I am saying in terms of percentage -wise. Like I understand, construction chemical has been our growth in that sense and pioneers are new innovation, right? And the core part remains Fevicol, but broadly, is that the way to look at when you share in your PPT a pie chart, which talks about 50% is adhesive and sealants, but within adhesive and sealants probably there would be some pioneer categories.

Bharat Puri : Absolutely, yes. So, you can not go category -wise because there are some parts of the category may be Growth and Pioneer and may be in Core, but broadly speaking, how do we look at core

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growth and pioneer? In core, we have already created the category. So, whether it is a Fevicol, it's a FeviKwik, it's an M-Seal, this is where we have created the category and our job is to grow the category because we have a market domination position as far as the category is concerned. In growth categories, we have to create the category. We are normally a lot of times competing against non-consumption. So, for example if you take waterproofing, even now 6 out of 10 homes in India do not do any proper waterproofing. So, the job is to take this 6, make it reduce to 3 and then automatically the market becomes far, far larger. Therefore, this is about creating categories. So, whether it is like tile adhesives where people normally just use sand and cement and do not use an adhesive, these are all growth categories.

You could also have growth geographies like Bangladesh, you can have growth channels like e-commerce, and in fact, that segues well into your second question. We, as an organization, obviously, we are dynamic and we are always experimenting both with new channels and new initiatives. Just to give you a perspective, we have an initiative called Pidilite Ki Duniya, which is small rural stores in villages with a population of below 10,000. We now have close to 7,000 Pidilite Ki Duniyas. In these villages, there will be practically no other home improvement company that reaches directly. We will be the only one in most cases. There may be some getting it from wholesale. Now that is a channel for obviously e-commerce. Three years back, what we were selling in a year, now we sell the same in every 20 days. If you go to Amazon, the number one drain de-clogger, the number one rust remover, the number one play kit, all are Pidilite products. So, we are obviously looking at a whole lot of action there where the modern trade, the emerging channels, we keep experimenting, we keep carrying along, but remember, it is difficult, Amit, to make a prediction of what will happen in three to four years. In India, things move slowly, but they move surely. Our job is to make sure that we are in each of the emerging channels without trying to disturb the balance across channels.

Amit Purohit : Sure, sure. And broadly, on the first question, which what I was trying to understand is that, over a period of time, the salience of Growth categories which have gone up and probably the Core categories, if I am not wrong, I mean, should we assume that it should be down. Core could be less than 30% of the total sales or the consumer that the way to think or?

Bharat Puri : No, no. Five years back it was 75% core and 25% growth in pioneer. It is now about two-thirds and one-third. In the next three years, we will make it 50:50.

Amit Purohit : Okay. More in favor of growth than pioneer. Okay, that is helpful and lastly, on that second part, just a follow-up on that. Do you think this one-stop shop could scale up very significantly and could be double-digit or I mean, I don't know what is the salience in the industry mix, so pardon me for my limited understanding. I just wanted to know what would be the mix, to get a sense of how this distribution is shaping up?

Bharat Puri : And when you say one-stop shop, you refer to?

Amit Purohit : I mean, it could be, there are stores which are coming up like Hippo by Dalmia ?

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Bharat Puri : Yeah. We are participating there.

Amit Purohit : Correct. There are standalone, there are many players who are actually looking at this as an option i

n terms of building a format. So, actually that will be very small, if you could share what is the e-commerce right now like you indicated the growth trends, but what would the salience whether 2%, 3% of our total or 5% or what would it be like?

Bharat Puri : See, as far as e-commerce is concerned, it is best to look at it as a percentage of the consumer products business because a lot of trade businesses, e-commerce is much, much smaller and we are slowly reaching the same FMCG averages. As long as these one-stop shops are concerned, it is too early to say. We participate in lot of them, we actually hold hands with a lot of them, but from a consumer perspective, I do not see any of them which has been a runaway success.

Amit Purohit : Sure, okay. Thank you so much, sir.

Moderator : Thank you. We have the next question from the line of Akshay from Canara Robeco Mutual Fund . Please go ahead.

Akshay : If I recollect, VAM is just 25% of your raw material basket. So, there you did talk that it has corrected from \$2,000 to \$1,200, but sir, directionally, if you can give sense on the balance 75% of the raw material. I know there would be many, but just a broad sense if you can give, like do you see some cooling off there also or how do you see them?

Sandeep Batra : Yes. I think we have seen softening in most of our input costs. VAM, since it is the largest by far, we specifically call ed out the cost trends of VAM. But in the others also there is cooling off. Just keep in mind that the other raw material basket ha d not increased at the same pa ce as VAM. VAM, just for your reference, more than doubled in a very short period of time. So there the correction also has been equally steep. But in other raw materials also there has been softening in prices.

Akshay : Thank you, sir.

Moderator : Thank y ou. We have the next question from the line of Keyur from ICICI Prudential Life Insurance . Please go ahead.

Keyur : Sir, the question is in general when most of the consumer companies are talking about some kind of demand slowdown, company -specific factors, which gives us optimism how would be the demand for our category?

Bharat Puri : See, in our categories, what we are seeing, Keyur is, there is a tailwind ever since the reduction /coming down on COVID, consumers seem to have evaluated their relationship with their own homes and therefore, we have seen a lot of consumer attention to both renovating and expanding and therefore, looking at new homes, which is why one of the reasons you are

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seeing real estate come back so strongly. Now that obviously serves as a multiplier for us. Also, as you see things like hospitality, malls, shopping as the consumer goes outdoors, is something a hotel has not been used for two years, so on and so forth. They need a certain amount of renovation. So, both from a commercial activity as well as from a household activity both in new construction and repair and renovation, we are seeing a certain tailwind and that's probably why the home improvement sector is still fairly sanguine about demand conditions. And le t us see how that turns out in the next six months.

Keyur Pandya : Okay , and sir, two subsidiaries, Nina and Percept, earlier used to be a separate subsidiary, which saw some slowdown as well as we chose shrinking some of our business to be more conservative.

So, are we seeing a pick -up there also in terms of B2B application business of waterproofing?

Bhara t Puri : Actually, the B2B business of waterproofing is picked up and has come back very strongly, because, A) there is a lot of investment happening both in corporate, whether it is offices, manufacturing,

factories, and of course government infrastructure . So, actually, the Nina Percept business is the whole large user business coming back very strongly in the waterproofing segment.

Keyur Pandya : Okay. And sir, lastly, without naming, but basically in both of our categories, adhesives as well as waterpr oofing where other large peers are entering or have entered in last two years, when now raw material basket is in our favor, any upside gap beyond which we would not like to go in terms of EBITDA or gross margin and would like to go for growth, so any gap or any broad guidance on the profitability?

Bharat Puri : See, we have always maintained that we would like to focus on profitable volume growth. We have always indicated that we are comfortable with margins in a certain range, which is the 20% to 24% ran ge and because that we believe reflects the right price equity for our brands, that is where we intend to remain. As far as competition is concerned, obviously, we are no strangers to competition. With the kind of market share s we have, we will have new c ompetitors pretty much every quarter, and that has been happening now for at least the last 10 years.

Keyur Pandya : Okay got it. Sir, thanks a lot, and all the best for the future .

Bharat Puri : Thank you, and all the best to you too.

Moderator : Thank you. We have the next question from the line of Rajesh Gajra from Informist. Please go ahead.

Rajesh Gajra : I just wanted to ask you that your B2B sales and profit, they were down year -on-year in the December quarter. So, just wanted to ask how is it going in the current quarter so far in the first 25 days of this quarter as compared to the December quarter?

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Bharat Puri : See, as far as B2B sales is concerned, just let me give you a background, Rajesh. Basically, there are two aspects to the business. Wherever there is strong domestic business, like for example, waterproofing, there demand conditions are strong, and the business is doing very well. Where the business is suffering is really wherever we have exports, especially to the Western Hemisphere and where our customers have exports, whether it be leather, whether it be textiles, the largest impacted of this is pigments, where our pigment exports have been substantially hit and if you look at all the other pigment companies, you will see the extent of the problem. Frankly, in the first 15 days or 20 days of January are no different from December, at least for the international export -oriented businesses. The rest of the domestic businesses are not bad.

Rajesh Gajra : Okay, thank you.

Moderator : Thank you. We have the next question from the line of Sheela Rathi from Morgan Stanley. Please go ahead .

Sheela Rathi : Sir, you talked about the market share trends and you said that competition has always been there in this space and you are the leader there, but just one question I had here was that , have you seen a resurgence of smaller and regional players in the last one quarter because inflation has eased and all the supply chain -related issues are behind us, so is there a higher competitive intensity which has picked up and not in general for your sector, but in general, across the space, do you see that as the same playing out?

Bharat Puri : I think your observation is an astute one. We have not seen that in the third quarter, but we are seeing signs of that beginning, because obviously, a lot of the small regional players who had suffered greatly because of this raw material inflation situation now are finding the situation a lot more to their liking. The way I would answer that is, in the next three to six months, we definitely expect a

lot more increased competition from them and obviously, we are prepared for it.

Sheela Rathi : And then how should we think of margins going ahead, because things are in favor, but at the same time, we will see competition?

Bharat Puri : See, that is why a lot of times, a lot of analysts keep asking us the question where we have had quarters where raw materials have been benign, has gone up to 27%, 28% and we have always said that we prioritize volume growth and market share over a greater margin. We believe this margin range allows us the right price to equity relationship and it also keeps competition at bay. So, that is where we will remain.

Sheela Rathi : But sir, would you like to give any sense on how the margins could play out by the end of the year?

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Bharat Puri : Very difficult. See, as we consume all of the higher -priced inventory, the margins will steadily go up. I would suggest that the best margins will be the exit March margins, then quarter one will follow. So, I mean, I think we will be at fairly at normal range during that time.

Sandeep Batra : Absolutely. I think we will see, as I said earlier, margins improving throughout the fourth quarter and we would certainly look to hit the range by the time we exit March.

Sheela Rathi : Understood. Thank you. Just one more question. I joined the call a little late, so I am not sure whether this was addressed. But sir, you had talked about the Capex plans last year. If you could give us some update in terms of where we are and on the distribution side in terms of how much distribution we have added in the last three months?

Bharat Puri : So, as far as the Capex is concerned, as we have always been maintained, at Pidilite, we are prepared for the next phase of growth. In the course of the last 24 months, we have expanded and completed expansion of seven of our brownfield factories and we have completed five new greenfield factories. There are another six brownfield expansions currently going on and there

are eight new greenfield factories in progress. All of these will complete in the next financial year. So, that is as far as Capex is concerned.

As far as sales and distribution is concerned, at Pidilite, we have always been clear that sales and distribution is a very strong driver of growth. In the first nine months of this year, we have actually added a little over 2,100 towns, which actually are villages with a population of between 5,000 and 10,000 to our direct distribution reach. We now actually cover about 32,000 towns/villages directly, so that process is an ongoing process. We now have 7,000 Pidilite Ki Duniya, which are the small retail stores in villages between 5,000 and 10,000. Our dealer app, which is the Pidilite Genie app, now pretty much gets 10% of our sales is coming via the app. It doesn't need a salesman or a distributor to call, it's directly via this app. So, we have got a whole set of initiatives, which is around, A) sales and distribution expansion, both quality as width and depth. We have got a set of initiatives around a resilient supply chain in terms of both factories and warehouses. We have got a whole initiative around digitization, which includes whether it is e-com, whether it is analytics, and whether it is our internal digital programs, and obviously, we have got a whole program around innovation. We have introduced a whole range of new products across all of our major division what we call as a new premium variant called HyperStar.

In the waterproofing business, we have introduced a new economy waterproofing solution for exteriors called Raincoat Neo. We are doing

very well in the roof acrylic coating segment with

a brand called Roofseal. In our consumer maintenance businesses, we have launched this product called HomeFix, which we are testing in Kerala, which is a substitute for nails. You don't need nails. Like this I mean, we can take you through a whole round of innovation where pretty much every quarter you will see one major and two minor innovations from our divisions in Pidilite for the next 12 to 18 months.

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Sheela Rathie : This is very helpful. Thank you, sir.

Moderator : Thank you. We have the next question from the line of Shashank Krishnakumar from Macquarie . Please go ahead.

Shashank K : Thanks for taking my question. Sir, you called out that you saw an improvement in November and December over October. So, can you just comment on how the demand trends in the consumer and bazaar segment have been in these few weeks of Jan?

Bharat Puri : We have seen the same trend continue, Shashank, in January.

Shashank K : Okay. Sir, and just the second question on innovation. Can you just call out what the contribution from new products have been in the first nine months of FY '23?

Bharat Puri : See, we have a very simple objective at Pidilite that one -third of our growth should come out of innovation, plus -minus 10% we keep focusing there

Shashank K : Okay , thank you Sir.

Moderator : Thank you. We have a follow -up question from the line of Purushottam . Please go ahead.

Purushottam : I am referring to Slide number 15 and this is related to Araldite. Sir, where do you reflect Araldite in this industry segment composition? That is my first question? And second question is, when we acquired Araldite brand, we must have prepared the projected revenue. So, when we look at the first three quarters performance of Araldite sales, are we on track with reference to the assumed revenue that we expected out of Araldite acquisition?

Bharat Puri : On the second part, Purushottam, we are absolutely - in fact, we are beating our acquisition case on Araldite from the revenue and a profitability base. When it was reported as a standalone business, you can look at the kind of growth rates that we had. Huntsman grew it at an average of 6% to 8%. Obviously, we have grown it at a much better rate.

Sandeep Batra : And your question on how we report Araldite, we report it as part of the Consumer and Bazaar segment, because the company has got merged with Pidilite from 1st April, '22, so we are showing Araldite sales and EBITDA as part of the Consumer and Bazaar segment and also to make comparisons, to make the previous year data comparable, whatever the Araldite sales were in the same period last year have also been added, so that the numbers are comparable.

Purushottam Garg : Okay thank you.

Moderator : Thank you very much , ladies and gentlemen . I would like to hand the call back to management for some closing comments.

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Management : No closing comments, just thank you to all of you for your continued interest in Pidilite, and all of you have a great evening. Thank you.

Moderator : Thank you. On behalf of Prabhudas Lilladher Private Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited to improve readability)

Call: May 2023

.40 Pi Mute
12th May, 2023
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Sub: Transcript of the Earnings Call

Dear Sir,

We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on 9th May, 2023.

A recording of the transcript

www.pidilite.com .

Kindly take the same on records.

Thanking You,

Yours faithfully,

For Pidilite Industries Limited is available on the website of the Company viz.

Manisha Shetty

Company Secretary

Encl: as above

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Conference Call

May 09, 2023

MANAGEMENT : MR.BHARAT PURI MANAGING DIRECTOR

MR.SUDHANSHU VATS DEPUTY MANAGING
DIRECTOR

MR.SANDEEP BATRA DIRECTOR FINANCE &CHIEF
FINANCIAL OFFICER

MR.SUNIL BURDE SENIOR VP(ACCOUNTS)

MODERATOR : MR.ADITYA KASAT MOTILAL OSWALFINANCIAL
SERVICES LIMITED

Pidilite Industries Limited

May 09,2023

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Moderator: Ladies and gentlemen, good day and welcome to Pidilite Industries Limited Q4 FY23 Earnings
Conference Call hosted by Motilal Oswal Financial Services Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call

touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aditya Kasat from Motilal Oswal. Thank you and over
to you.

Aditya Kasat: Hi, everyone. Good morning, afternoon, evening to all and trust you are having a great day. It's a pleasure to host the Quarter and Year-End Conference Call of Pidilite Industries Ltd.

The Company today is represented by Mr. Bharat Puri, Managing Director., Mr. Sudhanshu Vats, Deputy Managing Director, Mr. Sandeep Batra, Director Finance & CFO and Mr. Sunil Burde, Senior VP (Accounts).

I will now hand over the call to Mr. Batra for his opening remarks. Over to you, Sir.

Sandeep Batra: Thank you and very good evening to all those who have joined the call.

I will quickly give you a summary of the Financial Performance for the year and the quarter, the results of which were approved by our Board yesterday.

A quick look at the full year financials:

Consolidated revenue for FY22-23 came in at Rs. 11,752 crores, so obviously a great milestone for the Company and was up by 18.9% over the previous year. This was driven by strong volume growth, improved mix and price increases. Growth was broad based across the Consumer and Bazaar and the B2B segments with the Domestic Consumer and Bazaar segment reporting growth in excess of 20%.

Consolidated margins came in at 242 basis points lower, largely on account of the escalation input costs which were pronounced in the first half of last year. These increases in input cost were partially mitigated by pricing, improved mix and cost reduction initiatives.

Consolidated EBITDA came in just a shade under Rs. 2,000 crores and at Rs. 1,984 crores; was up by 7.4% over last year.

Standalone for Pidilite Industries Ltd. revenues were Rs. 10,545 crores which grew by 19.1%.

Again, the growth was led by a very strong 20.9% growth in the Consumer and Bazaar segment whereas the B2B segment grew by 12.4%.

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Amidst uncertain global economic conditions and inflationary pressures, the international subsidiaries reported modest sales growth, but with improvement in EBITDA and the Domestic Consumer and Bazaar subsidiaries continue to deliver industry leading profit and growth. The operational cash flow remained healthy during the year and working capital in March was kind of similar levels as what it was in March 22.

The Board has recommended a final dividend of Rs. 11 per share subject to approval by the shareholders at the ensuing Annual General Meeting.

I will quickly cover the performance for the Fourth Quarter:

Consolidated revenues at Rs. 2,674 crores were up by 7% over the same period last year. In this quarter, we saw material costs come down vis-a-vis the same period last year as well as sequentially. The drop in material cost as a percentage to net sale for the quarter was 317 basis points over the same period last year and nearly 500 basis points sequentially.

EBITDA for the quarter at Rs. 459 crores was up by 14.5% and PBT for the quarter was up by 13.5%.

Standalone revenues at Rs. 2,366 crores for the quarter were up by 6.6%, PBT for the quarter at Rs. 389 crores w

as up by 13.6%.

The consumption rates for VAM, our key raw material, moderated during the quarter with Q4 consumption rates around \$1,300 per ton versus \$2,420 in the same period last year and around \$2,000 in the third quarter. Current rates are around \$1,100 a ton.

During the quarter, we also augmented and completed our coatings portfolio with the launch of Haisha range of products in identified geographies in select states. Basis the market response, we will decide the next steps.

With the aim of upgrading our manufacturing facilities and servicing market demand, we have commissioned three plants in this calendar year with the plan to commission another 5 before June 23. While the near-term environment is likely to remain uncertain, we look forward to the future with cautious optimism. The moderation in input costs, easing of inflation and growth in infrastructure and construction should enable us to deliver volume-led profitable growth. We continue to invest in building a resilient and agile supply chain and in digital initiatives.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy : My first question is on the deco paints interior. In the interview you have mentioned that this is not a full-fledged launch, this is more of a range completion. So, wanted to understand what exactly you mean in terms of mass media advertising and building connects with painters

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because you have been in exterior paints, but wanted to understand when you benchmark against the market leader in paints, how is your painter connects, so if you could answer these two aspects?

Bharat Puri: See Abneesh I knew that A) you will have the first question and B) I knew that your first question will be on paints. Having said that, as far as advertising the product of mass media, let me give you a little bit of background. You know that we have been in paints or parts of paints for a long period of time. So, paint is not new for us. What we were getting is a request from a lot of our dealers, especially in some geographies saying that, you have two-third of the range, but you do not have one-third of the range. Can you please at least complete the range for us, so that we can deal with just one Company and satisfy consumers. And once we assess this, we obviously surveyed this with a fair degree of seriousness and when we saw that there was a lot of demand for this, that's when we went and launched the range of paints. As far as our user-connect is concerned in these geographies, now I do not want to compare with others, but obviously one of Pidilite secret sauces is user connect and it is of a high order.

Abneesh Roy: Does your aggression increase versus what you have done in 15 years because you already had two-thirds of the portfolio, that I wanted to understand?

Bharat Puri: See, right now it is a range completion exercise. We will gauge the response so on and so forth. Obviously, we put the right products in the market. I mean this is not one of our big growth initiatives of the future where we have got a set of plants which we are putting behind it, etc. It is one more initiative which helps us complete our range as the home improvement Company. Now, based on the response let us wait 3 to 6 months and then maybe this question will have a better answer.

Abneesh Roy: My second question is on slide number 10, there if I see in terms of sales and profits, the B2B business has grown profit faster even in this quarter and full year versus the Consumer and Bazaar which is a bit surprising, given the kind of inflation you have seen for major part of the year, why should B2B pr

ofits go faster than the consumer bazaar and that is even more surprising because on sales Consumer and Bazaar has grown faster. So, is there any reporting change issue here because normally branded parts should see faster profit growth?

Bharat Puri: What happens in B2B businesses both ways, remember when prices go up, you raise prices much quicker because your contracts are normally for a shorter period of time whereas in Consumer and Bazaar, given the inventory that you have in trade, given the raw material inventory etc. that you have, it tends to take a longer time. So, what tends to happen is, you will get back margin quicker here simply because you will be able to A) get price earlier and give back price much quicker. B) The other side is of course on raw and packing materials in industrial products the inventory is much lower. So, your consumption rates drop much quicker.

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Abneesh Roy: Last question on Araldite Route-to-Market change so why this has been done now and what will be the benefits and if you could elaborate what exactly was done here in terms of Route-to-Market change?

Bharat Puri: Basically Araldite had a different Route-to-Market from Pidilite in the sense that they had one more layer in the distribution chain which they called as Authorised Dealers (ADs), which stood for almost like a state Carrying and Forwarding (CNF) who was actually carrying the inventory and therefore obviating the need for the Company to have depots and so forth and carry that inventory in each location. Given that in Pidilite we already have the warehouses and obviously we are a relationship-oriented Company, we did not cut off straight away. We gave the ADs scope to do other businesses so on and so forth, but frankly this layer was unnecessary in the distribution change. It is good for a multinational that does not have a bazaar or a consumer presence. So, we basically removed one layer. So, in the last two months of the year in February and March, basically we sold all of the stocks which were at the ADs because now there will be no ADs from first of April and therefore our primary sales in Araldite was impacted substantially in the fourth quarter.

Abneesh Roy: And this you will recover, right?

Bharat Puri: Of course, secondary sales is perfectly alright and remember what is important to a Company is the secondary sales which is simply the sales from the dealer to the final consumer. So, there we are growing very healthily, here what was happening was we are eliminating one full step in the distribution chain that will have three months, therefore issues as far as the numbers are concerned, but obviously it is to the benefit of the Company because you are removing one layer of the distribution chain and then the sales is not impacted in any way.

Abneesh Roy: And issue is largely done right from the reporting perspective you said 200 to 300 base impact, will the impact be in Q1 also in terms of the primary versus secondary, I understand, but in terms

of the reporting the impact is done?

Bharat Puri: 95% is done so there will be no impact in Quarter 1.

Moderator: Thank you. Next question comes from the line of Sonali Salgaonkar from Jefferies. Please go ahead.

Sonali Salgaonkar : Sir my first question is regarding the price hikes, so could we get an approximate sense as to how much has been the cumulative increase in price hikes from last year to this year say over the past 12 months and do you expect to give away certain price hikes for driving volumes from here on?

Bharat Puri: One is, it is very difficult for us to give you weighted figure because the raw material situation has been dramatically different for our different verticals. So, for example, wood adhesives which are impacted

by VAM had far higher increases, waterproofing and coatings had lower

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increases. The consumer adhesives like FeviKwik etc. had been even lower but let me just give you a gross figure which I will come back to. But as far as the future is concerned, no we do not see any need for any future price increases. If the situation or materials gets more benign, we will actually see that we have always maintained that at Pidilite our focus is on profitable volume growth if our premium vis-a-vis other product (of competition) goes more than 15%, we will actually cut back on price. In a broad sense therefore, we will look at profitable volume growth. I will give it to Sandeep for the exact weighted numbers on price increases.

Sandeep Batra: So, if you look at the full year versus the same period last year, the amount of pricing that is embedded will be in Consumer and Bazaar is in the range of about 8% to 10%, but if you come to the quarter, that number will be much lower because lot of the pricing happened in FY21-22 also. So, it may be around 4% to 5% in the quarter, but for the year it would have been much higher. Weighted average would have been about 8% to 10%.

Sonali Salgaonkar : Sir, my second question is your presentation gave a lot of color of the demand that was shaping up in Q4 but coming in Q1 how do you see demand both, in Consumer and Bazaar as well as B2B? The reason I am asking is because, we have got to understand that the CAPEX survival cycle is going on very strong. So, do you foresee a better traction in B2B from here on and also about the consumer discretionary slowdown that we have been talking about?

Bharat Puri: See, as far as consumer discretionary is concerned, the silver lining has been that in the fourth quarter for the first time unlike FMCG, we never had a decline in rural or semi urban sales. It only slowed down, normally we used to grow at 1.5x urban sales in this case rural and semi urban became slower than urban. For the first time in the fourth quarter, we have seen rural and semi urban actually grow faster than urban. Now it is too early to call it a trend. We are very hopeful that this continues over the next three to six months. The other tailwind that we have clearly, is the real estate reconstruction is seeing an upsurge and that obviously benefits us about one-third of our demand comes out of new construction. So, on an overall basis we would say on domestic demand, as we are fairly optimistic because hopefully it will continue. International is actually a tale of two different variables. Wherever we have an exposure to international markets, or we are exporting directly we are finding a substantial impact there. So, for example, our pigments business exports a lot to the US and Europe. There we are seeing straight declines because the markets there are very soft, I mean they are in near recession like situations. Even our customers in India who are supplying abroad, this could be leather, this could be textiles etc. we are finding they are suffering and therefore in a sense we are suffering. On the other side domestic demand for B2B whether it be for example infrastructure, construction, waterproofing of large projects, joinery continues at a great rate. Domestic B2B is alright, it is only international B2B which if you ask me is uncertain right now.

Sonali Salgaonkar : And just one last question from my side, many of the paint companies have entered into some of the products that you are into, how do you foresee competition shaping up?

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Bharat Puri: We are not at all strangers to competition. We have had with our market shares and market leading position every year we have two or three new competitors in one range, we had all the multinationals, we had Henkel, 3M, Huntsman, all of them come in, and then we have had the large paint companies. Now paint companies have been in waterproofing for over 10 years now, it is not something that is new to them anymore. Having said that, you can see that these remain

our growth areas, we remain clear leaders. Obviously, we do not take any of them lightly, we keep a close watch on them, and we are clear that therefore we must maintain/increase market shares. If you look at the whole year, if you look at our Consumer and Bazaar businesses, we have got healthy double digit volume growth, that will suggest that the market is not grown at this rate. So, there is no way that we would have lost any market share. Having said that, as we said, competition is something that will keep happening. Our job is to hopefully delight our consumer and our customer a little more than everybody else and that is where our focus lies.

Sonali Salgaonkar : So, our guidance for FY24 remains double digit volume growth and 20% to 24% EBITDA margins, is that correct?

Bharat Puri: We do not go into the guidance. We have always said that our objective is to grow at 1x to 2x GDP depending on the economic conditions, that is what we would be aiming for. Therefore, profitable volume growth in that sense remains our single guiding light in these circumstances. The margins we have always said that our range on a normal basis is 20 to 24. We see ourselves returning to that range this year, yes.

Moderator: Thank you. Next question comes from the line of Avi Mehta from Macquarie Group. Please go ahead.

Avi Mehta: I just wanted a follow up on the last question, basically how do you see the interplay between volume growth and realization growth moderation playing out in FY24 as you see the input cost moderation, does volumes kind of easily offset this, if you could please share your thoughts on that please?

Bharat Puri: You see this year is going to be a volume led. Why I am saying is our focus must be on a stable volume growth. If you would ask me what would be our push at our field, it would be two things. One is obviously volume growth, the second is mix, better product mix because we do not see any price led growth. In fact, if the situation gets more benign you may actually have volumes exceed value growth at times, but let us wait for three to six months and see where the situation goes before, we pass judgment on that. So, therefore we would see this being a year led by volume growth with some amount of hopefully mixed growth also.

Avi Mehta : And sir does the penetration opportunity kind of change or penetration goes up or is the competition something that one should be concerned I am just trying to better appreciate because in the last quarter call you said you are not seriously worried about pricing based competition coming back, but does that in any way help volumes, how do you see that and how is that traditionally panned out in the earlier years?

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Bharat Puri: While obviously we are leaders in all of our segments, even in what we call the popular and the economy segments of say wood adhesives we are the leader by far. Therefore, we have offers at every price point, we have our own equations to know in what segment what is the price premium that our products should command, and we remain within the band and therefore push across the board. So, it is not that we are only in the premium part of the market. The thing is, right now it seems that VAM is moderated, and it will be in this \$1,000-\$1,200 range.

ge. This will not see

substantial price decreases, demand would get impacted if you had, for example, VAM at \$800 then you would have substantial price reductions and therefore hopefully an impact on demand, but as of now what normally tends to happen is when inflation has happened, we have seen this in the last two years, there has been some amount of down gradation. People have switched from premium adhesives to more economy adhesives. As it changes the other way around you will see upgradation comeback which has been premiumization and upgradation has been a normal part of our strategy anyway if prices reduce that will come back again.

Avi Mehta : A second book keeping question, when you look at this range the normalized range of margins of 20% to 24%, would it be fair to say that should kind of pan out, there is no other headwind as we go into first quarter and should start in the initial part of the year itself or will it take some time to reach that level?

Bharat Puri: No, in our view it will. Actually March exit, we are already there. So, starting the first quarter we should be there, we may choose to invest in certain areas in one or two quarters, but at an overall level you will see it from the first of April. In fact, we have seen it on the 31st of March so therefore it may not change.

Moderator: Thank you. Next question comes from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi : I just want to know a little bit more about your foray into decorative paints and in product portfolio expansion, have you sort of built a separate sales and distribution team and at this point of time are you looking at going beyond the distributor model or beyond your current set of reach and the final question is what are your thoughts on marketing strategy for the portfolio?

Bharat Puri: See on the first question, remember we already have the sales force in place. In large parts of India, the deepest sales force across all home improvement is already with Pidilite. So, it is not

a separate sales force. We may add separate fellows for certain activities in paints, but at an overall level we will use the strength of Pidilite in terms of its distribution reach rather than have a separate sales force. As far as marketing strategy is concerned and I keep saying this, this is not a big time want to do 1,000 crores in one year and therefore we are going to have this Big Bang launch we will go about it gradually, look at the dealers reaction and then go step by step. So, just wait and watch.

Jay Doshi : So, reasonable to expect that at any point of time it will not have any significant impact on profitability?

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Bharat Puri: No, I do not see it having any significant impact on profitability because remember we are only doing this in select geographies, understanding then moving on. This is not like we have put up five plants and running a depreciation bill from day one kind of thing. This is from our existing facilities in select geographies, understanding the market, fine tuning our offer, and seeing whether this is a useful road to go up and go down.

Jay Doshi : So, my next question is VAM prices have already come down to about \$1,100, so do you have more headroom for gross margin expansion from these levels 46.8 consolidated that you reported this quarter? Are there more benefits still left to reflect?

Bharat Puri: Without doubt, as my friend Sandeep just said, average consumption was \$1,300 and the current price is \$1,100 that itself answers the question.

Jay Doshi : So, we should expect that inch closer to 50% going into first half and likewise you indicated (+20%) EBITDA margin as well?

Bharat Puri: Yes, Jay the 50% number is your number not ours.

Jay Doshi : But final one, was the

re any one time expense or anything in this quarter because usually when I look at QoQ and YoY, the gross margin expansion is meaningful whereas EBITDA margin expansion is lower and when I look at employee as well as other expenses versus volume growth seems a bit high, so was there any one time investment or expenses in this quarter between gross profit and EBITDA?

Sandeep Batra: No, there was no one time expense. I think 1) when you compare quarter-on-quarter, this quarter was like a fully normal quarter, the entire team is out in the market, doing market development and 2) we also stepped-up investments in market facing expenses, be it both direct advertising as well as connect with our users, that got significantly stepped up in the quarter, you would have seen a few of the ads on TV that got aired, the Araldite ad in particular. So, some of the gross margin was ploughed back into market facing initiatives.

Jay Doshi : And one final question, you have talked about more innovations and new product launches. Have I missed anything or anything you can provide some commentary and colour?

Bharat Puri: Actually we can do a full session on that because in each of our divisions we have one or two new products in different places in different geographies. So, suffice to say that at Pidilite, innovation has always been one of our drivers of growth. Now it is back and so whether it is waterproofing where we have two new products, whether it is maintenance where we have a new product called Fevicol Homefix, whether it is the woodworking division where we have a product called Fevicol Hiper Star, we have got a range of innovations in play and you will see them in the marketplace as we speak and you will see a whole new range also coming through, we have got a whole range of sealants. Roff which is our tiling adhesive now has got a full range. In fact, Roff now has 10 plants across the country. It actually has the best tiling manufacturing

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footprint including the leader in tiling. So, we are in a sense always preparing for the future as we keep handling the current.

Moderator: Thank you. Next question comes from the line of Sheela Rathi from Morgan Stanley. Please go ahead.

Sheela Rathi : My questions are on the decorative paint segment itself, so the first question I had was how should we think of the capacity which you have built for this particular segment maybe now or 12 months from now sir if you could give some idea there secondly, of course there is an overlap with respect to the distribution network, but if you could give us some quantification as to what is the target distribution that we are looking at and the third and final bit here is that what is the early feedback you are getting with the launch of these products into the markets?

Bharat Puri: As far as paints is concerned we already had capacity because we were in the coatings business so on and so forth, those of you who cover paints also know that paints is not capital intensive.

Paints is not one of those things where you need to put up these mega cement-like plants so if I could call it. So, therefore we have always had the capacity, we understand the technology, we have always made the product. So, without disclosing how much capacity, we have adequate capacity to be able to scale up at a rapid pace if we would choose to. The second thing is, as far as distribution is concerned very simply, please remember we call on more paint outlets than all paint companies except the leaders even today and this is all in India. As we go downtown classes, we have distribution which will probably be amongst the best if not the best. Now therefore we will make sure that we cut the cloth according to our needs and therefore marketing strategy

strategies, you would appreciate if I tell you my marketing strategies, my competition will be happier than you are. So, it is suffice to say that whenever Pidilite does something, we do it with a fair amount of thought, we do it differently from everybody else and we do it with a long-term perspective. We are not here to show you one quarter or two quarter numbers, but to see whether this is something that can add to our overall what you guys call total addressable market whether we will be a true home improvement Company where if you want to renovate or build a new home anything to do with the finishing of the home, we will have a product.

Moderator: I will be promoting the next one in line, that is Mr. Purushottam from Vintech Services. Please go ahead.

Purushottam : My first question is why has consolidated revenue in Quarter 4 declined over Quarter 3 any specific reason for that, and my second question is you talk about volume growth in FY24, so what percentage of annual revenue in FY23 was generated through digital channels, what are the digital initiatives that Company has currently embarked and my last question is material cost as a percentage to sales in Quarter 4 is lower compared to Quarter 3, is this repeatable in the current quarter and the next quarter?

Sandeep Batra: The first question was why Q4 is declined over Q3; historically if you look at our numbers for the past many years you will see that our Q4 is generally our smallest quarter in terms of revenue

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and then Q3 is generally the biggest quarter and Q1 is also a significant quarter. Q4 is generally smaller. The second question you had was on digital. So, one of the digital initiatives that we have launched is a dealer app through which a dealer can directly place the order on the distributor without having the distributor person call him up and take the order. Revenues from that exceeded Rs. 1,000 crores, in excess of 15% of the sales of Consumer and Bazaar business and your last question was on the trajectory of material cost. We did see a sharp reduction in the fourth quarter sequentially. We do anticipate some slight moderation in the first quarter also going forward, but from what we have seen in terms of our purchase prices, for the last three months they have been stable and given the kind of inventory that we hold, it takes about three months for the benefit of any reduction in cost to kind of reflect them. So, as we look ahead, yes you could see some moderation in the first quarter, but nowhere near what we saw in the fourth quarter.

Moderator: Thank you. Next question comes from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra : Some of my questions have got answered. What was the impact of Route-to-Market change for Araldite of 1.5% to 2% if I am not mistaken, was it on Consumer and Bazaar domestic revenue?

Bharat Puri: Yes, it was on Consumer and Bazaar domestic revenue, absolutely.

Latika Chopra : And the second bit I wanted to check was that you have decided to phase out the Sargent Art business in US, just trying to understand are there any parts of your businesses that you are evaluating or exploring to review, to divest?

Bharat Puri: We have always said that we would like to be an emerging market multinational and therefore the phasing out of Sargent Art in a sense reflects that we keep looking at various businesses so on and so forth on a consistent basis, but now you would see that we do not have any developed market portfolio left in our international businesses. We have always said we like India to be the cut, copy paste business for all international businesses and that is what we will be working towards.

Latika Chopra : And the last bit was, you were setting up manufacturing

units, investing behind a lot of your new portfolio building capabilities there, are we done with large chunk of that in terms of CAPEX or we should expect more in FY24-25, any thoughts on CAPEX plans?

Bharat Puri: See our CAPEX remains at about 3% to 5% of sale. Having said that obviously, we have added 12 plants in the last two years and this quarter alone we have added 3 and in the next quarter we will add another 5. So, having said that, a large part of our growth CAPEX is in place, but given that we are focusing on volume growth and ours is a volume-led product. It will be a normal

CAPEX, there will not be any of the areas where you will certainly see our CAPEX go beyond our normal limits.

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Latika Chopra : And Mr. Puri the last bit was on talent management you all are operating across multiple categories, and done so well, and we just wanted to understand better what kind of talent hiring or capability buildings has the Company been more focused over the last two, three years?

Bharat Puri: That is a great question. See, one of the things actually we have been on not just for the last two or three years, but actually now for the last five to seven years is, we have clearly said we want to build the culture and then a team that is fairly unique in our sector and we have been on this journey of what we call building a ProNeurial culture which is a mix of Professional and entrepreneurial. We can capture the capability, system, process, the rigor of a good multinational, but can we have entrepreneurial energy, can we have the risk-taking ability, the agility and speed of a good entrepreneurial Company and we have been on this journey. In fact, if you look at our leadership bench, I will submit in our sectors or actually compared to most consumer companies it will be a very strong bench. Almost all, if not all of my leadership team are people A) Ivy League background and B) Have served in great companies and now been in Pidilite for the fair period of time. We have also extended that across all the levels. So, one of the areas we have focused a lot which does not get talked about is we have changed our talent bench and our talent profile over the last five years fairly dramatically.

Latika Chopra : And does that mean there has been a change in employee incentive structure, any KPI changes there and also, I was curious to understand how are the responsibilities shared between yourself and Mr. Sudhanshu Vats?

Bharat Puri: Answering the first, absolutely yes. Therefore, our incentive system so and so forth obviously reflect what we call our objectives and the Pidilite way of working and what we believe makes Pidilite successful and the incentives actually reflects that, whether it be in the mix of pay and the way people are evaluated and therefore rewarded. As far as Sudhanshu is concerned, Sudhanshu has been handling parts of the business. The best way to put it is, Sudhanshu is being prepared that he has a full view of Pidilite without the pressure of quarter-to-quarter numbers and right now, for example, the consumer product divisions, a lot of the Araldite he handles directly. Slowly and steadily, he will keep handling greater amounts of responsibility so that he gradually eases in rather than with the sudden shock of having to do various things in a short period of time, but since he is here it will be a good for him to also answer that question.

Sudhanshu Vats : So, as Bharat rightly pointed out I think the idea is to gradually ease in, but having said that to answer your question I would say two points. One is that, from the point of view of all businesses I continue to be involved in, in some form or the other and managing independently we are slowly and gradually building

g on businesses, we started with consumer products, we have then added Araldite. I look after our construction chemicals business as I go forward, managing industrial business as well a little bit in the transition. So, I think that is how it is progressing.

Moderator: Thank you. Next question comes from the line of Ritesh Shah from Investec. Please go ahead.

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Ritesh Shah : First is a generic question. I wanted to understand what percentage of our sales do we actually bundle; say hypothetically if I am a painter and I buy goods versus for x rupees, so, if I come to Pidilite how much of bundling can actually work over here?

Bharat Puri: See, that is a very difficult question Ritesh because it differs from geography-to-geography and town class, for example, in the big towns, the mason, the plumber and the painter tend to be separate. As you go down counting classes, he becomes a handyman who does a little bit of each. So, there is no one answer to the question. It will depend on town classes and even different geographies have different practices; some things are done by certain tradesmen in one part of India, they are done by a different person in another part of India. So, very difficult to give you one standard answer for that question.

Ritesh Shah : So, I will just flip around the question a little bit. Say if you look at it from a hardware shop standpoint, is there an element of bundling which works and I am referring it more from a distribution standpoint influence apart mason, plumber, painter from the channel standpoint?

Bharat Puri: Without any doubt, see for example hardware, paint and as you go down the pop strata and you go to Tier-3, 4 and 5 class towns it becomes hardware, paints and building materials. In some cases, it will become ply, hardware and paint. So, there is an overlap of different channels in different geographies. As a broad sense do not hold me to that, the more larger the town, the

more the sub segmentation or disaggregation the smaller the town less developed the more the aggregation.

Ritesh Shah: Internally do we try to cross sell products like how is the organization structure, so we have phenomenal brands, each brand does beautifully well independently, but given we are into waterproofing and when you want to put paint along, so how will the system internally work to make that sale happen cross sell happened?

Bharat Puri: So, we do it in three ways. The first thing we do obviously is we have a master database which looks at what everybody sells and therefore what we will try and do is make sure that all of the relevant divisions cover that outlet. Secondly, at the dealer level we also have umbrella schemes that are common across Pidilite. So, there is an incentive for him or her to sell Pidilite rather than sell only some products with Pidilite and the third thing is we also run programs with the divisions where we incentivize them to sell products across divisions rather than their own divisions. So, mix of all three things.

Ritesh Shah: Just a follow up over here sir, you indicated paints more as a completion of a particular range, sir in past you have maintained that probably we would not venture into this we are already there unless something really innovative. So, sir why this change in heart now because it was always a natural extension for Pidilite to get into the brand and distribution.

Bharat Puri: We were obviously exactly saying this to our customers, but we have been having a series of customer meets across the last two years and we have had a very strong demand from our Pidilite Industries Limited

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customers saying that, while you do not need to go head on and say that this the biggest paint Company in the business. For example, a lot of our dealers believe that the best exterior paints products are ours because they do both paint and water proofing and people have been happy selling them. So, it is largely based on customer feedback and customer response where they have been pushing us and then when we went in and looked at certain geographies, we found that this is a growing market with an opportunity for a player who is differentiated and clear on why they want to be playing here.

Ritesh Shah: Sir, just a follow up question on paint. You just indicated that you do not want to go head on, but Pidilite as brand I think have enjoyed leadership position in each of the segments, so how should we look at it given it is Pidilite, you have the distribution, you have brand, you have everything and you would not just get in for the sake of it, you indicated long term strategy is on home improvement, so what is the broader vision, sir?

Bharat Puri: See, the broader vision is to be a full home improvement Company which addresses all needs across home improvement and as you rightly said, Pidilite always believes in doing things differently, let it unfold in the market and we will show it to you once we have done it.

Ritesh Shah : Sir, if I may just squeeze in one more you have indicated on CNBC that there are four states that we ventured into if I heard it right, sir can you detail which were those four States and any specific reason to choose those states, is it because of distribution or proximity to manufacturing facilities?

Bharat Puri: No, we did not indicate four states. Actually in CNBC, I just said two states which was Andhra Pradesh and Telangana which in the sense was the old AP and Orissa, those are the states and very simply we did those states because of proximity to our manufacturing locations.

Ritesh Shah : And basically the Company has multiple units I think 33 plants and I do understand 35 co-makers; what part of this manufacturing footprint is actually fungible for paints as a category like say 10 out of 33 plants we already have the facilities where we can ramp up?

Bharat Puri : A large part of the coatings plants I would say at the broad level do not hold me to the number, but four to six plants in the coating areas would be fungible for paints anytime.

Moderator: Thank you. Next question comes from the line of Keyur from ICICI Prudential Life Insurance. Please go forward.

Keyur: Sir, first question is on the current demand environment as you mentioned that near-term uncertainty. Since the backdrop where real estate and especially new real estate is doing well and expected to do well, so what is holding us back to give guidance, or for the near-term demand?

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Bharat Puri: See two things. One is Keyur we are clear that now you cannot isolate yourself as an economy from the rest of the world given that the rest of the world has all this uncertainty, there will be some spillover we are seeing, for example, of customers of ours who have export oriented

businesses are already suffering. So, one is the uncertainty around the whole geopolitical / recession in the West / muted demand. Therefore, in these places the currency crisis in some of the developing economies is the one uncertainty that we have been talking about. The second is we just want to be clear that rural and semi urban India, the demand is fully back to its traditional levels rather than being the muted that it was besides the fourth quarter of last year pretty much for the last one year.

Keyur: Sir, second question is on higher Opex

which was partially answered that generally as it was

spent on the market picking activity. So, this was one of the activities or this is how it will be since we have higher gross margin, we would continue to invest more than usual to drive growth?

Bharat Puri : We will definitely continue to invest more than usual as gross margins come. It may be in some similar activities. Basically as a Company we are investing in five areas. First and foremost, we are investing in Route-to-Market. Secondly, we are investing in marketing, which is basically advertising as well as sales promotion. The third is we are strongly investing in digital, and digital includes e-commerce, it includes our digital initiatives, it includes our analytical initiatives, the fourth is we are investing in innovation and making sure that our innovation machine fires at a much higher rate and of course actually the most important fifth, we are investing in people. So, all five we will keep looking at and making sure as we have always maintained we are a long-term player, we are a marathoner, we are not interested in the 100 meters sprint, and we will keep preparing to make sure that we can keep running the marathon at the right pace.

Keyur: And just last one question on the paint side as you mentioned basically the Company wants to complete the portfolio, so we already had this structure of say painting machine and all or the pace at which we want to grow, we would not need that infrastructure, so how we would like to grow our business having to do will need painting machine, do we have that asset or how will we go about that?

Bharat Puri : We already had the infrastructure and we already had tinting machines because the exterior paints are tint again also tinted. So, we already have the infrastructure in place.

Keyur: Any number which are there already in the distribution ballpark, any number if not the exact number?

Bharat Puri : Wait and watch, let it reach a number. Right now let us say that we have the infrastructure, let it pan out.

Moderator: Thank you. Next question comes from the line of Ritesh Shah from Investec. Please go ahead.

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Ritesh Shah: Sir, my question is on incremental capital deployment, is there a threshold ROC that we look at as you venture into new product categories?

Bharat Puri: Absolutely yes. In each of our areas we are clear that it has to be intrinsically profitable. We may therefore have to have a gross margin which is of acceptable level. The CAPEX proposal has to have an IRR that works for us, and we may choose to invest more and therefore in the initial year does not make the same margin of the product, but we do not enter into any of the commodity side of the value-based side of the market. We are clear that over a long term all our products will meet benchmark IRR and will be intrinsically profitable.

Ritesh Shah: Sir any quantification please?

Bharat Puri: Again it is different for core businesses, different for growth businesses, different for pioneer businesses, but suffice to say that it is far higher more than double the cost of capital.

Ritesh Shah: And sir secondly on the demand side can you please dissect the trends that you are looking at semi urban, rural versus urban?

Bharat Puri: See as far as semi urban and rural is concerned what we have seen for the first time in Quarter 4 is that demand was actually better than it was in urban. Otherwise, the last three quarters before that urban demand was outpacing rural and semi urban and therefore, we are saying we are hopeful and let's see if this persists for the next two quarters, then we know that we are back to normal, rural and semi urban demand.

Ritesh Shah : Sir, is there any particular variable which resulted to this swing

or is it just the main effect on

inflation is actually getting captured and that is the reason why the swing in demand or improvement in demand?

Bharat Puri: Very difficult to say, but I think some money has gone into people's homes. Remember in the rural areas whenever money comes in, it tends to go either into construction, into weddings, into discretionary spends, it appears that again this is a guess. This is not based on real data, but it appears that money in the hands of the consumer is slowly increasing in rural areas.

Ritesh Shah: And sir just last question on El Nino, does it impact the sales trajectory of the Company like is

there any correlation both on the C&B side as well as on the B2B side?

Bharat Puri: See we have done this analysis, to be fair what it tends to have a greater impact on morale and the overall feel-good factor rather than on hard sales. We are not able to correlate hard on EI Nino years they tend to be a little harder especially in rural and semi urban, but when we look at the data it does not give you the stark difference.

Moderator: Thank you. Next question comes from the line of Sheela Rathi from Morgan Stanley. Please go ahead.

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Sheela Rathi : One question which I had was is that I mean did I hear you correctly when you said that paint companies are also present in all the four construction chemical categories, is it something which has changed recently because if I remember correctly in the past you have said two out of four categories is where the paint companies have been focusing on?

Bharat Puri: No. See if you are saying segments normally paint companies tend to focus on the paint outlets, the paint outlets tend to focus on renovation rather than on new construction; that has not changed. Some of them have been trying to venture into the projects area so on so forth, but largely if I was to say the paint companies remain focused on paint and what I would call the large renovation segment.

Sheela Rathi : No big change versus the past, right it is still the same?

Bharat Puri: The only thing that has changed is, now some of them are venturing into the projects areas and trying to spread their wings, but that is expected that also been going on for some time, it is not something we are doing in the last one year, they have been doing it probably for the last three to four years.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Sandeep Batra: No closing comments but thank you very much to everybody on the call for your continued interest in Pidilite and we will connect again after the 1st Quarter Results. Thank you, have a good day.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us.

(This document has been edited to improve readability)

Call: Aug 2023

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18th August, 2023
The Secretary
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BSE Ltd. National Stock Exchange of India Ltd.
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Dalal Street, Fort Bandra (E),
Mumbai - 400 001
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Stock Code – 500331 Stock Code - PIDILITIND
Sub: Transcript of the Earnings Call

Dear Sir,

We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on 11th August, 2023.

A recording of the transcript is available on the website of the Company viz. www.pidilite.com.

Kindly take the same on records.

Thanking You,
Yours faithfully,
For Pidilite Industries Limited
Manisha Shetty
Company Secretary
Encl: as above

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"Pidilite Industries Limited Q1 FY24 Earnings
Conference Call "

August 11, 2023

MANAGEMENT : MR. BHARAT PURI – MANAGING DIRECTOR
MR. SUDHANSHU VATS – DEPUTY MANAGING
DIRECTOR
MR. SANDEEP BATRA – EXECUTIVE DIRECTOR
(FINANCE) & CFO
MR. SUNIL BURDE – SENIOR VICE PRESIDENT
(FINANCE & ACCOUNTS)

MODERATOR : MR. ARUN BAID – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY24 Earnings Conference Call for Pidilite Industries Limited hosted by ICICI Securities.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Arun Baid from ICICI Securities. Over to you, sir.

Arun Baid: Good evening ladies and gentlemen. On behalf of ICICI Securities, I welcome you all to the Q1 FY24 Post-Results Con -Call of Pidilite Industries.

From the Management side, we have Mr. Bharat Puri – MD; Mr. Sudhanshu Vats – Deputy MD; Mr. Sandeep Batra – Executive Director (Finance) and CFO; and Mr. Sunil Burde – Senior Vice President (Finance & Accounts).

Now I hand over the call to Mr. Batra for opening remarks, post which the floor will be open for Q&A. Over to you, Mr. Batra.

Sandeep Batra: A very good afternoon to everybody on the call. I have great pleasure in taking you through the highlights of the first quarter's performance where the board approved the financial results yesterday. Standalone revenue for the quarter at Rs. 2,952 crores grew by 6.2% over the previous year despite a very high base. Just to remind you that last year in the first quarter, we had reported a revenue growth of 62.5%. The growth in this quarter was led by a very strong underlying volume growth of 8%. Underlying volume growth, just to clarify, refers to volume growth which includes the impact of changes in the product mix. All the pricing adjustments are deleted from this calculation. The domestic Consumer & Bazaar business segment's growth was broad based across categories and geographies, with underlying volume growth of 12%. Both urban and rural markets grew in double digits, with the rural market continuing to outpace urban, which signals a gradual recovery in the rural economy. However, exports of our Consumer & Bazaar products declined due to challenging demand conditions in the overseas markets.

Coming to the consolidated results :

The consolidated revenue at Rs. 3,264 crores was 5.6% higher than last year, driven by strong volume growth, particularly, in the domestic Consumer & Bazaar segment. The B2B segment registered a single digit revenue decline, largely due to lower exports and lower demand from export-oriented industries.

Material costs continued to soften with VAM consumption in the current quarter at around \$1,150 a ton compared to 2x in the same period last year. Last year was \$2,250. And this resulted in gross margin which expanded both sequentially as well as year on year; 812 basis points year on year and 260 basis points sequentially. Part of these gains were reinvested in the form of

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higher A&SP spends in the current quarter, A&SP was about 3.6% of sales versus 2.1% in the same period last year and other Growth-related initiatives. Consequently, our EBITDA margins went back in the 20%+ zone and at 22.7% were 521 bps above the same period last year and 430 bps higher than the 4th quarter. Domestic subsidiaries continue to deliver robust sales growth driven by the Consumer & Bazaar businesses and EBITDA margins improved in all businesses in

the domestic subsidiaries.

Sales of our international subsidiaries, excluding the Pidilite USA business, were largely in line with the same period last year, largely because of uncertain economic conditions, currency devaluation challenges in some countries, and local inflation pressures. EBITDA in absolute terms was also flat versus last year. The working capital situation remained very healthy and in absolute terms was lower than what we reported in March '23, resulting in a very healthy cash position.

As a company, we continue to invest behind building capacity for Growth and a future-ready supply chain with the aim of upgrading our manufacturing facilities and commensurate market demand. In the current calendar year, we have commissioned 7 plants: two for Roff, two for our construction chemicals business, and one each for each of our domestic joint ventures, i.e.,

Grupo Puma, Tenax and Litokol. With growth largely to be volume led in the near term, a good monsoon, increased construction activity and stable input prices enable us to look at the future with increased optimism. We remain committed to driving profitable volume growth through investment in our brands with enhanced customer engagements and continue to build a resilient and agile supply chain.

That is all as far as opening remarks from my side are concerned. I leave the floor open for Q&A.

Moderator: We will now begin the question & answer session. The first question is from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta: Sir, I just wanted to first check on the VAM price update. If you could give us a sense on where VAM prices were for the quarter, I think I missed that in the opening comments.

Sandeep Batra: VAM prices in the first quarter, what we consumed VAM was at \$1,150 a ton versus \$2,250 a ton in the same period last year.

Avi Mehta: And, sir, what is the current pricing right now?

Sandeep Batra: Current prices are anywhere between \$850 to \$900.

Avi Mehta: Sir, just wanted to also understand, building up from the last quarter conference call, we have clearly achieved the margin expectation from March, which we saw 20%. We are now at 21.5% roughly or so. Do you see there is an upside risk to that guidance on EBITDA margin of 2024?

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Maybe it should be 22 to 24? Or if you could give us some sense on how should we look at margins as we go forward. And if you could also give us an update on what happened to the reversal of consumer downgrades that you were discussing the last time, the product downgrades.

Bharat Puri: Avi, on the first question, really, as far as the margin range is concerned, given the volatility that we keep seeing in raw materials, we are more comfortable with a 20% to 24% range and that is where we will keep it. Now, based on where the situation is, it may go up and down in one quarter versus the other, but we are comfortable with that range. We believe beyond that range, it actually then impedes our volume growth and opens the backdoor to a lot of regional and other competitors, and therefore, we are comfortable with this range.

I did not understand the question on product downgrades. If you can just elaborate.

Avi Mehta: If I recollect from the last time, you had indicated that there was a sense on when the high inflation period reverses, we can see some impact on the mix as we go forward. That is what I wanted to understand. If that has panned out in terms of the mix, as in lower-price products or lower-margin products have done better or is there anything of that sort that we have?

Bharat Puri: Not in our business. In fact, in our business, that is not the case. As far as we

are concerned, the

product mix is actually pretty much in line, which is why, if you notice, we have switched to reporting underlying volume growth rather than total volume growth because total volume growth, in a sense, misstates because weighty products that cost very little, like for example putties and so on, then actually increase your volume growth, which is not the right indicator of business. Therefore, we are at underlying volume growth which for the Consumer & Bazaar business is about 12%.

Avi Mehta: That is clear then. What I was trying to understand is that when the inflation was high, I thought the mix was impacted and that would have reversed. Maybe that impact did not pan out and my understanding was inaccurate.

Moderator: The next question is from the line of Kesharwani Karan Hariom from Godrej. Please go ahead.

Kesharwani K. Hariom: Sir, your material price has been declined by approximately 7% year-on-year basis. Is it solely due to a decrease in material price or any production efficiency?

Bharat Puri: It is always a mix of both. And we obviously track this over a longer period of time; it is a mix of both. In this quarter, it is largely material cost because a lot of the material efficiencies when material costs were going high, we actually squeezed. But it will always be a mix of the two. In this quarter, it would largely be material cost.

Moderator: The next question is from the line of Ashish Kanodia from Citi. Please go ahead.

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Ashish Kanodia: Sir, on the B2B side as well as on the export front, what is the sense you are getting? If the demand environment continues to remain tepid, especially on the B2B side, it has been like 3

quarters where we have seen a YoY decline. So, just wanted to get some sense in terms of when you speak to your customer on the B2B side and also on the export side, what is the sense you are getting on the overall demand environment?

Bharat Puri: Let me split this up, Ashish, into 2 different elements. One is B2B where there is direct exports to the developed world which is largely the US and Europe; could be pigments or it could be to customers of ours who are exporting to the developed world. This could be leather, this could be textiles, this could be wooden furniture, so on and so forth. Here, the indicators we are getting is that the US will probably come out of this quicker. There is a little more optimism around the US whereas Europe may take a little longer. Fortunately, a large part of the exports is to a mix of the two but with the US, a little more. I would wait a quarter before we declare and see as to how the situation is but it does appear to be getting a little better, at least the first indicators are there. As far as the neighboring countries are concerned, which is exports of our finished goods, what we are finding is countries like Nepal, for example, are suffering tremendous foreign exchange shortages. Actually, the issue is not that of demand in Nepal. It is an issue of not there being enough foreign exchange. Bangladesh was more a combination of a lack of foreign exchange and the fact that both the Eids this time came in the same quarter and therefore a large number of holidays. I would say I would watch this for another 3 months. But it does appear it will be better in the second and third quarters than it was in the first.

Ashish Kanodia: And secondly, on your comment in terms of reinvesting some of the RM benefits into driving Growth. Apart from the ad-spends, if you can just highlight what other initiatives you are taking to drive that profitable volume growth, that would be very helpful.

Bharat Puri: We are really looking at

this across 4 fronts, Ashish. The front one is expansion in sales and distribution. Just to give you a perspective, in the last 12 months, we have added 17,000 new villages which we are now accessing directly. We believe from a home improvement point of view; we would have the deepest distribution by a large distance. Just to give you a perspective, we now have over 8,000 Pidilite Ki Duniyas, the PKDs as we call them. All of these are in villages between 5,000 and 10,000. We have obviously expanded. Therefore, the whole sales & distribution piece is one area of investment, along with requisite like demand generation activities that take place. The second is the whole area of innovation across each of our divisions, whether it is Fevicol, whether it is Fixit, whether it is the consumer products division. Each of these has now started launching a set of innovations in each of their markets. And therefore, our contribution from innovation, we would hope, will actually go up substantially over the next 12 months because, as I have repeatedly said, going forward, volume growth will be the key, and therefore, we must do everything vis-a-vis there. In the enablers, we have also made tremendous progress on the whole digital piece, not only through digital ecommerce, etc., which we have talked about earlier, which has now become a regular part of our business, but to just give you an idea, for example, we have an app called Pidilite Genie, and we believe we are only one of 2 companies who are getting more than 25% of our sales via an app where there is no salesman or

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distributor involved. This is obviously again reaching our people, who therefore do not even have access to our sales force, can order and get material over a 24-hour period. Like this, we have got other digital initiatives on. We are also looking at some initiatives in the areas of AI. And the 4th is the supply chain. Sandeep referred to it. But if I look at the bigger picture, really what we are doing is we are making a resilient, flexible, on-demand supply chain. We now have 70 manufacturing facilities in and across India. We will probably add 3 to 4 more every year as we go forward, which is what we have got plans for, so that we are not only equipped for future growth, we are also incredibly flexible and can therefore service the needs at very short notice, very quickly. These are all the other areas of investment besides, obviously, investing in your brands.

Ashish Kanodia: And last bit from my side is, any pricing intervention which you might have taken given how the VAM prices have panned out? And secondly, what is the price difference between your product versus the peer product?

Bharat Puri: Our price premium tends to be depending on the product in the whole wood adhesives area of between 10% to 15%. That is the premium that remains. If it goes above that, for example, even in this quarter, we would have actually reduced the effective price to the customer, given the VAM price decreases. On a consistent basis, our premium remains between 10% to 15%. We have tested it over a large period of time. We believe that is what is justifiable and what the customer is happy to pay. Anything above that, we actually give back to the consumer because, otherwise, we believe it impedes our volume growth.

Ashish Kanodia: A related question on this. Maybe on portfolio level, because I understand across categories and

across product points, maybe the effective price reduction will vary, but maybe at an overall portfolio level, what kind of a reduction we might have seen this quarter?

Bharat Puri: Very difficult to say, my friend, because our portfolio is so wide

and large, it is best to take it at

a vertical level. Otherwise, it is very difficult to translate this at the company level.

Moderator: The next question is from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: I was curious to hear your thoughts, Mr. Puri, on the overall B2C demand environment. I just heard your comments on B2 B, but just trying to gauge, are you getting more positive, excited about the underlying growth trends that you are noticing in your business?

Bharat Puri: Yes, I would say from a demand perspective, what we are seeing is really the whole construction sector does seem to be seeing an upturn. If you look at organized real estate or you look at individual housing, there is a certain amount of buoyancy which we are seeing in the market.

We have earlier also spoken about the fact that consumers have reappraised their relationship with the home and are willing to invest more in their home. This is something which is an ongoing trend that we are seeing. The good thing we have seen now over the last 6 months is

that for us, at least in our sector, we are seeing rural demand slowly coming back. It is still not the buoyant twice urban demand that we used to see, but slow and steady. For example, in this

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quarter, our rural growth rates were 1.5x urban and that is really encouraging. I would say, while the monsoon has been good though it hasn't been well distributed, barring these disruptions we are having because of flooding in certain areas, we are actually quite optimistic about the next 6 months simply because we do not see demand conditions domestically changing dramatically. There is a long festive season and most importantly, from our point of view, we also see input prices are fairly stable.

Latika Chopra: I heard your comments on pricing. Are you done with your pricing interventions? Because it seems your current price of VAM is still lower than what your price was there in Q1. Do you anticipate you will still take some tactical calls on pricing or you think you are largely done?

Bharat Puri: Absolutely, yes, we will still take some tactical calls depending on the VAM price. We are always sensitive to that. But we believe now given the last 2 weeks the way crude, etc., is going, we think this is pretty much the bottom of crude and therefore VAM will slowly go back to its traditional around \$1,000 a ton over the next 6 months.

Latika Chopra: I also was trying to just understand there is a lot of push on rural expansion. I was just wondering if you could give us some more color on what kind of products are getting better reach in these areas. What kind of price packs, price points, what is allowing you to penetrate rural markets more? And another question I had was on your margin mix. As you go deeper into these smaller towns or rural areas, does it affect or influence your margins in any significant manner?

Bharat Puri: The good thing for us, actually, is that our rural mix, outside the fact that obviously there are smaller packs and there are more basic products – you will not sell the premium products except maybe in Kerala or Punjab or Gujarat – in the rest of the places, it tends to be what I would call the starting products in the range. But it is still the same Fevicol, the same Fixit, the basic range of waterproofing starting from the construction. Fevicol anyway has very deep penetration and is pretty much there across all villages, above 5,000. It is our full basic range and we keep adding to this range. For example, we have expanded substantially with Araldite. We are now expanding with tile adhesive. On a consistent basis, based on the kind of town,

we obviously have lots of

rural marketing and penetration models – we classify markets into various substrates, and we believe there is an ideal product mix for every substrate and we keep working towards reaching that ideal product mix, and therefore, in a sense, realizing the potential of that substrate. That is what we are doing on a consistent basis. As far as discounts are concerned, frankly, they are pretty much the same as urban. Actually, discounts here tend to be lower, but freight and logistics costs tend to be higher.

Latika Chopra: And can I check, you have a very wide portfolio, and you have always split your portfolio and there is a growth in Pioneer categories which were about one-third revenue salience. Just trying to understand what parts of these categories or which segments of these are actually tracking your expectations, something that surprised you positively, something that you think probably there is more work to do? Some flavor on tile adhesives, stone solutions, premium wood finishes, some of the niche segments that you are tapping into.

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Bharat Puri: I would say largely our model has worked 8 out of 10 times on a consistent basis. It takes a little bit of time. Whether it is, for example, premium wood finishes, you know that we report ICA Pidilite results separately, you would see that ICA Pidilite itself is now a very strong unit in its own self. And mind you, their minimum price point starts at Rs. 750 a liter. It is really premium, and we would submit the best quality wood finishes, not just in India but in the world. Whether it is that, whether it is tile adhesives, or whether it is the joinery segment, our model has been holding well. Core has tended to grow 1.5x GDP. Growth has tended to be, for example, waterproofing for us continues to be a strong growth driver. I am sure somebody will ask the question about the competition. Competition from paint companies has been there now for 10 years, but we are continuing to grow healthily in waterproofing, and therefore, it remains a growth driver for us. We keep adding newer stuff. For example, we have added tile grouts, we have added stone solutions, we have now added exterior renders. On a consistent basis, Latika, every year, we will add 1 or 2 new categories and slowly and steadily establish them.

Latika Chopra: I remember the last earnings call was full of this, but I just thought I will just check if there is any meaningful update on this interior decor paints expansion. I know your comments from the last time, but anything to call out or update on this time.

Bharat Puri: It is very early days. All of you know, Pidilite as a company; we are not the big bang we will put up X plants and make a lot of song & dance. We will do things slowly and systematically. When we have something to report, we will come back to you.

Moderator: The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: My question was, again, on the demand environment. I think you mentioned about the strong trend in the construction industry. On your adhesive segment which has direct consumer products like Fevicol and so and woodworking products, are you also seeing a buoyant demand environment there and also in the rural markets, which indicates that even that segment, even though it is not very directly construction linked, are you positive on that in terms of how you are seeing the demand?

Bharat Puri: Yes, we are seeing demand, definitely also showing a little bit of an uptick as far as, for example, wood adhesives is concerned. My invitation to you, Arnab, would be also does follow, though not fully constructed

tion because two-thirds of the demand tends to be renovation, but when there is new construction, you are going to then furnish it. And when you are going to furnish it, you are going to put furniture. And when you are going to put furniture, you are going to use Fevicol. So, we are seeing that as a lag. And at an overall level, yes, while there may be certain categories that are growing faster simply because we are at the Growth stage of the category, be it tile adhesives or waterproofing, but even the Core categories like say, Fevicol, we are continuing to see healthy demand.

Arnab Mitra: And my related question was when you are doing this rural expansion, what we have seen in FMCG typically is that your fastest moving packs anyways reach through indirect means where the demand is, but in your case, does that hold true and therefore are you getting the incremental

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sales on more of the non-Fevicol products or do you think there is a big gap even in the Fevicol reach in terms of either unorganized share or actually the product not being available?

Bharat Puri: The difference between traditional FMCG and us is that in our case, like, say in my old world when I was in the chocolate and toffee's world or in Sudhanshu's old world when he was doing detergent, you do not have to teach a person how to eat a chocolate or a toffee or to use a detergent. In our business, most of our products actually require a certain amount of user training, and in this case, at times the user may be the end user himself. What we have done, actually, which is giving us good dividends are, we operate with 2 sales forces in what we call emerging India which is a mix of rural and semi-urban India where we have 1 sales force that keeps training users and consumers in the use of the product and that, in our view, is a greater multiplier of sale rather than just pure availability. What benefits from pure availability is actually things like Fevicol which are simple to use. The rest of them we find that there is a certain amount of education which we will have to do to create the category.

Arnab Mitra: And my last question was on, any change or acceleration in the Capex that you foresee in FY '24-25 given the faster growth and your initiative?

Bharat Puri: We have been repeatedly saying this. In fact, even during COVID, we were busy investing in Capex on a consistent basis. We will remain at between 3.5% to 4.5% of sales on a consistent basis as far as Capex is concerned.

Moderator: The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Sir, I just wanted some incremental flavor when we say we have underlying volume growth of, say 8%. Can you break it up basically when we look at it from a category standpoint, say Growth, Pioneer, Emerging? And secondly, again, taking a leaf out of Latika's question, how do we look to benchmark ourselves? What will make you happy? What will make you sad? I understand you do give a number of GDP multiplier. But again, if you could put some numbers over there, that would be great. Or should one look at our volume growth versus paints or any other subsector in the building material space that you look at?

Bharat Puri: Paints is, on a consistent basis, Ritesh, actually reporting total volume growth. If on a comparative basis we report total volume growth, our actual total volume growth will be 19%. But in our view, that is not the right way to look at it because that is just actually inflating what are cheaper products which are in a sense a little more commoditized, be it putties or powders and so on. We believe underlying volume growth actually captures mix and also cap

tures,

therefore, the pricing element. Now, if you look at, for example, the Consumer & Bazaar business in the first quarter, we have grown volumes by about 12%. As per the RBI, our overall economic growth is anywhere between 6% to 6.5%. As long as we are between 1.5x to 2x GDP at a gross level, we are alright. And when I look at my categories, frankly, the good thing is it is broad based. My Core categories are growing at 1x to 1.5x GDP. My Growth categories are growing at 2x to 3x GDP. And a lot of the Pioneer categories are getting initial traction. At an overall level, that is the indicator we use. Over a period of time what we have also seen is that

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our Core to Growth & Pioneer is consistently going up. By the end of this year, it appears it will be 60:40. And that really for us, therefore, gives us a greater flywheel for growth. That is how we look at it. Those are the benchmarks we follow. We obviously study all of the other companies, but please remember that vis-a-vis a consumer products business which is different and we have obviously a B2B business that is different. So, we will look at it as a composite. But at an overall level, I would be very happy as long as we are between 1x to 2x GDP on a volume basis.

Ritesh Shah: Sir, I will just continue with the question. I will just flip the argument a little bit around. In the current context wherein the raw material prices have gone down, you did indicate that we have taken some price reductions. When you have to take a call on market share versus profitability, you have already given margin guidance. Is that something which is more sacrosanct than market share? How could one understand that? And if you could split it between C&B and B2B, it would be great.

Bharat Puri: We are clear that market share/volume growth is our prime indicator. You would notice that in the time when we were suffering from really high raw material prices when VAM went up to \$2,500 a ton, we felt it was a temporary phenomenon and fortunately we were proven right. We actually took our margins down to 17% from our traditional 20% to 24%. Similarly, therefore, we are clear that volume/market share is primary. We, however, do not like to play in the commodity end of the market. We are a branded business, and therefore, we make sure we command the premium. But we are also clear that you can get a premium higher than normal premium for 1 or 2 quarters, but then you will open your back doors for lots more people to be sitting in your garden.

Ritesh Shah: And last question is on paints. Sir, in the last quarter, you had indicated that we had ventured into AP and Telangana states. Sir, any incremental update over here, the sort of feedback that we have? You had also indicated that we will optimize our distribution reach. If we could provide some color over here, it would be great.

Bharat Puri: Ritesh, right now, it is too early to say. Remember, all sales systems in the first 3 months will declare success very early. To our minds, I think it is best that we come back to you 3 months later. And when we decide to expand into other states, that will be a great indicator that we have met our action standards in these states.

Ritesh Shah: Sir, just the last question. You have elaborated a lot on the rural reach, but you also indicated that the freight and logistic costs are higher over here. Then, how should one look at the incremental margins and incremental ROCEs for the incremental sales in rural India what we are aspiring for?

Bharat Puri: Actually, at an overall level, there is no difference in profitability and therefore ROCE between our rural and urban businesses. Urban

businesses tend to be higher on schemes and discounts

because of the competitive nature of the markets. In rural and semi-urban, competitive intensity

is far lesser. It is about demand creation and reaching the products there consistently, therefore
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servicing the market. At an overall level, actually it does not make a great difference to us in
terms of the mix of sales.

Moderator: The next question is from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki: Sir, my first question is on the B2B business. But what is the volume growth on the B2B business, the UVG?

Bharat Puri: B2B UVG is 3%. Simply remember, where we are suffering is exports to developed markets and exports by some of our customers of products which are export oriented. They may be leather, resins, textiles or wooden artifacts and furniture, these are the ones that are tending to suffer. The other place that is suffering is the neighboring markets like Nepal and Bangladesh where the issue is actually more of foreign exchange rather than that of demand.

Percy Panthaki: Sir, in India, the B2B growth would be how much?

Bharat Puri: The India B2B growth is healthy. The India B2B growth is not an issue. In fact, because of the government spending in infrastructure and the overall organized construction going high, actually, B2B in India is doing pretty well.

Percy Panthaki: Secondly, just wanted to get your sense on margins. And obviously in the medium term, you have given a floor and a ceiling for margin. But in the near term, would you say that the current quarter margin Q1 is sort of the peak because while VAM has fallen further, you will take price cuts, and on the other hand, crude has gone up. So, would it be fair to say that the EBITDA margin in Q1 is the peak margin for you for the next few quarters?

Bharat Puri: I would not say that. I would just stay with 20% to 24% because crude will still have a 2 -quarter s impact. As Sandeep told you, our consumption of VAM this quarter was at \$1,100+ a ton. The current buying is at \$900. In 1 or 2 quarters, we may even go higher than here. But as I said, stay to 20% to 24% and keep focusing on the profitable volume growth.

Percy Panthaki: Lastly, an accounting question. Just wanted to understand your other expenses line has grown more than 20% YoY, which is much higher than the overall sales growth. Any reason for that ?

Sandeep Batra: I think the main cost that sits in other expenses is advertising and sales promotion, which if you look at it in terms of percentage terms, last year, it was 2.1%. Now, it is 3.6%. That itself has gone more than 50% and that is the biggest cost that sits in other expenses.

Percy Panthaki: And that is the main reason why the overall other expenses percentage to sales has gone up?

Sandeep Batra: Yes, largely.

Percy Panthaki: And is this just a phasing issue or is the ad -spend likely to remain at the higher side because you have a benefit in the gross margin?

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Bharat Puri: In our belief, as we said, we will keep playing this, obviously over a longer period of time, but we will see greater focus on brand building. So, it will remain at a higher level. What 's the exact level? You will see in the next 3 quarters. But it will not be going back to the same levels as it was last year because last year was a challenging year from a margin perspective.

Moderator: The next question is from the line of Am

nish Aggarwal from Prabhudas Lilladher Private Limited. Please go ahead.

Amnish Aggarwal: There are a couple of questions from my side. The first question is regarding the new or innovative products. We have got 2 -3 buckets of products and the newer products which have been, say growing at much faster rates. Now what is the salience of such products? Where are we in terms of the total contribution? And what is the outlook on that?

Bharat Puri: That is a difficult question, Amnish, because each of the new products is in a different lifecycle/stage. I presume your question is more towards categories rather than products because each product is different. But for example, some products from Pioneer moved to Growth. If you take something like tile adhesives, 4 years ago, we were a very small player in tile adhesives. Today, we believe we are one of the top 2 players in India in tile adhesives. Now, that is obviously moved from Pioneer to Growth. Things like marble and stone, things like grout are something that now slowly in the next 1 year will move from Growth to Pioneer. The joinery business where we are now the leader moved to a Growth business about 2 years back and is therefore one of our Growth businesses. So, it is different for different businesses, but on a consistent basis, as I said, we keep looking at our own internal indicators and seeing that on a

consistent basis are we creating categories? Five -six years ago, our ICA Pidilite business was a small sub Rs. 100 crore business. It is now close to Rs. 400 crores. Clearly you will see that a lot of these businesses are achieving or overachieving the benchmarks we have set for them.

Amnish Aggarwal: And sir, how much would be the contribution of these businesses to our sales now?

Bharat Puri: As I said, by the end of this year, we expect Core to Growth & Pioneer to be 60:40.

Amnish Aggarwal: Sir, the second question is that we have seen a lot of disruptions from the floods and you can say unseasonal rains, particularly in the month of July. Any impact it will have, particularly on the Q2 numbers in terms of demand, stocks, any disruption we faced in terms of any plants or warehouses, etc.?

Bharat Puri: We definitely faced disruptions, Amnish, in the month of July simply because we have about 7 plants in Himachal, close to Chandigarh. With that massive rain that took place there, there was a certain amount of closure. The consolidating warehouse for these 7 plants is in Ambala which is close to Chandigarh, again. We have had some disruptions for between 10 and 15 days. But our way of looking at it is this happens every year in different locations. It is part of the play in operating in India, you will have this somewhere or the other. Hopefully, now in August - September, we do not have further disruptions. It definitely impacted our July sales, but it will

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hopefully even out over a period of time. Remember, the good thing in high rainfall areas is, it also gives you a great demand for waterproofing.

Amnish Aggarwal: Absolutely. And sir, looking at the VAM scenario and the fact that you are open to, you can say, taking tactical price cuts going forward also, should we then presume that the realization, say in the standalone which today maybe say roughly around a couple of percentage points negative, that number can go higher? Negative realization?

Bharat Puri: It could, yes, definitely. As far as VAM prices are concerned, if they continue to be at a low level and we feel the need to take some tactical price cuts, we will definitely do that.

Moderator: The next question is from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta: I j

ust had 2 follow-ups. One was on competitive intensity. Has there been any increase from regional competition because of the price of VAM?

Bharat Puri: I would say not significantly, but yes, our categories anyway there is always 1 or 2 new competitors and the old traditional competitors; that continues. We have seen a greater, obviously, intensity of discounting, as we said, because people now have greater leeway which is why, as I said, we have taken the price cuts, but we have not seen many new players or earlier players getting revived strongly. They have always been there and they are still playing in the marketplace.

Avi Mehta: And sir, just to kind of understand from a thought process perspective, the way you see this is if demand needs it, we will take a price cut. Otherwise, it is going to be the need from competition so that we ensure that we are not significantly premium from peers. Is that the way I should look at your price cut or how you look at pricing?

Bharat Puri: Our belief is that our products command a certain premium. Therefore, if others reduce prices, we will make sure that our premium does not go over so that it, in a sense, shuts us out. We will make sure that that premium remains at the same level.

Avi Mehta: So, it is going to be more like in case you face that competition, that is when we should kind of look at price cuts as of now, not otherwise?

Bharat Puri: That is true. Yes.

Avi Mehta: And sir, the second is just an understanding question. I am not clear yet on how the current reporting is different from the volume plus mix that you used to give earlier, because the numbers have changed. So, I am not sure what has changed or what has driven that change.

Sudhanshu Vats: The philosophy of underlying volume growth which you now see is, what we are now reporting is how our mix and volume have grown over a period of time. What happens is if you take your price, it is in some ways growth in volume and mix at constant price. That is what we are

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reporting and therefore that is the difference and we will stay consistent with this. 1) What it helps us to do is, as Bharat has always been saying, that we are about profitable volume growth. Therefore, it is about making sure that the mix of the volume which is growing also is consistent.

2) Underlying volume growth also allows you to look at different volumes within the same

bucket. So, in some ways, you can aggregate apples plus oranges. Therefore, whether it is tonnes, it is kilo liters, it is units and all that, it all gets subsumed because you are looking at growth, net of price in your volume and mix. That is what it does. And in some ways, underlying volume growth is actually growth in turnover but at constant price while you call it underlying volume growth. That is how it is.

Avi Mehta: What I was trying to get to is I thought volume plus mix the earlier way we used to give, was also kind of capturing the mix impact and essentially doing the comparison. As I was saying earlier that we kind of take putty, take a lower share, and kind of take that mix impact in that sense. I thought that was coming in the last time, but maybe I will take it offline. I am still not very clear on what exactly changed.

Sudhanshu Vats: We will pick it up offline in order to explain to you what has changed.

Moderator: The next question is from the line of Sheela Rathie from Morgan Stanley. Please go ahead.

Sheela Rathie: I had 3 questions and all three on waterproofing, as Mr. Puri had preempted earlier. First is a very basic question, sir. We call out that Consumer & Bazaar is 80% and B2B is about 20% of our business. But if I have to just

look at it, what is waterproofing as a percentage of our business? That was my first question. Second question is, recently, Asian Paints called out that they are the largest player in the retail segment with respect to waterproofing. What is our positioning there? And the third question was, Mr. Puri, you have always said that the biggest competition in waterproofing is non-consumption. And you have alluded that 6 out of 10 households do not use waterproofing products. How has that number changed and how is it different in urban India and rural India?

Bharat Puri: Let me start with the first. As far as overall waterproofing is concerned, there is a B2B element and there is a B2C. I would say, and do not hold me to the number, if I combine the two, it would be anywhere between 15% and 18% of our sales. That's the overall waterproofing portfolio. As far as the overall growth in waterproofing and Asian Paints calling out leadership in waterproofing, frankly, what is happening is most of the paint companies have now reclassified a lot of their what were traditional paint products as waterproofing products. For example, an exterior emulsion which was used for exterior beautification earlier now is claimed to be exterior beautification and waterproofing. Some of the primers have been converted to internal primers for waterproofing. Every paint company has a different definition of waterproofing. Traditional waterproofing, as we have seen it, was normally, a) used in new construction and b) used in renovation. Largely what paint companies are even now selling is everything is about renovation, very little about new construction. Having said that, Sheela, as far as we are concerned, when we look at our growth rates, we look at where we are going. We are clear that on a consistent basis, we are making substantial progress. As far as the consumer is concerned – and we have Pidilite Industries Limited

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just done this study, for example, of the saliency of brands – 9 out of 10 consumers name Dr. Fixit as the first brand of waterproofing when they are asked to name a brand which they would like to use in waterproofing. We believe we have the brand; we have the range now. This confusion, this overlap between paints and waterproofing will always continue and it depends on what people are counting. As far as the difference in penetration is concerned in waterproofing, I'll tackle this in 3 ways. In organized construction, which is organized real estate, organized commercial real estate, office buildings, etc., we are now finding that between 7 out of 10 buildings are using some form of waterproofing in the organized real estate space. In individual housing in urban India, it is between 4 and 5 out of 10. Individual housing in rural India is between 1 and 2 out of 10. And a large part of rural India tends to just do simple concrete mixing on the roof and presume that is waterproofing. So, we've got a very long way to go. The best indicator I can give you is world-over if you look at the ratio of waterproofing to paint, it is 1:3 or 1:4 at best. In India, it is 1:8 or 1:10. So, you can see the kind of runway that waterproofing has for a growth perspective.

Sheela Rathie: Just to be clear, you said, I know it is not exact numbers, but it is 15% to 20% of our overall portfolio.

Bharat Puri: Yes, that is true.

Moderator: The next question is from the line of Rahul from Empitex. Please go ahead.

Rahul: Sir, you mentioned you have used AI in your business. Can you just elaborate a little bit about how you have done that?

Bharat Puri: We are still at the early stages. We are still working through use cases, some of which are incidentally confidential. Give u

s a little more time so that we are ready to talk about it, because otherwise, it will be music to my competitors to know how we are using it.

Moderator: The next question is from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi: First question is just a quick follow up on the earlier question asked by Avi. Sir, if you were to use the same reporting for volume and mix that you used earlier, what would be your volume growth for C&B business – standalone Consumer & Bazaar this quarter versus the 12% that you reported?

Bharat Puri: They have just done a rough calculation. There would be a marginal 0.5% to 1% difference, but we will work the exact number and come to you. And they are also doing that for the last year.

If we were to look at total volume growth, which is what most other companies are reporting including the paint companies, instead of 12%, we would be at 19% growth.

Jay Doshi: That I am aware of, that I know that paint companies include putty and tile adhesive products. But I was just curious to understand whether your change in reporting optically changes something versus what we reported.

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Bharat Puri: It does not change substantially. The question that Avi was asking was the right one. We, as a company, have always consistently said volume plus mix. We are now doing volume plus mix at a given price. And that is the difference. And that doesn't, therefore, move the needle the way total volume versus underlying volume does.

Jay Doshi: Second question is, Mr. Puri, you mentioned about you are one of the only 2 companies where your Genie portal or app has 25% sales. Could you elaborate? I was not sure whether it was referring to a particular category.

Bharat Puri: For Pidilite today, 25% of Pidilite sales every month we are now getting out of an app where a dealer, it doesn't matter where he is, presuming he is in Ludhiana or he is in Trichy or he is in a small village in Maharashtra, he can actually on the app, key in his order. In 24 hours, material will reach him via our distribution system. He does not have to call up a salesman. He does not have to call up a distributor. And slowly, over a period of time, we are only one of 2 companies; we believe the other is HUL which is doing the same thing in a substantial fashion. We are today now getting one-fourth of our sales like this. And this really, therefore, sets us up for much deeper and easier distribution in the future.

Jay Doshi: So, this is dealers ordering through the app, not carpenters.

Bharat Puri: Dealers ordering through the app, yes. Carpenters do not order through the app. Carpenters have a separate app where they can ask questions, so on and so forth, etc., but they will be linked to a dealer.

Jay Doshi: And the final question is, from whatever little bit I have gathered about Haisha, I believe currently the price range that it operates at is primarily targeting the economy segment, the economy or ultra economy segment in the decorative paints. Is that understanding correct?

Bharat Puri: No, that understanding is not correct at all. It is, in our view, matching the range of each of the paint companies with a significantly superior product. And actually, therefore, one of the first feedbacks we are getting is that what we are calling an economy product, the market is looking at it as the next category as a premium product. But it is early days. But no, that's not true; we are not in just the economy or the bottom end of the market; we have a full range.

Moderator: Ladies and gentlemen, this was the last question for the day. I would now like to hand the conference over to the management for their closing

g comments.

Sandeep Batra : From my side, thank you to everybody for your continued interest in Pidilite.

Bharat Puri: It is always a pleasure, thank you. The wonderful thing about the Pidilite analysts, at least, is you'll always ask the questions that set us thinking. Thank you all for your participation, thank you for your support, and have a lovely long weekend and look forward to meeting you post the weekend.

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Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us. And you may now disconnect your lines.

(This document has been edited to improve readability)

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16th November, 2023
The Secretary
The Secretary
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Stock Code – 500331
Stock Code - PIDILITIND
Sub: Transcript of the Earnings Call

Dear Sir,
We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on
9th November, 2023.
A recording of the transcript is available on the website of the Company viz.
www.pidilite.com .
Kindly take the same on records.
Thanking You,
Yours faithfully,
For Pidilite Industries Limited
Manisha Shetty
Company Secretary
Encl: as above

"Pidilite Industries Limited Q 2 FY24 Earnings
Conference Call "

November 09, 2023

MANAGEMENT : MR. BHARAT PURI – MANAGING DIRECTOR
MR. SUDHANSHU VATS – DEPUTY MANAGING
DIRECTOR
MR. SANDEEP BATRA – EXECUTIVE DIRECTOR
(FINANCE) & CFO
MR. SUNIL BURDE – SENIOR VICE PRESIDENT
(FINANCE & ACCOUNTS)
ANALYST : MR. AMNISH AGGARWAL – PRABHUDAS LILLADHER
PRIVATE LIMITED

Pidilite Industries Limited
November 09, 2023

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Moderator : Ladies and gentlemen, good day and welcome to Pidilite Industries Ltd. Earnings Conference

Call hosted by Prabhudas Lilladher Private Limited . As a reminder, all participant lines will be

in the listen-only mode and there will be an opportunity for you to ask questions after the

presentation concludes . Should you need assistance during the conference, please signal an

operator by pressing “*” then “0” on your touch tone telephone. Please note that this

conference is being recorded. I now hand the conference over to Mr. Amnish Aggarwal from

Prabhudas Lilladher . Thank you and over to you, Sir.

Amnish Aggarwal: Hi, everyone. So, on behalf of Prabhudas Lilladher , I welcome you all to the Conference Call

of Pidilite Industries Ltd. Today, we are joined by Mr. Bharat Puri , Managing Director of the

company. Mr. Sudhanshu Vats , Deputy Managing Director , Mr. Sandeep Batra , Executive

Director (Finance) and CFO; and Mr. Sunil Burde – Senior Vice President (Finance &

Accounts). So, without spending further time , I will hand over the line to the management to

take us through the proceedings.

Sandeep Batra: Thank you, Amnish and good afternoon to all on the call. I take great pleasure in

sharing with you a brief commentary on the results for the second quarter , which

were approved by the Board at its meeting yesterday. Our standalone revenue growth

for the quarter was driven by robust underlying volume growth of 8.2%. This growth

was broad-based with the domestic consumer and bazaar segment delivering

underlying volume growth of 8% and a four-year CAGR of 14% and the domestic

B2B business growing by UVG of 20 % , which translates into a four-year CAGR of

11%. The growth in rural markets continue to be higher than urban markets. Input

prices continue to moderate and suitable price adjustments were done. Standalone

gross margin percentage in this quarter expanded both sequentially as well as year-

on-year. For the quarter, it grew by 230 basis

points over the first quarter of this year

and by 1,095 basis points over same period last year. VAM consumption in the

quarter was around \$1,000 a ton as compared to \$2,500 in the previous year. A

significant amount of this is translated into the margin expansion. We continue to

remain aggressive in investing behind our brands with spend on A & SP being 2X of

the same period last year .

Despite passing on some of the benefit of these lower input costs to customers as well

as increased A&SP spends , standalone EBITDA margins have improved by 600 basis

points over same period last year and by 50 basis points over the first quarter and

stands at 23.2%. Our domestic subsidiaries continue to deliver robust sales growth ,

driven by the C & B businesses and EBITDA margins improved sequentially as well as

year-on-year.

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 Our international subsidiaries excluding

Pidilite USA, the business which is in the

process of being wound down reported modest sales growth despite uncertain global

economic conditions, inflation as well as currency devaluation challenges in these

countries. EBITDA registered robust growth and EBITDA margins improved both

sequentially and year-on-year and are now kind of in the double digits. The working

capital situation continued to remain healthy, resulting in conversion of most of the

profits into cash. As an organization, we remain focused on building a resilient

supply chain and investing behind upgradation and setting up of new manufacturing

units. In the last quarter, we commissioned four new plants, which together with four

that were commissioned in the prior quarter, takes us to 8 new plants in this financial

year.

We continue to increase our distribution touch points across India in both urban and

rural geographies along with effective use of digital tools. Very recently , in October,

we have commissioned a regional distribution center in Hyderabad for strengthening

our supply chain ecosystem. We continue to remain optimistic in the near term with

tailwinds coming from the extended festive season, increase in construction activity

as well as the governments focus on CapEx. Though input prices are currently stable,

we remain watchful of the current geopolitical situation and its impact on input prices

as well as global demand . So, these were my opening comments. I am very happy to

deep dive into questions that the audience would have.

Moderator: We will now begin the question-and-answer session. The first question is from the

line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead .

Abneesh Roy : I have two questions. First is on the domestic consumer bazaar volume growth of 8% YoY and 14% four-year CAGR. Now a lot of your demand comes from discretionary segments like furniture, apparel, footwear etc., which is currently seeing a slowdown.

So, if you could tell us the good volume growth you have reported, where this is coming from and you have also diversified your business significantly over the last four years. So, when you see that 14% CAGR, if you could give us over a four-year, how has the mix changed over four-year, whatever details you can give?

Bharat Puri : Always good to hear from you Abneesh. Good to see you back. To answer your questions, see as far as the first, let's stay with this quarter and then will go to the four-year picture. As far as this quarter is concerned, really, when you are talking of things like f

ootwear, textiles, etc. we are finding a clear trend that wherever people's demand is based on overseas demand that still remains challenged. Domestic
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Regd. Office: Regent Chambers, 7th Floor Jamnalal Bajaj Marg, 208, Nariman Point, Mumbai – 400021.
Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 industry and domestic demand are quite solid. A large part of this demand comes

under our B2B section. So, as far as B2C is concerned, actually our growth is pretty secular across the divisions, and therefore across categories and geographies. For us, rural and semi-urban is growing faster than urban and you are pretty much a Pidilite expert. You know that over the last three to four years we have invested substantially behind rural and semi-urban and that is giving us a lot of dividends as we go forward, I mean then I can talk about the initiatives in detail if you want me to.

On a four-year picture, if you look at the product mix, you remember we talked about core, growth and Pioneer. About five years back, core to growth in Pioneer was 75:25. This has slowly and steadily now pretty much become 65:35 and the way we are going, it will soon become by the end of the year, probably be 60:40. So, a lot of the growth categories are really delivering. If I was to give you an example of Araldite. Araldite has grown at a consistent rate of over 20% by volume ever since its acquisition. Now, clearly for us therefore that has become a substantial category. If you look at tile adhesives, we started from behind the starting line about 5-6 years back. We now have 10 plants. That itself tells you where the business has gone. So, therefore, our growth businesses and pioneer businesses continue to deliver. The good thing, however, in this is, our core businesses are still growing ahead of GDP. So, it is not that you have got these new businesses leading the growth and even if you look at this year or you look at the four-year period, our flagship Fevicol is still double-digit growth.

Abneesh Roy : Thanks, Bharat, that is useful. My second and last question is on the lending business. So, 2-3 key questions there. One is, why acquire a promoter Group company and why was this zero-debt company and why promoter started this and nothing much happened it seems and why have you acquired? Why not do it from scratch? That was first question. Second is 50 crores per year, 100 crore two-year seems too small.

So, is this a pilot project and if it is successful, it could be much bigger? You are such a large company with 3,000-core EBITDA. So, 100 crore two-years seems too small to have a big business impact. So, if you could tell us, is this pilot or is this the final amount? And third is that no consumer company seems to be doing this. You are known to be out-of-the-box, but why not do third party? What is the big benefit by doing it in-house? I understand data access, and premiumization, a lot of that could have been done by third party also. So, if you could cover all these points.

Bharat Puri : Abneesh, we have been asked these questions a fair amount. See first and foremost, I will answer the smaller part of the question just for simple ease of doing business
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Regd. Office: Regent Chambers, 7th Floor Jamnalal Bajaj Marg, 208, Nariman Point, Mumbai – 400021.
Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 since we had this old NBFC already in the promoter group, we f

elt the easiest way to

without losing any time move this forward was to do this. This has now been in active for a long period of time. You are absolutely right. Pidilite's basic strategy always is to pilot, understand, learn, recalibrate and move on. This is exactly going to be the

strategy for this NBFC. Now, based on the response we get via the pilot, it will be piloted actually only in one geography. It will not be piloted across the country or any such thing. Once we got our learnings from the pilot, all options are on the table. We intend following an asset light model. So, we will be going parternering with a lot of other fellows as far as assets are concerned.

Why we want to do this ourselves very simply is, A - we believe one of our strongest assets is the information base. This whole Pidilite ecosystem be it a Carpenter, be it a Mason, be it a tile layer, be it a plumbing contractor, and of course the whole list of dealers across six or seven different routes to market, from things as diverse as stationary to sanitary to pipes to obviously plywood, hardware, paint, and various other sectors. We are the only people who have a history of each of these parties. We know their credit history, we know their buying capacity, we know exactly in a sense, what they are capable of doing and therefore we wanted to keep this in-house. This does not mean that in the future we can't have partnerships, but as of now, as a start, as a pilot, we would rather do it ourselves, but remember, just to make sure that management does not get distracted, management bandwidth does not get distracted, this is a separate team, completely different from the Pidilite team and once we announce the team, you will see it is a very heavyweight team.

Abneesh Roy: One follow-up and that is the last question. So, essentially you have said that this has been a long-standing requirement and demand of the industry, so any other part of the world, any consumer company not necessarily in your categories, does it do it and second is where do they get currently credits from and how important is credit for the ecosystem in terms of doing this, because they also get credit, right, contractors also do get credit?

Bharat Puri: Normally, contractors will get credit from the people they buy from. These could be dealers, etc. The dealers get credit from companies like us. We also give credit, but what tends to happen Abneesh is specially with the contractor, you have these all credits which by definition is lumpy. So, suddenly you have a requirement for a short period of time etc. and that impacts their business. In fact, just anecdotally, I was with a set of contractors in Gurgaon last week and what they were saying is now when they have a sudden rush, because of real estate going up etc., they are struggling

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 because the labor wants money every evening, but their builders are paying the money only

in like three and six months. Now, they know the money is going nowhere and therefore, like infinity I must tell you, very welcoming of this is that can we start tomorrow? So, really the issue is and remember we are not looking at big ticket items, we are not looking at large capital spends etc. These are all small tickets spends for an ecosystem that we are fully in control and know a lot about.

Abneesh Roy: Thanks, Sir. That is all from my side. Thank you.

Moderator: The next question is from the line of Arnab Mitra from

Goldman Sachs. Please go ahead, Sir.

Arnab Mitra: Again, my first question was on the lending business itself. So, I think there are two concerns essentially, I wanted you to address. One is that this is an area where you don't have expertise, which is lending and it is one of those businesses which can be very cyclical, you can have good years and you can have very bad years. So, how does one get comfort around your ability to do this business in the first place?

Second, of course is what the previous person asked is that is it that you think lending itself in this segment is a good business or there is some rub off effect you expect on your overall business if this becomes successful? And the third is that again lending is a business where it can take a lot of capital in the long run. So, do you have some number in mind that you know our investment even in the medium term won't cross a certain value or certain percentage of your capital employed?

Bharat Puri: Great question, Arnab. Always good to hear from you. See again, to go in the reverse order, first let's take off the NBFC questions. As far as the team is concerned, you will see that the team that we put in place for running this NBFC, you will see is an extremely experienced and a blue chip team, just wait until you hear the details and you will be clear. It is obviously clear that we do not have the expertise and we are not going to second Pidilite executives to run this. This is a completely new team and I would submit a very competent team. The rest, from a capital and our exposure as I said post the pilot, we will decide what is the best way forward for this. We are clear

that this is not a core business for us and there will definitely be some amount of rub off because obviously the ecosystem already knows us. If we are able to make their life easier and help them expand their businesses then there is a rub off not only via the connect, via loyalty, but also via the kind of products the premiumization. I mean the link is with the company, but really from the opportunity point of view, we want to test our assumptions via the pilot. There we will be clear, this is again an area where once we are clear, this is the scope, this is where we want to go. Maybe at this

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 time next year, we will come back to you with a firmer plan of where this has to go,

but we do not see ourselves employing a large amount of capital of this. We are going to limit the amount of capital that Pidilite could share and take it forward from there.

Arna b Mitra : Thanks for that clarification, Bharat. My second question was on the growth in the pioneering businesses. So, one of the key initiatives has been the expansion of PKD tools where I think you are now at around 10,000 from what you mentioned last time. Now, my question was you know in these villages there are some 10,000, is there any demand for outside core products or this initiative on distribution into rural is more about Fevicol, the wood working adhesive business itself or is there actually demand even for let's say waterproofing, tile adhesive, paint adhesives in these small areas where one would ideally expect those to be in very, very insensitive in these kinds of categories.

Bharat Puri : See, A) now I must tell you, we are rapidly expanding the Pidilite Ki Duni Network.

We are now actually at 12,000 and we are pretty much adding between 1,000 to 1

,500

every quarter. As far as demand is concerned, a lot of times we may start with the core products, but actually one of the reasons Arna b, why for us rural and semi-urban continues to drive growth at a much higher rate than urban is actually the innovation as well as the new products getting used here. So, whether it is waterproofing, base waterproofing, whether it is something like Araldite, surprisingly tile adhesives, we are actually finding that in each of these rural areas, these are completely new products and in most cases we are the first company to reach these places and actually the first fellows to directly deal with the fellows. So, on a consistent basis, we are seeing demand not only from the core products, but also from these categories.

Arna b Mitra: Okay, understood.

Bharat Puri : The example I can give you is Araldite. When we took over Araldite, it virtually had no rural sales. It is now slowly and steadily building a strong rural presence for itself.

Arna b Mitra : Got it. And one last question on the quarter itself. So, this price, the gap of 4% to 5% between volume growth and value growth in the consumer & Bazaar domestic business, is this given that you may have taken some price corrections, is this likely to continue into the second-half till those prices become standard price with 4% to 5% gap and the other related question was, the volume growth while 8½%, 8% is a good number, it has slightly slowed down from the 12% you had last quarter. Is there a little bit of an impact on the festive timing here?

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 Bharat Puri : So, again, good questions. Firstly, again I will go in the reverse order, as far as

slow down of growth is concerned, really in this quarter actually if you see was fairly challenging from a physical environment point of view. You know you had this extremely wet July, we had massive disruptions for 10-15 days especially in the North. One of our own warehouses was out of action for seven days because it was like we thought it was in the safe area, it was almost as if it is in the middle of a lake. So, we had a fair amount of disruption, and therefore if I look at the overall growth vis-a-vis the disruptions, we don't find any great difference between quarter one and quarter two while obviously there is a difference in the number, but steadily it is moving forward. It is not like some categories have slowed down, some are slower, we are not so festive oriented and so seasonal, there is some amount of seasonality for us also, quarter 3 tends to be a big quarter. So, having said that, therefore as far as we

are concerned, we are fairly optimistic about, as long as this geopolitical situation does not get out of hand from an oil price point of view, I think the next two quarters should also you know in a sense mirror the first half.

As far as the volume value gap is concerned, I think it will take about six months to bridge. We are clear to offer value to the consumer and if we are getting the benefit of input prices, we must do that in the form of price adjustments to our customers and therefore the final consumer. Therefore, in my view it will take another two quarters before it actually evens out.

Arna b Mitr a: Thanks for your answers. All the best.

Moderator: The next question is from the line of Ja y Doshi from Kotak. Please go ahead.

Jay Doshi : F

First, a bookkeeping question, what is the difference between domestic consumer and Bazaar and standalone consumer and Bazaar and last quarter I think standalone had a volume UVG of 8% and I think domestic had 12 and this quarter both are very similar. So, just want to understand what is the difference there and a gain on the four-year basis when we look at the numbers that we have historically reported, maybe some of the quarters you reported standalone or only volumes. So, that four-year CAGR comes to about 11%. So, a request if you could in the next quarter in a presentation if you can have a time series data of the past few quarters either domestic or standalone something that is consistent UVG and yes, so that is the first question in terms of what the difference is.

Sandeep Batra : So, the difference is basically the exports that we do from India of consumer and Bazaar products, they get exported to many geographies, Middle East, Africa and the

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 likes and exports both of B2B and of consumer and Bazaar has been challenged for

the last few quarters, we did see a small recovery in this quarter. So, exports of consumer and bazaar products were also in the positive territory. So, the difference between domestic consumer and Bazaar is A - the exports that we do and at a consolidated level, the consumer and Bazaar would also include sales of ICA Pidilite and a couple of the other units that we have outside Pidilite, which served the domestic consumer and Bazaar segment, but your point is well noted Jay that in the next quarter, we will share the historical data, so that the definitions and the numbers are comparable.

Jay Doshi : Thank you. Second is, what is the cumulative price cut that you have taken so far at the portfolio level over the last six months or maybe nine months from the peak pricing?

Bharat Puri : See, that is a very difficult question because you know pricing across say for example wood working adhesives is very different, across the waterproofing range is different, consumer products, so weighted average is different, but at a gross level it would be about close to about 3%.

Jay Doshi : Understood. And will there be further price reductions or price cuts, I heard your response to Arna b's earlier question, but I am assuming you know that is more to do with the base effect, but are you going to further cut prices or you think based on the commodity prices right now this level is right level to be?

Bharat Puri : Based on the commodity prices this seems appropriate, but if we again get some windfalls on so forth, we don't know, we are clear that our focus will remain on underlying volume growth, keep pushing the volumes, we know that we will recover the values as time goes by, so if there is some further reduction in input prices, we see some other problems, some more opportunities, we will do that because finally we must offer value to the consumer and the right margin

Jay Doshi : And final one, I read the press release in about a doubling of A&P spent. So, that explains the increase in other expenses to a large extent. The employee costs are up about 20% both at a standalone and a consolidated level. We just want to know are these investments in the decorative paints initiatives or are these investments in the rural penetration that you earlier talked about, because employee costs had come off as a percent

age of sales during COVID, but it seems to have gone up to a pre-pandemic level, so?

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 Bharat Puri : See, this is basically three things, Jay. One is clearly we are investing for the future. I

mean just to give you a perspective, we put up in the last 18 months, 12 new plants, right. It will take time before they reach capacity and they are obviously manned at a certain level. So, therefore A) it is investments in the future. B) it is definite investment in new categories. As categories grow, the growth and pioneer categories grow, my definition pioneer categories are front loaded in terms of people investment and the return comes back a little later and therefore that is the second thing. The third is last year, please remember that inflation was also high and therefore overall increases across industry have been high and since value growth are not high, the number is in a sense reflecting, but it is nothing out of the ordinary

Jay Doshi : Understood. Thank you so much. That is it from my side.

Moderator: Thank you so much. The next question is from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra : My first question is just again clarifying on this volume value gap, do we expect this to moderate as we progress through the second-half of the fiscal? Is that the fair understanding?

Sandeep Batra : So, just to give you some data points, I think our last price increase last year was in the second quarter. So, after second quarter, we did not take any price increase. The first reduction that we did in pricing was around the end of March. So, to that extent, yes, whatever has been the price adjustments in the second quarter would remain for the rest of the year and the second quarter price adjustment, while for the first half it was 3% reduction, but the second quarter was 5%, and that certainly will continue for the next couple of quarters, but as things stand on the input cost front, we are not looking at any additional price adjustments as of now.

Latika Chopra : Sure, and you mention I think the VAM consumption price of \$1,000 if I am not mistaken and does that imply that there is a very good gross margin progression that we are witnessing now, so this should continue to improve through remaining part of the year. So, probably, you are already at 22% margins in this quarter, I understand the range is 20-24, but hopefully we should be on the higher side of this, unless you see firming up of raw material prices in a significant manner?

Bharat Puri : Good to hear from you, Latika. We are already actually seeing some amount of warming up as far as VAM is concerned, it has started to go up a little. We are comfortable right now for the extent of the increase because we would expect it to

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 remain in a range and it is within our range, therefore from a margin point of view,

we will stick to 20-24. Let us see how it actually pans out. We will continue to invest behind the volume growth, rather than worry about the margin going higher.

Latika Chopra : S

ure and then the last bit was any comments or any updates you would want to share on your paints foray?

Bharat Puri : So Latika, you know this as well as I do, all big companies when we do something new, everything is a great success for the first 3-4 months. So, give us some time, as we said this is the pilot which we will take six months to come back on, give us till the first quarter of the calendar year, then it will be clear where we are, how are the purchase rates, so on so forth. Right now, we are in the what I would say launch or little post launch phase, so there is a lot of excitement in the field, but I would wait to declare success. Maybe four months later.

Latika Chopra : Sure, Bharat, thank you so much and all the best.

Moderator: Thank you so much. The next question is from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki : Congrats on a good set of numbers. My first question is on Pidilite Ki Duniya, these 10,000-12,000 outlets that you have, how much do they contribute to your turnover?

Bharat Puri : Let's just say to our rural turnover, these are what I would say a good investment. I would not like to go into the numbers of exact numbers, so on so forth, but obviously there are 12,000 and they are slowly and steadily moving up. This is an initiative that is working for us.

Percy Panthaki : And are these purely Pidilite products or this is like a branded store where Pidilite is

more visible but there might also be some other competitors also in them?

Bharat Puri : No, it is definitely a branded Pidilite Store, as you go to these villages, the shop tends to keep everything from you know Hawaai chappals to Fevicol. So, they will have a lot of other products, but a lot of times our experience Percy is that in the home improvement category, they may have other products, but we are normally probably one of the few companies that reaches directly.

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 Percy Panthaki : Right, and what exactly is the sort of channel here? Are these people who run the stores, I am sure they are the village entrepreneurs and then you supply them directly from the depot. Is that how it works?

Bharat Puri : We supply them by our distributor network and what we do is we normally have a 2 member team which is a demand generation cum servicing team and which helps the village entrepreneur also learn and develop demand for the product so that it gives them regular rotation. It is a completely standalone team.

Percy Panthaki : Understood. And in your experience, do most of these 10,000-12,000 stores sort of make a decent ROI for the entrepreneur or do you have to give an additional support to him over and above the normal terms of trade for him to make an ROI?

Bharat Puri : See, in India, all the entrepreneurs are smart and making the ROI. We do not give individual incentives so on. We may spend more in terms of training, so on so, but we do not give extra margins and so on. Automatically, they find their own level and they will reach a certain rotation and remember these guys again stock a vast variety of products. So, therefore it depends on what is the variety of products the person has.

Percy Panthaki : Right. And last question on this Pidilite Ki Duniya is that on an average what would be the population of these towns or villages in which

these 10,000-12,000 outlets are there?

Bharat Puri : Basically between 5,000 and 10,000.

Percy Panthaki : Okay. Second question again, I know this was asked by the previous participant, but on paints just wanted to know which are the states in which you are running the pilot currently?

Bharat Puri : In AP, Telangana, and Orissa, only in towns with a population of below 50,000.

Percy Panthaki : Okay. And to the extent you feel comfortable, can you tell me what is your take on the paints initiative in the sense that what are you going to do in order to sort of differentiate yourself or win in the market, is it going to be mainly a small town or is it going to be mainly in the low end business, even within the low end, I am sure a lot of the top players still have a fairly wide range even in the low end. So, really what is here for a consumer or a contractor to choose Pidilite products over some of the more established names?

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 Bharat Puri : You know, Percy, I would request you give us three months and we will give you all

the answers. Right now, we are quiet as like the proverbial, we are paddling under the water. Let us keep paddling for some time before we give you the answers.

Percy Panthaki : Sure. Makes sense. That is all for me. Thanks, and all the best.

Moderator : The next question is from the line of Tejas Shah from Spark Capital. Please go ahead.

Tejas Shah : So, you spoke about rural or non urban doing very well for us relatively, but there is no consensus if we pick up from other players this time and then consumer companies on rural growth. So, just wanted to know is this an outcome you also spoke about the distribution initiatives that we had taken in last 24 months, do you think it is largely in outcome of that or the rural demand itself was very relatively better for the industry at large?

Bharat Puri : See, I think what we have to distinguish in our case is as far as Pidilite is concerned, we do not have any items or very few items of mass consumption. So, in our case, we have to first create the demand, educate the user, and this is a process we have been at for three to four years. Our products also from a perspective of usage tend to

be middle class and lower middle class and above is how I would put it. So, I would say the mix of both things. It is also innovation across the newer categories that we put into rural areas. We have done specific work on innovation in rural and semi-urban and also as far as construction is concerned and you would see this even via cement sales or even accounting for the boom in infrastructure, we are not finding demand as much, while it could be better and we would all want it to be better, it's not depressed as far as our sector is concerned.

Tejas Shah : Got it and you also spoke about Araldite doing very well in rural. So, was just wondering before we took Araldite to rural markets, were they are not using this product at all or any substitute product or were they using anything from our own portfolio of Fevicol and now they have moved to Araldite?

Bharat Puri : See, a lot of them did not realize there was a lot of stuff, when you want to create an unbreakable bond, there is a solution available. So, now actually a lot of times you were competing against non-usage. You just assume that

that there is not a solution possible. Also, in some of the markets like Gujarat, UP, Madhya Pradesh, companies like Astral were stronger in the rural network and Araldite, being a Huntsman product, was not there. So, I suspect there's also some element of market share game. Pidilite Industries Limited
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Regd. Office: Regent Chambers, 7th Floor Jamnalal Bajaj Marg, 208, Nariman Point, Mumbai – 400021.
Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 Tejas Shah : Got it, got it. Sir, second question is on competitive intensity in waterproofing. So, all paint players have made foray in last two years and initially they are sharing very good traction there on the respective earnings calls. So, I just wanted to understand from you as an industry leader how are you seeing competitive landscape shaping up and is there any pressure point building in terms of pricing or shelf space war?

Bharat Puri: See as far as waterproofing is concerned, you are absolutely right that every single paint company has moved into this space. The cement companies are also moving into, are in the space, but what we are finding is given the large causal market that exists because where people were not using waterproofing, the market is starting to grow at a faster pace plus a lot of these people tend to be to be fair if I was to say as far as waterproofing is concerned of the paint companies, I think at best two of them are making any substantial headwind and that is also largely in the repainting and renovation segment, not in the new construction segment. When I look at my growth rates, whether it be in this quarter, this first half or the last four years, for us, waterproofing continues to be a strong driver of growth. Now, the market is also growing, but I do not believe in any way we are losing share. So, you know in a sense it's helping the market grow faster, our emphasis therefore keeps on A - building our brand, B - making sure that we innovate more than the others, and C – that our route to market also keeps expanding rapidly. Remember there is also a substantial route to market which is non-paint in waterproofing.

Tejas Shah: Got it and Sir, last one if I may, so we have now tail of pilot projects. I won't call it long tail yet, but tail of pilot projects like paints and now lending business, which are very execution heavy business. So, for example lending, we call it lending, but it is more of a collection business. So, you need a lot of feet on street and paints also, it is supply chain heavy. So, we do not have a dearth of financial capital for sure because of very good cash flow, but how are we going about the managerial or execution capital which will lead on the ground to see some scale in all these businesses?

Bharat Puri : See, one is remember as I told you, to separate the two businesses. The lending business is going to be a standalone business not drawing upon any Pidilite resources in a substantial fashion in any way of Pidilite peoples etc. So, therefore based on its requirement we will look at it, study from the pilot, come back and tell you fellows in six to nine months in the pilot how it has worked and therefore whether the business model needs tweaking and how it is going to go forward. As far as paint is concerned, remember we are already in the channel as I told you, one of the reasons why we got into paint was that we were already servicing these dealers and they were Pidilite Industries Limited
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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 saying listen, to just complete the range we have to go to another company, why don't you come to us. So, actually for us paint is not manpower accretive. I mean in all of these towns, we already had people. Remember in the small towns, why have we gone into the smaller towns first, this is normally counter intuitive. Every other company goes to the last cities first. We have gone to the smaller towns first because the outlet is common. We are already servicing the outlet. We already have a relationship with the outlet and therefore we are building from the re onwards and therefore for us the accretive manpower will only be around education and demand generation, not around servicing the trade.

Tejas Shah: Got it, Sir. That is all from my side and Diwali Greetings to the team.

Moderator: Thank you so much. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: So, first question is very simple, when we look at incentives or basically rewards for carpenters or influencers, what is the typical tenure? Is it less than 12 months or does it extend for over two years, three years?

Bharat Puri: See what happens, Ritesh is, it depends on the size of the carpentry contractor, but a lot of fellows like to bank points for a large period of time so they can get a more substantial gift. I mean, somebody wants a motorcycle, somebody wants something, so it is not fixed, but the relationship is a long-term relationship.

Ritesh Shah: So, would it be possible for you to quantify to what percentage of the rewards is less than 12 months, so 60% is usually 12 months, 40% over next two years? The reason why I asked Sir, I just wanted to understand on the accounting side, when we report the revenue number, is it net of incentives or there is something, there is a bucket which sits in the working capital, and as it stands realized that gets adjusted on the top line because it will have implication on both working capital as well as margins?

Sandeep Batra: So, it has no implication on working capital. We recognize these and they get netted off from sales. So, our sales number is net of whatever contractor reward program we would have run. Typically, these are all today digital, nobody puts any physical tokens and generally the token or the QR code or whatever have a life of about three years.

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 Ritesh Shah: Okay, but we will recognize as say, if I am a carpenter, if I get something, if I buy something right immediately the company will recognize it, and that is the net revenue that we look at, is that the right way to understand it?

Sandeep Batra: Yes we follow the appropriate revenue matching concept.

Ritesh Shah: Okay. That is helpful.

Sandeep Batra: Yes, I mean our accounts are reviewed by reputed auditors, so rest assured that we will follow accounting policies which are acceptable to the auditors, right.

Ritesh Shah: Sir, the reason to ask the question is there are few other listed companies which do not do so. So, obviously we look at you as a gold standard so, I just wanted to check that. Sir, my second question is on Araldite. You

did indicate around 12% volume

CAGR since acquisition. You also indicated there could be some market share gain.

Sir, is it possible to give some numbers? I think at the time of the acquisition you had given epoxy sizing around Rs. 1,200 to Rs. 1,500 crores and I think Araldite at that point in time was around Rs. 400 crores. So, can you give some numbers over here? Have we recouped to Rs. 2,100 crores, I think that is the amount which was paid, how could they look at this?

Bharat Puri: What I can tell you very safely, Ritesh is two things. One is prior to the acquisition of Araldite, when Huntsman owned the brand, their average growth rate of the brand was in a volume sales between 6% to 8%. Ever since we have acquired the brand, on volumes we have grown the brand in excess of 20%. The second thing, again to answer your question, therefore when we had done the acquisition and made an acquisition case, we are beating the acquisition case by a large measure and therefore it is something that has worked very well for us.

Ritesh Shah: Sure and Sir, would it be possible for you to quantify on the market share gains that you indicated?

Ritesh Shah: It is very difficult because we did not know the size of the rural markets as we have gone in. So, if you look at for example in this business pretty much we have one big and a few small competitors, the big competitor being Astral and you can see that

their adhesive has been fairly stunted ever since Araldite has come. So, I suspect there is an impact there, but we have also helped in expanding the market substantially in small towns and rural.

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 Ritesh Shah : Sure. That is helpful. Sir,

I just had two follow-ups, would it be possible for you to

qualify PVA as a segment, so what percentage of its that is in retail versus joinery and

how the trends have been recently and how do you see this going forward?

Bharat Puri : See, this is the question that keeps getting asked. The fascinating thing in India is

joineries are growing faster than the retail business. So, 10 years back we did a study

and we were under the assumption that at that point of time, the market was 90% on

site and 10% off site, which is in joineries, the assumption is set of consultants made

was 70:30. Frankly, 10 years later it is still 85:15. So, while joinery is growing,

remember in large parts of India, minus the metros, people still prefer to get the

furniture handmade at home.

Ritesh Shah : Correct and Sir for us, how would the mix be like? Will it reflect more of industry

benchmarks or is it something more on the retail side I presume?

Bharat Puri : No, no, actually the good thing is, is we are leaders in joinery and we are leaders in

retail in both. So, in our case we make sure that in both cases we lead.

Ritesh Shah : And Sir lastly, would it be possible for you to provide some color on waterproofing?

What have been the trends like, market sizing, where we are, if possible, any numbers

that would be really useful, Sir?

Bharat Puri : See, it is very difficult to put markets sizing because every paint company keeps

adding all exterior paints to waterproofing and adding a lot of paint to waterproofing

coatings. Some of it is used for waterproofing, some of it is used for painting, and

there is a space in the middle which could be common between the two.

So, it is very

difficult to estimate the size of the waterproofing market. Given our estimates what

we are seeing, we would say for example that the market is definitely growing in

double digits. The market is growing anywhere between I would say 10% to even

12%-13% by volume is our estimate currently and it is growing at all three levels, it is

growing larger the institutional level because as more organized buildings, factories,

large commercial complexes, hotels are coming up. That is a large segment. It is

going substantially in individual housing, which is new construction and it is also

going in repair and renovation. In each of the three competitors tend to be different.

In the large institutional space, the competitors are mainly the multinationals of Sika

and Fosroc. In the new construction space, a lot of times we will compete with these

cement companies or the similar Fosroc's of the world. In the repair and renovation,

the competition would be with the paint companies. It is therefore difficult to

ascertain across, I would say that over a three to four-year period, the market has

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 grown substantially and the fastest part

on the market probably is right now, the new

construction.

Ritesh Shah : Right. So, Sir, if I had to put it the other way around, how would we gauge our

success in waterproofing, like are we beating the market growth rates by a significant

margin? What is the benchmark that you use?

Bharat Puri : Our benchmark is simply, we must grow faster than the markets across all three

segments.

Ritesh Shah : Thank you so much. I wish you all the very best. Thank you, again.

Moderator: The next question is from the line of Sachee Trivedi from Trident Capital Investment.

Please go ahead.

Sachee Trivedi : One of my question is that for the last four quarters we have been growing top line in

single digits and I understand you have been taking pricing cuts and the prior four

quarters we were growing double digits and that was more because we were taking

price increases and just going forward what should we expect in terms of top line

growth and can we go back to steady double-digit numbers that are based on volume

growth rather than the pricing ups and downs that we have seen in the past couple of

years?

Bharat Puri : Sach ee, I think that is a great question. If you look at our four-year CAGR, you would see on a revenue basis it is double digit and on a volume basis it is close to double digit. Now , you will have these ups and downs because of this extreme volatility that we have had in raw material prices. We saw VAM touch \$ 2,500 a ton and it is now you know \$950 a ton . So, really , but if I equalize over a four -year period, we clearly believe that again both from a revenue and volume perspective, our objective is to grow volumes double digits, hopefully premiumize, improve mix a little bit , and therefore also grow value a little above the volume - that would be our steady state if life was a lot more even that's what we would be aiming for . So, right now for example , our focus is to get from our current volume growth to double digit volume growth. We believe in the next three to six months the value will start coming back and we will be well positioned because again we would have added another few hundred thousand tons to our volume.

Sachee Trivedi : Got, Sir. Actually , I am glad you pointed out th

e four-year numbers because the four-year numbers whether I look at Q2 versus the four-year prior Q2 or H1 versus a four-Pidilite Industries Limited
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Regd. Office: Regent Chambers, 7th Floor Jamnalal Bajaj Marg, 208, Nariman Point, Mumbai – 400021.
Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 year prior H1 and those numbers are like under 15% CAGR . We do believe, that we can grow 1.5 X to 2X of GDP and these numbers , at least a nominal GDP, seems shy of that . So, how should we think about the growth correlation with the GDP over the overall economy?

Bharat Puri : I would definitely say that the revenue would be 1½ times volume of real GDP and when we track our factory , we have done this thing around over the last 10 years , almost on a consistent basis we have beaten the 1 ½ times real GDP on volume. Value, we have had so many ups and downs whether it be the GST , before that demonetization , then we had the COVID issues , then Russia /Ukraine . So, the best thing is to do is see it over a longer period of time. I would submit in the whole home improvement sector still from a volume and possibly revenue, we would be in the top quartile and maintaining profitability at very healthy levels.

Sachee Trivedi : In one of your comments you mentioned that where you are seeing sort of pick up or growth as in the new construction space. Now , again going back a few years, you have said that if both the new construction and the renovation if both of those engines fire, then you kind of look at very strong volume and value gains from there and what would it take, what is holding back the renovation because I thought like new construction is the harder one and renovation is the regular one that keeps going ?

Bharat Puri : See, I think your guess is as good as mine, but this famous rural slowdown, I mean post COVID , there has been a bit of a K-shaped recovery and I suspect for both, for life to be good for all of us, from K it has to become a hockey stick.

Sachee Trivedi : Yes. But you mentioned on the call that your target segment is lower middle class and above . So, you are in the better part of the K, isn't it?

Bharat Puri : Without doubt, , I also head CII, FMCG Committee and when I am speaking to them , for them like 8% volume is a massive movement forward because most people are struggling between 0 and 3 or 4, largely because off again items of mass consumption suffering and it is not that demand for the rest has been buoyant across large parts of the country , but I would say if I was to take a step back , Sach ee what is our goal, it is double digit volume growth and hopefully with a certain amount of premiumization, better mix , innovation , moat at the top end , improving value and inflation hopefully will come back stably to around 3 % to 4%.

Sachee Trivedi : Got it. Thank you very much for taking my questions.

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Regd. Office: Regent Chambers, 7th Floor Jamnalal Bajaj Marg, 208, Nariman Point, Mumbai – 400021.
Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 Moderator: The last question is from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi: Bharat, you mentioned about the new construction site growing the fastest. So, what is your reading of seeing a real estate upcycle and normally in such times you tend to benefit. What is your reading , what is the benefit that you are seeing in the

business ,

does it come with a lag , do you expect more traction in some of your businesses that are linked to new construction going forward or right now the numbers that you are reporting already captures that and finally as per my understanding there are three legs, one is the urban real estate residential , one is commercial , and the third is independent housing units in small towns . So, what is the growth or traction or activity you are seeing in each of these segments, so broader overview ?

Bharat Puri : Sure. See, what we are seeing is clearly organized real estate. See, frankly, individual housing in the towns has not suffered a large amount, except during COVID. That has been one segment that is held up well. It is residential real estate in the 10 lakh plus town , especially the organized real estate, we tend to see an impact which happens between I would say two to four years depending on the project completion is when , because a large part of our products with the exception of new construction, waterproofing , all come into substantial play when the flats are at a finishing level . So, if now you see a lot of new announcements, you will see our demand start peaking 18 to 24 months depending on the construction cycle .

So, given the current situation where fortunately also there were a lot of unfinished or unsold flats that are getting sold, you are beginning to see up, but hopefully in this new announcements and therefore new starts continue , you will see good movement forward. Really , we are also very hopeful about in the commercial real estate and factories, because if manufacturing 2.0 or China plus one, whatever you call it, if that was to come, that again becomes a substantial driver of growth because a large part of these buildings all use sophisticated products and therefore we find the benefit. To give you an example, Samsung built this big factory in Noida. Kia built this big factory in Andhra Pradesh. All of these are waterproofed by us. I mean, if you have the second manufacturing boom, then again that tends to benefit , but let's wait and see.

Jay Doshi: That is very helpful. One last final one. Do you have a playbook to penetrate into renovation repair part of waterproofing , the painters led route to market, so you have a playbook there or still sort of ?

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 Bharat Puri : Oh yes, absolutely we have a playbook . In fact, we have a substantial presence there.

Remember that in that area also we have a playbook. We have a set of products. We have again a whole dealer network across the country . So, yes, we obviously play there as I said that is an area where the competition is paint companies whereas in new construction it tends to be others , in commercial real estate it tends to be a third lot, but we play across all three .

Jay Doshi: Understood. Thank you so much and Diwali wishes to everyone.

Moderator: Thank you so much. I would now hand the conference over to the management for the closing comments.

Sandeep Batra : Thank you very much. I have no closing comments rather than wishing all the participants and their families all the best for the Diwali and the festive season. Stay safe and we'll connect again in the New Year , after the third quarter numbers.

Bharat Puri : Thank you everyone and wishing all of you, your families a very happy Diwali.

Hopefully , have a restful break and see you

in the end of the third quarter.

(This document has been edited to improve readability)

Call: Jan 2024

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14th floor, P. J. Tower, Bandra-Kurla Complex,
Dalal Street, Fort Bandra (E),
Mumbai - 400 001 Mumbai - 400 051
Stock Code – 500331 Stock Code - PIDILITIND
Sub: Transcript of the Earnings Call

Dear Sir,
We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on
24th January, 2024.
A recording of the transcript is available on the website of the Company viz.
www.pidilite.com .
Kindly take the same on records.
Thanking You,
Yours faithfully,
For Pidilite Industries Limited
Manisha Shetty
Company Secretary
Encl: as above
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"Pidilite Industries Limited
Q3 FY24 Earnings Conference Call"
January 24 , 202 4

MANAGEMENT : MR. BHARAT PURI – MANAGING DIRECTOR – PIDILITE
INDUSTRIES LIMITED
MR. SUDHANSHU VATS – DEPUTY MANAGING
DIRECTOR – PIDILITE INDUSTRIES LIMITED
MR. SANDEEP BATRA – EXECUTIVE DIRECTOR ,
FINANCE AND CHIEF FINANCIAL OFFICER – PIDILITE
INDUSTRIES LIMITED
MR. SUNIL BURDE – SENIOR VICE PRESIDENT ,
FINANCE AND ACCOUNTS – PIDILITE INDUSTRIES
LIMITED

MODERATOR : MR. JAY DOSHI – KOTAK SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Pidilite Industries Ltd. (Pidilite) Earnings Conference Call hosted by Kotak Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Jay Doshi from Kotak Securities. Thank you, and over to you, Mr. Doshi.

Jay Doshi: Thanks, Viren. Good afternoon, everyone. On behalf of Kotak Institutional Equities, I welcome you all to 3Q FY '24 Earnings Conference Call of Pidilite. We have with us Mr. Bharat Puri , Managing Director; Mr. Sudhanshu Vats , Deputy Managing Director; Mr. Sandeep Batra , Executive Director - Finance and Chief Financial Officer; Mr. Sunil Burde, Senior Vice President, Finance and Accounts.

I'll now hand over the call to Mr. Batra for opening remarks. Over to you, sir. Thank you.

Sandeep Batra: Thanks, Jay, and a very warm welcome to all on the call. I will quickly give you a summary of the performance for the third quarter and the results for which were approved by our Board yesterday. Standalone revenue growth was aided by robust Underlying Volume Growth ('UVG') of 10.4%. This growth was broad -based across both the Consumer and Bazaar and the B2B business segments , with both segments reporting double -digit Underlying Volume Growth.

Both urban and rural markets grew , with rural and small town markets outpacing the urban growth. Export demand remained strong and delivered double -digit UVG. Part of the moderation in input prices was passed on by way of pricing adjustments and hence, the revenue growth was 4.6%.

Our consolidated revenue for the quarter at INR 3,119 crores was up over the same period last year by 4.4%, led by strong underlying volume growth across categories and geographies. Standalone gross margins continue to expand both sequentially and Y-o-Y. Year-on-year was higher by 1,191 basis points and sequentially by 174 basis points.

VAM consumption in the quarter was around \$900 a ton as compared to \$2,000 in the same period last year. Investments in brands and consumer facing initiatives continued
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during the current quarter. Consequentially, EBITDA margins improved by 776 basis points over same period last year and by 188 basis points over the previous quarter. Despite uncertain global economic conditions, inflationary pressures and uncertain political conditions in some of our operating subsidiaries outside India, the subsidiaries collectively, and excluding the Pidilite USA business, reported modest sales growth with EBITDA in absolute terms doubling over same period last year. EBITDA margins improved both sequentially and year -on-year.

Domestic subsidiaries reported robust sales growth with both the Consumer and Bazaar and the B2B subsidiaries registering double -digit growth. We remain focused on building a resilient supply chain and invested behind upgrading and setting up new facilities.

In the current quarter, we commissioned one new plant, which takes the total number of plants commissioned in the current year to 9. We also continue to increase our distribution touch points across India in both urban and rural markets along with effective use of digitization.

Innovation across t

he Consumer and Bazaar and B2B segments continue to be significant contributors to the overall revenues of the company. As we look ahead, we continue to be optimistic about market demand in the near term, given increased government spending and overall uptick in construction activities, and we remain committed to deliver volume -led profitable growth via investments in our brands, supply chain, digital infrastructure, innovation and customer -facing initiatives.

With that, I conclude my opening remarks and open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities.

Abneesh Roy: Congrats on good set of numbers. My first question is on the lending business, which was announced last quarter. You had said that you will be first doing a pilot project and from where the learnings would be there. So my specific questions are in terms of any learnings if you can share. And you had also said that the team will be completely separate versus Pidilite's team. So in terms of team, etcetera, has that been fully set up?

And in terms of the INR 100 crores outlay for 2 years, any change to that number?

Bharat Puri: Good evening, Abneesh. On the lending business, the pilot is just being set up over the next, I would say, 15 to 20 days, it will start in one city in Southern India as a pilot.

The team has been set up and is completely separate. There are no current Pidilite employees as part of the team. It is an arms-length team. There is obviously no change
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whatsoever to the commitments of the INR 100 crores over 2 years. In fact, the INR 100 crores over 2 years will also happen only after we have seen the pilot and then decide as to where we want to go.

Abneesh Roy: Right. So Bharat, are you going a bit slow versus initial expectation? Because in 3 months, the pilot project has not started. So are you going a bit slow because the demand scenario is a bit different or there's a feedback from investors that this is slightly risky? Is there any change?

Bharat Puri: No, no, there is no change. Remember that when I say the pilot has not started, we have not started disbursing money. The work has started. For example, remember, you have to do meets across contractors, masons, plumbers, water proofers, dealers, etcetera. All that process has started in the city. So now they worked out their back end, the back end has to be all right, and I think over the next 15 days so there is no change in our intention.

But we are clear. The word NBFC seems to suggest that this is a major venture. This is not a major venture. This in a sense will complete the loop for our whole intermediary ecosystem. And we just want to see whether there's a large enough and profitable opportunity there. That is all that we want to do.

Abneesh Roy: Sure. My second question is on the rural and small town demand. And Bharat sir, you are the expert on FMCG. For the entire FMCG sector, rural demand is a big challenge. For you, last quarter also rural was ahead of urban and this quarter also. So I want to understand, is it coming because of higher feet on street? Or is it because you were under-indexed?

For example, Nestle also is growing faster in rural because they were under-indexed to start with. So in your case also, are you under-indexed and that is why the rural slowdown is not impacting you?

Bharat Puri: So it's a mix of 3 things, Abneesh. The first is absolutely yes. See, categories like ours, even equalized for income are under-indexed in rural areas and small towns, largely because of a lack of con

sumer education, a lack of user education, and at times a lack of full range availability.

Whereas if I wear my old FMCG hat, FMCG or large part of distribution, expansion is already being done. A large part of the growth therefore comes from increase in consumption or premiumization. And that's where the FMCG sector is currently constrained. As far as we are concerned, A) we are under-indexed, and B) having said that, this is not something over 3, 6 or 9 months. Our CAGR for rural over a 3-year period is actually 1.5x urban.

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So when we had set up this division called Emerging India, where we aggregate all Pidilite divisions and go as one company, we had seen this opportunity. We have invested substantially in feet on the street, in the increase of range, in the increase in

distribution touch points and obviously, therefore, the amount of below -the-line activity in terms of demand generation.

All of that and a simple example I can give you is, Abneesh, and you know Pidilite better than most, 3 years ago, we used to talk about 2,000, 2,500 Pidilite ki Duniya in rural areas, we know in the villages between 5,000 and 10,000. We now have 12,000 Pidilite ki Duniya. So this is a consistent investment. And if I look shop -by-shop, etcetera , it may not be viable for the amount of effort we are putting in. But these are our fixed deposits for the future, and a lot of them are beginning to pay off already.

So like this, I see the expansion of Araldite, for example, into rural and semi urban. I see the expansion of Roff, our tiling adhesive into these areas. All of these are contributing for us to actually make rural and semi urban a strong driver of growth. And frankly, that will continue for u s for some time.

Abneesh Roy: Sure. My last quick question is on the 10% volume growth, a very good number. So 2 specific questions there. One is , your gross margins are at 11 quarter high. And in FMCG, we have seen that whenever sharp gross margin improvement is happening, there is a local player issue also. So if you could talk about local players, are they taking some momentary market share in some of the market?

And second, sir, is in terms of the discretionary demand. So when I see Fevicol that is used in almost every comparable discretionary item, there is a big slowdown. So if you see apparel, footwear, furniture, everywhere, there is a slowdown. You must have been seeing some of the numbers, initial numbers and more numbers will come in terms of results. So that part of the demand, how is it shaping up in terms of apparel, footwear and furniture, the white -glue demand?

Bharat Puri: See, answering the second part, we are finding and maybe this is a function of the increased activity around construction and housing, the completion, the consumers' attitude towards decor and their ability to spend a certain amount of premiumization. Frankly, we are not finding consumer discretionary demand to be dull. It can always be better in some geographies, so on and so forth.

But at an overall level, we are finding demand to be decent. It is not booming, but it is still decent. And therefore, we are not finding any of this as an issue. As far as local and regional is concerned, one of the reasons why we keep our margin cap , is you can already see that in this quarter itself, we've taken price reductions, which are fairly substantial.

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We are clear what is the price premium that our produc

t can demand. And for the sake

of 1, 2 or 3 quarters of extra margin, we are not going to imperil our future growth. So therefore, we will keep monitoring that . Local players are back in the last 1 year or so post COVID. But fortunately, we are not seeing a major impact because, we are alive to it, and you can see from our numbers that we are on the front foot. We are not like in a sense, harvesting and then suffering.

Moderator: Thank you. The next question is from the line of Sonali Salgaonkar from Jefferies.

Sonali Salgaonkar: Congratulations for a great set of numbers. So my first question is regarding an update on the paints business. If you could throw some light as to how we are progressing on that, how many touch points, et cetera? And secondly, any comments from your side about the upcoming competition in paints or the competition that we have seen in the waterproofing side of our business?

Bharat Puri: Good to hear from you, Sonali. As far as our paints business is concerned, as we have consistently maintained, this is an initiative only in small town and rural areas. This we started with the states of Andhra Pradesh and Odisha. We have added Tamil Nadu and Karnataka to these states. It is going as per our plan. But remember this that we are not in for a big bang approach. We are not looking to enter the ring and fight amongst the gorillas.

We believe we have an opportunity at the bottom end of the market simply because of our distribution being extremely deep and the demand from our / dealers. It's too early for us to declare success or failure for that matter. Every pilot in the first 3, 4 months is always successful. So Sonali, I would wait another 6 months before telling you where we are. But it is proceeding as per our plan, but ou r plan is not a very ambitious plan, please remember.

Sonali Salgaonkar: Got it, sir. Sir, secondly, on the VAM prices, Batra sir told us about the VAM prices

right now. But any disruption that you are witnessing , or you expect because of the ongoing Red Sea issue either in terms of supply chain or for your international subsidiaries?

Bharat Puri: That is a great question. See, fortunately, for us, all of our VAM, none of it comes via the Red Sea currently. However, that doesn't mean VAM cannot be impacted because when it's impacted for somebody else, you will have issues.

These days, Sonali, you live in these uncertain geopolitical era where suddenly geopolitics is a strong influence on your business. We will keep a close watch. As of now, we are seeing no impact. Our VAM all comes fortunately from the East and even the ones that comes from Saudi comes via the Persian Gulf and not via the Red Sea.

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Sonali Salgaonkar: Got it, sir. Sir, and lastly, any guidance you would like to share in terms of either volumes or margins for FY '25?

Bharat Puri: See, as we have always consistently said, our objective as an organization is double - digit underlying volume growth. And all of you tend to compare us with paints. Please remember, we measure underlying volume growth and not tonnage volume growth because our tonnage volume growth will be obviously much higher. This is underlying volume growth.

Our objective is we are in the range of double -digit underlying volume growth and our margin is at the 20% to 24% level. And hopefully, our proportion of core to growth and pioneer continues to change, we will be on a healthy growth trajectory, and that's our objective.

Moderator: Thank you. The next question is from the line of Jay Doshi from Kotak Securities.

Jay Doshi: Congratulations on good set of numbers. My first question is a bookkeeping question. Domestic subsidiary

profitability is significantly lower in this quarter versus what we saw in the first half. So could you sort of elaborate on it? And was there a one -off? And how should we expect it to trend going forward?

Bharat Puri: See, what I would do, Jay, is I would actually divide my domestic subsidiaries into running domestic subsidiaries and pioneer domestic subsidiaries. The running domestic subsidiaries viz. ICA Pidilite or Nina Percept, these are having normal business. YTD, they are on healthy growth and profitable trajectory.

In the pioneers, if you remember, both last time and the time before, we spoke about our new venture on exterior renders. This is a new venture in collaboration with the Spanish company called Grupo Puma. This is just in the process of setting up. The factory has just been set up. It is as per plan, we will, in the first 12 to 18 months, make a loss before it ramps up.

Therefore, if you just look at domestic subsidiaries , through that envelope, you will see a reduced performance. But if you remove Grupo Puma, which is an absolutely new venture, the factory, in fact, is just starting commercial production, then it looks a little warped . But otherwise, as far as we are concerned, this has no plan.

Jay Doshi: Understood. So I see absolute number, I believe there is a deviation or a drop of about INR 20 crores on a quarterly EBITDA. So is that entirely due to losses that you are incurring in this new venture that you are scaling up?

Sandeep Batra: The delta is not INR 20 crores. I think the loss in Grupo Puma is about INR 4 crores in the quarter. And I think in ICA Pidilite , while we continue to grow profits on a YTD

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basis, in this quarter, our profit was lower than same period last year by about INR 5-6 crores because of a much higher advertising and sales promotion spend that was planned to be spent in third quarter. So that was the only drop. It was not INR 20 crores, it was, I think, some INR 10 crores lower.

Jay Doshi: I am actually looking at the quarterly run rate for first half and quarterly EBITDA of third quarter and I saw the difference of INR 20 crores. Maybe I will recheck.

Bharat Puri: No, because of Diwali quarter and seasonality and ICA Pidilite being a wood finished

paints business, there is obviously a much higher ATL and BTL spend in this quarter, which in a sense tends to warp this quarter results but on a YTD basis, it's perfectly healthy.

Jay Doshi: Understood. My next question is, you talked about your aspiration of delivering double -digit UVG. Now this quarter, you delivered that number, and it was broad-based across C&B as well as B2B businesses. And even your commentary on rural demand and in general seems to be a lot more comforting than what you hear from most other companies.

So given that backdrop, should we expect this as a more sustainable volume growth for the next few quarters based on the visibility you have at this point of time? Can anything go wrong is my question.

Bharat Puri: See, Jay, having been in this business long enough, I can tell you, these days it is best to fly the plane visually and look quarter -to-quarter. Does quarter 4 look all right?

Again, if there are no Black Swan events, it looks all right. Now we have a massive general election coming up. Unfortunately, the general election, not from a sentiment or so on, just from a logistics point of view, tends to always warp sales in the quarter where there is elections because there's massive government mobilization of transport, people and so on and so forth.

Generally, elections tend to be a time when sales get muted. But hopefully, it makes up over time. If you ask me,

are we confident on the trajectory of the organization, the home improvement sector, the India consumption story, the answer to all 3 is yes. Barring any bumps along the way, which frankly, for an emerging economy are par for the course. There will be bumps, but I think that on a secular basis, we are quite confident of the direction we are taking.

Today, our proportion of core to growth and pioneer is slowly pretty much become 55 - 45. And therefore, we have a better growth engine. We are moving ahead. A lot of our newer categories are successful and therefore, which is why this proportion is changing.

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We have our clear direction. Fortunately, as of now, input prices are stable. This will enable us to keep investing back in the market. You will appreciate that this year in the first 9 months, we pretty much almost close to double d our investment in advertising and sales promotion because, again, for us, profitable underlying volume growth, if we are getting that, then you are on the right course.

Moderator: The next question is from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: Mr. Puri, it was interesting to hear a comment that the core to pioneer and growth share is now 55 -45. If I remember correctly, in the prior call, you were hoping to close FY '24 at 60 -40. So would love to get some more flavor on what are the categories in growth and pioneer, say, Araldite, your tile adhesive, floor coatings, wood finishes. If you can give some flavor on what is the growth trajectory that they are clocking? Are they growing 15% to 20%? Are they growing 20% plus? And what is the confidence you have for sustaining these kind of growth rates?

And my second question was between distribution reach expansion and new product contribution, which of these has been a bigger volume growth contributor for you in the recent quarters? And how do you think this is going to play out in coming years?

Bharat Puri: Great question, Latika. Good to hear from you. See, on your first question, on the proportion of growth and pioneer to core, this goes plus/minus 5% every quarter. Our objective for the year was 60 -40. The way it's tracking, we will be anywhere between 55-60 to 45-40, which is a pretty happy state to be in.

What is driving that? Obviously, it is the newer categories. When I look at, for example, Araldite, when I look at our whole tile adhesives business, I mean, 4 years ago, I had 2 anemic tile adhesive plants. We now have 10. So clearly, that has been a good driver of growth. We look at our wood finishes business, that's a good driver of growth. The joinery business is a good driver.

So there is a whole set of initiatives that we have. Each of these, again, Latika, is growing at differential rates. And we have always maintained, when we plan for these, we want 2 to 4x GDP growth depending on the amount of infrastructure we have created, depending on the demand, the situation and how much penetration there is, etcetera.

So there is no one answer to what rate they are growing. But obviously, they are all growing at the rates of 2 to 3x GDP at least. That is the first thing. And just remind me on your second question?

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Latika Chopra: I was just checking on your between distribution reach expansion and new product contribution .

Bharat Puri: See, I would say, as of now, remember because innovation impacts both urban as well as rural and small

town markets. In an absolute sense, innovation is always a bigger driver of growth than distribution touch points.

A lot of times, what happens is, like, say, for example, some of our growth in rural is coming because of the extension of say, Araldite, the extension of our sealants business, the extension of Roff. Now for the rural markets, this is innovation because they are new to the rural markets though we have had these products for long. So we don't count them in our innovation machine, so as to say.

But at an overall level, I would say both are strong drivers of growth . Innovation because it cuts across both, tends to be a little stronger because in urban areas, really our task is not so much increasing distribution touch points. We still keep increasing distribution touch points because cities are all expanding in the peripheries. But it is more also about getting more out of our existing outlets, both for a range as well as a volume perspective.

Latika Chopra: All right and if I may squeeze in one more check, this is on margins. Do you see any possibility of any further price reductions in any of your segments? And also, we talked a lot about Emerging India. Could you share what's the revenue cadence for this broadly for your standalone business now?

Bharat Puri: See, first, just as far as price decreases are concerned, again, we have always maintained that we believe that our price premium that we command over competition varies from product to product, but we have clear formulas within. The moment we find that price premium is going above those, we tend to reduce price because it suggests that the raw material prices have come down because the local guys have become more competitive.

So if raw material prices get a little softer, they remain soft, we might see some price decreases. But the way raw materials are now looking, Latika, I suspect we are somewhere near the bottom, this could still be famous last word because you never know what happens vis -à-vis China. These days, there are too many geopolitical things involved. So I would say as long as our price premium doesn't go beyond the levels that we have set for it, we will not decrease prices. If it does, we will. That's the basic thing going forward. The second thing, as you said, the proportion of urban to rural plus semi urban is 70 -30.

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Moderator: Thank you. The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: My first question was on , if I look at the growth categories, and if I take waterproofing out of that because that's quite a large category, the other brands which have ramped up quite a lot in the last recent 2 years and are growing fast. Is there any impact on margins as we have become bigger? I mean are they dilutive, accretive to your business at a gross level or an EBITDA level?

Bharat Puri: Good to hear from you, Arnab. That's a great question. See, what we do normally is at a gross margin level, we tend to keep our margins at very similar levels because we are clear that , that's what impacts our intrinsic profitability. So plus /minus 3% to 4%.

Gross margins across our categories will be healthy.

In a lot of, obviously, the growth categories, we would invest a lot more in, for example, investment behind the brand, in route -to- market initiatives, in below -the-line initiatives as well as people. So therefore, on an EBITDA basis, we are clear that

the growth categories will have a lesser EBITDA, but similar gross margin, then over a period of time, things should taper off and then come to our averages.

Arnab Mitra: Got it. That's very helpful. And my last question was on water

proofing. So you have,

of course, clubbed it all as part of growth. I mean the perception is that it's slightly bigger as a category now. It's obviously quite competitive. Are you seeing something like that towards like GDP growth in waterproofing continue?

I mean, while your overall growth may grow at 2 to 4x, waterproofing may be a little lower than that? What are the trends that you are seeing in that market in terms of demand, given that Paints demand seems to be slightly soft in the recent few quarters?

Bharat Puri: See, retail demand, which the paint industry has also reported, has been soft. But having said that, institutional demand for waterproofing has jumped because of the infrastructure investments, etcetera. Waterproofing is still, the penetration-led growth is still fairly high because even now, our belief is real waterproofing penetration is less than 1 in 2, which is less than 50%.

And therefore, the task for a lot of us is to first expand that market and make sure that, that market is expanding rather than only look for share within the 50. Having said that, in our view, it is still growing, from 4x GDP it has become 2x GDP because of the stress in consumer discretionary segments. But it is still a fast-growing segment.

The only thing is the issue that is coming is, Arnab, these days, the definition of waterproofing, everybody is using, is a very fast and loose definition of waterproofing.

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The paint companies tend to now put all exterior paints into waterproofing and call them waterproofing. A lot of their primers, they now say it's a waterproof primer. What was being sold earlier as a primer is now sold as a waterproof product. So if you add all of that, it's 3 to 4x, but the real waterproofing, I would suspect is twice GDP.

Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: Thank you. Congratulations to your team for a great set of results. First question is on the overall growth rate in terms of volume. You mentioned that the growth rate is more broad based. But I mean, if we look at, say, 2 quarters back versus right now, when have you seen the highest rate of change, I mean, in terms of growth rate? Basically incrementally, what has improved versus, say, 2 years back or 2 quarters back or 6 quarters back, just wanted to understand that?

Bharat Puri: See, good question, Keyur. Basically, what has improved is 2 things. One is clearly the growth categories continue momentum. And therefore, the momentum on those is leading to greater growth.

The second thing is rural and semi-urban markets, as they've been cycled, we're finding momentum there also and they're growing faster than they were growing. Two quarters back, we were talking of 11% and 12% growth. We are now talking of 1.5x. So therefore, you can see that both these set of markets are tending to contribute to higher growth.

Keyur Pandya: So geographies rather than, I mean, category-specific improvement you are seeing?

Bharat Puri: Both geographies and in categories, the growth categories. For example, each of the growth categories, some of them have good momentum, be it, for example, Araldite, be it our tile adhesives, obviously, waterproofing. So a lot of these have momentum anyway, sealants is a new business, which has got a lot of momentum.

Keyur Pandya: Understood. Extension of this question is, I mean, adhesives, assuming that it's a late cycle product to the real estate construction, has that seen pickup from what it used to be say a year back or whatever benchmark you want to take or versus the normalized growth rate

? And what kind of growth rate we are witnessing or we are yet to see that improvement?

Bharat Puri: See, if I look at my CAGR, Keyur, even for the adhesives business, we are close to double digits. So I mean the business has been robust through out. Post COVID, what has happened is consumers have reinvested a lot in their homes and that has obviously benefited all our businesses, especially adhesives. And in fact, if this current real estate

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and housing boom continues, then we obviously see adhesives will step up because adhesives as you are rightly saying comes at the last stage of the home completion.

Keyur Pandya: So basically, you are saying that current growth in itself is decent growth, but probably this pickup is yet to be seen. I mean the pickup will be over and above the current growth rate?

Bharat Puri: Yes, hopefully so.

Keyur Pandya: Understood. And just last question on the capex or capacity addition. We have seen a lot of capacity addition for various products. So this is more just to cater to the demand?

Or is there a change in strategy, that too many small plants at various locations and is this for all the new products or existing products, any color on where and how we have done the capex? I mean after a long time, a discussion is happening on capex from Pidilite and we have seen that also that absolute capex has also gone up.

Bharat Puri: See, as far as capex is concerned, again, it is actually for both, even our existing products. So for example, your point, we are now building much larger factories for existing products. We have just built 2 massive factories in Vizag. Now our biggest adhesives factory is, therefore, the 1 in Vizag, which is the most recent factory. The biggest coatings factory will also be in Vizag, which has just got commissioned, which is again a new factory.

In addition to that, the new categories, obviously, whether it is tile adhesives, we are obviously seeing expansion because these require distributed manufacturing. So it's a mix of both. Our policy remains, we, as an organization, are, A) very strong believers in the India growth story. B) We also believe we are in the right sector at the right time.

The home improvement is a sector that correlates very well to GDP growth. And therefore, as GDP growth steps up, we will see demand step up. So the moment we touch 70% to 75% capacity utilization, we start planning new capacity. And the new capacity, obviously, now is much larger plants than earlier in locations, hopefully, which also give us a competitive advantage.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: Sir, first, would it be possible for you to quantify the volume growth on a 4-year CAGR basis?

Bharat Puri: The 4-year CAGR, as far as volume growth is concerned, will be close to again, if I see, exactly 12% to 12.5%.

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Ritesh Shah: That's helpful. Sir, second, again, the question is on demand, volume growth was really good. But when we look at ceramics, wood panel category, cement, all these categories, we haven't seen volume growth. It is like single digit. So again, just trying to understand how to better understand the growth.

I appreciate you have answered this in different ways before. But is there any better way to look at it probably from a perspective of end user, be it carpenter, painter, plumber, from a C&B standpoint or from a B2B, be it joinery

or paints or textiles, is

there a better way to appreciate the delivery on numbers what the company is doing?

Bharat Puri: Let me try, Ritesh. Take for example, we just spoke of tiles. As of now, pretty much 1 out of any 4 tiles in a household uses any form of tile adhesives. The balance simply use cement, right? Therefore, whether the tile industry grows frankly by single digit or double digits, our task is to, if I can just take this and increase this by 10% to 15%, I have got a growth engine for the next 5 years.

What we have done, and this is what you know that Pidilite does well, again, for tile adhesives, we have created two sales forces. We are working with the tile layer, who's called kadiya where we're educating them on the use of the product and then educating them in the use of a more premium product.

So therefore, what I would submit is while some of these categories maybe growing slower, our penetration is growing faster, whether it is tile adhesives, now whether it is, for example, the use of sophisticated adhesives as far as joineries are concerned. Earlier, hot melts were used only by the top end joineries. Now it has become

something that all of them are using.

So there's a fair amount of, I would say, user and consumer education along with specification work with architects and interior decorators, who are now therefore pushing superior products and pushing superior specifications because they want things to last.

So I think things like this are also helping our growth a lot more. I mean the fact that we have a sales force that work /s only with users in educating and creating demand, in tough times, that really comes into good use.

Ritesh Shah: Right. Sir, if I just had to play a devil's advocate, right, the underlying variables, what you indicated, is just a continuous affair that the company indulges in. Then if that is the case, then we should not be witnessing the kind of deviation on volume growth that we look at it on a year -on-year basis.

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Bharat Puri: See, there are so many factors that are in play. And I can't simplistically say that therefore, everything is equal. But when I look, the very fact, Ritesh, over a 4 -year period if we are growing our volumes double digit, then there is obviously something right we are doing because none of these categories are showing 4 years of double -digit CAGR growth.

Ritesh Shah: Sure. Perfect. Sir, my second question basically is on product launches. If you could highlight what product launches we had, say, in the last 6 months, 9 months? And are there any white spaces that we look to fill over the next year or 2?

Bharat Puri: See, at Pidilite, innovation is always a strong driver of growth. So for all of our divisions, we would have launched at least 1 to 2 major products and 1 to 2, what we would call, not major, but minor products. So like, for example, in the Fevicol division, we have launched a new variant, a very premium variant of Fevicol called Fevicol Hi -per Star, which is doing extremely well, which is a high gram, very high -quality adhesive, which saves a lot of time for the contractor and for the consumer .

We have launched a whole range of sealants. 2 years back, this was a white space largely for us. We have now launched a whole range of sealants. This is completely new. In the waterproofing business, we have a whole range of roof sealing products and a whole range of exterior products at different price points, which are again contributing very well to growth.

In our higher waterproofing business, we have polyurethane based and polyurea based products for ceiling roofs, etcetera , which are again a whole new range. In our

art

material business, for example, you would have seen the relaunch of Glue Drops, you would have work around Fevicol, WD -40 has some work going on with some packaging innovations. So you will see at Pidilite, our objective is 1/3 of my growth must come out of innovations launched in the last 24 months. And that is what we keep pushing towards, and that's one of our, again, strong drivers of growth.

Ritesh Shah: Sure. This is helpful. Sir, just lastly, you did indicate on the paint side, basically, would it be possible for you to give some numbers, anything around the aspiration side that we would like to have on the revenue and EBITDA?

Bharat Puri: As I said, listen, I will leave paint. There are enough gorillas trying to fight it out. Let them worry about how many plants. We are quietly just completing our range. It is not something substantial that impacts our numbers . So I mean, this is not a big initiative from Pidilite where we put up 3 plants or 4 or 5 plants as others would have put up. We are going slowly, steadily in small town India where we believe we have a competitive advantage. We are testing that out. If that works, we will come back to you.

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Ritesh Shah: But sir, would it be fair to assume that this business on a separate basis, it will be positive at the EBITDA level?

Bharat Puri: Over a period of time, it has to be positive. In the initial stages, we may choose to

invest. But yes, I mean, at Pidilite, we haven't launched anything which doesn't have the right gross margins.

Ritesh Shah: Sure. And sir, lastly, on waterproofing, would it be possible for you to quantify the market sizing and where we stand over there?

Bharat Puri: Very, very difficult, my friend. Because remember, waterproofing has 4 distinct markets. In new construction, you have institutional, the real estate, the large real estate players and then individual housing. And then in repair, you have large institutions, factories, very difficult to say. I would say in each of the segments, the competition is different. We are probably the only company now that still plays across all of the segments. But very difficult because, I mean, each of these, there are widely differing estimates depending on the company.

Moderator: The next question is from the line of Percy Panthaki from IIFL.

Percy Panthaki: My question is on the volume value gap. You have done a 10% volume, which is a UVG number, and 4.5% sales. So that difference of 5.5 percentage points, would I be right in assuming that, that is just the pure pricing on a Y-o-Y basis and there is no mix included in this 5.5%?

And if so, can you give some flavor on the different segments and the rough quantum of price decline in them? I mean there would not be a uniform price cut across the board, right? So it would be helpful if you can sort of give some flavor on the quantum of pricing in different product categories.

Bharat Puri: See, to answer to the first part of your question, again, good to hear from you, Percy, the first part of your question, yes. Because underlying volume growth anyway takes into account the variable or mix. The difference is largely price.

As far as price is concerned, B2B tends to take price much quicker because we are much more used to it. So the B2B price increases will be higher than the B2C. Having said that, again, we have such a vast range, I mean, suffice to say that the woodworking adhesive, which is the Fevicol part, would be the largest price decrease in the Consumer and Bazaar business. Waterproofing would be lesser though there is a reduction because a lot of the coatings, also raw materials have come down. In the consumer products

businesses, there's very little reduction because there's very little change in raw materials. There's some, but not substantial.

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So it's different for different places. In export markets, again, the reduction will be a little more than in the domestic market simply because of the lack of duties, etcetera. At an overall level, I would say that B2B has a higher price cut, B2C has a lower price cut. And between these, woodworking adhesives would be the maximum. It was also across the other places.

Percy Panthaki: Understood. And also, if you could give us some flavor on how much of this price cut, which is at a net level when we are looking at your net sales, there would be some amount which is attributable to increased trade promotion schemes, margins, discounts, etcetera, and some amount would be the actual reduction in the end consumer pricing. When I am talking about end consumer, whoever the consumer is, whether it's a carpenter or actually homemaker or whatever it is. So if you can give some idea on this 5.5% split between these 2 aspects?

Bharat Puri: See, again, different in different divisions, but it is a mix of both. In some cases, where we are clear the price reduction is going to stay, we have taken the dealer price itself down. Remember, in our case, the consumer price that is marked on the pack, anyway, our products, because they are so competitive, they tend to sell much below that. So therefore, as far as the consumer is concerned, when we pass on price decreases, the consumer sees the impact very clearly because of the competitive nature of the product. At an overall level, I won't say it's different for different division but it would be a mix of both actual price decreases and simple in-bill rebates, etcetera, because then we are seeing the raw materials are soft.

Percy Panthaki: Right. And given where the input costs are right now, supposing if we just make a hypothetical assumption that they remain where the input costs are right now, do you see any reason to change your prices? Or whatever you have done till now is enough?

Bharat Puri: Largely seems to be enough unless some other areas where we are investing. But where we seem to be, we have taken the price cuts. So we believe our price premiums are appropriate. So if there are no further reductions in raw materials, I don't see price

decreases of any substantial nature.

Moderator: The next question is from the line of Tejash Shah from Avendus Spark.

Tejash Shah: Congrats on good set of numbers. So looking at the 3 key factors for margins, demand environment, which is not very buoyant as you called out, our RM scenario, which has some tailwinds to offer, and competitive intensity, which I am presuming it is as intense as always. How would you like to guide on EBITDA margins trajectory from here on?

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Bharat Puri: See, we are clear, we have always guided that we always maintain a range. We never give a number. The 20% to 24% we are confident of. Now barring, again, I keep saying that, listen, in this new geopolitics influenced world, you have to keep looking at it quarter -by-quarter. But as I look from where we sit now, I would say the 20% to 24% is a safe assumption.

When raw material prices are benign, as they are now, it would tend towards the higher end. When they become a little more volatile or there is some fluctuation, then they move towards the lower end. And at this stage, w

hat we would keep looking is how to progress further for volume growth.

Tejash Shah: Got it. You spoke about low penetration being the key driver in waterproofing. So from a distribution standpoint, what percentage of addressable dealer network universe must be stocking Dr. Fixit or our products?

Bharat Puri: See, remember, Dr. Fixit is stocked by three different distinct dealer networks. There is the buildings material network, which normally tends to stock products for new construction. Remember, a large part of waterproofing, in India, lesser in world over, it's 70% is new construction, 30% in renovation. In India because our new construction practices are not great, it tends to be the other way around.

So building material stores, those who stock steel, cement, they tend to stock the new construction -related waterproofing products. Paint, hardware, so on tend to stock the repair and renovation linked products because in some cases, they may stock both, a s would be the case with building materials.

And then you have specialized chemical waterproofing stores, which stock the higher - end products, which are for institutional, which are for larger housing societies, etcetera, which use more sophisticated products. So there is a different dealer network depending on the consumer that you are catering to. And to further complicate, what tends to happen is that network is different for metros, that network is different for mini metros and obviously very different for rural and semi urban.

Tejash Shah: Yes. And sir, in our channel checks, we are picking up that paint dealer margins and rebates are actually increasing sequentially or not. And there is an overlap for our distribution, some of our products in the paint products. Are you feeling the pressure of crowding out of working capital because there's a rebate that's actually coming with higher inventory promises also? So are you feeling any such pressure on our side of the business?

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Bharat Puri: That's a good question. Remember, all rebates and extra credits are required when your brand is not strong enough or your user -related work is not strong enough or your work with the influencer, which is the architect, interior decorator is not strong enough.

While clearly, in most industries, when margins become healthy as they have become for paints and the paints guys have called out price decreases. In fact, I think the paint industry just 3, 4 days back has taken another price decrease across their products. So paints tend to be far less digesting on increased margins and therefore tend to pass it off as rebates earlier and then price decreases later.

Now obviously, we compete in the same market. We believe, again, we know where our product should be priced, vis -a-vis, the others. We maintain that but we are not finding pressure either on working capital and credit. Because again, remember, even

today, the strongest brand in waterproofing is Dr. Fixit. When 9 out of 10 consumers are asked to name India's top waterproofing brand that they would consider, they say Dr. Fixit.

Tejash Shah: Yes. And sir, last one, any incremental update on NBFC plan that we had revealed last quarter?

Bharat Puri: As I was saying in the first question that Abneesh asked, we are just in the process, the pilot which is just being set up. It will be done in 1 south Indian city. We will learn from that pilot, and then come back and tell you fellows what our plan is over the next 2 years. So it's very, very early days. Just we haven't still got off the blocks in terms of disbursing money.

Moderator: The next question is from the line of Jay Doshi from Kotak Securities.

Jay Doshi

: A bookkeeping question. What would be the contribution of top 20 cities to Fevicol woodworking portfolio, woodworking adhesive portfolio?

Bharat Puri: Again, very difficult to say. Remember, Jay, that there is a substantial amount. See, Fevicol, the fascinating thing is 10% of the cost of furniture is Fevicol. But the consumer changes the shop where she buys the product from and changes the plywood and the nails, everything else based on the Fevicol price. So there's a high amount of wholesale.

And Fevicol again, in terms of distribution mix to Fevikwik, because Fevikwik is a 5-rupee product. Pidilite's most distributed product all India would be Fevicol. So I mean it's very difficult to say what is the retail sales in the top 20 cities because for us, Tier 2, 3 and 4 also tends to be very strong.

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Jay Doshi: Understood. So the idea of asking this question was we are seeing real estate upside at least in top 20 cities, if not more. And at some point of time, perhaps you started seeing traction in the woodworking portfolio or adhesive segment as well. But perhaps in the next 1 year or 2 years, you will see more traction. So the idea was to just understand what would be that contribution to your overall sales

Bharat Puri: It would be close to at least half the sales. And yes, hopefully, there will be further tractions so on and so forth. Now when you open the newspapers, the first 4 pages are real estate ads. So all this real estate that is being sold will come in for completion in the next 2 to 3 years. So hopefully, we will see that. But as we see it today, I mean, we have seen over the last 2 years, even as I said, post COVID, adhesives demand has been fairly healthy.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: Just a quick follow-up, sir. On a 4-year volume CAGR, you gave a number of 12% to 12.5%. Just wanted to check whether this is organic or basically to dissect how much would be organic, how much would be inorganic?

Bharat Puri: See, the only large inorganic in this would be Araldite. Because Araldite is now part of a base number which may not have been, but again, Araldite is not so substantial that it is going to move the number very greatly.

Ritesh Shah: Okay. So not much of difference.

Moderator: I now hand the conference over to management for closing comments. Over to you, sir.

Sandeep Batra: Thank you very much for your interest and continued interest in Pidilite and wishing all the participants a very good evening and a good day. Thank you.

Moderator: On behalf of Kotak Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited to improve readability)

Call: May 2024

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15th May, 2024

The Secretary The Secretary
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Stock Code – 500331 Stock Code - PIDILITIND

Sub: Transcript of the Earnings Call

Dear Sir,

We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on 8th May, 2024.

A recording of the transcript is available on the website of the Company viz. www.pidilite.com .

Kindly take the same on records.

Thanking You,

Yours faithfully,

For Pidilite Industries Limited

Manisha Shetty
Company Secretary

Encl: as above

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"Pidilite Industries Limited
Q4 FY '24 Earnings Conference Call"
May 08, 2024

MANAGEMENT : MR. BHARAT PURI – MANAGING DIRECTOR – PIDILITE INDUSTRIES LIMITED
MR. SUDHANSHU VATS –MANAGING DIRECTOR
DESIGNATE – PIDILITE INDUSTRIES LIMITED
MR. SANDEEP BATRA – EXECUTIVE DIRECTOR ,
FINANCE AND CHIEF FINANCIAL OFFICER – PIDILITE INDUSTRIES LIMITED
MR. SUNIL BURDE – SENIOR VICE PRESIDENT ,
FINANCE AND ACCOUNTS – PIDILITE INDUSTRIES LIMITED

MODERATOR : MR. AMNISH AGGARWAL – PRABHUDAS LILLADHER PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Pidilite Industries Q4 FY '24 Earnings Conference Call, hosted by Prabhudas Lilladher Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to Mr. Amnish Aggarwal from Prabhudas Lilladher. Thank you, and over to you, sir.

Amnish Aggarwal: Welcome to Pidilite Industries Limited 4Q FY '24 Call. We have the top management of Pidilite, represented by Mr. Bharat Puri, the Managing Director; Mr. Sudhanshu Vats, the Managing Director Designate; Mr. Sandeep Batra, the Executive Director, Finance and Chief Financial Officer ; and Mr. Sunil Burde, the Senior Vice President, Finance and Accounts.

So without wasting much time, I would hand over to Mr. Sandeep Batra. Please go ahead, sir.

Sandeep Batra: Very good evening to everybody. On the call, I will quickly take you through my summary and opening remarks, covering the fourth quarter and full year results, which were approved at our Board meeting yesterday on the 7th of May.

In the current quarter, stand -alone underlying volume growth was in the mid -teens at 15.2% whereas the Consumer and Bazaar businesses had an underlying volume growth of 12.7%, and we saw a very strong bounce -back in the B2B underlying volume growth at 25.2%.

Gross margins in the quarter were higher than the fourth quarter of last year by 690 basis points, largely led by softening in commodity costs. VAM consumption was at \$925 a ton versus \$1,300 in the fourth quarter last year. We also, as mentioned earlier, stepped up our investments in brands and other market -facing initiatives. Also, you would notice that the fourth quarter revenues were nearly INR 250 crores lower than the third quarter, and that had some kind of a negative operating leverage. And as a result, our EBITDA margins for the quarter was 20.5%. However, compared to same period last year, it was nearly 200 basis points higher.

In the current quarter also, we took a onetime impairment charge on account of one of our manufacturing facilities at Mahad, and that is why the depreciation and amortization charge is higher. This onetime impairment charge is about INR 20 crores.

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The current full year's revenue was underpinned by robust underlying volume growth across categories and geographies, along with an improvement in mix. Growth was

broad-based, with both the Consumer and Bazaar and the B2B divisions achieving double-digit underlying volume growth. This double-digit growth was enabled by distribution expansion, innovation, supply chain and digital initiatives. And for us, both urban and rural markets have grown in double digits, with rural markets growing faster than urban.

Consolidated revenue for the quarter was slightly under INR 2,900 crores and was up by 8.1%, driven by strong volume growth across geographies and categories. Our international subsidiaries, with the exception of Pidilite USA, where we have wound down the business and Pulvitec Brazil, which we divested in the end of March, have reported modest sales growth and with significantly improved EBITDA margins. Our domestic subsidiaries

also recorded good sales growth, and profitability also improved.

In the consolidated results, there is an exceptional item of INR 72 crores, which is largely the loss on account of the divestment in the Brazilian business. That INR 72 crores hit in the exceptional items is offset by a INR 26 crores gain in other comprehensive income. So the net hit is INR 45 crores.

We, as a company, remain focused on building the Pidilite of the future, and our capex cycle continues for upgrading and building new facilities. In the last financial year, that is FY 2023-24, we have expanded capacity in existing plants, consolidated a few manufacturing facilities and commissioned 10 new plants. And we continue to increase our distribution touch points, both in urban and rural markets, combined with effective use of digitization. Innovation as a driver continued across the company and has significantly contributed to the overall revenues of the company.

With this, I open the floor for question and answers.

Moderator: Thank you very much. We will now begin with the question-and-answer session. First question is from the line of Abneesh Roy from Nuvama.

Abneesh Roy: Congrats on very strong volume growth. So my first question is on the demand side.

So you have been delivering double-digit volume growth, and real estate cycle is expected to continue for at least a few more years, and you have been a key beneficiary of that. And we are seeing a lot of FMCG companies also say that rural recovery has started and could also get strengthened post monsoon, which again, you will also benefit. And you have said that this quarter, Q4, rural has grown faster than urban for you, which means that clearly, rural is in the right direction.

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So my question is if I combine all this with your comment on soft demand in the near term, which you have alluded in the CNBC interview, to the disruption caused by election, so first, I wanted to understand, let's ignore the near term, how do you see post the near term, essentially the election-related disruption going away? Do you remain as confident as your Q3 commentary on the demand post that?

And second, disruption exactly, is it linked to the Model Code of Conduct wherein the government are not able to give the approval? Is it linked to that? Or is it linked to the manpower slight movement which happens here and there?

Bharat Puri: Thanks Abneesh. Always good to start with you. See, let me just give you the full clarification. When we are talking of near-term softness, it is largely due to the election, a little bit due to the heat, but the heat happens every year, so we shouldn't worry about it. What tends to happen, and we have seen this in past elections also even in state elections, see in categories such as ours, and this is true largely for building materials, what happens is there is a shortage of labor because a large part of the labor gets displaced.

There is also an issue about moving people. There is also an issue in a lot of the economy, especially in the smaller towns, etcetera, is a cash-based economy, carrying of cash, truck availability and so on. So we find that there is a minor disruption. So let's not worry about it. That will frankly even out in 30, 45 days.

As far as the year is concerned, frankly, as we have said, we are optimistic and confident on the prospects. Fortunately, our sector is one of the sectors which has considerable tailwind. The real estate cycle is clearly still on the upswing. We are beginning to see signs of that helping demand especially where individual housing is concerned. In organized real estate, it tends to be in T+3 and T+4, that is, 3

years, 4

years from the project starting. And this cycle will play out, and therefore, it will be advantageous. The focus on infrastructure always has an impact on our sales across the board, and we are seeing that.

So I mean, frankly, we don't expect demand conditions to be any different and with a good monsoon and so on. Though again, I want to clarify for us, rural is not just about quarter 4. For the whole year, our rural has been 1.5x urban. You, of course, are a strong Pidilite watcher, so you know we have consistently invested strongly behind rural because we felt we were underpenetrated in a lot of our categories, and that is paying us dividends over a longer period of time.

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So therefore, if I was to take a step back, how do we look at FY '25, presuming there are no black swan event, geopolitics, frankly, which are outside any of our controls, I think it will be as good, if not better than FY '24.

Abneesh Roy: Right. On the demand side, Bharat sir, 2 follow-up questions I have. One is, a lot of discretionary categories like furniture, shoes, apparel, and many more have had a very tough last almost 5, 6 quarters. And most of these use adhesives in one way or the other. This part of the demand, obviously, would have suffered for you also. In spite of that, you are reporting almost 15% kind of volume growth and double digit in most quarters. So how is this part of the adhesive demand shaping up? And whenever recovery happens, is that an additional growth? That's one question.

And second, telecom cost will go up for end customer post-election. That is now a given almost. So there can be 10%, 20% hike. Do you see that impacting your end consumption in any manner?

Bharat Puri: So the first part of your question, which is the discretionary categories that obviously, like you, Abneesh, we have been keeping a close watch. Actually, what we have not found an impact in the domestic market, remember for furniture, even today, more than 80% of furniture in India is made on site by carpenters, which is not bought ready-made. And as is evident from our volume figures, then we will not deliver this kind of volumes if our lead products, all of the furniture adhesives don't grow at similar rates. So we are not seeing any issues as far as demand in the areas of furniture or domestic adhesives is concerned. Where we have seen actually strain is, exporters who are dependent on overseas markets, whether they are making shoes or they're making textiles, or they are making furniture. And of course, direct exports to these countries. We have seen an issue, for example, Nepal has struggled with foreign exchange. Bangladesh had some problems with foreign exchange.

So there are more problems outside. Frankly, within India, we have not seen any major patterns, which reflect what the discretionary apparel, shoes, furniture people are saying as far as we are concerned.

Abneesh Roy: Sure. Last quick question on depreciation. Sandeep sir did highlight the one-off. So I wanted to understand, you have been opening a lot of new factories also. So one, if you could explain in Mahad what happened, why this goodwill was getting impacted. So if you could clarify on that a bit why depreciation one-off happened this quarter. And given so much of factory expansion, how do you see depreciation in the coming quarters? This quarter, it was very high, INR 112 crores. And earlier, it used to be more

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like INR 80 crores. So is the INR 80 crores the right number to look at in the coming quarters?

Sandeep Batra: So I think the right way to extrapolate will be look at the fourth quarter, subtract INR 20 crores because of that onetime impairment, and that should be the run rate going forward.

And to your question on why we took the call because every year, for plants we will

do an impairment test for all our assets. And in that, this particular plant, we decided to write down the value to what we believe can be realized because it is not a plant that is running. That is why we did the impairment cost.

Avnish Roy : Okay. So it is an obsolete kind of factory?

Sandeep Batra: Yes.

Bharat Puri: And again, I have one more fact that my team tells me I must mention is that when we are talking of demand softness, remember, we are coming from a position of double-digit volume growth. A lot of times when FMCG is saying, we are seeing better rural demand, we are going from 0% to 5%. We have already been at like 1.5x the current rate. So there is a difference of the starting point.

Moderator: Next question is from the line of Jay Doshi from Kotak.

Jay Doshi: Congratulations on good performance and good year overall. I am just following up on the previous question and just to make sure if I heard it correctly, did you mention that FY '25 will be, if not better, at least as good as FY '24 from a volume growth perspective based on the way you see things today?

Bharat Puri: Absolutely. That is our objective without doubt.

Jay Doshi: Sure. That's helpful. Can you say the same about margins, at least as much as FY '24, if not better?

Bharat Puri: See, margins, Jay, we will always be guiding you in the 20% to 24% now. How it plays out, what happens with the number, but we will be comfortably in the 20% to 24% range unless, again, as I said, something goes out of hand geopolitically. Otherwise, given the regular course of business, we will be at 20% to 24%.

Jay Doshi: Sure. My next question is, you have talked often about the consolidation of manufacturing facilities and the capex that you've done in the recent past. How should one think about the net benefit? So there will be some efficiency-led gains that will help you and perhaps be accretive at gross margin level. And on the other side, there

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will be a slight increase in depreciation. So as per your own assessment at a net level, from a P&L standpoint, will it be PAT margin or PBT margin accretive over the next 2 or 3 years as some of these facilities are you know at full utilization?

Sandeep Batra: Yes, absolutely, Jay. I think when we look at any capex or capital expenditure proposal, given the return on capital employed that we enjoy, we have a fairly stringent bar in terms of the IRR and the payback for all these investments. Obviously, the timing at which they will reach the right level of capacity utilization may vary. But 100%, all the capacity expansion that we are doing is going to be accretive at the PBT level. It will have savings maybe in freight, maybe in manufacturing, in the conversion costs. But in summary, it will be accretive at a PBT level.

Jay Doshi: Sure. One final one, a short one. There was a very strong growth in B2B business this quarter, perhaps led by exports. Can you provide us some color in terms of what kind of visibility you generally have in that business? And is this something that can continue for at least 2, 3 more quarters, given that the base is quite favourable there? Or was this like just a one-off in this quarter?

Bharat Puri: See, it's definitely not one-off. The year earlier, the second half was a little depressed.

So therefore, it's not reflective of a real growth because it's on a base that was depressed.

Having said that, I must tell you 3 things. One is domestic projects business is buoyant. It is growing at rapid rates that is strong. That will continue to be strong when we look at our order book. It's all a question of execution and being able to execute because the number of projects, so on and so forth that are underway is substantial.

The second is domestic industry. Based on domestic, demand is also strong. And having now taken the price reductions that we needed to take, the volume growths are back, and we are growing strongly. We are seeing the first green shoots of recovery in the international markets, especially in pigments. We definitely will have a much greater improvement as far as pigments is concerned, starting with the first quarter, but the large part of it will come in the quarters 2 to 4, and there will be a substantial improvement.

As far as industry-related exports is concerned, my guess is as good as yours. But I think now that we are cycling basis that itself are depressed, I don't see them going

down further, but we'll have to see how strongly they come back.

Moderator: Next question is from the line of Sonali Salgaonkar from Jefferies India.

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Sonali Salgaonkar: Team, congratulations on a great set of volume growth, truly very encouraging, especially because even last quarter, we had a healthy double -digit UVG.

So my question is on the ad spend. We do understand that you have reinvested part of these gains in the form of higher promotion as a growth -oriented initiative. If we could quantify the ad spend as in FY '24, how much was it higher as compared to last year?

Bharat Puri: Our ad spend was 70% higher than the earlier year, so you can see that, Sonali, we put our money where our mouth is, and we said we will invest behind growth. We have invested behind growth, and frankly, we have got the growth.

Sonali Salgaonkar: Absolutely, sir. Sir, secondly, on the price rollbacks, were there any price rollbacks effected in Q4? And what would be the number for FY '24 as a whole?

Bharat Puri: See, again, no price rollbacks in quarter 4 because as we said, the VAM prices, we had already seen the impact. If you see overall, if you look at the difference between our value and volume growth, which is approximately 5%, at a yearly level, we would have reduced prices, overall, by 5%. It may be more in some categories and less in some others.

Sonali Salgaonkar: Got it, sir. Very clear. Sir, lastly, any update you would like to share on your paints business as well as your lending business?

Bharat Puri: So let me start with the easier one, which is the lending business. I mean we are still in the process of licensing, so it is really still to get off the ground. Even the pilot is just beginning to get off the ground. So we have a long way away from even telling you, Sonali, if you listen, we are now fully in market, and therefore, we should give you results. I think it will be 6 to 9 months before we come back to you on that business.

As far as paints is concerned, the 4 states, we have now been there for a little over 6 to 9 months. Again, I keep telling my teams everything that good companies or companies with great distribution networks always do well. I would frankly declare success or otherwise give us another 6 months. As of now, we have always said it's a range -completion exercise. We are not one of those fellows who are getting into the ring to fight with all of these majors. We will leave that to other players who come in to do that.

But we are happy with the pace that we

are going. But really, I mean, I would declare success or otherwise 6 months later. Right now, all I can say is we are meeting our action standards, but then we didn't have very great ambitions in the first place.

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Sonali Salgaonkar: Got it, sir. Very clear. Then just one last question, this one to Mr. Batra. In the initial remarks, you said that VAM prices in Q4, the average consumption price was about \$900 per MT. Sir, what is it currently? I mean from the average of Q4, has it gone up?

Sandeep Batra: No, it is at the same level, Sonali. It is, by and large, at the same level. Yes, it is the same.

Moderator: Next question is from the line of Avi Mehta from Macquarie.

Avi Mehta: I just wanted to clarify the understanding, and sorry to belabour on this, but the way I should look at the next year is while 1Q might have some disruption, it is more a transient impact, which will be offset by the remaining quarters. And we remain focused on driving that double -digit volume growth guidance .

Bharat Puri: Absolutely right, Avi.

Avi Mehta: And second, sir, is it also fair to say that the realization decline that we've been having about 5% or so, that's kind of coming into the base. So from here on, that number should also trend down or actually become 0. Is that the right way to look at that ?

Bharat Puri: I would say the right way is from the second quarter onwards, I would say. Then we

would have cycled everything. But on a broad basis, I would say, in the year, yes, with the exception of the first quarter, you will find that our values and volumes will match. And if there is any inflation, then we will come back to you on what we need to do on pricing.

Avi Mehta: Got it, sir. Perfect. Very clear. And the second, which was just a clarification. In the other expenses, the increase is largely because of timing of the ads spend only, and is there any one-off?

Bharat Puri: No, largely around advertising, our A&SP, sir. See, you have to just remember because our big quarters are quarter 1 and quarter 4. A lot of our big ads, etcetera, start getting produced in quarter 4 of the previous year.

Avi Mehta: Okay. So it's a production cost that comes in here.

Bharat Puri: In the next 15 days, we have been asked a lot by the market, "Where is the new Fevicol? We haven't seen the new Fevicol campaign for some time." So wait till the 15 days, Avi, and you'll see where we spend the ad money.

Avi Mehta: Perfect, sir. And sir, any innovation, new launch, which we would like to highlight, which you have done, or we are in this quarter? Or that's something that will come along with the communication in the first quarter?

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Bharat Puri: No. Actually, for example, I'll talk about 3 innovations, all 3 of which have got off to a really good start in the market.

The first is in Fevicol, we have launched a nail-free sealant. It's called Fevicol Ultra, which is therefore a sealant, which is in a plastic canister. It's got off to a great start. It is now becoming the sealant of use, basically replacing nail as well as replacing any screws. And actually tracking above our action standards.

We have also launched a super-premium variant of Fevicol called Fevicol Hiper Star, which also is out in the market to a good reception. But as I said, you know that I'm always conservative. And I only declare success of anything at least when I see it for 12 to 18 months, but these are

both off to a good start.

If you see our whole Fevikwik range, we have now expanded the Fevikwik range, and we have price points of INR 5 to INR 75. So there is a Fevikwik. There's a Fevikwik Gel. Fevikwik which is used when a surface may get wet. Fevicol that you use when surfaces have to be bent and it's flexible. So obviously, we've done good consumer work, understood some unmet needs and, therefore, expanded the Fevikwik brand. So you've got a whole range of products under Fevikwik. In fact, right now, it's available across modern trade, quick commerce as well as the top-end outlets.

Similarly, in waterproofing, we've got a range of what we call economy exterior coatings, which are waterproof coatings, which have just been launched under the Raincoat Neo brand. That has also got off to a good start. In art material, we've relaunched a small brand called Glue Drops, of which you would have seen some advertising. So we've always maintained, in Pidilite, innovation is one of our differentiators and strong drivers of growth. And my push to my teams always is that 1/3 of our growth must come out of innovation. We are very close to that figure.

Moderator: Next question is from the line of Arnab Mitra from Goldman Sachs.

Arnab Mitra: My first question was actually on your noncore businesses and also on waterproofing.

So if you could help us in the full year FY '24, how much did these businesses grow?

And if there is any broad sizes you could share on, let's say, tile adhesive, Araldite, maybe some of those homegrown businesses? From here on, do you see these businesses continue to track at the high growth you have had in the last couple of years? Or are they making a scale where the growth rate could slow down a little bit in this part of the portfolio?

Bharat Puri: So if I look at 3 businesses. I will first look at Roff, which is the tile adhesives business; Araldite; and maybe ICA Pidilite, which is the super and premium end wood finishes.

Frankly, on all 3, we still have a large runway for growth. They have all grown at very

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healthy rates. I mean just to give you a perspective, in February, we inaugurated our 11th tile adhesive plant close to Lucknow for Roff. Now Roff has obviously become an extremely, I don't want to share figures because that wakes up my competitors and gets them overexcited for no reason.

So all I can tell you is whether it is Roff, whether it is Araldite or whether it is ICA Pidilite and ICA Pidilite, since it's a subsidiary, you will see its results separately and in our annual report. But you will see that all of these businesses are continuing to be strong growth businesses, and in our way of thinking, we still have a 3 - to 5-year runway for growth before we can even call them like core businesses by any stretch of imagination.

Arnab Mitra: Understood. And on waterproofing, have you seen any change in the growth profile?

This is a category which obviously has had more competition in the year. Just qualitatively, did this grow significantly below what the overall growth rate is? Is it something that is dragging on the growth rate overall?

Bharat Puri: No, actually, not for us. For us, it is growing very healthily and strongly. In fact, what is happening is, there is a very loose definition of what is waterproofing in the current state. Each and every person likes to look at waterproofing the way like the paint companies now have started counting their exterior paints in waterproofing. They've even started counting some primers in waterproofing because they'll call them damp proof primers, etcetera.

But having said that, given again the scope for growth, I mean consumer research

ch tells

us even now that 4 out of 10 homes are doing any form of waterproofing. The job for any good company is to keep expanding that pie while making sure that obviously, you are keeping your share and your salience and which we are continuing to do for us.

Waterproofing is still a strong driver of growth. We are not looking at it being anywhere near a core category, at least for the next 5 years.

Arnab Mitra: Understood. And my last question was on the rural distribution expansion, especially PKD. So what we have seen in mostly in rural expansion is there is a certain point afterwards, it's not economically worth going deeper. I think you were adding almost 1,000 PKD per quarter. Do you see that scope going ahead also for the next 1 or 2 years? Or at this level, you will probably consolidate and try to increase the traction in that channel?

Bharat Puri: See, we keep actually doing both. We have a concept called the Adarsh PKD, where a PKD meet standards, we keep shuffling. But I must tell you, these 13,000 PKDs are still only in 8 states. So we still have a long runway for growth.

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Arnab Mitra: Understood. On the television interview, you mentioned that in your categories, the benefit of the real estate cycle comes with a couple of years lag, would you say currently what you're seeing in terms of demand has any reflection of the pickup or that's something which will happen a year or 2 down the line? I am asking this because the growth rates have obviously picked up, but there are a lot of initiatives you have taken. So would you ascribe it more to the macro pickup? Or that's yet to kind of come?

Bharat Puri: No, there is part of the macro pickup that is definitely happening because there was a lot of unsold real estate, and a lot of real estate that was in limbo, which has all got completed. Well, there is also a boom in new projects. I mean those of us who live in Bombay know that you pick up the Times of India, the first 4 pages are just announcements on new projects. All of this will benefit us in years 3, 4 and 5. It will benefit us in waterproofing in year 2, but otherwise, 3, 4 and 5.

Moderator: Next question is from the line of Tejash Shah from Avendus Spark.

Tejash Shah: Congrats on good volume growth. Sir, you partly answered this question on previous question. But the part of the tailwind that we are excited about in coming 3, 4 years is already playing out as we speak because mathematically somewhere, the real estate cycle kind of picked up from October 2020 or 2021, around the fourth quarter of 2021. So do you believe that it will accelerate further from here? Or do you believe that we are in the midst of that cycle, and we are already kind of eating fruit of that cycle?

Bharat Puri: That's a great question, Tejash, but very difficult to say because when I talk to real estate developers, they are saying this is just the start. We're only 1/4 of the way in the cycle. Having said that, I must say that when I look at, for example, forget the Bombay's, Bangalores and Gurgaons, but even if you look at the next stage, the number of new projects coming up, it does appear that the cycle will be a much longer cycle than we think.

Tejash Shah: Got it. Sir, second question, I heard you earlier today on TV, where you mentioned that we are creating kind of a leadership bandwidth, but I was just wondering that company of our pedigree, be it in paints or jewellery or FMCG, we have not seen such structure of leadership. So just wanted your thoughts or insights around why are we creating the structure? And what are we trying to kind of achieve in 3, 5 years or incoming period with this?

Bharat Puri: Abs

olutely. That's a great question. See, what distinguishes us from similar -sized companies or even a little bigger companies, having again spent time in both paints and FMCG, most of these remain 1, 2 or 3 category companies. We are the only company given the nature of our pioneering business model that we have 37 different

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verticals and 37 different categories. Our belief is, given that take all the projections, whether it is 7, 10 or 12 years, if the Indian economy is going to double in this period of time, we're going to add a new India to us between in the next dash number of years, and what we've done in the first 70 x years of independence and in our belief by then, we will probably have 60 verticals. We therefore felt that it is necessary for us to prepare for the future, put a structure which is therefore, cognizing of this future and actually helps accelerate this future rather than struggling to catch up. And that 's why you know this structure that we've gone into.

Moderator: Next question is from the line of Sohil Kaura from ICICI Securities.

Sohil Kaura: So just following up on your A&P expenses, you said there's a 70% growth, which roughly translate to about 3.8% of revenue. So is this the kind of run rate that we are looking going forward as well?

Bharat Puri: Yes. We have always said that we obviously assess according to requirements and how many new categories, etcetera, we are getting into. But we are very comfortable at the rate of between 4% and 4.5%. So I suspect we are in the right ballpark as we would say.

Sohil Kaura: All right, sir. And you earlier mentioned that for the full year, you had a double -digit underlying volume growth. Would it be possible to quantify that for the stand -alone, the C&B segment and the B2B segment as well?

Bharat Puri: Yes, yes, absolutely.

Sandeep Batra: I think the growth in B2B was 12.2%. In the case of Consumer and Bazaar, it was 10.5%. And the cumulative for the company was in double digit, 10.5%.

Sohil Kaura: 10.5%, And sir, finally, on your capex guidance, does it still remain at around 3.5% to 4% of the revenue?

Sandeep Batra: Between 3% and 5%.

Bharat Puri: Absolutely, yes.

Moderator: Next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: Congratulations for the good set of numbers. A couple of questions. Sir, first, basically, can you indicate, on a 2 -year CAGR basis, the underlying volume growth number, please?

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Bharat Puri: See, on a 2 -year CAGR also, the number is close to double digits, so the 4 -year CAGR, it is 13%. So we have now actually, over 4 years, our underlying volume growth is double digits.

Ritesh Shah: Is it possible to break it up, say, for 2 years, if you can?

Bharat Puri: I'll just give it to you for 2 years, approximately, Consumer and Bazaar is 13.5%; B2B is 16%; and the total is 15% for 4 years.

Ritesh Shah: For 4 years, okay. That's helpful. Sir, secondly, I just wanted to pick your thoughts when you say rural is growing faster than the urban. What are the underlying variables that we are looking at?

Bharat Puri: See, remember, for us, the biggest variable is our categories are underpenetrated. See, if I was a soap or toothpaste or a toffee or a chocolate, I don't have to teach people how to use my product. But when I'm doing waterproofing or I'm getting furniture made or I'm now doing tile adhesives or I'm now getting things to

be stuck together, there is a substantial amount of effort I have to put in, in educating and training both users as well as consumers.

This is a decision we took. Those of us who have been Pidilite watchers for long about 7, 8 years ago, we set up a new division called Emerging India with 2 sales forces, one that deals with the trade and services the trade and one that actually just creates demand. All of this we put into place with our initiatives around Pidilite Ki Duniya, Dr. Fixit centers, etcetera, etcetera. All of that has been paying us actually over the last 3 years. For the last 3 years, for us, rural growth has always been higher than urban growth.

Ritesh Shah: Sir, the reason to answer, sir, you also indicated that there will be near-term softness because of a few variables. Now technically, given everything that you just indicated, we could continue to see pretty decent growth like what we have seen in the last year. So just trying to rehash the question, like are there any specific variables that you actually keep an eye on?

Bharat Puri: Actually, that statement has actually got pulled out of context. What we were just saying is –in the very near term in the next 1 month, categories like us see a disruption due to the election because of movement of material, movement of goods, cash availability and people, labor availability all becomes an issue. Logistics at times becomes an issue. So we see, as always in our categories, a certain amount of variability or a certain amount of softness during an election time. Frankly other than that, if you'll ask me for the full year, are we optimistic about there? Absolutely, yes.

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Ritesh Shah: Sure, sir. Sir, second question is on VAM and VAE. One of the other listed players, they're actually backward integrating. What sort of impact do we see on the cost curve for them, and hence, it will indirectly have a bearing on how we position our products in the marketplace? How are we looking at mitigating this particular aspect?

Bharat Puri: See, that's a good question. But remember, we have made VAM ourselves in the past as have other manufacturers. Up to now, as far as VAM is concerned, the economic size of a plant worldwide does not justify a plant in India. We have obviously looked at this. But obviously, people have done other work. The fact of the matter is, we buy from the largest players in the world. We are in touch with them. We've got working with them. And therefore, we do not believe there will be any substantial advantage of making VAM domestically as compared to procuring it internationally, even with minimal import duties.

Ritesh Shah: Sure. That's helpful. And sir, just last question, you indicated we have 37 different verticals and categories. Just a broader question, to what extent do we cross-sell amongst those verticals? If you could give a broad number on percentage of our total revenues are across verticals, some way to understand this, that would be great, sir.

Bharat Puri: See, what we do is we obviously convert our sales into common, what we call, PD points for dealers so that they get a benefit of being a Pidilite dealer. We do work with users. And obviously, across divisions, we keep conducting seminars, there are products that are sold with our sealant sales. Sealants are sold by 3 different divisions. So on a regular basis, we keep doing that. Very difficult to ascribe a percentage because one division selling the other, so on and so forth and the other one selling another division's products, so very difficult. But the fact of the matter is, as we look at channels, obviously, we try and make sure that we cover all channels.

R

itesh Shah: Okay. But sir, if you have to look at bundling, is it something which is possible across verticals? Do we do it? Or is it something which is work in progress?

Bharat Puri: We do it when the channel is common. There, we do it. But remember, we go across 6 or 7 completely discrete channels, which have very little overlap with each other.

Ritesh Shah: Okay. Sir, possible to quantify some numbers over here on any categories where we actually do this?

Bharat Puri: So see, again, remember, I'll give you an example. Now when we deal with architects, interior decorators, and large contractors, we have a separate division called One Pidilite. So the person therefore, as far as the architect or the contractor is concerned, he has got one key account manager, who deals with him. And whether he does

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waterproofing, whether he puts styles, whether he makes furniture, any of these needs are met by that one key account manager.

Now different divisions may bill him, but it's done all by one fellow. So that's why I'm saying it's very difficult. But I would say there would at least be anywhere between 400 and 600 large dealers in the country who would be selling more than 3 Pidilite divisions.

Ritesh Shah: That's helpful. And sir, last question on paints. You indicated that you will indicate whether it's successful or not after 6 months. Possible to indicate the yardstick that you are looking at over here?

Bharat Puri: We are clear as we said, we want to A/B in an area where we believe we have a right to win, which is small town and rural India. There, we want a viable position, which is self-sustaining and profitable. So just wait and watch it. Then we will come back and tell you when we do that.

Moderator: Next question is from the line of Ashish Kanodia from Citigroup.

Ashish Kanodia: Just one question. So in FY 2024, we have seen sustained higher investment in branding and customer-facing initiatives, and that kind of helped in double-digit UVG. So when you look into FY 2025 with the ambition and target of double-digit UVG, do you see this accelerated or higher investment in branding and customer-facing initiatives continuing in FY 2025 as well? Or do you believe that the levels which we have seen in 2024 is ample to drive that double-digit growth?

Bharat Puri: See, obviously, you will not see the level of increases that you have seen in the last year, right? We believe we are plus/minus 10%. We've always felt that the ideal number for us to achieve our growth objectives is anywhere between 4% and 4.5%. So we are largely already there.

Ashish Kanodia: Sure. But apart from ad spend, is there any other expenses where you are investing maybe in terms of dealer margins, etcetera? Are there any other items as well where there's a push to drive higher growth?

Bharat Puri: Yes, there is a whole set of measures, Ashish, across the board. I mean while you see the consumer advertising, we actually spend, of our advertising, pretty much half on the users. So whether it be a carpenter, a mason, a plumber, a coating contractor, a tile layer, we have loyalty programs. We have various incentives and, obviously, a lot of education for each of these. We have obviously programs for dealers, both across divisions and within divisions. We have, therefore, a whole set of initiatives. We are

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obviously investing in route to market, so whether it be in terms of distribution

points,

number of people, demand generation.

On a consistent basis, what we call customer-facing growth investment is something, at Pidilite, we never skimp about because we are clear believers in the future. And we don't like, therefore, worry about 1 or 2 quarters of cost to be able to make sure that we are on the right track.

Ashish Kanodia: Sure, sir. And just maybe one more follow-up. You touched upon the volume and value

growth. Now when you look at the current pricing versus where other players might be, do you see there is still some scope to take a pricing action more to drive higher volume growth and gain market share?

Bharat Puri: Absolutely. As it looks from where we are sitting, it seems very unlikely that we will see any further moderation in input prices. And there is a certain amount of price equilibrium between us and our competition. So frankly, unless there is some, again, black swan event, you will not see any further reductions in price as far as we are concerned. In fact, in the second half of the year, if crude or there is some inflation, then we will look at pricing action to the other side.

Moderator: Next question is from the line of Bharat Sheth from Quest Investment.

Bharat Sheth: Congratulations on good set of numbers. Sir, on our slide number 18, we have seen on 1 category, growth category, which is emerging category with significant potential, and we expect to grow at 2 to 4x of GDP.

So can you give some more color, which are those brands? Or how much does it contribute to overall our top line? And how do we see in next 5 years this growth business to be part of the business? And is it the same when we have created several leaders in our company?

Bharat Puri: See, remember, the whole Pidilite model is, a, look at pioneer categories, turn them into growth categories and then look at growth categories and turn them into core categories. Now if you take, for example, something like tile adhesives, 5 years back, we would talk about it as a pioneer initiative. We had just started on the journey, so on, so forth. Now today, it is very clear to be a growth initiative. I mean forget 2 to 4x GDP. If I look at over the last 4 years, the business has actually gone up about 8 to 9x. So therefore, we are very clear that we will keep identifying categories, make sure that we get consumer validation for those categories and turn them into growth categories. So whether it is Roff, whether it is Araldite, whether it's our joineries businesses, each Pidilite Industries Limited

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of these, in our view, are strong growth categories. And of course, the largest growth category still remains waterproofing.

Bharat Sheth: All right. Sir, just some kind of a sense how much has this growth category currently contribute to top line?

Bharat Puri: Not to top line. I can tell you that when we started on this journey, pioneers and growth categories were 20% of our business, and 80% was core. We are now at 55% - 45%. 55% is core, and 45% is growth in pioneers.

Bharat Sheth: Okay. And EBITDA-wise, also, is it fair understanding it is in the same range or some maybe because where ASP requirement in growth and pioneer is higher?

Bharat Puri: What we do, Bharat bhai, is we don't worry about the EBITDA of these categories of the initial type. But we worry about the gross margin. The gross margins will be similar to our other categories, but we will obviously invest a lot more in these categories via both sales force as well as the ASP as well as below the line. So the EBITDA may not be same because obviously, these are fast-growing children that require a lot more nutrition than grown adults. But overall, we make sure that they are a

little at a gross

margin where when they reach a certain size, they are equal to the other categories and not disadvantaged in anyway.

Moderator: Ladies and gentlemen, this was the last question for the day. I would now like to hand the conference over to the management for the closing comments.

Sandeep Batra: Thank you very much to everybody for joining the call and for your continued interest in Pidilite. Wish each of you a very good evening and a great year ahead. Thank you.

Moderator: Thank you very much. On behalf of Prabhudas Lilladher Private Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

(This document has been edited to improve readability)

Call: Aug 2024

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14th August, 2024

The Secretary The Secretary
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Stock Code – 500331 Stock Code - PIDILITIND

Sub: Transcript of the Earnings Call

Dear Sir,

We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on 8th August, 2024.

A recording of the transcript is available on the website of the Company viz. www.pidilite.com .

Kindly take the same on records.

Thanking You,

Yours faithfully,

For Pidilite Industries Limited

Manisha Shetty
Company Secretary

Encl: as above
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"Pidilite Industries Limited
Q1 FY'25 Results Conference Call"
August 08, 2024

MANAGEMENT : MR. BHARAT PURI – MANAGING DIRECTOR – PIDILITE INDUSTRIES LIMITED

MR. SUDHANSHU VATS – MANAGING DIRECTOR

DESIGNATE – PIDILITE INDUSTRIES LIMITED

MR. SANDEEP BATRA – EXECUTIVE DIRECTOR,
FINANCE AND CHIEF FINANCIAL OFFICER – PIDILITE INDUSTRIES LIMITED

MR. DHARMENDRA LODHA – SENIOR VICE
PRESIDENT , FINANCE – PIDILITE INDUSTRIES LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Pidilite Industries Limited Q1 FY'25

Results Conference Call, hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing * and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: Hi, everyone. Good evening. It's our pleasure and privilege to host the results call for Pidilite Industries Limited. From the company, we have with us Mr. Bharat Puri, Managing Director; Mr. Sudhanshu Vats, Managing Director Designate; Mr. Sandeep Batra, Executive Director -Finance and CFO; and Mr. Dharmendra Lodha, Senior Vice President, Finance.

I'll hand over the call to the management for their initial comments, and then we'll open up for Q&A. Over to you, sir.

Sandeep Batra: Thank you, Percy, and good afternoon to everybody on the call. I'll keep my opening remarks brief so that we have enough time for Q&A. I'll take you through the headlines of the results for the first quarter, which were approved by the Board yesterday.

For the quarter, we reported underlying volume growth of 9.6% with Consumer and Bazaar (C&B) businesses growing UVG by 8%, whereas our Business to Business (B2B) businesses reported strong UVG of 18%, driven by both domestic and export segments.

Our growth in Emerging India continued to be higher than in urban markets. Value growth lagged UVG due to pricing actions taken as a result of softer input prices. But as you would have noticed, the gap between value and volume has been narrowing. Gross margins continued to expand year-on-year on account of moderation in input prices. And for the quarter under review, improved by 465 basis points over Q1 last year. EBITDA margins for the standalone entity at 24.6% were higher than Q1 last year by 187 basis points.

VAM consumption in the quarter was \$1,022 a ton versus \$1,137 in the same period last year. We continue to invest in our brands, upgrading and building new manufacturing facilities and expanding our distribution network. The working capital situation remained healthy, and in absolute terms, was lower than March '24, which resulted in strong cash flows.

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Consolidated revenues for the quarter were INR 3,384 crores, and if you adjust for the fact that in last year, we had the Brazil and the U.S. businesses, but excluding those from the base period, the net sales growth is about 6%. International subsidiaries,

again, excluding Pidilite USA and Pulvitec in last year's numbers, revenues grew by 9%, along with an EBITDA margin improvement by 190 basis points. Domestic subsidiary revenues remained flat. However, margins continue to remain healthy.

We continue to increase our distribution touch points across India, both in urban and rural markets, along with effective use of digitization and analytics. That's about it in terms of opening comments, I now open the floor for question and answers.

Moderator: The first question is from the line of Abneesh Roy from Nuvama.

Abneesh Roy: Congrats on a good set of numbers. My first question is on the Kerala market. One of the paint companies said that they and

all the paint players saw very muted demand, in

fact, dip in volume in Kerala, a significant slow demand. Would you have also seen a slow demand in Kerala or any of the states in Q1, because your overall volume growth is quite healthy? I wanted to check if there is any issue in Kerala or any of the markets?

Bharat Puri: Good to hear from you, Abneesh. Yes, Kerala vis-à-vis other markets has been soft.

There is clearly an issue of demand in Kerala vis-à-vis the normal buoyant conditions.

So I would say, yes, there has been a demand issue in Kerala. The magnitude of the demand issue may differ from company to company.

Abneesh Roy: And any logic you are able to put there because the paint companies are saying they don't have any specific reason for this. Because why I'm asking this, this could go to other markets also. Because generally, in India, we don't see a slowdown being there for a long time in any of the markets. So, any reasons you are able to pick up?

Bharat Puri: See, right now, Abneesh, I would just say we are hearing all kinds of anecdotal reasons.

Kerala as a market has always been dependent on the large amount of foreign remittances coming to the market from a variety of geographies. A. That, and the government itself spending are being cited as reasons but frankly, I won't go there. I

would just wait and rather the real time is now when Onam comes in August, September, if the same thing continues for the next 3 months, then we would worry. I mean, right now, let the monsoon in Kerala subside, then Onam comes, then the festive season is on, and Kerala normally has Onam to pretty much March as a good season.

So that's when we look at the market.

Abneesh Roy: Sure. My second question is on your CNBC interview. So you mentioned that your exterior new product is being launched, which is somewhere in the bridge between paints and cement. Could you talk more about it because this clearly is a very

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differentiated product with very long shelf-life durability for the customer also. So in terms of pricing, etc, what is the addressable market you can have from this over a longer time frame. Of course, this will take time I understand that. But longer time frame, how big can this market be taking cue from developed markets?

Bharat Puri: See, Abneesh, we have just started piloting into geographies, and we are obviously wanting to answer the same question that you are asking, namely, A) how big can it be? B) are there any application issues specific to India? C) what's the best demand generation module? D) what's the best-selling module? So, it's very early days, ask the same question I would say 6 months from now and I'll give you good answers. But I mean, if you look at markets like Southern Europe, whether you look at France or you look at Italy or you look at Spain, this is like up to 15% to 20% of the exteriors market.

Abneesh Roy: That's quite helpful. I'll ask this again after six months.

Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies.

Sonali S.: Thank you for the opportunity and congratulations on double-digit UVG yet again, third consecutive quarter, I guess. So, my first question is regarding the price rollbacks. We saw around mid-single-digit price rollbacks in FY24. Have we taken any pricing action in Q1? Or do we anticipate it to take any further?

Bharat Puri: Good to hear from you, Sonali. As of now, in the first quarter, we have not taken any significant pricing rollbacks. What you are seeing is really the impact of what we have done over the course of all of last year. As far as further pricing cuts is concerned, as I said, in this current geopolitical world, now what happens 3, 6 months

from now, we

will have to wait and watch, if there are significant reductions in input prices, we would definitely look at price reductions. But from where we sit now, it doesn't appear that

it's going to go much lower. But again, then these days, it's far better to really fly the plane visually than plan 6 months in advance.

Sonali: Understood. Very clear. Sir, if I may just ask what is the VAM price currently? Sandeep sir did talk about the average of the quarter, but currently, what is the VAM price?

Bharat Puri: Currently, the VAM price is fluctuating because one of the big guys had a force majeure, so on. I would say it's between \$850 and \$1,000 depending on where you are.

Sonali: Understood. Sir, and my second question will be on any update on our NBFC business?

Bharat Puri: On the NBFC business, as per plan, what we told you it is just rolled out, we have started, we have given out our first set of loans, the same parameters remain. It is in Pidilite Industries Limited

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one city, one geography as a pilot with a limited amount of capital. We will give it about 6 months in the pilot and then come back to you and tell you fellows what we want to do with this, if you want to do anything.

Sonali: And my last question will be rural versus urban. Now yes, we have termed rural as Emerging India, and the growth in Emerging India has outpaced urban yet again. So, could we understand exactly which of the spots in rural or probably, whether it is C&B or B2B that are growing well? Any color on rural growth would be really helpful.

Bharat Puri: See, as far as rural is concerned, it is primarily B2C. There is very little B2B that is in rural/semi-urban. And as far as we are concerned, we have always maintained we find there is substantial penetration opportunity still that exists for our products and there is also a substantial range incremental opportunity that still exists for our products. We have continuously, therefore, resourced to rural India.

And now you would see this is the eighth quarter where we have had double-digit growth in rural India. So as far as we are concerned, all the efforts and the focus that we have put in, I mean, to give you a little statistics, we now have 14,000 Pidilite Ki Duniyas, where now currently in a situation where villages below 10,000, we are now covering about 28,000 villages directly.

So, there is a substantial amount of effort that we are putting in, and that effort really is the one which you would see now over not 3, 6 or 9, but over 24 months is yielding us results. And frankly, as we look at it, in the next 2 years, we would look at rural outpacing urban.

Sonali S.: This is good to know, thank you and all the best.

Moderator: The next question is from the line of Divyata Dalal from Trident Capital Investments.

Divyata Dalal: Congratulations on the good set of numbers. Sir, my question pertains more to our capex and capacity utilization. So, on a longer duration if we see over the last 5 years, we have done almost INR 2,000-odd crores worth of capex versus the INR 1,000 crores in the previous 5 years stood at, that is FY'15 to '19 versus FY'20 to FY'25. So we've seen that the asset turnover has started to come down. So I would like to understand from you, has the nature of capex changed or what would be the normalized level of asset turnover that we are looking?

Bharat Puri: I think that's a great question, Divyata. I must tell you that your analysis is correct. Basically, 2 things have happened. On our core categories, you remember as a matter of strategy, we have consistently said to grow core at 1x to 2x GDP, Growth 2x to 4x and keep adding 1 to 2, pioneer categories 5-year, because COVID in

the middle

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actually became a little bit of a stop. We have added a lot more capex for our newer categories, whether they be tile adhesives, whether they would be tile grouts, whether they be marble glues.

So therefore, what has happened is if you compare the '15 to '19 period, a large part of that capex is really around core and a little bit of growth. In '19 to 24, it is now core

growth and pioneer, and therefore, you are seeing a much larger asset base. Obviously, you are also seeing a much larger turnover. And therefore, as far as we are concerned, we are now in a stable equilibrium place, where you will find us spend capex between 3% to 5% of sales every year as long as we maintain our double-digit growth ambition. Divyata Dalal: Okay. So has the nature of capex changed such that we will not be going back to the earlier asset points? And this will be the new normal? Is that true?

Bharat Puri: No, that is not true because what will happen is, some of these pioneer categories may take a little longer. In the end, our objective is to grow these at a far faster rate than the core. So, over a period of time, you will see because of the lumpiness that happened because of almost 2 years of non-activity because of COVID, you are seeing part of this, but this will all equalize over the next 2 to 3 years.

Divyata Dalal: Okay. Got it. That's very helpful. And what would be your current capacity utilization?

Bharat Puri: See, it's very difficult for us to give you capacity because you remember, we operate across 30 different verticals. To give you back of the envelope, we remain between 70 and 75. The moment, we crossed 75, we start looking at fresh capacity. So as we speak, actually 20 of our current plants are undergoing some form of brownfield expansion. So I mean, this is a constant process with Pidilite simply because of the wide variety of home improvement products and the range that we make.

Moderator: The next question is from the line of Latika Chopra from JPMorgan.

Latika Chopra: My first question was, if you keep the pricing where it is right now, how soon can we expect overall pricing growth to become sluggish of inflationary impact?

Bharat Puri: Latika, firstly, always good to hear from you. As far as pricing is concerned, if we keep pricing at the current levels, and we don't have any massive volatility or major volatility in raw materials, starting the second quarter, but definitely by the second half, you will see value and volume converge.

Latika Chopra: All right. The second one was any color that you can share with us on your paints foray. Anything more that you can talk about? It's been many more months since your initial launch?

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Bharat Puri: As we said, Latika last time, give us a little more time on paints because company with our sales and distribution network and reach just through a channel field, you will always see good results in the first 6 months. I would be best equipped to answer this question after these markets have gone through one festive season and we see where we settle.

Having said that, we are happy with our progress, but we have always maintained that, listen, we are not entering this ring with all the big bang and fighting with the 300-pound gorilla, we will go about it our way organically. Where we are, we are happy with where we are.

Latika Chopra: We saw a flattish revenue growth. If you talk about domestic subsidiaries, we think about what's happened

d in Q1? And what do you anticipate in coming quarters? The domestic subsidiary.

Bharat Puri: Okay. See, as far as domestic subsidiaries are concerned, again, this is because of massive, more of the heat wave and some part of the election. But frankly, by the second half, you will see them all normalize because demand conditions will continuously improve. I mean the festive season really comes on from September onwards. So, to my mind, we are not a cause of concern or worry as far as we are concerned.

Moderator: The next question is from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: Sir, so we have always held that we will keep a margin band of about 20% to 24%. Now this quarter, we are at the top end of that band almost. How do you see it for the rest of the year? If basically, you are saying the input costs are quite stable. And in that case, your pricing will also remain stable. Should we interpret that the Q1 margin will more or less continue for the remainder of the year?

Bharat Puri: That's a good question, Percy. Good to hear from you. See, we have always maintained that we will be in that range. The way it looks right now, we may be at the higher end of the range, but 9 months is still a long period of time. What's going to happen, geopolitically, what happens to oil price, so on and so forth? Let's play it quarter by quarter. As of now, as we said, we will be in the 20% to 24% range, probably a little

more at the higher end. But as we see signs of stability, we will invest back more aggressively for growth.

Percy Panthaki: Okay. But is there any particular seasonality this quarter, which causes the margin to sort of be on the higher side? The reason why I ask is that sequentially, that is versus March quarter, your EBITDA margin has shot up quite a lot.

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Bharat Puri: See, there is always some element of seasonality, some element related to advertising and promotional spends. But, we don't manage the costs on a quarter-to-quarter basis, we will obviously manage them strongly on a year-to-year basis. Where we think we are confident that we will be in this range, probably at the higher end of the range, if everything remains benign. But if we are finding that there is a certain amount of softness in input prices, we will take both pricing and aggressive actions in the market to take volume growth up.

Percy Panthaki: Got it. My second question is on the core, pioneer and growth categories. So could you give me a rough sense of what the percentage contribution to the overall revenue, each of these 3 categories has today? And how it has changed versus, let's say, 5 years ago?

Bharat Puri: See, I would say when we started on this journey, Percy, we were 80-20, 80 was core and 20 was growth and pioneer. We are now close to 55-45.

Percy Panthaki: Okay. And this is over how many years?

Bharat Puri: Over the last 7 to 8 years, I would say.

Percy Panthaki: Okay. And again, within the core and pioneer, would I be right in assuming that between growth and pioneer, the pioneer would be significantly smaller than the growth categories?

Bharat Puri: Absolutely, because the moment the Pioneer category in 3 years, touches INR 100 crores, it becomes a growth category. That's why we clubbed the 2 of them together.

Moderator: The next question is from the line of Jay Doshi from Kotak.

Jay Doshi: Could you explain us a little bit about your B2B portfolio, and typically, what is the visibility you have in this business? For us, a lot of that is kind of black box, our ability to predict forecast is limited. And how should we think from a 2- to 3-years perspective, will the growth rate be broadly similar to see Consumer and Bazaar,

or do

you expect it to grow faster? Or you think overall medium term, the growth rates can be probably lower than Consumer and Bazaar?

Bharat Puri: See, that's a great question, Jay. Always good to hear from you. As far as B2B is concerned, very broadly, we define the B2B business, we also have a core growth pioneer for B2B, but for the purposes of simplicity, we have 3 large verticals. One is what we call industrial adhesives. One is what we call, pigment and paper and textile emulsions, which is the pigments division, which is the second part of the business. And the third is the B2B project business, which is largely waterproofing and a certain amount of other project businesses. These are the 3 right now, when we look at it, all

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3 are growing healthily. The strong comeback has been from the pigments business, largely because if you remember in the same quarter last year, it was challenged.

So I would not definitely say that this 18% growth will not continuously repeat itself. But we are very clear that not only this year, but on a 2 to 3 year basis, as we keep transforming this portfolio into a more value-added portfolio, the objective here also is very clearly double-digit underlying volume growth.

Jay Doshi: Understood. That's helpful. Could you also give some color on your international exports. What are the opportunities? How do you think from the medium-term perspective, especially Africa as the market?

Bharat Puri: See, we have always maintained that, we have a very simple strategy. We will perfect the model in India, and then we will do a cut, copy, paste to other markets which is

what we are doing in markets of Africa, the Middle East, the neighbouring areas so on and so forth. Now we now have, in fact, have 2 factories and pretty much a large number of people in Africa.

Africa is growing substantially for us. In fact, now on a consistent basis over the last 3 years would have been a fast-growing geography. That is also true for the Middle East. So slowly and steadily in our neighbouring Indian subcontinent, the Middle East and Africa, we continue to grow in strong double-digit numbers.

Jay Doshi: Understood. Lastly, on the core demand environment in India, you remain as confident as you were maybe 6 months or a year ago, has anything changed in terms of the way you are seeing demand?

Bharat Puri: How I would answer this, Jay, is we remain as confident because there is no reason for us to not believe otherwise. But frankly, this question will be best answered in September. I know a lot of my colleagues across lots of sectors are all talking of quarter 2. But frankly, quarter 2 is such a small quarter, and there is such a strong monsoon. The basic indicators of good festive demand and where the new normal only emerges in September. We are all optimistic because there is no reason to see that demand should not be good given what we have seen in the first quarter. But having said that, if you ask me, where is my degree of confidence? I mean, I think we should ask the same question at the end of September.

Moderator: The next question is from the line of Rishi Mody from Marcellus Investment Manager.

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Rishi Mody: Sir, just on the other expenses front, I see Q-o-Q flattish other expenses, the last 5 years, normally, Q1 has always been higher than Q4. So just could you explain what's happened in that expense line item?

Sandeep Batra: So nothing in that sense, which is abnormal or

out of the ordinary. One of the biggest

chunks of this other expenses will be advertising and sales promotion expenses, which is something that we are continuing to dial-up as we see opportunities to build our brands and categories. But across whether you look at Q1 of last year or you looked at Q4, it's pretty much in the same trajectory. There's nothing abnormal.

Rishi Mody: Okay. So we have not conserved our ad spends for the quarter which we might reinvest in Q3?

Sandeep Batra: So we have already started, if you recall, increasing them in the fourth quarter last year, and that we have continued and had, quite honestly, it's not something that we plan on a quarter-to-quarter basis. It's something we plan for a longer period. And as our margin situation remains healthy, we will continue to step up investments behind our brands and categories.

Rishi Mody: Okay. Got it. Second question I had was on the rural front. A lot of our growth, what my understanding is it largely penetration line and hence, there would be a onetime sale that we would be doing when we open new accounts. So if you were to split the rural growth between what is an Same-Store Sales Growth (SSG) or what is a repeat rate from accounts open, say, in the last 1 year versus what's the growth from new accounts fresh selling.

If you could just guide that. And second, on the rural front, how much more do you envision that we got at a similar profitability or a similar ROCE level that we can penetrate in the rural markets?

Bharat Puri: See, firstly, Rishi, just let me clarify, 90% of our growth is same-store growth. The new outlets, etc. is less than 10%. So we still have a massive opportunity in penetration in existing markets with existing stores. So this is not a onetime where you are stocking an outlet. The fact of the matter is that the average rural consumer is unaware of a large amount of our range.

And therefore, we have a massive education opportunity, whether it would be in the area of glues, whether it would be in the area of waterproofing, whether it be in the area of tile adhesive, whether it be in the area of Araldite, which is an epoxy adhesive. So 90% of the growth, frankly, is same store. It is not new accounts, which are getting stocked up once, that is a smaller part. We obviously continue that process. The largest part is penetration in existing accounts and the increase in range in existing accounts.

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As far as your question, therefore, of the runway for growth, frankly, for the next 2 to 3 years, for us, rural will continue to outpace urban.

Rishi Mody: And what's this multiple, if I can ask, of rural on urban?

Bharat Puri: Our internal objective is 1.5 times.

Rishi Mody: 1.5x, okay. And finally, Mr. Bharat, I just wanted to get your view on the VAM pricing.

Right now we're seeing they are below Q1 levels as well, in Q2, \$850 to \$1,000 that you guided. In history, what has been the bottom for VAM prices? Or is it nearing bottom? And secondly, till what level can we sustain in the 20% to 24% EBITDA band without taking price hikes?

Bharat Puri: See, firstly, as far as the VAM bottom is concerned, when we speak to VAM manufacturers currently. In fact, the largest one of them actually declared a force majeure in its U.S. and Mexico plants because they found these levels itself not satisfactory. So I would say we are very near the bottom. This is very near the bottom. And as far as price is concerned, if it remains at this level, we are very comfortable with our 20% to 24% range.

And as we have always maintained, we have a very clear model on how much premium our products can afford. The moment we find the premium is going higher than that, we cut pr

ice because we are clear that profitable volume growth is our objective. And if it is going lower, then we look at pricing actions. Right now, obviously, we haven't found the need either to increase or decrease price, but let's see how the next 9 months unfold.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya: Congratulations to the team for good results. 2 questions. First, on the core category.

So of course, we have maintained growth in the range of 1x to 2x GDP growth. But just as a proxy to say, real estate-linked demand, have you seen any acceleration in the growth of core category, even within this range? Or I mean, any color on whether we are seeing this real estate-led demand in core category or even in the growth category per se?

Bharat Puri: Good to hear from you, Keyur. See, right now, remember, we are largely beneficiaries of the real estate cycle in larger towns in a T+3, T+4 years. The real estate move in most cases is in its second year. So we are seeing a substantial amount of inquiry. We are seeing some amount of institutional waterproofing sales because obviously,

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waterproofing takes place along with construction. But there is not a significant upturn in the other categories.

Normally, what we have observed in the past when real estate is taken off, its year 3 and 4 that give you a multiplier much stronger than years 1 and 2. So I suspect starting maybe the end of this year, beginning of next year, you will start seeing the multiplier as long as real estate continues to boom.

Keyur Pandya: Understood. So basically, the current growth rate is without those benefits and probably it would accelerate from here?

Bharat Puri: It's without a substantial amount of the benefit. There is some benefits on the waterproofing, definitely.

Keyur Pandya: Yes, yes, yes. Okay. Second, on this B2B side, so we are doing some, say, category or products addition to cater to, say, electronic or electronic vehicle-related demand. If you can just throw some more light, this or anything other than that, are we adding to our portfolio in this B2B category?

Bharat Puri: We are constantly adding to our portfolio, Keyur. We have tied up with a Chinese/German company in the area of electronic adhesives, which is just beginning off, we are in the initial stages. In some other areas, as and when the time is right, we will declare what we are doing. But obviously, we keep a very close watch on where

the market is going and whether we have a play in that part of the market and whether we can add value. So, you will keep seeing that happen.

Keyur Pandya: Okay. And just last question. probably may look repetitive, but at the end of the Q4 con call, you mentioned about double-digit volume growth for the full year with some deceleration in Q1. Now with Q1 having some challenges like heatwaves and election, if the volume growth is 8%, are we confident of the overall double-digit volume growth for the full year?

Bharat Puri: See, again, barring any black-swan events, that's our clear objective. I mean, we have clearly maintained that for us, success is profitable double digit. And remember, just for people on the call, I want to keep stressing, we measure underlying volume growth, which is turnover at constant prices. A large number of the home improvement companies, everybody reports total volume growth, which in a sense, therefore, advantages, people were selling cheaper items.

If we were to look at our total volume growth for the first quarter, our actual volume growth is 19% in terms of tonnage. But frankly, we don't believe that's fair, I think

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underlying volume growth is a far better indicator of real growth rather than total volume growth.

Sandeep Batra: And also, just to clarify, Keyur our Q1 underlying volume growth was 9.6%, not very far from the double-digit target that we have for the year.

Moderator: The next question is from the line of Bharat Sheth from Quest Investments.

Bharat Sheth: Congratulations on a good set of numbers. Sir, taking forward the previous participant question, as you say that core category real growth will start from real estate boom, end of say 3rd year or end of 2nd year. So does that mean that what we are talking of core category growth double of GDP, that will start reflecting from next year onwards?

Is that understanding, correct?

Bharat Puri: Good to hear from you Bharat. See, what we are seeing is, remember for us, between new construction and repair and renovation, repair and renovation is normally 2/3 of demand and real estate construction, etc, is 1/3 of demand. In that 1/3 of demand, what we are seeing, yes, that normally, what we found in the past is when there is a real estate boom in years 3, 4 and 5 of the real estate boom, you get a multiplier in terms of your product sales simply because that's when projects come for completion. So if there are no unforeseen events and the real estate boom continues, we will definitely see greater benefits in years 3, 4 and 5.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Sandeep Batra: Thank you very much. No specific closing comments. I wanted to thank all the participants on the call for their continued interest in Pidilite, and wishing each one a very good evening. Thank you.

Bharat Puri: Thank you so much.

Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

(This document has been edited to improve readability)

Call: Oct 2024

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30th October, 2024
The Secretary
The Secretary
BSE Ltd. National Stock Exchange of India Ltd.
Corporate Relationship Dept., Exchange Plaza, Plot no. C/1, G Block,
14th floor, P. J. Tower, Bandra-Kurla Complex,
Dalal Street, Fort Bandra (E),
Mumbai - 400 001
Mumbai - 400 051
Stock Code – 500331 Stock Code - PIDILITIND
Sub: Transcript of the Earnings Call

Dear Sir,
We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on
24th October, 2024.
A recording of the transcript is available on the website of the Company viz.
www.pidilite.com .
Kindly take the same on records.
Thanking You,
Yours faithfully,
For Pidilite Industries Limited
Manisha Shetty
Company Secretary
Encl: as above

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"Pidilite Industries Limited
Q2 FY '25 Earnings Conference Call"
October 24, 2024

MANAGEMENT : MR. BHARAT PURI – MANAGING DIRECTOR – PIDILITE
INDUSTRIES LIMITED
MR. SUDHANSHU VATS –MANAGING DIRECTOR,
DESIGNATE – PIDILITE INDUSTRIES LIMITED
MR. KAVINDER SINGH – JOINT MANAGING DIRECTOR,
DESIGNATE – PIDILITE INDUSTRIES LIMITED
MR. SANDEEP BATRA – EXECUTIVE DIRECTOR,
FINANCE AND CHIEF FINANCIAL OFFICER – PIDILITE
INDUSTRIES LIMITED
MR. DHARMENDRA LODHA – SENIOR VICE
PRESIDENT , FINANCE – PIDILITE INDUSTRIES LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Pidilite Industries Limited Q2 FY '25 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Percy Panthaki from IIFL Securities Limited. Thank you, and over to you, sir.

Percy Panthaki: Hi. Good evening, everyone. It is our pleasure to host the conference call for Pidilite's Q2 FY '25 results. I have on the line with me, Mr. Bharat Puri, Managing Director; Mr. Sudhanshu Vats, Managing Director Designate; Mr. Kavinder Singh, Joint Managing Director, Designate; Mr. Sandeep Batra, Executive Director, Finance and CFO; and Mr. Dharmendra Lodha, Senior Vice President, Finance.

I'll hand over the call to the management who will take you through the results, and then we will open up for Q&A. Over to you, sir.

Sandeep Batra: Thank you, Percy, and good evening, everyone. I'll keep my opening remarks brief and short. And I'll take you through the highlights of the Q2 and half year results, which was approved by our Board yesterday. The current quarter's revenue was INR 2,965 crores, 7% higher than same period last year with an underlying volume growth of 8%. As you would observe, the gap between UVG and revenue growth has narrowed. Demand for Consumer and Bazaar products was impacted by rains in the beginning of the quarter. Consumer and Bazaar UVG was 6% with rural markets continuing to outpace urban growth. The B2B businesses continued the growth momentum with a UVG of 21%, driven by industrial and project verticals. Input prices remained benign, resulting in a gross margin expansion by 280 basis points over the same period last year.

VAM consumption in the second quarter was around \$980 a ton compared to \$1,000 in the same period last year. EBITDA margins for the standalone business were at 24.6%, expanded by 143 bps over the same period last year.

For the first half of the current year, standalone revenues were INR 6,099 crores, and underlying volume growth of 9%, which was broad based across both Consumer and Bazaar with a UVG of 7% and B2B with a UVG of 19%. Gross margin in the first half also expanded by 380 basis points over same period last year and H1 EBITDA came in at 24.6% versus 23% last year. Resultant PAT growth for the half year was 19%.

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Our working capital situation remained healthy, resulting in strong cash inflows, and we continue to invest in upgrading and building new facilities and our distribution network. A quick commentary on the consolidated results. Consolidated revenue for the quarter at INR 3,223 crores was higher than same period by 7% after adjusting the revenues from Pidilite USA and Brazil subsidiary. Adjusting for that, the growth was around 5%.

Consolidated profit after tax grew by 18% over the quarter last year. And for the half year, PAT is up 19%. Despite challenging economic conditions across the first half, first quarter disrupted by elections and the second quarter because of extensive rains, we have delivered robust underlying volume growth as well as improved profitability. With that, that is all that I have by w

ay of opening remarks, I open the floor for Q&A.

Moderator: Thank you very much. Our first question is from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: So, my first question is on the demand side. So, we have seen FMCG companies this quarter call out urban slowdown. In your case, also, Q1, there was an impact of elections and heatwave, and it was 8% volume growth in C&B. This quarter, the volume growth is 6%. I wanted to understand how much of the impact of the rains in your portfolio in paints. It's a bit easy to understand because exterior paint, there's a

clear impact.

In your case, given the industries are quite diversified, and you have got different kind of products also. So, if you could tell us in the non-rain impacted portfolio, is the demand still more like double digits? And next 2 quarters, your base is on the double-digit side. So, it is on the higher side. So, do you expect that the double-digit kind of volume growth in C&B could come back?

Sudhanshu Vats: First of all, to you and to everyone on the call, Happy Diwali in advance and a very happy festive season. I think, a very good question. And I think you've been hearing this on demand side from multiple people.

I think, first and foremost, Abneesh, Bharat and I, we always keep reminding everyone. So, I just want to first remind, when you call volume growth, we are first talking here underlying volume growth.

If I were to give you the volume growth of our C&B business, which is total volume growth, that is still double digit. So, I think that's very clear. And basically, our overall is plus 15-odd kind of percent number, in terms of total volume growth. But if you look at underlying volume growth, which as all of you on the call understand is

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turnover growth at constant price, which takes into account both volume and mix and therefore, gives you the quality of growth.

To your very specific question, Abneesh, I think, see, in our case, we have got a wide portfolio, so it's a bit of a mixed bag. So, I think there are certain areas which don't get impacted. You are absolutely right. And therefore, there are certain segments which have therefore delivered robust growth because if there is some work happening which is indoor and has no implication, there'll be nothing.

But at the same time, much like paints, for us also in waterproofing in construction chemicals, it's unlikely that you will be doing waterproofing when it's raining cats and dogs. And as you know that in this quarter, there were certain states which were very adversely affected with monsoon. Gujarat is one of them, as I can tell you. So, I think we have also seen this state-wise pattern as we go forward. But what I'm very happy to report for us at Pidilite, if you see a healthier overall underlying volume growth and volume growth for us, I think I attribute it to the quality of our portfolio because we built that portfolio and also to the entire approach to execution by core, growth and pioneer. So, I think we do have growth in pioneering categories where irrespective of the overall demand scenario, I think depending on how we deliver on our execution, we tend to deliver a bit better than the others.

Abneesh Roy: Sure. That's useful. One follow-up question on the urban demand. So Sudhanshu, you are a veteran of FMCG, having worked in marquee companies. So would you say that the urban slowdown in general, which I think a lot of categories are facing not just in FMCG. If you see even in cars, 4-wheelers, there is a significant slowdown versus, say, 1 quarter, 2 quarter back. What will be your thoughts on this?

Why I'm asking this is until now last 3-4 years, real es

tate homes have done really well, new homes. And you do have an indexation towards that. So that does slow down at some stage, still robust. But if that does slow down, that obviously will have ramifications. So, any initial thoughts on the slowdown related largely to the food inflation. If food inflation cools off, say, in the next few months, would you expect this slowdown in the border consumption to reverse?

Sudhanshu Vats: Abneesh, let me answer the question in 3 parts. Let me first pick up the very specific food inflation part. And here, I am talking more for FMCG. And as you know, Bharat and I are also on the FMCG committee, and I have had that experience. So, I'm here talking on behalf of others, not necessarily our business. I think there is direct linkage on food inflation. So therefore, as you rightly pointed out, if that eases, there will be advantage to the companies that operate in that area. That's the first part.

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The second part of your question on urban demand. I think so our own understanding is, I'll put it in this form, that is the demand buoyant. Is there a considerable buoyancy? The answer to that is no. It is not rarely buoyant. But is the urban demand like some of the people have given the commentary, as adverse as has been set out, I think we would like to reserve our judgment on that for another 3 to 6 months.

We want to see the outcome of the monsoon, which has, by and large, been good. So, I think we will and perhaps with the point which you made on even food inflation, if it eases a bit because of Agri output on the monsoon and all that. So, our own prognosis on urban demand is that we will hold our judgment for another 3 to 6 months.

On the third part, Abneesh, I just want to remind you, while we get impacted and we are always happy and buoyed by a new construction, the ratio of in-home improvement of renovation to new construction is roughly 80%-20% kind of a ratio between these two. So therefore, new construction is good news.

But first of all, new construction comes to us with a lag, as you may have heard from Bharat many times over. And secondly, that component of new construction to our demand is lower than what it is for renovation. So, I think we don't see a direct impact of that immediately. But to sum it up, I think wait and watch for another 3 to 6 months and then take a final call on it.

Abneesh Roy: Sure. Second and last question. So Pidilite historically has been very, very proactive in terms of targeting new demand drivers well ahead of any peer. Now this plan for targeting, say, EVs and the phone manufacturing. Any further update if you can share? And I'm not asking on next quarter or, say, Q4 or maybe even FY '26. But in terms of optimism and long-term revenue, which you can target on an annual basis, say, in the next few years, any clarity you've got on that?

Sudhanshu Vats: So Abneesh, absolutely no numbers. But I think the good news I can give you is that we are progressing well on that. As a matter of fact, we met up with the partners again. And as I speak to you in the month of October, we have opened an application center in Bangalore. And therefore, we already, as you know, are operating as a distributor of our partner, eventually we'll take this partnership at the next level. So, I think, all in all, we are progressing well. Beyond that, I can't tell you. We are very excited and we are progressing well is what I would sum it up to this question.

Moderator: Our next question is from the line of Jay Doshi from Kotak.

Jaykumar Doshi: Just a follow-up question there on your partnership with CollTech. Can you give us some idea in terms of what is their positioning at a global level? W

ho are the large
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players, or they are suppliers of high performance adhesives. And typically, what's their market share of standing globally in that space. So that's the first question. And is this distributor arrangement largely a pilot that you were sort of and eventually, if this scales up would you be manufacturing it in India and taking this to the next level? Or it's at this point of time? Or is it going to be distributor level relationship for the long term?

Sudhanshu Vats: On our partners, I think these partners have a very strong product portfolio across chemistry and as you would understand, this is a very specialized high-precision thermal resistant kind of chemistry portfolio across different chemistries.

So, first of all, the product portfolio is very good. Second thing is that they have a very strong inclination on R&D. 20% of the manpower is on R&D and therefore, there's constant R&D work which is done. And without naming, I can tell you that some of the large marquee customers across the world are customers of our partners.

Now in terms of the partnership is concerned, the partnership has been envisaged in phases. Our current phase is basically as a distributor. And in this, we are very excited with the work which we are doing. We set up the cold chain with Snowman. I think in collaboration with Snowman we have already started. We have done a lot of specification sampling. We have done some commercial sampling. We have also got an initial order. So initially, it's very good, this thing. I think in terms of manufacturing, your question, we will answer that question when we come to it. I think we are very open to that thought. But as and when we talk about it, and when we are more clear and our plans are firm, we will talk about that as well.

Jaykumar Doshi: Right. If I may ask a few more questions, there. In the current context, what product is being used in India? I know the industry is also evolving maybe at a nascent stage. But

who are the suppliers at this point of time?

Sudhanshu Vats: So, what I suggest, Jay, is that we can take some of this offline. I am happy between Sandeep and I; we can talk about it in more detail. But I think the point at this moment is that there are multiple guys. As you know, this is a slightly different supply chain, as I'm sure you guys must be aware. There are contract manufacturers, some of the biggest guys that Tata Electronics itself is very large in India now.

They have acquired 1 or 2 of these contract manufacturers also in India. And then there are a whole host of EMS companies, as you know. So, I think this supply chain, we are basically getting to understand, working with them. We have visited some of our top customers, we are working on this piece. We'll be happy to take something in more detail with you offline.

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Jaykumar Doshi: Sure. I'll reach out to you separately. Second question is Akzo Nobel's decorative paints business is on the block and some of the companies have publicly expressed interest. So, what's your view on that? Does it interest you?

Bharat Puri: I'll take that. Good to hear from you, Jay. As far as Akzo Nobel is concerned, we have also read the report, so on and so forth, etc. Let us get all of the details, what is on the block, what is happening so forth. And at an appropriate time, we will then reply on whether it's an area of interest or not. Too early right now. It's all in the press, but they

haven't still moved forward from the press into real action.

Moderator: Our next question is from the line of Sonali from Jefferies. Please go ahead.

Sonali: Wishing everyone a very happy festive season and congratulations for a healthy UVG.

So, my first question is related to any update you would like to give on the smaller business segments, that's paints and NBFCs? And secondly, just an extension to the commentary by Mr. Vats to our previous participant's query, how much of our overall sales would emanate from new construction versus renovation? And thirdly, the present cost of VAM consumption?

Bharat Puri: Thanks, Sonali. The whole set of questions, let me start first. As we have always said, for the paint's initiative, we are in the Southern states, we will be in a position to share updates at the end of the period, which is in around March. As of now, and I can tell you with the company with our sales and distribution strength and clout, obviously, initially, you get good response. But I would wait and come back to you with further plans on what our results are in March.

Similarly, on the NBFC, we have just concluded Stage 1 of the 2-stage pilot. Again, we will have firm results on the pilot, which is happening in Bangalore in March. So, in both these areas, you will get an update from us in March.

Your next question, I'm not answering in the same order. Simple VAM consumption rates this time is \$980 a ton. Last time was close to \$1,000 a ton. So, we are pretty much in the same area. Remember it's very difficult for us as a company given that we have 37 different verticals to aggregate and say what part of our demand comes from new construction versus renovation.

But I'll tell you it's a very simple thing that we use, let's use a 70%-30%. 70% comes from repair and renovation, 30% comes from new construction. New construction tends to be, therefore, the multiplier. The larger part is actually repair and renovation. Have I missed any of your questions?

Sonali: No, sir. Not at all.

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Moderator: Our next question is from the line of Bharat Sheth from Quest Investment.

Bharat Sheth: Sir, congratulation to the Pidilite team for such a good number in a challenging time.

I'm a little new to the company. I want to understand that in last 5-6 years, we have added under home care and in several categories also as well as within a category also, we have added new products. So, can you give some kind of innovation turnover index? And how do we see going ahead? That is the first question.

Bharat Puri: See, Bharat bhai, very broadly, the objective we set for ourselves is 2/3rd of our growth should come out of growing the core and 1/3rd should come out of innovation. We have largely been true to that as we go forward. We also use exactly the same parameters when we look at new categories and innovation within category. Beyond that, if I share further detailed information, then I'll be helping my competition.

Bharat Sheth: But sir, would you think that going ahead, I mean, whatever products that we have introduced can it accelerate the growth, which we are saying that core is contributing around 65% or 60%? So, from that perspective.

Bharat Puri: See, very clearly, our objective is if we are transforming our portfolio, when we started on this journey, we were 80 core, 20 growth in pioneer. We're about 55%, 45%. By definition, growth in pioneer grows faster than core. And therefore, you're looking at heightened growth. So that is our objective. Over a period of time, we've always maintained we would like to go to healthy double-digit underlying volume growth because we believe that's the best indicator of success in an emerging market.

Bharat

Sheth: And last question with your permission. Sir, some of the subsidiaries, I mean, from over last 3, 4 years, still their EBITDA is declining. So, I would like to give some colour on that? When do we expect that to start seeing healthy EBITDA?

Bharat Puri: See, the only subsidiary that has been significantly challenged over a larger period of time has been Nina Percept because this is a contracting subsidiary, which suffered during COVID, then suffered with the lack of labour, etc. But if you notice, this is slowly coming back to profitability. Frankly, over the next 3 quarters, you will see Nina Percept also in a profitable situation.

Moderator: Our next question is from the line of Arnab Mitra from Goldman Sachs.

Arnab Mitra: My question actually was, again, pertaining to the demand environment. So, for want of a better word, you don't seem to be very bearish on the demand conditions compared to some of the other companies I've heard. Now if I look at the first quarter, there was a question of election impact; second quarter, probably a bit of monsoon impact.

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Would you say that in December quarter, you should see whatever the pent-up demand or some postponement of activity kind of coming through?

And would you expect December quarter to kind of be much stronger than the first half? And any major difference you see between, let's say, the retail products like Fevikwik versus, let's say, woodworking adhesives, which are more used for carpentering? Is that like a difference in, like, small ticket versus more larger ticket usage products in your case? So, any colour on both of these would be helpful.

Sudhanshu Vats: Yes. Arnab, once again, thank you for the question. And I think the first part of the question, I have partly answered, but I'll again repeat. So, where we are one side is we are also not saying that there is considerable buoyancy in the market. But having said that, I think we performed better. We performed better on the quality of our portfolio, on the quality of perhaps the categories we operate in. So therefore, there is that because each category is operating differently in a country like India at the moment. And also, our execution on the entire front of core growth. And as Bharat was explaining in the previous question, as our growth and pioneering categories grow up, pioneering particularly is largely the execution work to be done by us. So therefore, we therefore, get a bit of a benefit of that compared to some of the other organizations.

I think on the second part of your question on our own consumer products business, which is not classic FMCG, but consumer products business. Has there been some impact? The answer is yes. I think in the first half of the year, if you look at our own consumer products business, you talked about Fevikwik, but even art and stationery, and some of those products, I think there has been a marginal impact. So, what you are hearing from everyone, the market conditions do have a play there. So that's the point.

Bharat Puri: Plus, Arnab, what we are not clear about, and that's why we are rather saying, let's see the third quarter. How much of this is due to really these physical factors, whether it was the election, the heatwave, the monsoon, and how much is genuinely demand subdued, we still don't have a fix. so, we have to say wait and watch. When we look at even October, it's not a buoyant October, it's not a depressed October. It's a normal October. So, we are not seeing this upsurge in festive demand, so on and so forth, etc, but we are not seeing it depressed either.

Arnab Mitra: Understood. That's very helpful Bharat and Sudhanshu. And just 1 last question.

You've been doing extr

emely well in the B2B business for the last few quarters in terms of volume growth. If you could just help us understand is the underlying growth in those industries strong? Or is this more penetration or market share gain because you have certain lines of business which you are focusing on more versus in the past?

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Sudhanshu Vats: Yes. You are absolutely right. I think our B2B business, we have been delivering consistently strong double-digit growth for, I think, past 3 or 4 quarters, if not longer, almost a year plus.

I think it's a combination. Again, if you look at our B2B business, I think there is in our industrial business and there is our project business. So, I think it's our strategic work which we have done on projects and the quality of execution which we are dialing up with every passing quarter. So, on the project side, we are seeing very robust growth, aided also by the construction and some of the things which are happening at macro level. So, I think that is one which is that we have seen very strong growth. I will be in complete candor and which is like the spirit of Pidilite, I would also share with you that our industrial products business has delivered good growth, but some of this you are also seeing as a comparator because some of our industrial products business has an export component and has export to Western world, that business this year has improved considerably over previous year. So, there is a little bit of that impact as well. So therefore, that is my response to your question on B2B. But we are confident that going ahead, we will continue to drive our B2B businesses in strong double digits.

Moderator: Our next question is from the line of Anand Shah from Axis Capital.

Anand Shah: Just a couple of questions. Sir, firstly, on the domestic subsidiaries, the CBT business sort of was slower, sort of declined this quarter Y-o-Y. I mean you did highlight Nina. But that's the only way read through or anything else to read through here?

Bharat Puri: No, definitely. As far as domestic subsidiaries are concerned, the first 6 months has been challenging, the 2 big ones are Nina and ICA Pidilite. Both have faced challenges. Both again, these physical factors that we spoke about, the various areas. In our belief, again, in both these cases, we are fairly hopeful that you will see a far better second half than the first half given that these were largely local factors. But clearly, I would say, if there were 2 challenged businesses, these were the 2 challenged businesses in the first half.

Anand Shah: Yes. Got it. And just lastly on your employee cost. I mean, we have possibly seen a surge. And now again, I mean, even in H1, it was up substantially. I mean, is some of this sort of front-loading sort of building or investing more? Or I mean, eventually, do you expect with double-digit, you will see a lot of leverage here as well?

Bharat Puri: Yes, I think that's a great observation. Your observation is largely correct. What we remember in the last just 2.5 years, we've built some 19 new facilities. Now all facilities take time to ramp up before they come to even 75%, 80% capacity utilization. Plus
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given our model in growth and pioneer, while these categories will be gross margin attractive, we will always invest in both people and ASP upfront. So, this is part of our plan. Over time, you will keep seeing this moderate as we go forward as the turnover good. This is in one s

ense, I mean, I won't call it front-loading, I will just say this is all part of our preparation for future growth.

Moderator: Our next question is from the line of Tejash Shah from Avendus Spark Institutional Equities.

Tejash Shah: Sir, in the past 3-4 years, competition in waterproofing came from paints players as new joining there. Now with them focusing more on protecting their core, do you see competitive intensity in waterproofing decreasing? Or have they become more

aggressive because the threat is on core, they are getting more aggressive on waterproofing side?

Bharat Puri: I think, again, that's a great question. But let me just split it into, I think your question is the right one. See, paint companies tend to strongly play in the repair and renovation segment. When people repair and renovate, they will waterproof and repaint largely at the same time. Most of the paint companies are not strong in the new construction area because at that point of time, the outlets that sell waterproofing are actually what we call the building material outlets, steel, cement, etc., and not the paint outlets.

Now over time, what has happened is most of the paint companies have introduced coatings and even the newer entrants that have come into the market have also got waterproofing coating. So, we're not seeing any decrease in intensity of waterproofing. It's now become part of their range and obviously, everybody is right now in this disruptive situation, trying to protect share, etc. So, you will see a certain amount of turmoil in the market, but I mean, is it substantially more than the past? The answer is no. Is it lesser? Definitely, the answer is no.

Tejash Shah: Got it. Sir, second, you have observed this industry for many years and looking at the profit pool and the way it is growing and the challenges that it has, do you see that it can accommodate this many new players? Or you see that consolidation is the only way to kind of make justification for the ROI that industry has been used to?

Bharat Puri: See, when you have a large deep-pocketed player with a substantial front-loaded investment coming in, you are going to see disruption for 12 to 18 months. There is no doubt about that. Finally, as I always put it if the current incumbents managed to continue to satisfy their consumers and customers a little more than the newer fellows, then like many new entrants into the paint market, you would see that this may not be a disruptive moment for the industry.

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But if they don't, I definitely do think that there are too many players in the market, what will happen in the future? You guys are far better experts than we are in all this business of consolidation, etc. Will paint as an industry grow? The answer is yes. What will be the new normal, I think probably, this time post the festive season next year and next year, I presume Diwali will be in the third week of October. Post next year's festive season, you really know where the new normal is emerging.

Tejash Shah: Perfect. And sir, last one, if I may. You were candid about your view on demand environment. If I understood correctly, you seem cautiously optimistic. So just wanted to know, we are already midway into the festive season. Whatever sentiment you are making up right now, do you think that the signs of revival are there? Or you still wait for, let's say, Diwali to get over? Or somewhere around mid-3Q, you will have some more clarity on the demand?

Bharat Puri: I think, you will only have clarity frankly at the end of the third quarter. Everybody currently is basing things on hope. There is no evidence right now of what I would say, much more buoyant demand situation during the f

estive season. We are 10 days away, though I must say that remember the last 10 days of the festive season are very strong. But having said that, I mean, we are not seeing any major, like as if there was a lot of pending stuff that had to be completed and therefore, there is a rush. It is still a normal October. It is not a buoyant October.

Tejash Shah: Got it, sir. Very clear. Happy Diwali to the team in advance.

Moderator: Our next question is from Avi Mehta from Macquarie.

Avi Mehta: Most of the questions have been answered. I just had 1 basic question on the margin front. Now you have historically indicated this 20% to 24% steady-state range, with the first half EBITDA margin already ahead of that range, it's at 24.5%, would you say input costs are benign, would it be right to say that there's a higher possibility of us breaching that range? Obviously, things could change, but I'm just trying to understand how should we look at the margin front? That's all from my side.

Bharat Puri: No, Avi, I would not say that there is a very high possibility of breaching. You know that we don't manage margins on a quarter-by-quarter basis. Given the extended range, etc., we postponed a lot of promotional and advertising activity to the third and fourth quarters because it didn't make sense during that time. So therefore, you are also seeing, I mean, one of the reasons why our EBITDA is higher because of lower ASP spend. That will not actually happen in the third and fourth quarter. I presume without any

black swan geopolitical events in the fourth quarter, we will be at the higher end of our margin range, but I don't see great possibilities of breaching it substantially.

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Moderator: Our next question is from the line of Percy Panthaki from IIFL Securities Limited.

Percy Panthaki: Just a question on the growth. You mentioned that October month hasn't been any kind of blowout month, or any kind of delayed demand witnessed. So, would it be fair to say that unless something changes materially in the underlying demand environment, the volume growth in the second half should remain similar to what we have seen this quarter?

Sudhanshu Vats: I don't think I would put it like that. What I would say is that we have always stated that we would like to deliver double-digit underlying volume growth. And as you know, in the first half, we have delivered just shy of that 9%, very strong single digit. Now like we've been saying from the beginning on this call, depending on how the environment plays out, our plans and our attempts would be to stay to our double-digit underlying volume growth commitment. So, to that extent, we would like to have an uptick of what you've seen over first half. But a lot will also depend on what are the intrinsic demand positions, which both Bharat and I have spoken about on this call.

Percy Panthaki: Right. So, I understand the aspiration to have the double-digit volume growth, but the overall macro environment that we are in currently is very different. We can see, of course, not directly comparable categories, but we can see many of the consumer companies which have reported till now have reported extremely weak numbers, probably the weakest in a decade without any one-off event like de-mon or a COVID or something like that. So, in that context, would you still say that I can understand medium-term aspirations, but till the environment remains as is, would you still say that double-digit is a possibility?

Bharat Puri: See, remember, in our sector, I will take a step back. If I look at the headwinds, a lot of the headwinds in the first half, hopefully, we are not going to have these extreme weather events, be it the monsoon or hea

t. We are obviously not going to like face disruptions because of the elections, etc.. We also know that, and this is a statement of the fact, that the whole capital expenditure of the government is weighted very substantially to the second half. There is healthy construction activity. Overall, after all the dust has settled, it's a good monsoon, which should hopefully lead to an upsurge in rural incomes.

Now therefore, are we hopeful and are we planning? Yes. And it's not just aspiration. We believe that in these tougher times, we have delivered 9% UVG, stepping it up in second half is an imminent possibility. But as I said in the answer to another question on demand, frankly, this question will be best answered in January because by then, you know where the new normal has settled post Diwali.

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Percy Panthaki: Got it. Secondly, I just wanted to understand in terms of the pricing, I mean, in the second half, would it be fair to say that if commodity remains where it is today, then your sales will be equal to UVG?

Bharat Puri: In fact, sales will be a little better than UVG because, obviously, we want better mix, so on and so forth. But yes, we don't see further possibilities of price decreases, etc. And you will now see a convergence and hopefully, slowly value outpacing volume.

Percy Panthaki: Got it. And lastly, I just wanted some more details on the paint venture. It's been now quite a few quarters since you have launched. And earlier when we used to ask, you used to say, just wait a couple of quarters, and we will share some more information. So, can you give some more colour on now sort of which states are you getting a decent traction into? In those states, what kind of market share roughly you have or anything of that sort that would help us understand how successful the foray has been?

Bharat Puri: See, my simple answer to you, which I answered, I think, Sonali, asked the same question. The festive season in the South, etc., will be Pongal, which is first week of

or close to the 10th of Jan. Wait till therefore, we go through 1 full cycle and then let's come back to you. We are in no hurry. As we have said that, listen, we are not into this big bang approach.

We are not setting up factories across every nook and corner of India and then giving away products free. We believe we have a right to win in small town and rural India. We are proceeding at our pace. All I can tell you is, as of now, we are happy and satisfied by what we are doing. But more colour and more further plan, wait till we get over the festive season of the South.

Percy Panthaki: Fair enough. But just, the reason why I asked is, I just wanted to understand in the current numbers and the growth that we have, let's say, 7%, 8% kind of growth that we have done. Is it that, let's say, 2%, 3% is coming from this new venture? And excluding that, the growth will be lower?

Bharat Puri: No. I want to explain to you, we are in 4 states in rural and semi-urban. Semi-urban is 30% of the total market, right? So, 70% of those state also we are not in. These 4 states will be less than 1/3 of India. I mean, even if we did extremely well here, we would not make any significant difference to our growth rates.

Moderator: Our next question is from line of Rahul Maheshwari from Ambit Asset Management.

Rahul Maheshwari: I had just 1 question. As you mentioned in your earlier remarks that the growth and the pioneer categories are growing faster than the core categories. Can you give us some more details in terms of range, how much fast it's growing? And what are the brands
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which are driving the growth? And any pipeline that you can highlight that how many further subcategories of brands you would be able to add? That will be very helpful.

Bharat Puri: See, Rahul, very simply put, we will not tell you about future pipelines, etc. because that is of more interest to my competition than to anybody else.

Rahul Maheshwari: No, in terms of numbers, I'm asking.

Bharat Puri: In terms of numbers, we are clear. We have always said that core category should grow around GDP, and growth category should be 2 to 4x GDP. Pioneer categories, we don't have a target. We want them to be in 3 years, achieve a certain minimum size so they can become a growth category. As of now, therefore, if you look at our business, it is spread now 55% core, 45% growth. Largely, again, plus/minus 10% exactly meeting these numbers. So, we are according to plan.

If you look at, for example, the core categories that would include wood adhesives like Fevicol, Fevikwik, M-Seal. If you look at the growth categories, it will include waterproofing, it will include tile adhesives. It will include the joinery segment, it will include what we call also growth geographies, which is rural India. So, we have got a whole set of stuff. We are one of the few companies, the question hasn't been asked.

This is now the third year where rural for us is growing twice urban. Everybody else has been complaining about rural, and now urban has got challenged, so people have forgotten rural, but the so-called turnaround in rural that we are still talking around is little or nil growth becoming 2% and 3%. In our case, rural is being twice urban growth.

Rahul Maheshwari: If you don't mind, sir, what is that only you were able to grow 2x means what are 2-3 success factors which has made Pidilite grow 2x of rural of urban, sir? Can you comment on that?

Bharat Puri: Yes, I will definitely tell. See, first, it's just the categories that we have. I mean it's not that we are much smarter than all our friends in the FMCG sector. Our scope for penetration, Rahul, is much, much higher. I mean, we have such a vast portfolio. And in our portfolio, making our products just available is of no use. We have to teach people how to waterproof, how to use tile adhesive, how to put wood together.

So, we, about 5 years back, created a new division called Emerging India, which actually aggregates all the Pidilite products for rural and semi-urban India. We have substantially therefore, invested behind brand building, behind education of intermediaries and the retail universe. I mean, you all know of our initiative called Pidilite Ki Duniya. We have added 1,000 Pidilite Ki Duniyas just in the first 6 months of this year.

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We now have 15,000 Pidilite Ki Duniyas, which are retail stores in villages with a population of 5000 to 15,000. So, we have consistently believed because of the penetration data that equalizes for income, we have a greater opportunity, but it will take a lot of doing to capitalize on that opportunity. I would say and without trying to pack ourselves on the back, in the home improvement sector, we would be by far the deepest penetrated company by a long distance.

Rahul Maheshwari: Okay. Sir, just a follow-up question. Can you give how much distribution expansion you are making or any target in terms of percentage? Will it be in line with the sales growth? Or can you give some color in terms of how the mix approach you are taking from a distribution point of view?

Sudhanshu Vats: So, when we look at distribution, like Bharat was tel

ling you, so he talked about Pidilite

Ki Duniya, which is our both presence and demand generation. But in terms of our absolute coverage of outlet, we now cover close to about 6 lakh outlets in the country. And even in the quarter which has gone by, we have expanded by about 5%. So, we've added close to about 30,000 outlets.

Much of it will be in the smaller towns and rural, but that's a continuous expansion.

But for us, distribution expansion is also about improving the range of our products as we go to these outlets. And as you know, Pidilite has a very wide range. And that is another factor which we measure, KPI of range sales index, and that we keep growing as we go forward. I think we've made progress on that as well.

Rahul Maheshwari: But any run rate of growth in distribution as of the shops etc. that you are telling? Any target that you are keeping into mind from 2-3 years' perspective, where you want to reach from overall distribution point of view?

Bharat Puri: See, we have clear targets like, for example, at every town from 0 to 10,000 here or so, many villages, this is where we reach, and this is the range that reaches. So, we have targets across all town classes, which Emerging India does. And at a broad level, as Sudhanshu says, every year, we hope in a numerical sense to improve our distribution anywhere between 12% and 20%.

But numerical alone is not important because in our current distribution, there is an equal opportunity in increasing range. I mean, I'll give you a simple example. When we took over Araldite, it had very little sales in emerging and rural India. Now Araldite, if you go to the smallest of the small towns, you will find it available. One of the reasons why we have doubled Araldite over 3.5 years that we have acquired is just our distribution clout.

Moderator: Our next question is from the line of Sheela Rathie from Morgan Stanley.

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Sheela Rathie: Actually, I was very intrigued with the comment, which Mr. Puri made about operating in 37 verticals. And then obviously, you gave the details around the categories. And the question I have is, seeing the success in terms of so many categories we have done over the years, what are the key synergies you see when you think of getting into different spaces or categories or even into adjacencies? And what according to you is the biggest challenge when we are managing so many categories?

Bharat Puri: See, I think that's a great question, Sheela. Firstly, good to hear you after long. Very simply, we have a very clear model. When we look at adjacencies between consumer, customer, which therefore, is the channel, consumer, channel and technology, we must have the right to win in at least 2 of the 3. Then we consider that as an adjacency. So, like the best example I'll give you is we started with tile adhesives.

With tiles adhesives, you need tile grouts because that's what holds the tiles together, those are what you see as the lines between the tiles. After we did tile grouts, we realized that there are other surfaces, stone and marble. Therefore, we did Tenax, and we became stone and marble. Then we realize there's a need not only for fixing them, but also maintaining them. Therefore, we did cleaners for these.

So, like this, what we try and do is between consumer, channel and the technology, we must have a winning position in 2. And that's how we keep identifying adjacencies. What we also have done over a period of time, 2 of our senior most managers who were CEOs of businesses, currently spend 100% of their time identifying new

businesses because if our model is that of a pioneer, we're a company that creates new categories on a consistent basis, then we must b

e studying the world for these

categories and we study a whole set of affinity markets. And what you see in the marketplace is after a fairly rigorous evaluation and testing when we go out into the market.

Sheela Rath: And anything around the challenges which we face because I am sure there would be some?

Bharat Puri: There are significant challenges because in a lot of these, you have to learn the technology, you have to learn the application. I mean, we put up this factory. I'll give you a simple example. For what is that exterior plaster-cum-paint. You don't have to do any plaster, putty or paint. All of it does together. This is now very popular in Southern Europe. Understanding how it will be applied in India by the Indian mason. Will it be the mason, or will it be the painter? How will it be done?

So, remember, as a pioneer, you will generally take a longer to do the category. But once you do the category, you become associated with the category and therefore, almost because the category definers. We know that model, we follow it fairly

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rigorously. The challenges and as you rightly said, also making sure that it gets enough management attention, it also gets the right resources, which is why our buckets of core growth in pioneer. We have clear investment criteria for core, growth and pioneer. We have clear people and advertising allocation for these based on their position. So over time has evolved a model which is internal to us.

Sheela Rath: Do we think we are still in a position to add another 30 verticals? Or how are we positioned for that?

Bharat Puri: Without any doubt. Every year, we will add at least 2 large verticals and within those verticals, smaller ones because, frankly, that's the lovely thing about India as a market. Let me give you a simple example. Tile adhesives, even today, 1 in 4 consumers uses any tile adhesive: 3 out of 4 use standard cement. Now similarly, grouts, they use white cement.

They don't use the grout at all. Now this is long term and with the 3 India's approach, what I call premium India, middle India and aspirant India, you need products for all 3. So therefore, at any point of time, as we talk today, we will be studying at least 15 different verticals.

Moderator: Our next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Company.

Keyur Pandya: Just 1 question. So, on the gross margin side, if you look at the VAM as a representative of raw material, I mean from \$980 probably, it is still trading at lower prices. So, you always talked about, say, reinvesting for growth. Now when you are talking about, say, there is some possible slowdown or lull. Is it possible to reinvest even from such high levels of investment in A&P in last year? Or is it better to take that in the pocket when additional investment may or may not yield additional, say, growth in near term? So just thought on balance between margin and growth, especially from the perspective of already high investment that you are doing for last 1, 1.5 years?

Sudhanshu Vats: Thanks for the question Keyur, good question. I think, see, the way we look at market and we define ourselves as a pioneering company. So, we look at opportunities all the time. So, for us, there are always opportunities to invest and opportunities to build category. And when you build categories, you are over-indexation on investment is there, as we have talked through this call and Bharat talks about it all the time. So, for us, the market being a little dull or being very buoyant, is totally independent to our desire to build categories. So therefore, that and because India has such strong runway across many of the categories or i

f not all the categories that we operate in, I think there is always room for us to keep on building.

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Anecdotally, I wanted to tell you, Roff recently has a property which comes with basically the kabaddi league. And it depends on when the kabaddi league is there, property will get x, y and z so that ASP will come in. But that I'm just telling you, therefore, our investments are going to continue to be what is right for the brand, what is right for building the categories. And wherever we want to get into some more longer-term pioneering effort, those investments will be there. And we will make those investments in the right form. So, I wouldn't look at it the way you are looking at it. Bharat Puri: Even if you look at the simple things, one of your colleagues asked a question on people and the increase, which is clearly, again, a strong and very significant investment into growth.

Keyur Pandya: Understood. Noted. Just 1 last question. I mean, so what would the VAM prices right now?

Bharat Puri: See, what we are buying currently is between \$800 and \$900 depending on the timing, so on and so forth, etc.. At an overall level, while VAM has softened, there are some other prices that have gone up. So, at an overall index, we are pretty much in the same range, we will be in quarter 3. Quarter 3 will be very similar to quarter 2.

Moderator: Our next question is from the line of Krishnendu Saha from Quantum AMC.

Krishnendu Saha: I am very new to the company. So just trying to understand the business. You launched pioneer products, 2 or 3 products every year. So, in the last 4-5 years, how many have you actually stopped, or you thought the success was not good or up to the mark, so you have to recall the product or you have to stop producing that category. How many would that be?

Bharat Puri: See, Krishnendu, again, that's a great question. See before we launched the product, we have a concept of piloting product. We pilot in very restricted geographies; we are a very patient company. I mean if you want to be a pioneer, then you have to be a learning company. So, we don't launch anything extensively, we will first pilot it in a geography, then we will pilot it in a state, then we'll pilot it in a region before we go all-India.

And again, we use the pilot for learning. So, there are many pilots which go back. We reformulate the product. Again, we need to make some changes in the application process. We make those. So, it's an ongoing process. In all new stuff, where if you have a success rate of over 70%-75% is a great success ratio. And that's what we try and remain at.

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Krishnendu Saha: So, we have a high success rate, right. And just to understand a little bit more, rural or emerging market is growing faster in my understanding, because we have offered Pidilite Ki Duniya on the faster track. Is that will being one of the core reasons the rural volume-wise and growing faster? Is that understanding right?

Sudhanshu Vats: So Krishnendu, there are multiple parts to it. It may be very simplistic to say that just because you are opening more PKDs, your rural growth is going up. PKD is an integral and an important element of one of our things as we go deeper into rural India and smaller villages. But at the same time, as we were talking through this call multiple times, I think it's about distribution expansion, it's about range, it's about demand creation in some of these places because, again, let me

tell you, all across India, most of our categories need a lot of work with the applicators or users to create demand. I think that work has to continue for us to be able to deliver growth. So, the good news is that these categories need to be created. The demand for that needs to be created. Applicators need to be trained and so on and so forth. So, all of that, it's a summation of many of these things and not just 1 single initiative. It's an important initiative. It's some kind of a surrogate or an indicator kind of an initiative as to how we do combine sales and demand planning. But that's not the only thing which sort of delivers that kind of growth.

Krishnendu Saha: Right. And it also helps because you have a high success rate of 80% of new pioneer products we launch.. And last thing, when you open a Pidilite Ki Duniya outlet, does it carry all your products at the same outlet? Or like it's come in stages? How do you go about that when you open up the PKD?

Sudhanshu Vats: So Pidilite Ki Duniya, by definition, does carry most of Pidilite products because it's a

one Pidilite. But over a period of time, you build an assortment. And you also build an assortment, which in our judgment is right assortment for that particular village or that particular small town. So, I think, yes, by definition, do we have most of Pidilite products? Is it like a one Pidilite approach? The answer is yes. But do you carry all your products all the time to all PKDs? The answer is no. You sort of build it over a period of time, assess what is the right assortment and then do it.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management.

Sandeep Batra: Thank you very much to everybody for their continued interest in Pidilite. And as we sign off, wish each on the call and their families, very best wishes for the festive season.

Thank you.

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Moderator: On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited to improve readability)

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Stock Code – 500331
Stock Code - PIDILITIND
Sub: Transcript of the Earnings Call

Dear Sir,
We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on
23rd January, 2025.
A recording of the transcript is available on the website of the Company viz.
www.pidilite.com .
Kindly take the same on records.
Thanking You,
Yours faithfully,
For Pidilite Industries Limited
Manisha Shetty
Company Secretary
Encl: as above

"Pidilite Industries Limited
Q3 FY '25 Earnings Conference Call"
January 23, 2025

MANAGEMENT : MR. BHARAT PURI – MANAGING DIRECTOR – PIDILITE
INDUSTRIES LIMITED
MR. SUDHANSHU VATS –MANAGING DIRECTOR ,
DESIGNATE – PIDILITE INDUSTRIES LIMITED
MR. KAVINDER SINGH – JOINT MANAGING DIRECTOR ,
DESIGNATE – PIDILITE INDUSTRIES LIMITED
MR. SANDEEP BATRA – EXECUTIVE DIRECTOR ,
FINANCE AND CHIEF FINANCIAL OFFICER – PIDILITE
INDUSTRIES LIMITED
MR. DHARMENDRA LODHA – SENIOR VICE
PRESIDENT , FINANCE – PIDILITE INDUSTRIES LIMITED

MODERATOR : MR. AMNISH AGARWAL – PL CAPITAL

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January 23, 2025
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Moderator: Ladies and gentlemen, good day and welcome to Pidilite Industries Limited Q 3 FY '25
Earnings Conference Call hosted by PL Capital . As a reminder, all participant lines
will be in the listen -only mode and there will be an opportunity for you to ask questions

after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Amnish Agarwal from PL Capital. Thank you, and over to you, sir.

Amnish A ggarwal: Hi. Good evening, everyone. On behalf of PL Capital, I welcome you all to Pidilite Industries Ltd. (Pidilite) Q3 conference call. We have with us the senior management of Pidilite represented by Mr. Bharat Puri, Managing Director; Mr. Sudhanshu Vats, Managing Director Designate; Mr. Kavinder Singh, Joint Managing Director Designate; Mr. Sandeep Batra, Executive Director, Finance and Chief Financial Officer; and Mr. Dharmendra Lodha, Senior Vice President, Finance. So, without taking much time, I hand over the call to the management to take the proceedings further.

Sandeep Batra: Thank you Amnish, and good afternoon, ladies and gentlemen. I will quickly take you through some of the salient points of the third quarter and nine months results, which were approved at our board meeting yesterday. In the current quarter, we had an underlying volume growth of 9.7% across categories and geographies and that translated into a revenue growth of 9.3%. So, as you would have observed, the gap between the underlying volume growth and the value growth has now converged. Underlying volume growth for our Consumer and Bazaar business (C&B) was 7.3%, while the B2B segment maintained its growth momentum with underlying volume growth of 21.7%.

Gross margins improved by 100 basis points year-on-year largely due to benign input prices. VAM consumption in the quarter was around \$884 a ton as compared to \$902 a ton in the same period last year. As we had mentioned earlier, we had plans to step up our A & SP spends, which we did in this quarter and our EBITDA margins came in at 24.3% versus 25.1% in Q3 last year. If I look at the nine-month performance and this is for the standalone entity, underlying volume growth was 9.2% with C&B at 7% and B2B at 20%. Gross margins in the nine-month period were 284 basis points higher than last year and EBITDA margins were at 24.5% compared to 23.7% in the previous nine months. We continue to invest in our brands and upgrading and building new facilities, expanding our distribution network, stepping up innovation, and innovation remained a strong contributor to the overall revenues.

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 If I look at the performance at our subsidiaries, the domestic subsidiaries cumulatively reported double digit revenue growth with improvement in EBITDA margin. Owing to global economic uncertainty, inflation and political instability in some countries, our international subsidiaries, excluding Pidilite USA, which we wound down last year and Pulvitec Brazil, which we divested in March, these subsidiaries cumulatively reported modest sales growth, but margins were maintained. So, that's all I had by way of opening comments and opening the floor for question and answers.

Moderator: Thank you very much, we will now begin the question

-and-answer session. The first question is from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: My question is on the macro front. We have been hearing about urban consumption slowdown from a few companies in the last couple of quarters. What is your sense on the entire macro piece? Secondly, what is your mix between urban and rural and do you see an equivalent offset in terms of rural recovery, which is sort of countervailing whatever urban slowdown you are seeing and again within urban if you could give some color on whether we are seeing any different outcomes among the various segments like adhesive, construction chemicals, and so on?

Bharat Puri: Thanks, Percy, for the question. See at the macro level environment clearly, we are seeing a certain amount of, I would say softness in both urban and rural. You know, from a demand perspective, we are seeing a certain amount of strain. Remember, for us, rural has continued to do well while everybody else spoke about rural being underperforming. For us, we have consistently grown rural, but when we look at the numbers, especially in our core categories, we see a certain amount of strain in demand.

Having said that, it is still positive, and the strength of our portfolio, which is well straddled now across core growth pioneer and the proportion is changing. Now, the growth and pioneer almost being 45% of our overall portfolio, we are therefore still delivering growth across both rural and urban. But is there a strain on demand? The answer is yes. Could it be better? The answer is yes. Is it different across categories? No, across core categories, it does not matter whether it is adhesives, or it is putties or epoxy putties, or M-Seal and so on. We are seeing that there is a certain amount of slowdown which hopefully in the first and second quarters of the next financial year, the fourth quarter, we don't see too much of change happening, but hopefully post the budget and therefore the first quarter of next year, we are hopeful that things should improve.

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 Percy Panthaki: Got it and for you, for whatever reason, given your distribution expansion or whatever maybe the reason, would I be right in assuming that for you, your rural growth is ahead of the urban growth?

Bharat Puri : That is true . Even now, our rural is ahead of urban. As we go ahead, yes.

Percy Panthaki: Understood, and the growth construct that used to give us that your core will grow at 1X GDP and growth at 2X and Pioneer at 3X to 4X . So, in this scenario of consumption slow down, are you seeing that multiplier effect of the new categories growing significantly ahead of the core, that multiplier being of a lower order or it is still the same kind of multiplier?

Bharat Puri : It is the same kind, but it's the lower end. We always say that we would like to grow core at 1-2X GDP. It is nearer now. Therefore, to GDP rather than twice GDP and when we say growth in to grow 2-5X, it is closer to 2-3X rather than 5X.

Percy Panthaki: Right. Understood . And on input cost, any kind of change or should we expect this 23.5% to 24% kind of EBITDA margin to continue given where the costs are currently?

Bharat Puri : So, two different questions. As far as input costs are concerned, a gain, given the geopolitical uncertain world that we live in and now there is also a new variable with the US coming into play, I would say for the next two months, so on and so forth, we don't see any change. I think with two headwinds that we are keeping a close watch on, is the depreciating rupee as well as crude prices, both of which will impact us

in the

medium term, not in the immediate short term. But having said that right now, I would say for at least for Q4, input prices would remain benign. We do not monitor margins on quarter wise basis, based on our inputs how much we spend on behind our brand, sales, and distribution etc., we will remain in the 20 to 24 range as far as we are concerned.

Percy Panthaki: Right. See, the only reason why I am asking this is that your margins for the last 2 -3 quarters that EBITDA level have been very stable and if input costs are stable and if we assume, if it's a reasonable assumption to say that if input costs are stable, the margins will also continue at this level. The base which is Q4 last year has a significantly lower margin and therefore the growth at a profit level could be significantly higher, at least on a YoY basis due to a base effect. So, is this a fair assumption for us to go along with?

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 Bharat Puri : No, I don't think it's a fair assumption. Again, I am saying that listen, we are clear that in this environment, we need to continuously invest behind growth. If we see our margins at the higher end, we will look at further sets of actions to stimulate growth in the first half of next year. So, I would not go by that assumption as of now. Sandeep, if you want to add.

Sandeep Batra : Percy just also to clarify that, if you see the relative salience of each quarter, you will find that our Q1 and Q3 are the bigger quarters from our top line point of view and Q4 is the smallest quarter and therefore we have a negative operating leverage in that quarter and you will see it historically that given the size of the quarter our margins are in the fourth quarter are never representative .

Percy Panthaki: The difference is not very large, but I get your point.

Sandeep Batra : Yes

Percy Panthaki: Yes, that's all for me , Sir. Thank you and all the best.

Moderator : Thank you. The next question is from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi: You often mention that about 50% of your business is dependent on new construction and so are you in position to get a sense of what is the kind of growth you are seeing in that part of the business and what is the growth in the remaining repair, maintenance, innovation part of the business? Is it possible for you to over a six -month period or quarterly basis actually get a sense? The idea of asking this question is there is no divergence between your growth rate and some of the other building material categories especially I know paints is not the right comparison , but still divergence is widening , so want to understand whether this is entirely driven by the new construction exposure that you have or is there something else? Thank you.

Bharat Puri : Firstly , good to hear from you Jay. Let me tell you that it is very difficult for us to try and find the real proportions between maintenance , repair ; while we know it at a gross level because obviously a lot of small builders, medium sized builders are also serviced by the trade, a lot of them also do top -up purchasing. Having said that, I can tell you that real estate , the kind of buoyancy that you saw six months back , currently there are sets of local factors, whether it be in Hyderabad, in some of the larger metros, there are local factors which are in a sense actually delaying regular construction. So, I would still say that there is not a significant difference where new construction is still booming
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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 and maintenance and repair has come down. I think both are at the historic levels. It is more at a geography level than we are seeing substantial differences. Like just give you an example. Hyderabad has a new regulation around construction, so on so forth. They have done some zoning and so on so forth . When I was in Hyderabad, they were complaining . One heard that the similar thing is happening in one or two other locations . We are also hearing of some amount of slowdown in the A class cities. The next round of city like Jaipur , Indore, and so on where there is some amount of unsold inventory, but this is all anecdotal. I mean there is not enough data to support this.

Jay Doshi: Understood and again a follow up there. Earlier at the beginning of the year some time you had indicated that the urban real estate construction cycle benefit comes with a 2 -3 year lag and you are hoping during the course of the year you will start seeing more and more benefit or maybe FY26 could be a better year ? You still have that confidence, or you think that, the core underlying demand is moderated so much that it will essentially not be visible ?

Bharat Puri : No. If you look at our project business . If you look at our B2B growth rates , one of the strong drivers behind that growth actually is organized real estate and a lot of that is now coming up for finishing /waterproofing, etc. So, I think in the short run, frankly, we will see it continue. Now, what we are seeing for the first time is there are substantial differences between geographies? So , for example, Kerala is very slow, Gujarat is tending to be slow. Some of the other states are doing much better. So, you can't again get a countrywide picture.

Jay Doshi: Understood. Thank you so much , Mr. Puri and thanks for your insights all over the years. I am not sure if we'll have you on the call next time or not .

Bharat Puri: Thank you. Yes, always a pleasure.

Moderator: Thank you. The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: My first question actually was also on the real estate cycle where we have heard some moderation and you also alluded to certain regional issues, but I was just wondering that, our view at the end of September quarter was that because we had the monsoon effect and the election effect, there will be a bounce back from that. So, have you not seen that benefit in play out in terms of projects or work, which would have stalled, which kind of accelerated or that has happened, but other things have slowed down. Just trying to understand how the positives and negatives played out.

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Bharat Puri: Good to hear from you Arnab, actually, both things have not played out to the extent we thought. The festive bounce didn't come at all this year and normally when there's a shorter festive season, the post festive season tends to be a little buoyant. That was not the case. As I said on real estate, we have not seen a substantial bounce again. The number of issues that we are facing or we are hearing about in local geographies, which are specific to states, is not leading us to believe that, it is all buoyant, but having said that, there is still, as we see it, this cycle of a lot of these, the construction boom that has happened over the last three years, we have started seeing benefits and frankly we do believe we will still see substantial benefits going forward.

Arnab Mitra: Understood. Second question was actually on this B2B business, which has continued

to grow very fast for you. Could you help us understand a little better what are the end industries that you service in this, which are the segments that are driving the growth fastest and how should we think of sustainability of this growth rate going ahead?

Sudhanshu Vats: Hi Arnab, I think it is a good question. Let me try and give you a little bit of context on B2B. So first of all, when we look at B2B, we look at broadly three business divisions, if I can use that word, and multiple business verticals within that. But the three broad business divisions are projects, and Bharat was just alluding to that. I think we have seen continued growth momentum in projects. I think this has been there for about six to eight quarters now, and I think if at all, it has picked up in the last one or two quarters. So therefore, our growth momentum in projects is very strong. And we continue to see this growth momentum in projects, I think, into the quarters ahead. So that is one part which you see in this 21.7%.

The second part which you see in this 21.7% is, what is our B2B business, which is largely our adhesives business, which goes into different segments, now some of these segments this year are performing much better, and I think we see that momentum to continue as well. To just give you one illustrative example on this, one of our segments is basically advanced packaging and conversion. Simply put, this is a lot of your packaging which is done for e-commerce, a bit like quick commerce now, a lot of the shippers but even otherwise, all your packaging which goes into consumer goods. I think this segment of ours is showing good momentum. And in my judgment, this momentum will continue.

I think the third element, which is the broad one here, which is basically our pigments business, which you may be aware of, pigments business this year has a little bit of a comparator effect, which is basically that in the last couple of years before this year, Pidilite Industries Limited

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 there was a subdued demand in the Western world. Our pigments business has a large export intensity so therefore there, this year we are seeing very good growth. But again, these good growths have a little bit of a comparator effect. So, these growths moving forward may moderate a little bit.

In summary, if I were to then say B2B momentum, how will it continue? We have seen B2B momentum continuing into the future. The numbers could vary a little bit depending on how each of these plays out. So, there is enough opportunity. And at the same time, in B2B we are also looking at pioneering businesses, and there are some of those which will begin to play out better in the years ahead. I think that is what it is and I hope it addresses your question.

Arnab Mitra: Yes, thanks for the answer. My last question actually is on overall growth. So, where I was coming from is we are probably now in a relatively stable input cost environment. How do you think of pricing in this kind of an environment as a company? Historically, FMCG companies have always looked at some 3 to 4% pricing even if the demand input costs are benign. Do you look at it that way or in this environment you would just look at volume growth and pricing and revenue and volume growth will more or less match?

Bharat Puri : See, if there is no inflation, I mean right now, we are seeing a certain amount of pressure because actually right now only on the Rupee devaluation, it was Rupee sliding downwards, but our stance is always very clear. If there is genuine inflation and that impacts us, we will pass on to the extent of 75% of the inflation. Otherwise, we will tend to focus on trying to step up our under

lying volume growth rather than try and do pricing because we believe that gets you short term results but a lot of medium term pain.

Arnab Mitra: Got it. That's very clear. Thanks so much. All the best.

Moderator: Thank you. The next question is from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: Thank you for the opportunity. Just continuing on the comments from you on the demand side, it seems there is a bit of a caution in terms of the growth rate. And at the same time, you said there is demand which could come from the projects or the construction schedule that's happening. Just trying to get an understanding about the conviction, confidence you have in sustaining this 7-8% kind of consumer and bazaar volume growth. Do you see a material downside risk to this? Is that what this caution is about? If you could comment on that.

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Bharat Puri : Sure. Good to hear from you Latika. If you look at, we are just being cautious. I mean, we have obviously changed our commentary from increasingly optimistic to cautious, simply because we are seeing a certain amount of strain in demand in urban and rural. Now barring black swan events, we don't expect it to get worse. Hopefully the budget, the money that will come in with the crop as a result of the good monsoon and greater government spending on both infrastructure as well as the overall thrust on Cap ex, we believe hopefully it should actually step up. But frankly, barring black swan events, we don't see the consumer bazaar falling further.

Latika Chopra: All right, understood. That's clear. The second part was on your domestic subsidiaries. You have put in a lot of investments behind these businesses and just wondering, would it be possible to get a figure on what is the annualized run rate for some of these subsidiaries or businesses today? Just to get a sense of what levels these have reached that is ICA Pidilite or any other material businesses that are scaling up well?

Bharat Puri : See the two substantial subsidiaries that we have are ICA Pidilite and Nina Percept. And actually, ICA Pidilite has been the star performer this year with all the demand issues, especially ICA Pidilite tends to be very urban and therefore is facing a certain amount of what I would say, subdued demand. Having said that, Nina Percept, we had our own internal issues post Covid of getting the labour back, getting the whole organization in place. Now all of that has fallen into place, you will see that both of these are A) growing at healthy rates, B) have now good decent profitability. And frankly both of these, we see as growth businesses.

Latika Chopra: All right, okay. And the last bit was just trying to understand the company's intent

towards inorganic growth. How do you think about this over the medium term? If Bharat ji could comment on that. Thank you.

Bharat Puri: Thanks Latika. See, we are very clear on inorganic. Our stance has always been while yes, we are cash rich, we are also quite conservative and unless we can see substantial value, we don't do stuff. Up to now we have had a very good success rate with all of our acquisitions, be it Araldite, be it Blue Coat and Falcofix before that and so on. Having said that, if it is an adjacency, we see a substantial advantage, we see long term advantage, we will look at it, but at the right value. We still look at the conservative numbers and see that we should be able to generate a decent return both from a top and bottom line and hopefully at least get a lot of the synergies with us rather than give them as payment to the person we are acquiring. That's our philosophy.

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 We keep looking at opportunities, let's see if we get the right ones.

Latika Chopra: All right, thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Abneesh Roy from Nuvama Wealth Management. Please go ahead.

Abneesh Roy: Thanks, and congrats. My first question is on the B2B. You have done quite well. My specific question here is, in terms of market share, if you could give us some sense, how is the market share there? Your market share in B2C is very strong and dominant market share. In B2B, any sense on how market share trend is and what would be the market share there?

Bharat Puri: See Abneesh, you cannot really look at market shares in B2B simply because each of these goes to different user segments. So B2B you will have a joinery segment, you will have paper and packaging, you will have textile emulsions, you will have leather. So, your market shares tend to be different in each of these. There is no composite market share. In most cases with one or two exceptions. We tend to be a top 2 or a top 3 player. Over time we moved up the value chain so therefore we tend to compete a lot with the multinationals. But one market share, very difficult to give you of specific segments; offline whenever you want, we can discuss.

Abneesh Roy: Sure. My second question is, currently India is seeing a boom in terms of the phone manufacturing; global players are setting up, and second is EV. Clearly, we are seeing the new players enter that and clearly consumer shift is happening and I am sure adhesive usage in both these two segments in the medium long term are extremely large opportunity. So, could you give us some sense where we are currently as a company and Sudhanshu did refer that in B2B more pioneer products are being planned. Was he referring to these two verticals, EV and phone manufacturing adhesives?

Sudhanshu Vats: So what is happening in B2B and I think Bharat spoke to you also just now about a few other segments, but if you remember some of our star segments I spoke about for this quarter and for the last couple of quarters and what we see going ahead, so see what we are doing here is we are preparing at three levels. And, let me just give a little bit of colour on this to just add on to what you already know. So, first is that, if you remember, and I am sure Bharat would have shared that some time back we had done a technological partnership with Jowat for manufacturing of hot melt adhesives, hot melt pressure sensor's adhesives and some other products. Now, that technological partnership and our understanding of that technology now is helping us spur the entire

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 advanced packaging and conversion piece which I was talking to you, and we are confident that as we go ahead that will only grow. But HMPSA and hot metal adhesives per se also have a lot of usage in auto and electronics. Along with these, the entire

thermal insulation products , some of these other products that we are also looking at which will allow us to play the automotive and electronics segment as we go forward. So, there is one level of preparation happening from a technology point of view.

The second level of preparation happening is from the point of view of partnership. And I have spoken about our proposed partnership. We are currently their distributors, but a partnership we want to build with an electronics adhesives manufacturing company and that partnership

will allow us to address more very -very specific products from the point of view of electronics manufacturing and that comes into play. And you are absolutely right, we are therefore gearing up to address this opportunity and this is another of our pioneering pieces which we want to work on from an India perspective through partnership.

And lastly, I think what we are doing in all of this is , continue to look at opportunities which may arise, particularly in the area of EV and semiconductors in the future which we could be able to tap and I think that is the piece which will continue. As we look at many other opportunities, those are other opportunities which we could be potentially tapping into the future.

Abneesh Roy: Understood. My second question is on the demand side. Bharat sir and Sudhanshu, you both have significant experience even in FMCG. From the FMCG hat also I wanted to ponder on the demand question. First of course is, Bharat sir, you mentioned two specific states, Gujarat and Kerala which seem to be growing a bit slower than the national average. Is it because of more urbanization? And second part to the demand side and more on the overall consumption, not specific to Pidilite necessarily, FMCG companies are saying there are three reasons for the current urban slowdown. One is food inflation which seems to be easing off. Tomato, onion prices are now back to normal. So , we have reached some level of normalcy there. They have also said real wage growth is a problem and they have said that rentals are a clear problem. Out of these three issues Bharat sir and Sudhanshu, in your view what is really required for urban to come back? I'm sure once the base effect happens say in the next two quarters, it should anyway course correct. Let us leave aside the base issue, in your understanding in terms of the urban recovery , what is required to resolve the problem?

Sudhanshu Vats: It's a great question Abneesh, I will also ask Bharat to comment later. So first of all, I think this is more a question left to economists and policymakers than us. But let me

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 give you a little bit of a practitioner view here. I think what I am trying to say is that

basically , first, as you rightly pointed out, it is about food inflation, it's a little bit of that rental inflation, it is also some areas of education, telecom, so on and so forth where there is slightly unusual changes because in these two or three other components these are step changes which happen once in a while and then that affects the share of wallet of India's lower and middle class. So , I think that's the piece which has happened, as you rightly pointed out. Our own understanding is that it will perhaps be tackled in two or three ways. One is the base effect which we are leaving out, as you rightly said. I think the second one is that we are very hopeful , and the industry is hopeful that the Finance Minister in this budget will leave a little bit more money with all Indians. So basically leave money in the hands of all Indians which will allow some more disposable income and therefore that will spur demand. And that, in my opinion, could be one of the triggers and the last piece is that as productivity and manufacturing picks up, further I think that will play out a little bit in the maybe medium term, may not be immediately, you will see some amount of incomes growing in different segments. Because as we were talking to Abneesh just in the previous question, some of the projects that are being put up in India are of a very -very different scale, you will be aware. So , we are talking of now once again, townships that will be put up of 50,000

people. And some of these

will be between blue and white collars. You cannot technically call them blue collars, although they will not be a white collar job, it's a manufacturing job. So I think as these come up and some of them are genuinely coming up, there is considerable investment happening in these places. I think that will also be leading to improvement in demand.

And I think that is something we all should be geared to work towards.

Abneesh Roy: And on Gujarat and Kerala, what are the reasons?

Sudhanshu Vats : Gujarat and Kerala... Bharat will answer.

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Bharat Puri: Abneesh, it's very difficult to say. When you go to these markets, you keep hearing a large number of local factors. Like Gujarat, in Surat they talk about how the real diamonds are getting replaced by lab grown, textiles are suffering because of A B C, real estate there is new set of issues. Kerala, it tends to be that the state government doesn't have money and remittances have come down, though the data doesn't show it substantially, but they are not going up either. I don't think anybody has a full handle. But it goes back to what Sudhanshu was saying. I think there is not enough increase in disposable income in the hands of the consumer. I mean, if I was to very simply put it as a result of many -many reasons.

Abneesh Roy: Understood. And last quick question, essentially on marriage demand, adhesive is used in lot of the discretionary consumption and in marriage , daily discretionary products are sold. Now in Q3 marriage season was strong and next two quarters also marriage season dates are much -much higher. So , any benefit you see in these micro markets in terms of demand?

Bharat Puri: See all spends help, especially marriage spends. But we are not seeing, I mean the increase over , it is not that there is a large spend, unlike, post Covid where there were all these pent up marriages to happen, right now it must be like, while people could date so on, so forth, there is no substantial increase over the previous year.

Abneesh Roy : Bharat Sir, just one last question. So, essentially you mentioned Kerala government money shortfall. Now, one development politically is clearly every State government is competing with each other, every political party is competing with each other in terms of freebies, and we have seen, for example, Beer industry in Telangana so many thousands of crores not being paid because governments don't have money. They want to spend on the freebies. So, structurally, not just for you but for maybe the industry, the overall spend , do you see this as a concern because next 4 years coalition politics at the Centre and States also now clearly freebies politics will continue? As a structural issue, would you see that as a constraint because Kerala already you highlighted that?

Bharat Puri: See, it is all again, to my mind, how this plays out, how much it plays out and if the consumer gets money for their basic necessities, do they spend on other stuff so on. Let's just wait and see but, obviously, this money is going to come at the expense of something else. We'll have to see what it comes at the expense of.

Abneesh Roy : Understood. Thanks a lot, Sir. All the best.

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 Bharat Puri: Thank you, Abneesh.

Moderator : Thank you. The next question is from the line of Rajesh Kajara, who is an Informist. Please go ahead.

Rajesh Kajara: Hello, Mr. Bharat

. I just want to know what you see in the current quarter what is the VAM consumption rate currently? And where do you expect it for the entire March quarter? So, current, in January so far and for the full quarter, what is your expectation? Thank you.

Sandeep Batra : So, for the third quarter it was \$884 a ton and we anticipate it to be pretty much in this range in the fourth quarter, give or take 1% or 2% here or there. But by and large in the

same range.

Rajesh Ka jra: Okay, alright. Thank you very much.

Moderator: Thank you. The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejas Shah: Hi, Bharat. Hi, Sudhanshu. Sir, consumer and bazar growth has been kind of in single digit for the past 7 odd quarters. So, for a strong, relatively inelastic portfolio like ours, do you think that mild inflation supports value growth without significantly sacrificing volume? Or you prefer the line inflationary environment where volume growth is fine, but we are not able to cross that hurdle of double digit value growth?

Bharat Puri: Tejas, good to hear from you, see, if you give me a choice, I would always take double digits underlying volume growth rather than value plus volume going to double digit. But frankly, I mean, because we have had these unnatural situations where post COVID we had all these supply chain disruptions, raw materials went totally out of kilter, now they are slowly gone the other way. I think we will, probably in the next financial year return to normalcy where you will have a certain amount of hopefully low inflation along with good volume growth. That's the hope that we are all working under but let's wait and see.

Tejas Shah: Sure. Sir, second, one hallmark of our strategy for the last couple of years has been our commitment to distribution expansion, especially in semi -urban and rural areas. So, any guidance how much we can actually grow further there and when I see our effort on that side and the growth, is it that despite putting so much effort on distribution we have

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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 reached where we have reached and otherwise the underlying situation would have been much worse if we would not have done this ?

Bharat Puri: Not fully true. See, just remember, in our case the kind of categories that we have, we have to do a double pronged effort because we have to teach people how and when to use our categories , be it waterproofing, be it adhesives, be it tile adhesives. So, therefore, we were always very clear that equalize for income we have a strong runway for growth in rural and semi -urban India. And if you ask me, we still have a 2–3 year runway before we will reach equivalent to urban levels of consumption, equalized for income. So, we still see a runway for growth there.

Tejas Shah: Got it. Mr. Bharat, it has been absolute delight to engage with you for past years. Wish you all the best for future endeavours . Thanks.

Bharat Puri: Thank you so much, Tejas.

Moderator: Thank you. The next question is from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta: Hi, team. I just wanted to clarify on the pickup post budget point, is this more linked to a macro or is this something that tends to happen with budgets which tend to historically drive some pick up? I want to just clarify that point.

Sudhanshu Vats: No, absolutely linked to a macro pick up. We don't see any historical thing where post budgets you always have a pickup.

Avi Mehta: Okay. Just the other bit, Sir, I just wanted to understand as we are seeing more and more growth move towards the pioneer and the growth categories, do you see

a need to

probably revisit our 3% -4% ad spend to save the range to a higher target as these products, which you highlighted earlier, need more customer education?

Bharat Puri : Just repeat your question, sorry it got garbled in the middle.

Avi Mehta: Sir, you traditionally said that the ad spend range is more in the 3% -4% level but that

was assuming a split between growth and pioneer and core. Now, we're increasingly seeing pioneer and growth drive a lot more or increasing the share and the experience in the portfolio, does that need a revisit in our ads spend to sales as well reach? Do you think? It's not a near term question but maybe in the next couple of years.

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Bharat Puri : See, that's a great question but just remember, Avi, if you take a step back, we are very clear that because of the size of the core even now, more than half the growth is still going to come out of the core and the core will be a source of growth for the near future. And while obviously we will keep picking the categories which we believe are categories of the future and backing them as growth categories, when we do our mix so on so forth, etc., I don't see anything substantial. Anyway, remember 4% is an average. There are a lot of categories that have no advertising and there are some categories that have 7% and 8% advertising. So, if you ask me, I am very comfortable at a range of 3%-5% of ASP at least for the next 3 years.

Avi Mehta: Perfectly clear, Sir. And, Sir, lastly, just any update on the lending and the paints businesses, if you could kind of share?

Bharat Puri : So, as we said, on both these businesses we will do a review at the end of the year. Both are proceeding, both of the pilots are in full flow. The lending pilot in the South and the paints pilot also in rural and semi-urban in the southern states. So, as of now, remember a company with our strength and distribution, you will always get great results in the first 3-4 months and that is why you know that at Pidilite it has consistently been our policy to under-promise and overdeliver. And, therefore, we will come back to you once we are clear that sure of our distribution strength, etc., we have got sufficient data to tell us how we have to go ahead and then we will come back and share that with you.

Avi Mehta: No-no, fair enough, Sir. It has been a pleasure interacting with you, Sir. Thanks a lot for all the help that you have provided and look forward to hearing more, Sudhanshu, as we go forward. Thank you very much, Sir.

Bharat Puri : Thank you, Avi. Always a pleasure.

Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investments. Please go ahead.

Bharat Sheth : Good afternoon, Sir, and thanks for the opportunity. I want to understand about the overall opportunity that we look forward from say around the medium term from 3-5 years perspective for our size of business in this electronics manufacturing? We have already tied up with Jowat and we have also entered into distribution agreement with CollTech. So, do we require more JV also as well as what kind of opportunity we are seeing in that?

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Sudhanshu Vats: I think it is a substantial opportunity in the 5-year horizon and as you talked about, Abneesh was also talking about it. And at this moment, Bharat Bhai, suffice to say that we are looking at all options as to how to grow and maximize this opportunity

. This is

again as we keep saying for our partnering businesses, it will be in these areas you need to be specified with the custom contract manufacturers or many of these players. The process of all of this is anywhere between 12-24 months. You need to keep developing products with them for their future products. That process also requires some time. So, it is a substantial opportunity. That's where we are looking at it. We are also looking at multiple areas, Bharat Bhai, as you rightly pointed out a couple, we will look at more which are appropriate to be able to address this market. Thank you.

Bharat Sheth : Thank you and all the best, Sir.

Moderator: Thank you. The next question is from the line of Am nish Agrawal from PL Capital.

Please go ahead.

Amnish Agarwal: So quite an intriguing discussion. Just one thing, there is a general perception that, say for example, last couple of years, real estate has been doing quite well in terms of offtake, more at the end of large developers. Now, there is a view that as you can say the apartments or the real estate construction which started mostly after, say COVID, say 2 years back, 3 years back, so that is yet to be delivered to the people who purchased the real estate. So, the next couple of years' growth should be significantly sustained or better for companies like Pidilite. So, any view on this thought?

Bharat Puri: See, again, there is a lack of organized data. I think your question is the right one. It does appear, at least from the outside, that what you are saying appears to be true because as we see across not just the Metros but even the A and B class cities, there is a large amount of construction that is coming to completion and, therefore, all of this obviously helps companies like ours substantially. So, I would say wait and watch but, I mean, on this we are quite hopeful and optimistic that it will happen because we have seen signs of that on a regular basis.

Amnish Agarwal: Okay, thanks a lot, Sir.

Moderator: Thank you. The next question is from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi: Thanks for taking my question. Just a follow up to one of the questions earlier,
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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 Mr. Puri, where you mentioned that for lot of your categories you need to really train the people to understand the category and that's why this distribution expansion will continue for a long period of time. From your overall portfolio, will you be able to call out what is the competitive landscape for you because it feels like that there is limited competition in most of your categories? I mean, how will you define the competitive landscape for your categories?

Bharat Puri: Good to hear from you, Sheela. I think your question is absolutely the right one. In a large number of categories, especially in rural and semi-urban India, and I say this with all humility, we actually compete with non-consumption. It's that the consumer, they do not know that there are alternatives. It's like, for example, when we do these small meets, etc. in villages on waterproofing and show them that actually you can construct without water leaking or the things that are broken in their home, this is how they can stay, you can use them again and after that nothing happens. So, the fact of the matter is, of course, in some categories we do have competition but as a pioneer in most of rural and semi-urban India, whether it be our core and most times our growth categories, we tend to be the category creator rather than having to look at any category share. That tends to be the role by and large.

Sheela Rathi: Mr. Puri, will you be able to quantify this because in your category it's possible that you would want competition to enter but it's not the case. I mean, most of the companies would not like competition.

Bharat Puri: No, so in our case, frankly, let me just tell you that while we don't have, except the paint companies who at least coming to renovation, waterproofing, if you look at most of our other categories we have strong regional competitors. So, if I look at Fevicol, from the outside it appears like and, yes, we have obviously very high market shares but in every geography, there is a strong regional player. In the West, there is Euro, in the North there is Jivanjor, there is American Bond. So, therefore, we do have competition but a large amount of the time we focus on expanding the market rather than looking at trying to get share from them.

Sheela Rathi: Okay, fine. And, Sir, in the past you have also said that on platforms like Amazon, for a lot of the categories we are a number one player. So, now what part of our business is online versus offline? I believe large part would be offline but what is the trend here? And, if you can share any numbers here?

Bharat Puri: See, the basic thing is, remember in most of our bazar businesses, whether it's woodworking adhesives, whether it's waterproofing, it tends to be the consumer and
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Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 contractor who buy and, therefore, modern trade or e-commerce plays a very little role.

In consumer products, actually there we have expanded a fair bit and close to between 7%-10% of our sales now is coming from e-commerce in the consumer product businesses.

Sheela Rathi: Understood. Thank you very much, Sir. And it's always a pleasure listening to you. Sir, thank you. All the best.

Bharat Puri: Thank you so much, Sheela.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Sandeep Batra : No closing comments other than wishing everybody on the call a very good evening and thank you for your continued interest. I think Bharat wanted to speak.

Bharat Puri: Yeah, again , given that I will not be on the investor calls for the last one of the year, I just wanted to thank all of you for your support, for your questions, for your contribution, for your enthusiasm. And you know it's wonderful that we have made so many friends along the way. Thank you so much all. One has learnt a lot from you, and it's been a wonderful journey along with you. Thank you all.

Moderator: On behalf of PL Capital that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited to improve readability)

Call: May 2025

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16th May, 2025
The Secretary
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Mumbai - 400 001
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Stock Code – 500331
Stock Code - PIDILITIND
Sub: Transcript of the Earnings Call

Dear Sir,
We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on 9th May, 2025.

A recording of the transcript is available on the website of the Company viz. www.pidilite.com.

Kindly take the same on records.

Thanking You,
Yours faithfully,
For Pidilite Industries Limited
Manisha Shetty
Company Secretary
Encl: as above

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May 09, 2025

MANAGEMENT : M R.SUDHANSHU VATS –MANAGING DIRECTOR ,
PIDILITE INDUSTRIES LIMITED
MR.KAVINDER SINGH –JOINT MANAGING DIRECTOR ,
PIDILITE INDUSTRIES LIMITED
MR.SANDEEP BATRA –EXECUTIVE DIRECTOR -
FINANCE &CHIEF FINANCIAL OFFICER ,PIDILITE
INDUSTRIES LIMITED
MR.DHARMENDRA LODHA –SENIOR VICE PRESIDENT
FINANCE ,PIDILITE INDUSTRIES LIMITED
MODERATOR : M R.ARUN BAID –ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY25 earnings conference call of Pidilite Industries Limited (Pidilite) hosted by ICICI Securities.

As a reminder all participants' line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Arun Baid from ICICI Securities. Thank you and over to you sir.

Arun Baid: Good afternoon, ladies and gentlemen. On behalf of ICICI Securities, I welcome you all to the Q4 FY25 and FY25 Results Conference Call of Pidilite Industries Limited.

From the Management side we have Mr. Sudhanshu Vats – Managing Director, Mr. Kavinder Singh – Joint Managing Director, Mr. Sandeep Batra – Executive

Director-Finance and Chief Financial Officer and Mr. Dharmendra Lodha – Senior Vice President - Finance.

Now I handover the call to Mr. Batra for his opening remarks. Then we will have the forum open for questions and answers. Over to you, Mr. Batra.

Sandeep Batra: Thank you and good evening and welcome everybody to our fourth quarter and full year earnings call. I will quickly give you the highlights of the performance and the financial results which were approved by our Board of Directors (Board) yesterday. I will quickly cover the fourth quarter performance and start with the standalone performance.

So, the quarter's standalone revenue growth was 10.2%. We have achieved double-digit revenue growth. This 10.2% top line was underpinned by UVG of 9.8% across categories and geographies. The Consumer and Bazaar (C&B) UVG was 8%, which improved sequentially, and the B2B segment continued to report strong UVG and in the quarter clocked 16.4%. Our gross margins improved both sequentially as well as YoY, primarily driven by soft input prices. VAM consumption in the quarter was at around \$880 a ton vis-à-vis \$925 a ton in Q4 last year and just for reference, in Q3 it was \$884 a ton.

As we had mentioned earlier, we stepped up our advertising and sales promotion spends to drive demand generation. And in Q4 they were at 5.4% of sales versus 4.7% in Q4 last year. Our EBITDA margins remained in line with the fourth quarter at

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20.6%. Profit before tax and exceptional items grew by 30.8% over the same period last year. Some of that is also led by dividends from our subsidiaries and therefore when I comment on the consolidated results, you will probably get a more representative picture.

If you recall, last year in the fourth quarter, in the standalone results there was an exceptional gain of Rs. 7 crores due to a share buyback of our Pidilite USA subsidiary and there was divestment of our subsidiary in Brazil. This year however, there is an exceptional loss of Rs. 20 crores largely on account of impairment of loan to an associate entity.

The Board also at its meeting yesterday recommended a dividend of Rs. 20 per share, subject to the approval by the shareholders at the forthcoming Annual General Meeting.

Our domestic subsidiaries reported double-digit sales growth in the quarter. EBITDA growth was also double-digit. Sales, however, of our international subsidiaries were flat relative to Q4 last year, largely on account of festive holidays in March, largely on account of Eid festival. So many of our subsidiaries had a lot of holidays in the month

of March which would have to some extent impacted the revenue growth.

Quickly commenting on the consolidated performance, revenue for the quarter was Rs. 3,130 crores and on a comparable basis, that is excluding the revenues of the Brazilian subsidiary, which was in the base last year, the growth is 9.5% over Q4 last year and EBITDA before non-operating income grew by 9.7% and profit before tax and before exceptional items grew by 20.7% at consolidated level. Profit after tax shows a growth of 40.5% largely because last year there was an exceptional loss of Rs. 72 crores on account of divestment of the business in Brazil. In the current year, the exceptional loss is Rs. 25 crores as mentioned earlier, mainly on account of impairment of loan and investment in an associate company.

Quickly looking at the performance for the full year; at a standalone level, revenues at Rs. 12,023 crores are higher by 8.1%, underpinned by a UVG of 9.3% with C&B growing for the full year at 7.2% and B2B at 19.2%. Gross margins expanded by 254 basis points and EBITDA margins expanded by 70 basis points.

Our domestic and international subsidiaries all reported growth and improvement in profitability. As a result, the consolidated revenue for the year was Rs. 13,094 crores, higher by 7.6% again after adjusting the business in Brazil, which had been divested in March last year. EBITDA for the full year was Rs. 3,013 crores, higher by 11.3%,

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PBT higher by 16.2% and PAT for the year at Rs. 2,096 crores was up by 20% over

last year.

So, with this I will hand over the call for any questions that the participants may have.

Moderator: Thank you very much. The first question is from the line of Abneesh Kumar Roy from Nuvama. You may proceed.

Abneesh Roy: My first question is on the demand side. So, in the Q4 call, almost all the FMCG companies and even Asian Paints yesterday, FY26 outlook in terms of the volume growth and overall demand side, they have said that FY26 will be better than FY25. In your case in Q3 call, you had said that in Gujarat and some pockets of Andhra Pradesh, Hyderabad, etc. real estate there was some tightness in the demand side. So, if I take that and given you have already done quite well in FY25, it's a reasonably high base. In your case, you think these robust numbers of high single digit kind of volume growth or say double digit kind of sales growth, is that looking possible in FY26 when I combine all this.

Sudhanshu Vats: Hi Abneesh, first of all good to hear from you and always consistent in keeping your record on being number one on the block. So, thank you, it's indeed our pleasure to hear from you. So, I think like the others have commented, so let me look at it like this. So, the consumer demand in a pristine sense, in a normal environment is continuing to look good. So, we completely echo what you have been hearing from others. In our case, we are also seeing that the thrust of the government on the government spending, will be stronger in FY26 because the elections are behind us. Last year, there was that national election and some others. So therefore, that effect will flow through in our opinion. Secondly, consecutive good monsoon which is what has been predicted will further add to this. So, from a consumer demand point of view, we remain quite consistent. We have always said Abneesh, that we will deliver double digit profitable underlying volume growth and so therefore that is something we will continue on. We are on this treadmill. So, therefore the base has got no major effect on it. I think we have delivered a good FY25, but that does not mean that FY26 should not be or will not be equally good. In all of this as I am speaking

to you, we are in a very unprecedented macro environment both from a geopolitical sense and also from a global economic sense. Now the big question for FY26 is, what the longevity of this uncertainty and unpredictability is. If this is short lived about 30-40 days, maybe even a month or two max, then I think the year would perhaps play out to the fundamental consumer demand. If this is extended, then the impact of this is something which we have not factored in and will be very different in our opinion.

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Abneesh Roy: Sure, the geopolitical risk applies to everyone. That's the point well taken. One follow-up on this, on the weakness in Gujarat and Hyderabad markets in real estate which you had pointed last time. Is there any reversal and are there more pockets in the country where this issue seems to be coming up?

Sudhanshu Vats: So, these specific places, it's eased out a little bit. That is fair and it's also reflected in our overall numbers for the quarter, Quarter 4 if you look at it which we reported, our urban growths have been much better than what they were in the past. Although we have maintained, our rural growth is still ahead of urban growth. So that piece remains consistent. But our urban growth especially for Quarter 4 are much better. So, this is again from a data point of view also quite consistent to the observation you had made earlier.

Abneesh Roy: Thanks. My second question is about the slightly different thing I am seeing in terms of your cost item. For example, in Q4 again most consumer companies staff cost is almost stagnant on YoY basis and if I see BSE 500 also, Q4 and earlier quarter also there's just 5% inflation in terms of the staff cost. In your case it is 21% up YoY, 5% up QoQ, is there any one-off in staff cost?

Sandeep Batra: Yes, Abneesh there are about Rs. 17 odd crores of year end adjustment that has happened, that has kind of flowed into the fourth quarter, that is not going to get repeated.

Abneesh Roy: Is it ESOP adjustment or what adjustment it is?

Sandeep Batra: Some of it is ESOP, some of it is actuarial valuation of our retiral benefit. Some of it is true up of whatever is the performance linked compensation that we pay off. We have to all true it up in March. We have got a onetime charge of about Rs. 17 crores. So, if you adjust that the manpower cost will be same as third quarter.

Abneesh Roy: Sure. Last quick question. So essentially coming back to the tariffs, Pidilite has always been ahead of the curve in terms of new demand generation. Now US itself is saying

that most of the Apple phones will be manufactured in India eventually. So would your optimism on opportunity from adhesives in phone manufacturing, would that get bolstered versus say 6 months back because of the developments? We don't know the tariff eventually where it will pan out. But based on the current understanding and comment by US itself, would you say that the opportunity longer term becomes stronger here? I am not talking about this quarter or this year. I know these are things which take time but is it looking better?

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Sudhanshu Vats: Yes, Abneesh, I think we have talked about this in the past also. We recognize the electronics, EV and maybe moving forward semi-con opportunity in India. We have recognized that in the past. We are very confident of being able to make good of that opportunity and we are working towards that. I think on the very specific question on how tariffs will play out and how much of

that will shift, I would still wait and watch

a little bit because I think we have got to see this. So therefore, the way I would respond is that we were bullish on this opportunity. We had recognized this opportunity already.

If this opportunity becomes an even better opportunity, we will be better placed to exploit that. I think that is what I would say.

Abneesh Roy: Sure. Thank you. That's all from my side.

Moderator: Thank you. The next question is from the line of Nitin Shakhder from Green Capital Single Family Office. You may proceed.

Nitin Shakhder: Hi, good afternoon to the management for another steady set of good results. My question is more forward looking so please answer it in the present to the best possible that you can. Now we have seen many large industrial players entering cement, wires, cables and paints specifically. And that's hit the margins of the larger dominant companies. Now whether it's Asian Paints or Havells who already had a lot of market share, now, is there any future risk mitigation plan that the company is working on, which sort of tells them what we should do in case a larger industrial house were to enter the adhesives. Just wanted to get a management sense of how we are working in the future because it might happen in the future. We don't know when, but it might.

So, just wanted to get a sense of that. This is more as an investor rather than an analyst.

Sudhanshu Vats: Yes, Nitin, thanks for raising this question and I think this question has been asked of us earlier as well, especially in some one-on-one conversations. So, the way to look at Pidilite, and I will answer it in two stages, one, explain a little bit of how we think you or others should look at Pidilite, which is a little different. And two, is to your specific question on what more we are doing to sort of strengthen our position and make this eventuality less likely, if at all it should happen. So now the question is, first of all, Pidilite, unlike many of the players sometimes you get compared to, is far more diversified even today. So, when we talk of Pidilite, we obviously and very rightly talk of us as an adhesive company and as Fevicol, which is our flagship brand. And we are indeed very proud of both our presence in the segment and of course Fevicol as a brand. But I think our portfolio is now far more diversified. So, this piece is less than a third of our portfolio. Our portfolio has a very strong construction chemical coming in and growing very rapidly as we speak to you. Our portfolio has expansion in the area of projects and services, where we have demonstrated very good growth in the past seven

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odd quarters. Our portfolio also has progressively renewed industrial products thrust and Abneesh's previous question on electronic adhesive was also a pointer in that direction. So, our portfolio is far more diversified compared to any of the others you have spoken about. Also, the sheer size of the business, even if you were to take a part of our portfolio which is adhesives, is not as big or arguably, especially from a size point of view as attractive as it can be for some other sectors. And thirdly, I think we strongly believe that our brands are far stronger than some of the branded names that are talked about, maybe with the exception of one or two. Fevicol, as we have said repeatedly, is a consumer brand and India is perhaps the only country where Fevicol gets mentioned in the top 10 consumer brand across categories. It is a part of the cultural lingo. So, the strength of the brand per se is in our judgment disproportionate to the comparisons that get made. Having said all of this, I think what we as a company

are going to steadfastly do, whi

ch is up to us and we are going to work, continue to work on to further diversify our portfolio, strengthen our portfolio both from the point of view of product category diversification but also as we go forward in the form of geographical diversification and growth of international business. So, as the company grows, the richness of our portfolio and the diversity of our portfolio in some ways is going to always be a strong indemnity or a strong insurance if I can use the word to any likely such move.

Nitin Shakhder: Okay, thanks. Sir, my follow-up question on that is it's extremely clear that you have already anticipated the risk and probably the management is working on a strategy or a vision that if a risk like that were to happen you will be able to counter it. My follow up question is, is there any feedback on the ground from let's say the larger distributors, the B2B business or the B2C business that what can the company do in terms of innovations that it's probably not done before? I mean it is very tough to change products overnight but strategy at the management can look into working with innovative ways of trying to control a larger market share. So, if that risk were to happen you probably lose out a lot lesser.

Sudhanshu Vats: Yes, so this is one thing in which we as a company, Pidilite, one of our strengths is actually listening to feedback continuously from the market, from stakeholders. And when I say market, I mean our dealers, our users which are applicators and all consumers where it is relevant and so on and so forth; and all partners. It's a very consistent and continuous stream. We continuously keep listening to this, we continuously keep working on that and I think therefore that is something which we have been doing all along. And to just give you one or two examples, I think the way we look at keep looking at innovations and premiumization. So, if you look at our Fevicol flagship brand, our premium portfolio, the most premium offering now which Pidilite Industries

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is called Fevicol Hiper Star is doing very well indeed. These things come out of that, also from substrate point of view we have something called a multi straight substrate Fevicol called Fevicol Nail Free Ultra which is actually a different chemistry by the way but it's applicable to multiple substrates, that's doing exceedingly well. It's growing really well as I speak to you. We have also introduced something called Fevicol Relam which is laminate over a laminate kind of stuff so, a product which is helping you with that. So just a few examples I give you to give a tangible feel. But we keep looking at some lot of these things again within the context of adhesives and woodworking, the entire movement from on-site to off-site, we have been cognizant of that. We have built a very strong off-site team called Joinery team. Our shares are strong there; our profitability is good there. So, we are very cognizant of a lot of these things which are happening, and we remain vigilant, attentive and proactive in many of these areas.

Nitin Shakhder: Great. Sudhanshu, my one follow up is that the company is proactive and innovative. Now I understand that cyber security is not the core business of the company, but you have multiple plants running logistics. Is the company working to tackle concerns about cyber security, we are living in an information world and if tomorrow we think that some other risk might come in. Any thoughts on management, any discussions on that? I know it's not connected to the main business, but I always worry about companies that are not looking at cyber security for their operations.

Sudhanshu Vats: So, Nitin, you are absolutely right. This is not our main business. But I

have always

maintained all companies are technology companies and so is Pidilite. And I think cybersecurity has been top of our agenda from a risk management point of view. Now, not for this year, but for arguably 2 or 3 years we have a dedicated small team cell. We have a very competent person looking after this and we have partnerships with the best in the country in order to make sure that we are ahead of the game on cyber security as well.

Nitin Shakhder: Okay, great. Thanks a lot, Sudanshu and all the best to the management and Jai Hind.

Sudhanshu Vats: Thank you.

Moderator: Thank you. The next question is from the line of Jayakumar Doshi from Kotak Securities. You may proceed.

Jaykumar Doshi: Thanks for the opportunity. Crude prices have come off quite a bit in the last one month. So how is the crude price and your raw material basket and what percentage of

your raw material basket do you think will have a deflationary tailwind?

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Sandeep Batra: Hi, good evening, Jay. So, a large proportion of our products are indeed derivatives from crude, but all of them don't have a linear price in the short term with crude. So, I think it is something that one has to wait and watch as to how the overall demand, supply, inflation, currency, how all these variables play out. But certainly, the fact that crude prices have cooled off is a very positive sign for us. We haven't seen immediate transmission of it. VAM remains at the levels that we consumed in fourth quarter. So, it's wait and watch. But certainly, the signs are positive.

Jaykumar Doshi: Understood. And do you think this year could be a year where of pricing perspective it could be a deflationary year or at this point of time it's too early to say?

Sandeep Batra: There are too many, there are too many moving parts. It is very difficult to hazard any guess at this stage. We will take it as it comes.

Jaykumar Doshi: Second question is, B2B segment has done consistently well for a few quarters now. So, on the high base, do you still think that this is a business where low to mid-teens kind of growth is sustainable for maybe 2-3 years?

Sudhanshu Vats: Yes. The short answer is yes. But I also have Kavinder now, who directly looks after this and we have sort of formed a division called Pidilite Professional Solutions which is going to specifically be targeting at this opportunity. So, we remain very confident. But I would request Kavinder to also elaborate on this to give you a little bit more context and flavor on how we are progressing.

Kavinder Singh: Thanks, Sudhanshu. Just to build on your question, I think we are seeing a fairly large opportunity in the construction sector and as we are already present through multiple brands. Whether it's Dr Fixit, then we have a floor coating brand Dr Cipy, then we have tile adhesive solutions through Roff. What we are realizing is that there is an opportunity to tap into this larger sector by going in an integrated way to the architects and structural consultants. And that is what Sudhanshu talked about Pidilite Professional Solutions, is all about. We want to make a big move in this area so that we are able to get ourselves specified in various segments, whether it is residential, whether it is commercial, within commercial - hotels, hospitals, education institutions as well as the EPC contractors, the big EPC contractors through which we will be participating or are rather already participating in the government and infrastructure projects. We believe that the Professional Solutions which are more in the nature of systems, construction system solutions which are needed by various players have to be addressed in an integrated manner rather than selling p

roducts through multiple

verticals which we continue to do. So, as we speak, we are moving in this direction and eventually our idea is to also tap these segments in a manner in which even the go-

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to-market strategy is sort of around the segments. So, we believe that the opportunity is tremendous, and we are confident that as long as this cycle of construction upswing which is on right now, almost in all the segments and you can track that through the growth in even cement consumption, the number of hotels that are getting constructed, the number of new hospitals that are coming up. So there seems to be an opportunity to be leveraged by Pidilite's strengths that we have with regard to our R&D and our solutioning approach that we are taking. If you have any follow-up question, I can take it up. Otherwise, I am handing it back to Sudhanshu.

Jaykumar Doshi: Yes, I do have a follow up. Look, you gave a very good overview of your business at the investor day earlier this year. But what we are not too sure about is from a classification perspective like Rs. 3,000 crores top line for B2B in FY25, what are the big areas? How do you break up that Rs. 3,000 crores into sort of because earlier there used to be pigment business. There is an industrial adhesives, there must be something else. So, if you could give us some color.

Sandeep Batra: Yes. So, our B2B could be divided into three subgroups. One is our business of waterproofing that we sell to projects.

Jaykumar Doshi: Its Nina Percept.

Sandeep Batra: It has Nina Percept which is an application company. But then we also have product supplies that go to these projects. Nina does apply and supply. And then we have a

business which is into pigment and pigment preparations. And then we have an industrial adhesives business which also makes industrial intermediates. So, we do not specifically share the revenues of each of the segments, but there are these three categories. The project business which Kavinder spoke about is largely India led and is riding on the back of an upswing in construction activity. The pigment business has large exports out of India and that has done well. The big customers of that business will be paint and ink companies and then you have industrial adhesives which supply to a wide variety of end use industries.

Jaykumar Doshi: Understood, that's helpful. Thank you so much.

Moderator: The next question is from the line of Avi from Macquarie. You may proceed.

Avi: Sir, I just want you could share any update on the paints and lending business. You had indicated, you might kind of think about sharing that towards March end, so would love to hear any update over there, sir.

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Sudhanshu Vats: I would like to call them intermediate updates if I can, but I will give you a context and flavor on both. So let me first start with the lending piece. This question keeps coming up. So, 2-3 things and we have said this earlier as well, but just want to make it very clear, Avi, that the question to ask is what business are we in? So, the business we are in here, and while it is classified as lending business, that's correct, but the business we are in is to actually strengthen our applicators or our dealers with availability of finance in order to ensure that they are optimally able to grow. So therefore, our focus will continue to remain our ecosystem defined as our large contractors' or dealers. So therefore, that's the first key part and I just want to reiterate that b

ecause that's very important. We are not doing a classic lending business. We said this earlier, I am just repeating it and in Bangalore where we have done this project, we are making good progress. We have actually on all parameters making good progress. But like many pilots and in a classic Pidilite way, while the progress is good, we still feel that we need to stay there. We feel that we need to fine tune it. We feel that we need to therefore continue to cross the T's and dot the I's on the playbook, develop modules and then look forward. So, making progress focused on our own stakeholders, our own ecosystem, more specifically our dealers and contractors and so on and so forth. We have a very good understanding of these guys, we have deep relationships, we broadly understand their financial capability as well. So, I think that's the piece on how Bangalore is progressing well and therefore this piece is progressing reasonably well. On the paints part, again, as you are aware, we are in the five states largely in the south. We normally call that TAO-TK. I am taking the liberty of sharing some acronyms with you which is basically Telangana, Andhra Pradesh, Orissa and now TK being Tamil Nadu and Karnataka. So, we have been there in TAO-TK. We are making good, steady progress. So, we are growing QoQ and are indeed growing month on month. We are very keen to continue to evaluate at a micro level like for like growth. We want to develop a very fundamental understanding of how we are doing with the dealers, big dealers, dealers where we have tinting machines, contractors, so on and so forth. So that work is happening here again, like I said to you for the earlier piece, we think that we need to do more work to develop our moat, our fundamental hypothesis of doing things in a very Pidilite way and demand generation piece. So that work is again happening. We believe that while we made good progress and most of the companies would say that this is good sales progress, 'abhi aage badho'. But Pidilite is going to sort of, we are going to again continue to fine tune our playbook. We want to be sure that we have got our demand generation, particularly our demand generation playbook, right. And very critically important for Pidilite as you know, for most of the other things. So, we are working on that piece as well and once we have that we will look at further extension and we will come back to you. But we are making very good progress

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even on Haisha and we are basically going in these places, we are delivering strong progress sequentially as well.

Avi: Okay sir. And sir, any size targets, anything you would want to kind of share about the forum or not, too early?

Sudhanshu Vats: No, I think that is something which has been shared earlier as well. So, frankly it may be a little bit premature to share the size. But I will tell you the philosophy. The philosophy is simple, philosophy is that we will be focused at least to begin with and for a considerable period of time on what is called rural and small-town India. And we want to be an important player in rural and small-town India. So that is the measure we are keeping ourselves. So, are we getting there, are we in the consideration set of the dealers, are we getting recall from the consumers, are we getting demand in these places? So, this is the work which we are doing. Once we get a little bit more of this thing we will work on numbers, again for Pidilite numbers follow. So, I think once we get this thing right, hopefully numbers will follow and we will be in a position to even share some more with you.

Avi: Thanks, that's very clear. Sir, just clarify and please correct me if my understanding is right

. The key risk in assuming that Q4 is a reasonable guide on what we can see panning out in FY26 which is the caution for you is the longer period of geopolitical linked uncertainty. Is that the right understanding? And we have seen two quarters of good growth. So, I am just trying to better appreciate why we should not at least build in Q4 as a reasonable expectation on growth going forward on sales. Thank you, sir.

Sudhanshu Vats: That's a good point, Avi. Let me ask again, I think this came up in some of my early morning discussions also. I think this, when we say cautiously optimistic, let me sort of break it up into two. We remain optimistic on fundamental consumer demand which I think has been strengthening. In the earlier piece when the demand was a little sluggish, we managed to deliver a double-digit underlying volume growth. So, we remain confident that we will and can deliver double digit UVG in the pristine consumer demand sense. But as we enter FY26, as I was saying in the first question which was asked, these are unprecedented times. The geopolitical situation and also the global economic situation is very uncertain and very unpredictable in that sense. So therefore, the cautiousness is coming around largely from there this time. I hope this answers your question.

Avi: That answers the question, perfect, sir. Thank you very much. That's all from my side.

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Moderator: Thank you. The next question is from the line of Saurabh Kundan from Goldman Sachs. You may proceed.

Saurabh Kundan: My question is how much cover do we generally carry on our raw material? Just trying to see what the lag with which you start seeing benefits of crude correction. And related to that is, when RM cost does go down for you, let's say at some point can you take a gross margin expansion from here or gross margin you think is at a good level now.

Sandeep Batra: Overall, we would have about 60 to 75 days cover in terms of raw materials. That will become slightly higher when you also add the finished goods inventory that we keep.

And in terms of the reaction if input costs do soften, it's something that we don't react on a day-to-day basis to movements in cost. We will look at what the longer term is or a medium-term outlook on input costs and accordingly, take a call. I mean if you would recall from October 2023, from the time where input costs actually started to go down, we would have taken price adjustments which is why you would have seen that our revenue growth would have lagged underlying volume growth and there has been EBITDA margin expansion. So I think when input costs correct, it all depends on the magnitude and the duration. And we will take a very judicious call at that time because we are very careful that we do not want to pocket all the gains and suddenly make our category very attractive for competition to enter via the back door.

Saurabh Kundan: Right. Thank you very much. That's all.

Moderator: The next question is from the line of Nitin Jain from Fair View Invest. You may proceed.

Nitin Jain: I have two questions, given that the government is giving a lot of priority to electronics manufacturing in the country, so can you share the opportunity size that we can see in adhesives used in electronics assembly? And my next question is if you can elaborate more on the CollTech partnership and how Pidilite stands to benefit. Thank you.

Sudhanshu Vats: Yes, Nitin, the two are related questions and let me just tell you. In terms of market size estimation for electronic adhesives, if I was to give you a broad number of the market size for electronic adhesives moving forward because I tell you this, electronics manufacturing also needs to be contextualized.

Lot of the time when we say electronics manufacturing, many times it is just assembly and if it is assembly, so there the use of adhesives is much less. As we keep getting into more and more manufacturing, including the motherboard, the other pieces and so on and so forth, electronic adhesives really kicks in. So, I think it will progressively build. Our understanding is that this business could be a billion-dollar market by 2030 to give you a ballpark number. And

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I am talking about electronic adhesives opportunity. Now, having said that, this is also a very complex business because there are multiple parts in each component and then there are multiple products and then there's of course EV and then there is in future some semi-con and all that stuff. So therefore, in mobile itself, different models and iPads, laptops, all of that. And there are multiple moving parts in this. So, what happens is that there are fewer companies that are specialized in individual areas, each company specialized in individual areas, there aren't many companies or any company, if I could use the word, definitely not many companies which will perhaps have the full spectrum. Point number one.

Point number two is that even when you have this classically for any vendor, client, partnership or relationship, there will be multiple people who will be there. So therefore, in that context, that naturally flows to my second question, which is that we have now partnered with CollTech as we speak to you, we are their official exclusive distributors for this part of the world, for India as a territory. And that is progressing well. And in this business, you have to start with specifications, then that period goes for some time. Then you have to, once you have specified, some more sampling and trials and then you get into commercial. As I speak to you, we managed to get a few commercial orders. So that has started. As I speak to you, we are in constant touch with all the important contract manufacturers and, electronic manufacturing services (EMS) companies as they are called. They are the ones who put all of this together in some form or the other for various brands. So, we are making good progress. It's a piloting business. It's going to take time. We have full intent to play in it and we are building it block by block.

Nitin Jain: Thank you, that's very helpful. Just if I can add a follow up to that. So, would most of the applications be within mobile phones or it spread across mobile phones, televisions, etc.?

Sudhanshu Vats: No, it's spread all across. Mobile phones are larger or tends to be, but depends on again our product portfolio. And I am not going to talk about that at the moment. But it's not only product profile, it's not only mobile phones, it's hearables, it's wearables. So, you are thinking only electronics in one direction. But you have all your hearables which come in which are actually, by the way India may be a larger market because of presence of Boat and all that. And then of course, wearables again. So, India is again a pretty large market for certain set of wearable products. So, it's a pretty large gamut and it's very interesting, but it's reasonably complicated, which is what I want to tell you.

Nitin Jain: Thanks for the clarification.

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Moderator: The next question is from the line of Latika Chopra from JP Morgan. You may proceed.

Latika Chopra: My first question was regarding some color on the borderline volume growth for some

of your new forays or relatively new forays. One is tile adhesives, the other is wood finishes. And also, if you can give some flavor on how waterproofing volume trends have behaved versus 7%-8% volume growth that we have clocked for C&B for FY25. And if you could also share some color on how do you expect these growth rates to trend going forward?

Sudhanshu Vats: Yes, Latika, thanks for the question and we will give you some indication. I have not followed what the first question was, so I have understood waterproofing, which you said later. What is the other one you wanted?

Latika Chopra: Tile adhesives Roff, basically.

Sudhanshu Vats: So Latika, as you very well know, the way we define our growth categories and there's a broad distinct, we say 2X to 4X of the real GDP now and I am happy to share with you that tile adhesives a little bit more than Dr Fixit construction chemical, but both of these growth brands and categories are delivering to that range. So therefore, we are

happy with that. And when we say here, as Kavinder was explaining to you earlier, especially in the case of Dr Fixit, but arguably for both brands, we take the full spectrum. So, we are talking about what you would call retail or bazaar for our business, projects and so on and so forth. So, it's a full spectrum of these product categories for Pidilite. So, they are both delivering in that zone. Roff, a little ahead of Dr Fixit as you would expect in terms of growth. Our understanding is that this trajectory will continue. We are quite confident about that. Kavinder spoke to that on how we are looking at this piece and therefore more enablers, more go to market, more specific go to market structural interventions which we are doing which should help us deliver that. So therefore, momentum on both of these should continue moving forward as well, in our opinion.

Latika Chopra: Sure. The second question was about your rural retail expansion strategy. If you could give us some color on what kind of number, you landed FY25 on Pidilite Ki Duniya (PKD) and what kind of growth plans do you have there? Thank you.

Sudhanshu Vats: Yes, so PKD we have continuously been expanding, and I think even in this quarter we further expanded. So, actually we have closed the year if I could use that and we share that number. So, I am happy to share that again, is there about 16,500 PKDs now basically, which is about close to just under 1,000 added even in this quarter. So, we continue to keep making that. But the way to look at expansion or distribution, Latika, Pidilite Industries

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is three areas. One is that PKD momentum will continue, but the other area where because of our thrust construction chemicals, you will also see us looking at what we call the Dr Fixit Centers (DFC). We will do a lot more work in that space as well. That will continue. And thirdly, both for these DFCs and PKDs, the terms which we have used, all of you are familiar with, we will also look at qualitatively how do we take them to the next level. So, it's not just numbers, but it is what we are doing with these. And therefore, as the village where it is there, tends to mature or becomes bigger or as the demand continues to grow, how do we make these better? And we maybe use terms like super PKD and all that. So therefore, that is the stuff which will continue. So, our expansion journey continues both quantitatively from numbers point of view but equally and more importantly qualitatively from what we do there, how do we use that real estate more and more effectively for us?

Latika Chopra: Understood. So basically, you mean throughput per outlet also is increasing

Sudhanshu Vats: Yes, range throughput and Latika also the demand

generation activities, multiple things.

Latika Chopra: Is there a way one could measure what's the salience of the revenue we generate from these stores? Is it a very meaningful number?

Sudhanshu Vats: So, we do not share that. Of course we do measure all the productivity measures which are needed for this and how it should be effective.

Latika Chopra: Fair enough. All right, thank you so much and all the best.

Sudhanshu Vats: Thank you.

Moderator: The next question is from the line of Tejas Shah from Avendus Spark. You may proceed.

Tejas Shah: Hi Sir, thanks for the opportunity. Two questions pertaining to Haisha. So just wanted to understand our go-to-market strategy, especially when the incumbents are complaining that the cost of shelf has actually gone up too because of the competitive intensity. So how are we going about it? Second, at what scale or repeat purchase trigger or channel readiness, would you be confident to take Haisha pan India? What is the key trigger that we are monitoring for that rollout?

Sudhanshu Vats: It's a very good question, Tejas but I must also tell you if I disclose all of this, in the current environment we are not going to be able to talk about any of this. The question broadly and maybe at the risk of not repeating myself and I talked about it in some detail. We are looking at how to progress this in a different way. First of all, when you Pidilite Industries

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come at it from the competitive intensity in urban India, we do not approach this from that point of view as of now. So, I think we look at it from growing demand in rural and small-town India. Is there a little bit of interplay because of the competitive intensity in this sector at this moment? The answer is yes, there is a little bit of

interplay. You don't live in isolation. But I think that is the reason that we want to continue to fine tune this as we go forward. But we are approaching it Tejas very differently from the conventional piece. We are approaching it more from, so we have to keep asking the question on what is our license to play and right to win. Our license to play broadly there is because from the point of view of our portfolio, our availability deep down and we have spoken about that, the way we reach out to some of these places. Our right to win needs to be sharpened and we need to be very clear on that and we are continuously working on that piece. And as I said, and maybe just a quick repetition. From the point of view of numbers, I think we are making good, satisfactory progress. Our numbers are growing quarter-on-quarter, month-on-month. So, we are making progress. So therefore, that is the good news. But from the point of view of when are we ready to scale it up to the full level? I don't think we are ready at this moment. We need more work to be done and that's what I spoke about earlier as well. Tejas Shah: Perfect. Very clear, sir. Thanks and all the best for coming quarters.

Sudhanshu Vats: Thank you.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Sandeep Batra: Thank you very much. I would like to thank each of them who joined the call for their continued interest in Pidilite. Thank you very much. Have a good evening.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited to improve readability)

Call: Aug 2025

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14th August, 2025
The Secretary
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Stock Code – 500331
Stock Code - PIDILITIND
Sub: Transcript of the Earnings Call

Dear Sir,
We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on
7th August, 2025.

A recording of the transcript is available on the website of the Company viz.

www.pidilite.com .

Kindly take the same on records.

Thanking You,

Yours faithfully,

For Pidilite Industries Limited

Manisha Shetty

Company Secretary

Encl: as above

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Q1 FY '26 Earnings Conference Call"

August 07, 2025

MANAGEMENT : M R.SUDHANSHU VATS –MANAGING DIRECTOR –

PIDILITE INDUSTRIES LIMITED

MR.KAVINDER SINGH –JOINT MANAGING DIRECTOR

–PIDILITE INDUSTRIES LIMITED

MR.SANDEEP BATRA –EXECUTIVE DIRECTOR

FINANCE AND CHIEF FINANCIAL OFFICER –PIDILITE

INDUSTRIES LIMITED

MR.BHAVESH JOSHI –VICE PRESIDENT ,DOMESTIC

ACCOUNTS AND TAXATION –PIDILITE INDUSTRIES

LIMITED

MODERATOR : M R.JAY DOSHI –KOTAK SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Pidilite Industries Limited Q1

FY '26 Earnings Conference Call, hosted by Kotak Securities. As a reminder, all

participant lines will be in the listen-only mode and there will be an opportunity for

you to ask questions after the presentation concludes. Should you need assistance

during the conference call, please signal an operator by pressing *0 on your touchtone

phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jay Doshi from Kotak Securities. Thank you,

and over to you, Mr. Doshi.

Jay Doshi: Thanks, Manav. Good afternoon, everyone. On behalf of Kotak Institutional Equities,

I welcome you all to Q1 FY '26 Earnings Call of Pidilite. We have with us Mr.

Sudhanshu Vats, Managing Director; Mr. Kavinder Singh, Joint Managing Director; Mr. Sandeep Batra, Executive Director Finance and CFO; Mr. Bhavesh Joshi, VP, Domestic Accounts and Taxation.

I'll now hand over the call to Mr. Batra for opening remarks. Over to you, sir.

Sandeep Batra: Thank you, Jay, and good afternoon to everybody on the call. I will quickly share my opening comments and covering the Q1 FY '26 results, which were approved at our Board meeting yesterday. To commemorate the 101st birth anniversary of our founder, Shri B.K. Parekh, the Board has announced a special interim dividend of INR 10 per share as well as a bonus issue of 1:1. As you would recall, this bonus issue comes after 15 years.

Coming now to the performance for the quarter. The stand-alone revenue of INR 3,467 crores was higher than same period last year by 10.6%, largely led by an underlying volume growth of 9.9% with the remaining coming from price. Underlying volume growth for both Consumer and Bazaar and B2B was strong. Consumer and Bazaar UVG was 9.3% and B2B was 12.6%.

Within the geographical distribution for us, rural growth continued to outpace urban and that has been the trend now for the last few quarters. Stand-alone gross margins were in line with Q1 last year. However, our EBITDA margins were higher than same period last year by 101 basis points and stood at 25.6%.

The standalone profit before tax and exceptional items was higher than last year by 18.5%, whereas profit after tax grew by close to 18%. Our domestic subsidiaries cumulatively reported a sales growth of 11.5% and 31.7% growth in EBITDA because of softening of input costs and some pricing action taken last year in ICA. International

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Regd. Office: Regent Chambers, 7th Floor Jamnalal Bajaj Marg, 208, Nariman Point, Mumbai – 400 021. Investor Relations - investor.relations@pidilite.co.in CIN: L24100MH1969PLC014336 subsidiaries grew top line by 6.5% but also improved their margins because the EBITDA growth was 9%.

Consolidated revenues for the quarter at INR 3,742 crores were higher than last year by 10.6%, and EBITDA was higher than last year by 15.8%. So that is the overall commentary on outlook and comments on the performance for the first quarter.

Open the floor for question and answer.

Moderator: We have our first question from the line of Abneesh Roy from Nuvama.

Abneesh Roy: Congrats on very strong set of numbers. My first question is, two quarters back, you had highlighted two states where there was some level of slowdown, I think Gujarat and Andhra Pradesh (AP), and then in Q4, you said it is easing out. If you could update us now, are these two states now almost normal versus the pan-India growth? And any other states where you would want to highlight, which are the outperformers, and which are the laggards?

Sudhanshu Vats: So Abneesh, first of all, ver

y good to hear from you. And thank you. I think indeed,

these are strong set of numbers under the current context. Abneesh, as you rightly pointed out, from period to period, as we do analysis of different states and look at numbers and performances in every state, it keeps changing.

But the good news is, like we were telling you last time as well, anywhere where we see a weakness, we do a very detailed analysis in the company, and we get into the root cause of why that has happened and put actions in place. So as you would rightly expect, and as you said yourself, I think some of the issues which were faced then, particularly in AP and in Gujarat, have eased out.

Competitive intensity in some parts of these states does remain. So for instance, Hyderabad has very high competitive intensity for one of our businesses, tile adhesive, as you would know. Gujarat has some level of competitive intensity on some of our other businesses. But overall performance of the states is improving quarter-on-quarter.

I think if you were to ask me, are there any states which are a bit of an outlier as we go forward, there are always some but I could say at the moment, Kerala is one state.

When we look at Kerala, across our businesses, there is some challenges, but we will evaluate that also as we go forward, find solutions and be able to address it.

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But I think in summary and a more conceptual point, just to let you know that we keep

looking granularly at state by state sometimes, many times at districts and even town level and find solutions right up to that and sometimes even at dealer level.

Abneesh Roy: Understood. One follow-up here. So tile adhesive cost is around 2x of cement. And almost many of the paint legacy players have now entered tile adhesive. So, if you could tell us in terms of pricing of the paint players versus your extremely strong brand, Roff, are you able to charge a premium still?

And on the Hyderabad-specific example which you gave in terms of more competition, why cannot that competition go to more markets? Because in India, we see that these types of issues are generally not specific to one city, right, in terms of competition. If you could elaborate on that, sir.

Sudhanshu Vats: No, no. So this is not a new competition. As a matter of fact, we are getting more competitive. If you were to ask the other side, they will say perhaps that Hyderabad now Roff is doing a lot. So, as you know here, our key competitor had done a lot of work in projects well before us. And now we are inching towards leadership overall in the country. We are already leaders in tile adhesive when it comes to retail business. Hyderabad tends to be the bastion or the "gadh" of our competitor who started the business there. That's why the shares are slightly disproportionate. So, will it travel elsewhere? I think if it had to travel, there were 20 years available for it to travel. So will it travel now? And then can it travel now? The answer is in my judgment, not very obvious. So it is not a new phenomena. It will not travel.

As a matter of fact, if you were to ask the other side, you will perhaps see that there is a lot of heat on from our side there. So I hope I have addressed your question.

On the second part, our growths are really, really good in this segment. And what we do here, I will tell you, Abneesh, is, see, when it comes to tile and you know some of these statistics at the back of your hand, I think one in four people only use tiles. So the purpose and the objective and the broader purpose in this category is to grow the category and to grow it exponentially.

Now you are absolutely right. The cost of this is higher than cement, but tiles are getting mor

e sophisticated. Tiles are getting thinner, vitreous, also on vertical surfaces, sometimes even outside exterior surfaces. So, you need more sophisticated solutions. So, our entire endeavour is actually to keep on premiumizing and building offers all through the pyramid.

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It is a classic pyramid, again, Abneesh, like you would understand from some other categories or companies in India. Tile adhesive is a classic pyramid. There at the bottom, you have the cementitious products and then you keep getting into more and more sophisticated products that you keep going up for different types of tiles. So we now are building that portfolio. We have almost a complete portfolio right up to the top.

So our endeavour is to be actually growing much, much faster than the market, which indeed we think we are, because our growths are very good. And we are continuing to build our portfolio all across. And at the very bottom, we continue to enjoy a marginal premium over our competitors. So I think that is where we are. With the progress of Roff, we are particularly satisfied and very happy, both on Roff retail and Roff projects, our growths are really, really good.

Abneesh Roy: To understand this fully, your presence in tile adhesive is far more comprehensive, far more SKUs and offerings versus the paint players which have a few offerings. Will that be correct?

Sudhanshu Vats: Yes. So different players will have different offerings and all that, but ours is a very comprehensive offering. So I am saying if you understand like other categories, and particularly some of the other FMCG companies will tell you, India has a pyramid structure for developing a full portfolio. You have to have big products; you have to have slightly more superior, mass premium products; you have to have premium products; you have to have specialty products. So, when it comes to Roff, we have everything, Abneesh.

Abneesh Roy: Sir, last question. In the analyst meet, we were shown that extremely interesting product, UnoFin. I understand it will take time for traction given it's a very different product. So if you could talk about the initial journey? What are the learnings? What is the progress?

And on Haisha Paints, anything you want to share, given paint industry, there is a gradual revival? And the new large paint player, I think, seems to be now stabilizing.

So, any comments you have on what, say, the legacy paint players are saying on the new disruptive large paint players? Anything you have to further add on that, 10% extra grammage, dealers returning some of the machines, anything you want to add on that?

Sudhanshu Vats: So as far as we are concerned, Abneesh, we are focused in the 5 states. We are very focused on rural, which is rural and small town, that is where we are focused. So rural and small town India, basically in these states. It is very similar to the commentary Pidilite Industries Limited

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I gave last time, but there is progress, so I will repeat it. The good news from our end is that we are growing quarter-on-quarter, month-on-month, every month. So, I think that's very good news. We are growing in all our pilot states. We are indeed growing. So we are looking at all these comparisons and more like-for-like because we are focused on those 5 states. We are also looking at dealer like-for-like.

So the good news is that we are continuing to grow there. I think what we are still not satisfied is the absolute numbers which we are getting or the milestone we had s

et for

ourselves. So what we are saying is that we will continue to fine-tune our offerings as we go forward, but more importantly, fine-tune our go-to-market, our work with applicators, build those business modules, get that moat which Pidilite has and get that advantage from there as well.

And once we have that as we go forward and have a clearly established right to win is when we go ahead, and we continue to remain focused on small town India and rural India. I think that's our first port of call. The commentary you are hearing is largely of the big paint players, largely of urban India and all that. We are focused where we are. We are continuing to grow. We are doing work there.

And basically, as far as we are concerned, our number of dealers are growing, our number of dealers with tinting machines is growing. And as I was telling you, our like-to-like sales at those dealer places is growing. So we are making steady progress. More work needs to be done before we extend. I think that's the headline.

Abneesh Roy: And on UnoFin?

Sudhanshu Vats: UnoFin I think it is early days. But what we have done is and I will ask Kavinder also to pitch in here, but the headline is that we are sort of continuously understanding how it should go out and revalidating our process. We are also shifting a little bit UnoFin to larger projects. I think in the initial, we had started a little bit more retail with more let's say, more bungalows and so on so forth.

We are now saying that we will look at it more like a project with larger projects, with those buildings. We are beginning to do that work. And again, this is a piece which is a habit conversion, as you would know, Abneesh. So it will take some time. I will also ask Kavinder to step in and talk about it.

Kavinder Singh: Thanks, Sudhanshu. Abneesh, the UnoFin question needs to be answered in two parts.

One, what is exactly our strategy in this category. And we believe that this is a bit of a game changer today, if you look at exteriors, a typical painting process has 4 layers - putty and primer, and then you have once again the coat, first coat and second coat.

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So we are trying to create a category where the exteriors can be done with either 1 or 2 coats maximum, depending on the finish that you want. And this is sprayable, so it is a very unique advantage in terms of the construction labour, which is the #1 problem today, the construction industry faces.

And more importantly, it has about 20 to 25 years of life and is also water resistant. So the benefits are well known to people who understand this. Now where the second piece of strategy is falling in place is, we are trying to now pitch it to masonry contractors because those are the ones who needs to be converted. And this will also go in places where the asset is owned by the owner.

For example, if you take the hotels, if it is a brand, you don't reach the brand, you reach the hotel owner. And the hotel owners love this idea because it reduces their downtime when it comes to repainting cycles. So anywhere where there is ownership, where people own the assets, this is a great product to pitch.

Also, the third piece is that we need to go to architects who understand and who

recommend this. So at this point of time, I will just give you a brief overview. We have this new group called Pidilite Professional Solutions which is getting reasonable success in getting it specified with the architects.

Masonry conversion, masonry contractors' conversion is the second thing. And chasing projects, as Sudhanshu mentioned, and larger jobs and creating testimonials from the, let's say, users or also the end users, which is the client is the way forward in term

s of driving word of mouth.

So just to give you a sense, one of the big projects that we have recently done is the Jewar Airport in the Greater Noida area, where the base coat was applied of UnoFin. So there, we have got some success. So like that, we are now moving into larger and larger jobs. So this is a bit of a slightly longer answer to your question, but this should give you a sense how we are going about it. And we are pioneers, we believe in building this category slowly but surely.

Moderator: We have our next question from the line of Latika Chopra from JP Morgan.

Latika Chopra: Sudhanshu and team, my first question was trying to get some more color from you on demand trends. If you could comment on your confidence in sustaining or improving this 10% volume growth, which is fairly healthy? And also, if you could talk about some flavor on the sub segments in the B2C business on adhesives, Araldite, waterproofing? You already talked about tile adhesives was very strong. But some of the other core categories, how are these placed versus the broader 10% volume growth
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that you have delivered? And also, what kind of pricing growth you would anticipate playing out for the rest of the year?

Sudhanshu Vats: So thanks, Latika, and good to hear from you. In terms of our growth and Sandeep talked to you about that, our 9.9% UVG growth, which is this time, 9.3% Consumer and Bazaar and 12.6% B2B. So, this time around, this growth is very uniformly spread if I can use the word, across the 2 segments where you have the numbers, but I can also assure you and share with you that we are seeing consistent growth across regions, across categories, even across product groups.

So that is very heartening. Very specifically, if I was to talk about a few product groups or categories, as you spoke about, we have seen very robust growth on Roff, which we spoke about. We have seen further increased growth on our Dr. Fixit portfolio. So Dr. Fixit overall is delivering very well on its promise. So that has done very well in this quarter.

Fevicol has done well. Araldite has done well. And we have got growth basically on the core part of the portfolio, but also we are beginning to see some of our innovations in these areas which are beginning to do well, Latika.

So for instance, if you were to look at Fevicol, if I was to give you one example. And if I was to pick up two of the newer areas, we have got into, one is to tackle multi-substrate where we launched a product called Nail-free Ultra. That product, I can tell you, is doing very well, very well. We are very happy with it. I think we have also done another thing that in India, lamination is a very, very important practice and people want to change, as you go forward, some of their laminates.

So in order to make that task easier, we launched a product called Relam. Again, Relam has done very well. So just to give you a little bit of flavor. Now similarly, if you look at our construction chemicals portfolio, once again, we have built products which are now delivering on the promise and are therefore, you are delivering superior products at a much better value. So there is a product which is doing very well now called All Seal, which is both for new construction and repair when it comes to that piece. That's an important one.

Bathseal, where we have done so, therefore, a Bathseal Select, we call it. So I think that is done very well. In our projects, more in projects, but in retail, there is Wonderproof. So just to give you an example, these are products which are now coming in new. These are newer products relatively, which have done well.

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So I think across the spectrum, our premiumization thing, making things easier for people, improving the time needed to do the job, which is becoming important. So the productivity of our users and our customers are the areas where all these innovations are helping us.

This gives us a considerable amount of confidence that as we go forward, we should be able to maintain or better our double-digit underlying volume growth. So you saw these numbers. I think if the overall demand sentiment picks up, which you are hearing from everyone, that will be a little bit of further tailwind for us to be able to deliver better as we go forward.

Latika Chopra: That is encouraging to know. And any comments on the pricing growth? This quarter, we did see this turning positively. Do you think this can strengthen or firm up further? Or we should work with low single-digit pricing growth for the rest of the year?

Sudhanshu Vats: Sandeep can add more color to it, but you have seen in this quarter about 9.9% UVG translating to 10.6% revenue growth so 70 bps of pricing coming in. You will continue to see this in this range, I think, a little bit. So there will be pricing coming a little bit on top of the underlying volume growth that we deliver, that you will see. But are we going to under current circumstances, where input costs are benign; are you going to see considerable pricing to be taken up? I think the answer is no. But I will ask Sandeep to add further if there is anything he wants to add.

Sandeep Batra: No, nothing. I think you have summed it up very well, Sudhanshu. I think pricing will be more tactical. We don't see any commodity or input cost headwinds that will warrant an across-the-board increase in prices. Input costs overall do remain soft.

Latika Chopra: All right. And then just coming to margins. There has been a moderation on a Q-o-Q basis on gross margins. Is this to do with mix? Or if the underlying commodities are easy?

Sandeep Batra: So our margins, if you look at same period last year, Q-on-Q, they are the same, versus fourth quarter, there may have been a little bit of decline, partly is because of mix. And partly also, I think the VAM price for the first quarter was slightly higher than fourth quarter, but that was, I think, more momentary than a sign of things to come. So, I think gross margins, as we speak, should remain at the levels that we reported in the first quarter.

Latika Chopra: Okay. And the other expenses growth was modest out there. How should one think about on a full year basis? You clocked 25% plus margins in this quarter, and it could

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be a quarterly trend. Do you think FY '26 could land at the higher end of your band of 20% to 24%?

Sudhanshu Vats: Yes. So first of all, Latika, as you rightly pointed out, and that is my request to everyone, and I keep saying this again, that, I think, first of all, look at this number on a more annualized basis. Don't look at it quarter-to-quarter because we do have seasonality, point number one. And quarter 1 tends to be our largest quarter of the year. We also do A&SP based on the requirement of the brand and business. We do not manage it for the quarter. We basically say what is needed, what are the activities we have, which brand or business needs that, and that will change from quarter-to-quarter. You may have a slightly lower seasonal quarter as in lower in revenue, therefore, slightly, but you may have A&SP spent commensurate or even higher because there were activities in that quarter, business needed it, brand

needed it and vice versa.

So I think in this quarter, which is a gone by, you have seen the effect of these two seasonality and also A&SP being a bit low because of the intensity of the work which we needed to do on a few brands and businesses was different, and it will follow through in the year.

So for the full year if you look at it, and that guidance which we have given, the corridor of 20% to 24%, is the corridor you should look at and you should look at us. I think the way we started with the input cost being benign, are there chances that we will be on the high end of this corridor this year? The chances are quite high. So, I think let's see how the year progresses. But with the input costs being benign, with everything which we are doing, will we be on that slightly higher end of the corridor, perhaps yes.

Moderator: We have our next question from the line of Tejash Shah from Avendus Spark.

Tejash Shah: Sir, couple of questions. So, given the recent policy push to revive demand, especially at the urban side, are you seeing any early signs of improvement there? Because you called out that rural still continues to do well for you. So just wanted to know your read on the ground?

Sudhanshu Vats: No, I think my view is very early to call anything. But having said that, we remain quite optimistic on the liquidity, which has been infused both through the budget in the hand of the consumers and also the last MPC announcements of the Reserve Bank of India Governor. So I think overall liquidity should be good for us. I think that, that should play out.

I also feel that some of the advantages or the cash in the hand of consumers will be more discretionary. So therefore, that should play out on to segments and sectors, Pidilite Industries Limited

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which are a little bit more discretionary, and we tend to be in that area, particularly home improvement and sometimes new construction.

So the benefit should flow through. Are we seeing any specific sign in the first 3 months post this? I think the answer would be it's too early. I do not think we have picked up any specific sign at this moment, but we remain quite bullish and confident on this space.

Tejash Shah: And sir, your observation or your data, internal data are suggesting that rural continues to do well. Is it also to do with your extra focus on Pidilite Ki Duniya (PKD), and then rural distribution outreach that you have been doing for a while now?

Sudhanshu Vats: To some extent, I would say, yes. So if you look at our model, it is actually about generating demand at the root, and we go basically, as you are fully aware, we work with applicators, users right up to the bottom. So therefore, we then focus a lot on generating demand. And I think it is the strength of our portfolio and the uniqueness of our model that allows us to deliver better results compared to some of the more conventional peers as you look at them. And this has happened quarter-on-quarter, including this quarter, if I may say.

So if you compare us to some of the other more very conventional peers either in one sector here, one sector there, you will see that Pidilite does better. So I think it's because of our portfolio and our model, the way we go about doing that go-to-market and our emphasis on demand generation, field marketing and all.

I think when it comes to rural and rural as we call it, which is both rural and small town urban, basically, we also have the advantage that we are continuously expanding our distribution as well on top of it. So I think that and many of the people, as you keep going down the pop strata in India, tend to be new users for most of our categories because our categories are slightly less penetrated. So that adva

ntage is there. You are absolutely right.

If you were to look at our 5-year horizon and quarter-to-quarter, we keep adding numbers, but I was giving you a little bit, and last quarter, we have added. But if you were to look at our 5-year horizon, we have increased our direct coverage by 2x in rural and small town, direct coverage. So we were not directly there. Now we are directly there with our stock or something.

We have increased our PKDs as you talked about, by 3x. We have increased our DFCs, which are Dr. Fixit Centers also close to about 3x. So, you can see that this is a constant work which we do, expansion of distribution, generation of demand in our unique Pidilite Industries Limited

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business model, I think, gives us an advantage. We feel that our rural or rural should continue to deliver better growth compared to urban for a considerable period of time.

Tejash Shah: Perfect, sir. And if I may squeeze in last one. So you sounded very positive on margin outlook. But looking at the volatile geopolitical environment and we are all watching Twitter every day in morning, are there any specific supply chain or sourcing exposure that you are actively monitoring or worried about, which can pose some risk in near term?

Sudhanshu Vats: So the way I would look at it, I think just from a demand perspective or from our business top line perspective, our direct exposure to U.S. is very small. It is there but very small. But I think from a supply chain point of view, which is what you are asking, I think what we have is we have multiple sources for supply for our key raw materials. So therefore, we, in our preparedness, do not anticipate anything specific, unless something else blows up in that opinion. And we, as a company, also plan for some of these things. So if you were to look at our slightly larger lead time, which could happen

in terms of some of the movements and so on and so forth, a little bit of bottleneck. So those kinds of things which we plan for, so that we continuously do in the way we source and the way we plan for our supply chain and raw material inventories and others.

Moderator: We have our next question from the line of Naveen Trivedi from Motilal Oswal Financial Services.

Naveen Trivedi: Sir, on the consumer business side, we have seen acceleration both at volume and at the value growth level, while B2B business, if I look at, there is a bit deceleration on the growth side, especially on the volume side. Given the base for B2B is also high, do you think that this 1Q kind of a growth should be the kind of a growth run rate for the coming FY '26?

Sudhanshu Vats: I cannot comment on a specific number, but what I will tell you is, see, the good news is that this is the eighth straight quarter of double-digit underlying volume growth for B2B. And you are right in your observation that the percentage growth, which you are seeing, 12.6%, seems to have moderated a little bit than what you were seeing in the immediate previous quarters, so that's absolutely correct.

I think what is happening there is in terms of our impact, if at all, which I was saying in response to the earlier question, the response of all the macro geopolitical issues, and specifically tariff uncertainties tends to be more on our B2B business, a part of our B2B business. So a small part of it has a direct exposure, our pigments business, and Pidilite Industries Limited

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some of the others have a, what is called a cascading exposure. So therefore, it is our industrial business, B2

B business that supplies into industries or categories that have a large export intensity out of India.

So therefore, to that extent, is there a little bit of headwind on these categories as for the short term? The answer is yes. But I must also quickly hasten to add that we are very confident of the growth because our projects business, which is also part of our B2B business continues to do very well. There, we are seeing very robust growth and therefore, all the things we were talking about in some earlier questions. So I think that is very strong. We see that growth to continue. We are continuing to see that momentum.

Some of the growth in what we call our segment of offsite, which is joinery, again, has seen good growth. So therefore, there are parts of B2B business and reasonably big parts now or substantial parts, which are delivering good growth. So therefore, are you going to continue to see double-digit? Yes. What percentages we will come at? I am saying we see quarter-to-quarter, so I do not want to comment on that, but we should deliver double-digit robust underlying volume growth in B2B as well.

Naveen Trivedi: And on the consumer business side, we have seen EBIT margin, which was, I think, the highest in the last 18 quarters. So any kind of a benefit which we have seen this quarter? And how should we look at this margin profile for the year?

Although you alluded that for this year, given the RM benign cycle, you still see the kind of sort of a margin expansion trajectory for the year. But how should we look at the segment from the year's point of view on the margin side?

Sandeep Batra: So I think you should normalize the margins. We should not look at the first quarter margins, which has a lot of benefits because of the scale or the size of the quarter. So there is positive operating leverage, the whole size is less, we may not have spent at the advertising that we would like to spend for the full year.

So there will be many factors. Better to look at the margin of last year because that's when you look at the blended EBITDA margins that we are comfortable with is in the 20% to 24% zone. And if you look at full year last year margins, that should be the number that we should use as a reference.

Moderator: We have our next question from the line of Amnish Aggarwal from PL Capital.

Amnish Aggarwal: I have a couple of questions. My first question is regarding the Haisha Paints because it's a large category, and we are currently present in say 5 states over there. So what is the medium term goal over there? Because I think it's now more than a year, we are Pidilite Industries Limited

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there and it's a highly competitive category. So what are medium-term goals over

there? And what kind of investments we have made in this particular venture? That is one.

My second question is, which is a bookkeeping question regarding the ESOP expense last year because the last year, ESOP expenses increased from INR 9 crores to INR 88 crores as per the annual report. So any clarification on that would be useful.

Sandeep Batra: Yes, Amnish, so I think last year, we granted ESOPs after a gap of a couple of years.

And the way the ESOP charge is accounted, it is, in some sense, front-loaded. That is why you saw an increase in the ESOP charge last year, and that kicker will continue for the first 12 months. But as also you would recall from the notes to the results, even yesterday, the company has granted further options.

So I think the ESOP charge is likely to remain at the same level as we saw last year. If anything, there may be a slight increase because for the next 12 months, you will have ESOP cost for 2 grants, one that was granted last year and one tranche that was granted yes

terday.

Amnish Aggarwal: Okay. So it means it will remain at least at the same level for another year and after that, it will taper off.

Sandeep Batra: Yes.

Amnish Aggarwal: Okay. And just related to it. Excluding ESOP also last year, there was around 18% increase in the overall salary cost. So, any particular reason anywhere we are increasing our manpower significantly?

Sudhanshu Vats: So the manpower cost, now, actually, if you look at this quarter, let me look at this quarter, I think the percentage increase on manpower cost this quarter is almost in line with our top line growth. So see, what happens in our case is that and we talk about this quite often, but I'll just, again, Amnish, repeat this is that, see, because we do a bunch of new pioneering activities from time to time, some of the investments we make and the resources we put both in teams or staff, what you call staff cost, or also in what the quick, earlier investments we make in driving demand, tend to be front-loaded. Now what happens is that the team tends to be or the staff tends to be a little bit more front-loaded. So let me try and explain that to you. The way we go about doing most of our business is with the pilot projects. We always talk about pilots. And you know Haisha pilot.

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So what happens in pilots is that your resources for demand generation are restricted to that geography and to that pilot. And to some extent, while they are high, but they are commensurate to what the expected volume and demand will be whereas resource is a little higher. There is an on-ground resource, which is commensurate, which is very similar to, let's say, the capital or opex resource or any kind of resource but you have a team which is built in, and you sometimes get a few senior people to be able to drive that initiative.

And this happens over and over again. So, you were listening to UnoFin, we have talked about Haisha, and I can keep giving you examples. But that is our model, it's built in into our model. So I think that's the piece which happens. So therefore, we tend to be a little different in terms of benchmarking to manpower cost.

We are confident of retaining them at reasonable levels. The growths have now moderated as you are seeing. But will there be investment made for the right opportunity to lead a pioneering initiative? The answer is yes. And I think, therefore, that's what is the answer.

On coming back to Haisha, I talked about it earlier, but just very quickly again. see, as far as investments are concerned, if you look at it, in some ways, in a very technical sense, Pidilite has been in paints business for some time because we keep doing our waterproofing coatings, especially for exterior under the brand Raincoat. And that is a business which has grown quite a lot in some years.

So therefore, in the experiment which we are doing in southern states, the plant which has been put up is not a plant put up only for Haisha. It is a plant which is a composite plant for Haisha and coatings and other things. So therefore, there is some investment made but do we have a dedicated investment for Haisha? Or is it a very big investment? The answer is no.

In terms of benchmarks and all that, as I spoke earlier, you are absolutely right. There is competitive intensity, but competitive intensity is higher in urban India and relatively lower, slightly lower in the smaller town India and rural because in these places, we see that not many paint companies reach directly.

I think that is an observation we have. Our own distribution reach is arguably the best when it comes to home improvement. And therefore, we continue to see that as an advantage, continue to see that as building our

portfolio and strengthening our go-to-market and maybe all composite services to the customer as you go down the pop strata in India.

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And we see evidence of this through our considerable lift in growth in our coatings as well. As we have launched Haisha brands, one is the performance on Haisha brand, but I think a concurrent benefit which we are seeing is the growth, which is disproportionately high on our coatings business, which existed even before Haisha. So you can see that the portfolio is beginning to get some help. We have our benchmarks, and I am afraid I cannot share them publicly. We are working towards them. And as we reach them, we will expand beyond the five states.

Moderator: We have our next question from the line of Rahul Maheshwari from Dolat Capital.

Rahul Maheshwari: First of all, congratulations to the entire team that in a tough environment within the entire building materials space, Pidilite is one of the strongest to deliver. So, kudos to the entire team.

My two questions. First, in the analyst meet, you had mentioned that at any period of time, there are 10 to 15 pilots, which are being run, as you mentioned, UnoFin at that period of time. Can you give us some brief or insight that what other categories or pilots, which we can expect going ahead? Or you have found some early success into those categories? This is my first question. I'll get back to second question after this.

Sudhanshu Vats: Yes. So Rahul, a good question, and thank you and God is kind and the team is very good. And fortunately, as I keep saying, our business model and our portfolio gives us an advantage. And we are very satisfied with the strong results that we delivered.

I think coming to your point on pilots, see, there are some pilots which are bit more visible. So the visible ones, we talked about UnoFin, we talked about Haisha, we are doing some work in B2B in newer spaces, in newer categories. Those are one set of pilots. There is a second set of pilots we have in the company are around newer subcategories or product category, a premiumization of certain products, certain new product groups. These happen even more localized into one geography, one state, and we do not talk about them publicly. And as you would expect, it's not fair for us to talk about it as well.

Because in a way, we are piloting and testing some of our product portfolio as we are developing. So that we do not want, I think, while it may be at that space available to someone if you see it, but so therefore, it's a mix of these set of pilots. The more visible ones are the ones we have talked about quite a lot. So there is nothing new at this moment, which I would like to share on the more visible pilots or the more category refining or more new areas kind of stuff.

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Rahul Maheshwari: Okay. And as you always give that Pidilite is between the core category and growth in pioneer. Can you give some directional growth that as of what X times the growth in pioneer category is growing compared to the core categories?

Sudhanshu Vats: Yes. So we have always said that. I think we are not revising that, which is basically our core categories tend to grow between 1x to 2x of real GDP. Core categories, we are satisfied if it is growing with the GDP to be honest with you because some of the core categories are quite well established, and that is the kind of growth we see. In the growth categories, basically, we have always said that we want it to be 2x GDP

to 4x GDP. And there, we are very particular that we should see at least 2x, and ideally a bit more on the, if I could say, the middle or to the higher end of that range, which we talk about 2x to 4x. I can share with you, as I am speaking to you, that our categories are performing in that zone. Our growth categories are indeed performing to that 2x to 4x.

And we are seeing that for all our growth categories, which are there. So our growth momentum continues. Pioneering is a part of it where we basically say that our desire

is once we have gone national with a pioneering initiative we would like to be INR 100 crores. I think that is an absolute number, INR 100 crores in a period of 3 years from the date of going national.

So that is the stuff, that may or may not substantially add to our top line and as it keeps growing. But I think that is the fuel for the future because once they become growth categories, then they start adding substantially as we go forward.

Rahul Maheshwari: Just a follow-up question to this. Apart from the paints which you mentioned in your earlier remarks, any category or product which is not as per your expectation or there is very steep competition into that, and you have to do lot of pricing actions so as to maintain the growth or market share?

Sudhanshu Vats: No. Let me be honest with you, Rahul, and we are very candid and we share it as it is with all of you because we feel Pidilite is a family and you guys are part of the extended family. I think our models are that we keep perfecting everything. So even on paints when I tell you, I am saying for any other company, they would have been very happy because we are delivering growth here, but are we delivering it to the required standard is that issue?

And to answer your question at this moment, if you have us to look at some of my new sub-products, new variants, will there be a few which are doing well? Will there be a few where we need to iterate? The answer is yes. So we continuously keep doing this.
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And I think this is part of the model. So we say, okay, we go on to the market, this is working well, this is not working well. We work a lot with the users and applicators almost day in and day out, almost on a universal basis. So, we pick up a lot of that feedback.

And I think that is what makes us unique. And we continue to iterate. And because it was a slightly bigger initiative, you are hearing about it, but this is our model, we keep iterating. But in more cases than not, we get it right. And we are very persistent as well as a company. So we are pioneering and persistent. So we will have to just keep on working on it, iterate it and make sure that it works well for us. So that is where we are.

Moderator: We have our next question from the line of Jay Doshi from Kotak Securities.

Jay Doshi: I have got three questions. The first one is just continuing on what Rahul asked earlier.

Can you give us some colour of what is probably driving the growth outperformance of Pidilite versus some of the other categories or companies that we track? And this is probably the ninth consecutive quarter where you have had 9%-odd UVG, right? So is your core also growing faster than maybe some of the other categories? Or it's largely innovation and growth in pioneer?

And second is in FMCG, a lot of times, some companies do indicate contribution of innovation to growth or sales. So could you give us some color on what that number would be for you? So that is my first question, and I'll come back with the other two.

Sudhanshu Vats: So Jay, I think a very good question and thank you for asking this. See, I think I have talked about it a little bit but maybe at the risk of

repeating it, I'll still say. See, the model itself, which we have, Jay, is very unique. And our portfolio is very diverse compared to many of the peer companies we are compared to. So therefore, if you were to look at some of the paints company, they would have 80%, 90% of their business coming from paints.

You look at FMCG, they basically they are in the fast-moving consumer goods spaces. If you look at our portfolio, our portfolio tends to be very diverse. And where we do different things like Consumer and Bazaar and B2B and within that, there are different subgroups, products and all that. So we keep looking at them.

So I think one is the advantage which the portfolio gives us, which is all very much there. Second is that unlike consumer companies, if you look at classic FMCG, if you look at it, you operate a lot more on sample understanding and then some survey data. So therefore, it is like our offtake data is more survey data. It is like needs and outputs
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and all that, as you know, on shares and all that. And your understanding of your products and all that is based on sample, quantitative or qualitative, with consumers.

The distinctive thing about Pidilite and which I think makes us unique is that this tends to be more universal for us. I would not say we are 100% universal but we work so closely with our applicators and users that we cover a vast majority of our products and so on and so forth.

So therefore, our ability to see what is their demand, what do they need extra, what is working at this moment, not working at this moment. And we tend to be very detailed by the way. We tend to be very, very detailed. So I think that is something which really helps us. So that's one advantage.

I think if I was to single out one product category that is doing really well at this moment is Roff. We spoke about that. Roff, our tile adhesive, because tiles are growing, the surface itself is growing, and we are doing a very good job. Our distributor supply chain strategy, manufacturing, distributor manufacturing strategy is allowing us to deliver very robust growth in tile adhesive.

And when I say tile adhesive, I am here including both our classic tile adhesives but newer premiumization products, also grouts which is part of tiles, which is doing really well, which is grouting of tiles and all that. So that is doing very well.

Momentum on waterproofing and Dr. Fixit brand continues. So some of that and as I was responding to the earlier question, the growth categories, growth of growth categories is quite heartening.

On the core, because of our style of working and our model, we tend to be closer to at least 1x of the GDP. So therefore, do we grow core as well? And are we very possessive, if I could say, or very persistent about growing the core as well? That is also yes.

And perhaps we grow a little better. I do not know, I cannot comment on others' core and I do not know that kind of detail. But I think we remain very strictly this thing about it. As I keep saying, it is our portfolio strength, it is our business model.

And it's also one or two categories which we talk about, where there is considerable scope for market development and which are gaining ground now, I think those are the things which are helping us in our momentum and which are quite unique to us and which also are sustainable, Jay. So I think which is what I, on behalf of the team, is very proud of.

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Jay Doshi: Understood. That is very h

elpful. So basically, core, which is roughly 50%, 52% of your business is growing 1x GDP and rest of the portfolio, which is growth and pioneer is probably growing at somewhere between 2x to 3x GDP for overall growth to be 10%, 12% rate.

Sudhanshu Vats: Yes.

Jay Doshi: Perfect. Second is on tile adhesives. So, can you sort of help us understand, one is what is the competitive landscape in that space? Who are your key competitors? And how do they compare versus Roff in terms of product portfolio, distribution strength footprint?

And from a channel standpoint, which channel is the most relevant channel for tile adhesive product? When we studied waterproofing in the past, and waterproofing is to sell through paints dealer network as well as hardware stores as well as other various kind of construction chemical stores. So how should we think about tile adhesives overall from a channel standpoint, from a competitive landscape and product portfolio?

Sudhanshu Vats: Yes. That was a great point. Jay, I think let me answer all three and maybe the product portfolio, I did answer in the context of earlier one but maybe...

Jay Doshi: Yes. I am aware. Yes. But I mean, who are the other players, if you can tell us, who would compare, how does it compare versus competitor?

Sudhanshu Vats: Yes. So one of our key competitors here is a multinational company called Laticrete. I think in India, they are basically MYK Laticrete as you know and they have been around much before us. Their focus tended to be more on projects, whereas we have sort of started now building Roff in a classic retail way. So therefore, we are going retail. We are also doing projects. By the way, even our project business is doing quite well. In our understanding, we are the #2 now. They are still ahead because they have some edge on projects.

But I think that is the piece. But other than that, there are national companies, some local, few other multinationals. So it is a full spectrum, which is there in the space and we keep monitoring that. The entire market itself is growing quite well. This market itself would be growing 2x GDP, if you ask me. I think that is our understanding,

maybe a bit more. And therefore, if the market is growing, that we are arguably growing almost 1.5x of the market or maybe even more.

So the point I am making is that we are basically focused on what are the key competitors. And in context to Abneesh's first question also, I said there are a few pockets of where their original centre of excellence was. We are very focused on that

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as well. So I think that is the piece which we are doing. We built a bit strong portfolio.

We have built a strong classic portfolio pyramid, which I talked about and on the product, Jay.

But we also are very proud of this immediate ancillary, if I could call that, because when you join tiles, wherever the tiles are joined, you need to grout it with epoxy grouts. And our epoxy grout under the name of Roff Starlike which is part of our joint venture with an Italian firm is doing very well again. It is doing really well. So I think that is where we have a competitive advantage compared to people's 3K, 2K, that kind of stuff. So therefore, and it's, of course, very easy to apply, very, very good, long-lasting epoxy bond.

So I think there are advantages. We continue to build on that piece. As far as channel is concerned here, interestingly, you see the business or the segment started, Jay, in projects largely. So now that it is going retail, the segment is BMS, which is building material supply store segment, which we used to visit in any case for some of our construction chemical business. Some of the construction chemical guys also keep

it a

little bit, but largely BMS.

And what is happening progressively is that there are big specific tile dealers who are coming up and we have a program for these large tile dealers. This business tends to be more concentrated with these dealers. And we are basically now going out to them. We have a program for these dealers and so on and so forth, so what we call Roff Premium Partners and all that.

So therefore, all that piece is there. So therefore, in terms of channel, in terms of the channel advantage because of our retail presence and because of our understanding of the lay of the land in home improvement, I think we are able to reach that channel, arguably build that channel a little bit and definitely build good relationships with that channel.

Jay Doshi: That is very helpful. The last question is on M&A front. Now Pidilite has had a track record of successful acquisitions. The last relevant large one was 5 years ago, almost 5 years ago. So how do you think about M&A opportunities and in the immediate future?

Sudhanshu Vats: Jay, that is a great question. I will also ask Sandeep to add if there is any. See, we don't talk about M&As and no company should in my opinion in advance. But suffice to say, we basically keep looking at opportunities from time to time. When we explore opportunities, we tend to look at 3 dimensions. Are there some things which we bring

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from a customer point of view? Is there something which we bring from a channel point of view? And is there something which we bring from a chemistry point of view?

So I think are there any those kind of ancillary categories and in some of those, we keep evaluating, wherever we want to come in, we want to come in with more premium and specialized products, possibly at the premium end of the market, not necessarily at the mass end of the market because I think our right to win there and ability to differentiate is lower. And so therefore, we go for that.

As I speak to you, we are evaluating, we keep evaluating opportunities. We will keep looking at opportunities for what are the ancillary areas, what are more specialized areas, everything in the area of home improvement, a little bit more specialized, a little bit more differentiated in terms of product offerings is something which we will keep looking at. So I think that is where it is. Sandeep, if you want to add anything.

Sandeep Batra: I think the only thing, Jay, to add was that in addition to this classic M&A, which would mean a full buyout, we have also done very successfully many joint ventures, right, where you get a foreign partner to India, where you contribute your knowledge of the Indian market, your distribution and the partner brings in maybe technology. So

that is another one that we have kind of expanded what you may call our TAM. So the Tenax, Litokol, Grupo Puma, they are all examples in that. And these are things that you cannot certainly time; you can work towards it, but you can't time it, right?

Sudhanshu Vats: Yes, yes. No, great point, Sandeep. So therefore, you need to look at it more from a partnerships point of view, and we are always open to partnerships, that kind of stuff. So we do a lot of work in that space.

Jay Doshi: Interesting that you mentioned home improvement. Historically, you have been sort of restricted yourself to adhesives, or mostly very close adjacencies. Are you actually also exploring other categories within home improvement, which may not be immediate or sort of very similar to adhesives or sealants?

Sudhanshu Vats: See, our proclivity is to remain as close to what our knitting is, but as we find a reason to be basically looking at something, we will definitely do it.

hat. So, I think

progressively, as our portfolio expands, it is arguably a little bit more home improvement portfolio, and whereas our knitting, as you rightly said, are more in these what you call adhesives, sealants and polymers. So, I think those are the two different ways of describing it, Jay, but I think that's where we are.

Moderator: Ladies and gentlemen, due to time constraint, that would be the last question for today.

And I now hand the conference over to the management for closing comments.

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Sandeep Batra: Yes. Thank you. Thank you very much to everybody who took out time and joined the call. Thank you very much, and have a good evening.

Moderator: Thank you. On behalf of Kotak Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited to improve readability)

Call: Nov 2025

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6th November, 2025
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Stock Code – 500331 Stock Code - PIDILITIND
Sub: Transcript of the Earnings Call

Dear Sir,
We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on 31st October, 2025.

A recording of the transcript is available on the website of the Company viz.

www.pidilite.com .

Kindly take the same on records.

Thanking You,

Yours faithfully,

For Pidilite Industries Limited

Manisha Shetty

Company Secretary

Encl: as above

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Q2 FY26 Results Conference Call"

October 31, 2025

MANAGEMENT : M R.SUDHANSHU VATS –MANAGING DIRECTOR –

PIDILITE INDUSTRIES LIMITED

MR.KAVINDER SINGH –JOINT MANAGING DIRECTOR

–PIDILITE INDUSTRIES LIMITED

MR.SANDEEP BATRA –EXECUTIVE DIRECTOR AND

CHIEF FINANCIAL OFFICER –PIDILITE INDUSTRIES

LIMITED

MODERATOR : M R.PRANAV MEHTA –EQUIRUS SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Pidilite Industries Limited Q2 FY26 Results Conference Call hosted by Equirus Securities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pranav Mehta from Equirus Securities. Thank you, and over to you, sir.

Pranav Mehta: Thank you. Good afternoon, everyone. On behalf of Equirus Securities, I welcome you to the 2Q & 1H FY '26 Post Results Concall with management of Pidilite Industries Limited. From the management side, we have Mr. Sudhanshu Vats, Managing Director; Mr. Kavinder Singh, Joint Managing Director and Mr. Sandeep Batra, Executive Director and CFO. And I will straightway hand over the call to Mr. Batra for his opening remarks post which we'll have the Q&A session. Over to you, sir.

Sandeep Batra: Thank you, Pranav, and good evening, and welcome to everybody on the call. I'll quickly give

you my opening remarks and then open the floor for Q&A. And I'll take you through the second quarter and half year FY '26 results, which were approved by our Board yesterday.

As you will see, the current quarter's stand-alone revenue of INR 3,272 crores had good growth from the Consumer and Bazaar segment, which grew with a UVG of 10.4%. And the B2B business, UVG, was 9.9%. Total stand-alone UVG was 10.3%, which translated into a value growth of 10.4%. As you will note that the Consumer and Bazaar business went into double-digit UVG after five quarters. And as you would recall, in the previous quarters, it was very high. It was all in very-high-single digits.

One part of our business that did get impacted, was exports which was largely due to geopolitical uncertainty as well as tariffs in some markets and export business in the quarter did decline. Our stand-alone gross margins continued to improve and in this quarter were up by nearly 0.5% due to benign input prices. VAM, which is Vinyl Acetate Monomer, which is our single biggest raw material, the consumption rate in the second quarter was \$883 compared to \$980 in the second quarter last year.

This expansion in margins was used to step up our expenditure behind advertising and sales promotion, which in absolute terms was nearly 80% higher than second quarter last year. And as a percentage to sales was up by nearly 150- 160 basis points. Obviously, part of that was offset by higher margins and part of it was offset by better operating leverages across all our cost areas.

As a result, our EBITDA margins in this quarter were same as Q2 last year. We did see, lower non-operating income, in terms of percentage to sale. And there were two reasons for it. One, of course, was the fact that in this quarter, we had paid out not only the final dividend, but also an interim dividend. And also, as you would know, yields on such treasury investments have

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been coming down as interest rates have corrected. So, we had some amount of that impact as interest rate resets happened. Our non-operating income, both in absolute terms and in percentage terms, would have corrected line with yields on similar instruments.

If I look at the subsidiaries, the domestic subsidiaries' reported revenue growth of 10.7%, with significant improvement in EBITDA as the same grew by 22.6%. In the case of international subsidiaries, top line was a bit subdued. Revenues grew 4.5%, and EBITDA growth was similar. Consolidated revenues at INR 3,540 crores, grew by 9.8% in the quarter and EBITDA margins were similar as the same period last year. With

that, I conclude my opening comments and open the floor for Q&A.

Moderator: The first question is from the line of Pranav Mehta from Equirus Securities Private Limited.

Pranav Mehta: Sir, so I wanted to understand on the rural and urban demand recovery. So how are you looking at things, let's say, going forward and whether rural continues to out beat the other or we've started seeing some green shoots in the urban recovery as well?

Sudhanshu Vats: Yes, Pranav, thanks for the question. And as always, good to hear from you. I think very specifically and very quickly to answer about this is for us, rural still continues to do better than urban. So this has been a trend now over 5 years, if I'm not mistaken, maybe 16 to 20 quarters, if not longer. So rural continues to do better than urban. But in the quarter that's gone by Q2 FY '26, urban performance has also been very good. So urban, if I can use the word, is inching up. Urban performance has been very good. I think our growth drivers in quarter 2 have been our construction sector growth brands, which have had a strong urban listing as well. So I think urban overall is improving, to answer your question, which you asked towards the end, so there are green shoots and it's improving and we think that momentum will continue. And rural will continue to perform from the point of view of penetration and all the work which we need to do. So we feel optimistic about both of them and for us, rural continues to be higher than urban, but urban has caught up quite a lot, if I can use the word.

Pranav Mehta: Okay. And sir, how are you looking at things from the input cost side since the crude is actually now moving in a narrow range. So do you think that for next, let's say, two, three quarters, it should be in our favor?

Sudhanshu Vats: Yes, Sandeep just told you about our VAM numbers, yes, VAM is now below \$900. Basically, what we are seeing for the next 3 to 6 months, specifically VAM we see for it to remain in that range and remain benign.

Moderator: The next question is from the line of Mohit Jain from Dr. Choksey PMS.

Mohit Jain: Given that, sir white glue demand is closely linked to renovation and interior section fit-outs, are you seeing the share of renovation demand rising compared to new construction?

Sudhanshu Vats: So in terms of very specific data point, if I was to say, we haven't done very specific recent study to be able to quantify it one way or the other. But from what we are observing and when we

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travel and all that, I think there is no reason to believe that the share of renovation will go over new construction.

If at all, I think the share of new construction is going to creep up vis-a-vis renovation. Good news, as you know for Pidilite, is that we are very well poised in both spaces. But we haven't done any specific recent study to quantitatively answer your question. Our observation is that new construction is slightly on the rise, relatively is going up.

Mohit Jain: All right. And my second question, sir, are you observing any reasonable shifts in growth for example? I may be wrong, but strong momentum in Northern or Southern markets compared to Western? And is the carpenter activity uniformly strong across regions? I mean, I want to know the regional overview in white adhesive?

Sudhanshu Vats: I won't say any such pattern, at least especially for white glues. No specific clear pattern.

Mohit Jain: Okay. I mean it's distributed evenly across regional. We don't see any patterns of good growth in Southern or Northern?

Moderator: The next question is from the line of Tejash Shah from Avendus Spark Institutional Equities.

Tejash Shah: Sir, a couple of questions. Sir, given that we are in a very comfortable raw material cost environment, do you plan to step up investments behind new product launches or will spending remain at the normal level?

Sudhanshu Vats:

I think as Sandeep just told you on our commentary for the quarter 2 as well and where of course, because of competitors, the numbers were looking even more accentuated as percentage growth or percentage turnover. I think we maintain that our A&SP will be in the band of 3% to 5%. This quarter, we've come in at about 4.2%. So I think to answer your question, would we be deploying the expansion, if at all, in gross margin for investments? The answer is yes. We will be deploying them judiciously in A&SP, in GTM capability building. As you are aware, we are building a full-fledged architect interior design, that's a newer GTM -a program that itself will require much greater focus from our end.

You're also aware, Kavinder last time spoke to you about it on the Pidilite Professional Solutions, how we are gearing up and are getting ready to capture the entire construction sector growth. And here when I say construction sector, there are multiple segments as he explained to you and all that.

So to answer you of this thing is yes. And I think we will continue to deploy this to build. We stay committed to our corridor of 20% to 24%. As you saw in first half, we are at the higher end of that corridor, we are actually at about 24%. If the raw material prices remain benign, for the year will we definitely remain within the corridor, a little bit on the higher end of the corridor, the answer is yes. I think that's how it will be. So we'll judiciously deploy. I think that's how it is. That's the way to work on.

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Tejash Shah: Just one follow-up on that. Using this tailwind of the cycle, would it be right time to kind of dial up on Haisha and just noticed that you spoke about all the initiatives, but did not call up Haisha.

So is like part of many initiatives or it is one of the initiatives that you want to focus on?

Sudhanshu Vats: No, it's an important initiative. and it's a great observation. So on Haisha, and I think this got asked earlier also in some of the media interactions in the morning today. See, for Haisha, the status is very similar to what I shared last time, although I may want to add a bit of color you are saying so much time is passing.

So I do want to add a bit of color. So see, what is happening is that in Haisha, we continue to grow in the pilots where we are. So we are growing, absolutely growing well. We are growing sequentially as well. So, September is better than August, and so on. Quarter 2, better than quarter 1. All that is happening. That's correct.

And I think we've also taken the baby step of now looking at a few Eastern geographies. So you know that we started out in 5 Southern geographies in small towns and districts. We are now there in a couple of Eastern geographies. So it is a sign of our confidence in the way we're moving ahead.

Having said that, have we got the business model fully right? There, again, if I was to be absolutely candid with you, the answer is no. It's still work in progress. We are working on it, because we want to, in the urban and small town India where we want to play, this we have said from the beginning.

We want to be in the top 3. And we have a safest market share ambition, of course, varying from town to town and all that. But we need to have a reasonable market share in top 3. So in that quest, we are a little bit behind that share piece. It is taking time. So we are reiterating. And that's why when I responded to your question for the second half of the year, my own assumption is we will be fine-tuning this model through this year to the second half of the year.

And then when we speak at the end of maybe quarter 4 call you will see we're going to talk about that, we're going to put much more money behind this. So I think our paint initiatives we have added, our approach is similar. We are seeing good growth.

We remain confident of being able to do it the way we want

to do it, but we have not reached

the internal milestones we have set for ourselves, and we think we should continue to fine-tune the model before we sort of expand everywhere and before we put big dollars or additional investments behind.

Tejash Shah: And last one from my side. Sir, one hallmark of our performance for the last many years or many quarters has been rural actually doing very well. Now if I have to look rural from the lens of retail player. So is it more distribution expansion that is driving this growth? Or there is a very robust repeat demand or SSSG also, which is coming from rural as we are going deeper?

Sudhanshu Vats: No, it is more later, Tejash. Basically, so for us repeat demand and what you called SSSG, Same-store Sale Growth kind of concept, I think you use in your acronym, if I'm right. We focus a lot

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on how we are doing where we are. And expansion is there, but so the growths are coming more from doing well where you are, more from depth and less from increasing width. Having said that, continuously in rural, do we want to go to more direct places to improve our distribution further? The answer is yes. So I think I would say focus is on growing where you are as well and if not more.

Moderator: The next question is from the line of Himanshu Singh from JPMorgan.

Himanshu Singh: Sir, congratulations for sustaining 10% growth in the Consumer and Bazaar segment. I would like to, sir, if you could talk, give us some flavor on various sub segments in the B2C business like Araldite waterproofing and though they have some other core categories as well as the growth in pioneer categories like Roff and electronic adhesives. If you could give us some flavor on various categories, how the growth have trended in this quarter?

Sudhanshu Vats: Yes, so Himanshu, I may not get granular into each of those because I'm saying we report this as one segment. But just to tell you basically, our growth segments in Consumer and Bazaar have done very well. And if you will remember, and I think many of you on this virtual table, I'm sure now though know it fully that we say that we will deliver core between 1 to 2x of GDP, growth between 2 to 4x of GDP and pioneering categories are there.

So first of all, Roff is well beyond pioneering now. It's one of our important growth categories.

Pioneer, we define as once we cross INR 100 crores. So I think our growth categories have done very well. They are in the band, which we say and maybe arguably, some of the brands in that are well on the outer end of the band as we speak to you in the quarter that's gone by.

So I think some of these have done very well. I think a few of the pioneering categories, we have started taking baby steps. We are also seeing growth there. We're seeing some numbers. We are seeing some accounts coming up. So I think that's where it is. So overall, on some of these, Dr.

Fixit, Roff, we have done really well, and I think these are our growth categories, which have delivered very well to their promise.

Himanshu Singh: Great to hear, sir. And sir, if you could give us some flavor on the pricing. So how it has been in this quarter, the pricing growth?

Sandeep Batra: So pricing, as I mentioned in my opening comments, the input cost regime is quite benign. If anything, prices of inputs are lower than what they were in the second quarter last year. So there has been no occasion to take any or any rationale to take any pricing action.

Obviously, whatever price adjustments we have done earlier have all anniversary. And that is why you see that value growth for the last now 3 quarters leads the volume growth. So our UVG was 10.3% and our revenue growth was 10.4%. But no specific pricing increases, et cetera, we would have taken in this quarter.

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Himanshu Singh: And sir, what would be the margin outlook for

the second half, as you have mentioned, the

commodity prices are expected to be benign. So what is the expectations for margins in the second half?

Sandeep Batra: So as you know, we don't give any guidance. We have always called out that we are very comfortable to operate within an EBITDA corridor of 20% to 24%. Obviously, we are at the top end of that corridor. In this quarter, you would have seen that we had stepped up our advertising and sales promotion expenses.

So we don't really see any major shift happening in EBITDA. Obviously, one thing and maybe this may not be the right quarter to call out. But when you go to the fourth quarter, you will find that our overall revenues in that quarter are much lower than the previous 3 quarters. So there could be some negative operating leverage in the fourth quarter. But other than that, there would be no event that may cause the EBITDA margins to swing.

Moderator: The next question is from the line of Jinesh Kothari from Equirus Securities Private Limited.

Jinesh Kothari: Sir, I wanted to ask I think that your sales behind investments that you're doing in Pidilite Ventures, anything that you want to highlight specifically?

Sandeep Batra: Pidilite Ventures. So nothing I mean, nothing really in that sense to highlight. We did some investment in Pidilite Ventures. And Pidilite Ventures as part of its portfolio continuously is evaluating in either new investments, or investments in or companies in which they want to increase the stake. So as and when that happens, we will obviously share with you. But at this moment, there is nothing really to report regarding the investments made by Pidilite Ventures.

Jinesh Kothari: Got it. Sir, any specific capex or anything that you're looking at from the incremental cash planning that you are having or any such opportunity or expansion plans anything in any segment that you're looking at organic or inorganic anything would help highlight?

Sudhanshu Vats: We keep looking at all times. I think just building from what Sandeep just said even from the Pidilite Ventures, you will see that depending on which start-ups we have invested in and all that from time to time. There are some start-ups, which tend to do well and all that.

So we may increase our stake into a few of them, whichever work which we have done and all that. That's why you see some of these what you spoke about in the previous one. Overall, I think of course, we are sitting on, whatever, roughly close to INR 3,000 crores in cash now. I think the thing is we keep evaluating options from time to time.

And I think depending on when it comes, you can never time it. But I think we will keep looking at opportunities and which are in our areas and in the ancillary space in and around our areas. So I think that's the space which we will keep scouting. And I think as I speak to you, we were evaluating many, but nothing which can be shared or it's nothing in that concrete sense as of now.

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Jinesh Kothari: So sir, no major organic capacity expansion guidance on the line, is it?

Sandeep Batra: I don't know what you mean by major, but we've always said that our capex will be anywhere between 3% to 5% of sales. So that is what we are currently moving at. So it will be in that range.

Jinesh Kothari: I just meant in some specific categories were you witnessing some specifically more capex toward or anything on that part or as a part of overall portfolio?

Sandeep Batra: So that is, in any case part of that 3% to 5%. Obviously, categories which are growing faster will require more capacity and categories which may not be growing that fast, may not need capacity addition at the moment. But that's the way internally we decide which areas we wish to invest behind.

Moderator: The next question is from the line of Umang Mehta from Kotak Securities.

Umang Mehta: Congrats on a good set of numbers. Sir, first

question was on your woodworking adhesives. So

you had already started to see mid-stage construction products like waterproofing, see an acceleration, some time back. Have we started to see even white glue see some acceleration because of the real estate up cycle?

Sudhanshu Vats: Yes. But I think in terms of now the white glue acceleration, we are seeing it. So therefore, what is happening is if you look at new construction cycles, one phenomena you are seeing, particularly in the big cities is that there is both on-site and a little bit of offsite, which is, if you were to look at I'm saying even amongst all of us on this virtual table again. If you were to ask and wherever you are doing any of the new projects or whatever, kitchens tend to be nowadays and a little bit of cupboards are basically are offsite, not necessarily on-site. So if you were to see my joinery's work which is happening and the numbers there, I can see a clear uptick. So I think which is almost directly correlated to the point you were making. If I was to see my growth in my white glue, which is basically on-site, there, I am seeing momentum. But is this very distinctive as of now, maybe not. I think that's the piece which is there. So that's the place which I'm in, in this area. So that's how it's playing out.

Umang Mehta: Understood, sir. And the second question was on B2B. So we've seen some companies call out that 3Q would be worse off than 2Q because of tariff-related issues. For your B2B and export-related products, is that the case? How would you look at near term?

Sudhanshu Vats: So B2B, I think this is a question which keeps getting asked often. For our B2B, we have different businesses that which we look at. So let me break up B2B. Into domestic B2B, we've delivered mid-teens underlying volume growth even in the quarter that has gone by, in quarter 2 by the way. So this 9.9% is composed of a mid-teens domestic B2B. And there is, of course, pressure on exports, and that's the reason you are seeing 9.9%. So what we are saying is that this momentum of mid-teens domestic B2B (which also has projects) we are confident that, that momentum will continue.

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As far as tariff is concerned, when and how quickly it gets resolved, it's hard to say. But if you

were to see last 1 month or last 10, 15 days movements, I think there seems to be a little bit of semblance in this entire VUCA(Volatility, Uncertainty, Complexity and Ambiguity)piece as well. So there is a little bit of stability in this instability, if I can use this paradoxical phrase. So for us, are we confident that this kind of momentum will maintain?

The answer is yes. Is there a slight upside possible if there was to be a correction in tariffs and all that, again, the answer is yes. But that you can't budget is the point you made. I think the companies that have talked to you may have too much dependence on tariffs and may have a different point of view. But as you know, we delivered a nearly double digit, actually a double-digit underlying volume growth despite this.

Moderator: The next question is from the line of Amit Sachdeva from UBS.

Amit Sachdeva: Sir, just one small question on the input price cycle. Sir, it seems like the benign input prices and obviously result in gross margins seems to be in a very benign super cycle now. It's got extended and probably seems like it continues to be benign. Is there a way you give some outlook on how you see demand supply situation panning out over, say, next 12 months? I also hear that there were some Chinese capacity was also imminently coming, but it's not coming because the supply situation is very benign. Do you have like a 12-month view on how things are evolving and your outlook on input prices?

Sudhanshu Vats: So input prices, I think we've spoken about it a little bit back, Amit. I think as far as 6 months is concerned, we see it to be benign.

In today's day and age, I think to your predecessor's question,

Umang, I think to be able to look beyond that and it may not be prudent for me to get beyond this.

I think your point that there is a little bit of demand softness in the big market of China. I think that's correct. So is there a little bit of demand softness in that big market? The answer is yes. Do we see it benign for the next 6-odd months? Clearly, the answer is yes. 12 months, do I have a clear view that it will be like this? I'm saying I cannot comment.

Amit Sachdeva: That was very helpful. I just wanted to check that how imminent this situation could be because there is obviously a cycle of demand and supply that runs into at least 2 to 3 years, and we are way past that period. But I don't know how this has evolving now, so I thought this is fair enough. This definitely answers the question.

Sudhanshu Vats: Good point. And I think this is something which we keep talking ourselves as well. But I think Amit, for you and to everyone on the table just to reassure that I think we are always at Pidilite very well poised to manage these cycles reasonably well. I think our ability to pass on some of these prices judiciously is very well established. So we are well poised in that space.

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Moderator: The next question is from the line of Saurabh Kundan from Goldman Sachs.

Saurabh Kundan: If you could give us any update on the electronics adhesives foray, the CollTech partnership. What stage is it at? At what point will we see it reasonably contributing to sales? Any update on that will be helpful?

Sudhanshu Vats: Yes. So I just want to tell you that basically, our specifications to most customers is on, our sales to a couple of customers has started. So I think there is work happening on that space. It's a tricky space, though. The point is that it is also, as I explained maybe in the call before this or earlier, is there are multiple areas where basically there is this application space and so on and so forth. So when we have some partnership, it is not that we will be able to tap into all of them. We will be able to tap into few of them. So I think in the areas that we will be able to tap into and we have the potential, there is good work happening. There is also work happening in trying to develop some of these things and there we've also started work at R&D place.

I think your question is to, will it be substantial? And when will it be substantial? Rather than saying when will it be substantial, I will say that in the immediate or medium-term defined as let's say, 6 months or 12 months, some of these initiatives which we are showing now are not going to be material to the size of Pidilite.

But having said that, the work needs to be done because if we do the right work now, then some of these will be meaningful and arguably material in 3 to 5 years. But a lot of work is happening because it is at a work stage, beyond a point in time, it's not prudent to share.

Moderator: The next question is from the line of Parshva from Mehta Equities.

Parshva: As the government is giving a lot of priority to electronics manufacturing in the country. So can you share the opportunity size that we can see in adhesive segment, which is used in the electronic assemblies?

Sudhanshu Vats: Yes. Parshva this is very similar to what Himanshu was asking, I think, asked this question again.

So just to tell you that we just responded to Himanshu. See, this is a space which is evolving as we speak. We are mapping area by area. This is quite complex and complicated. See, there are two things. First of all, on any instrument or anything which you look at, there are multiple areas of adhesion and thermal conduction and so on and so forth, which are there. Multiple meaning it could run into 100s easily. Now the question is that, within that, what are the areas where we

will be having a ri

ght to play. First of all, what are these mapping them, theoretically mapping them if possible. When you see these headlines, which come in the newspapers, those are big headline numbers. So theoretically, you can do that. But if you were deep down into that, the issue is that some of it will not be done in India. I'm saying a lot of when you say manufacturing, is perhaps assembly and last point assembly as well. It is also evolving to be fair, and I don't want to comment. So therefore, what we are doing is we are mapping it by each of these, seeing what of it is done in India, what comes from outside. And within what is done in India, where do we have the license to play and where do we have a right to win.

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And as I said to Himanshu's response that wherever the products are available, we have specified our products in many places. So we have sampled in quite a few of them as well. And I'm happy to share that in a couple of places, we have also started commercial orders, which are repeat orders as well.

Moderator: The next question is from the line of Himanshu Singh from JPMorgan.

Himanshu Singh: Many FMCG peers have called out the impact of monsoons during this quarter. So have you also witnessed any impact of monsoon extended range because as we are involved in the construction business? So have you also seen any impact of monsoon during this quarter?

Sudhanshu Vats: Of course, the monsoon is for everyone, Himanshu. But I think what is good about our company, and I want to reiterate that, and I think that's what makes Pidilite what Pidilite is, is that our focus on demand generation is extremely high.

And therefore, our business model and our go-to-market strategy is focused on generating demand. And as you are aware, we have two field forces going out, and therefore, people are continuously focused on generating demand. I think this uniqueness of our model, coupled with the strength of our growing portfolio and the richness of our portfolio allows us to weather some of these things better.

And I'm saying if you look at some of the other guys, they will say there is monsoon, extended monsoon, GST 2.0 impact, this, that and all. Everything sort of impacts us also in some form or the other. But I think in a quarter that's gone by, we've delivered double-digit underlying volume growth because of our model.

There has been extended monsoon, you're absolutely right. And I think as a country, one watch out for all of us is, does this extended monsoon harm the kharif crop, where the answers are not out as of now. So if it's going to continue to rain the way it's raining, I'm saying, I don't know whether the Bombay rains are there everywhere else. I'm saying will it begin to impact other areas. That is something which we need to first of all, get more data on it, and then that needs to be evaluated. That may have a bearing on rural.

Himanshu Singh: Sir, since you mentioned, so you seem confident on continuing this double-digit underlying volume growth for the second half as well, because of the strength of the model that you follow, correct? Is my understanding correct?

Sudhanshu Vats: Yes. We've demonstrated that we've delivered double-digit underlying volume growth for some quarters, and we are confident that we can do it in the future. You're absolutely right.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited.

Bharat Sheth: Sudhanshu, I have this question for our Jowat. So how do we are seeing the progress of Jowat since we have, I believe, factory was already completed and we were doing some project also.

So can you give a little more color on how do we see over a couple of years?

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Sudhanshu Vats: Bharat bhai, first of all, always good to hear from you. Thank you. I think Bharat bhai on this -- on the Jowat pie

ce, I can tell you, and I was talking about it in the earlier part of the call in context of joinery, I think we are seeing clear traction when it comes to joinery. But as you know, hot melt adhesives, and hot melt PURs, have now extensive use in various areas.

So there is a lot of use of these even in industries. So as I speak to you, what we are doing is we are also mapping this far more thoroughly. How do we take it well beyond woodworking and joinery. So woodworking and joinery, we are doing well, which was the first protocol.

Then there is good traction. I think in other areas, we are also mapping and seeing how do we grow this. So two places is doing well. It's doing well here. It's also doing well in our advanced packaging and conversion. APC) that's one of our business -- one of the things we look at in our industrial business.

So I think advanced packaging conversion, we are seeing good traction in hot melts adhesives. We are seeing good traction in joineries, 100%. But in this joinery part of the business, I think

we'll continue to map it so that we grow this faster than what we have done and utilize the space even better.

Bharat Sheth: Okay. And second piece on the national level sorry, this 4P what we are talking, that brand, I sorry I missed it Nina Percept?

Sudhanshu Vats: The brand is UnoFin.

Bharat Sheth: So how we are thinking about it? And what I understand we were thinking of launching pan-India basis. So when we will see and we started with regional presence?.

Sudhanshu Vats: I'll request Kavinder who is also with us on the line to talk about it and give you a little bit more color on this part.

Kavinder Singh: Bharat bhai, good to hear you on the call, just wanted to mention to you that while UnoFin is the brand name for this spray craft, what we call as render. The game with Grupo Puma is not just that. The game with Grupo Puma extends into professional level of tile adhesives, very recently we have launched in September, a brand called NeoPro by Roff under the brand name of Roff. So these are for premium tile dealers. So this is a new launch, which we are excited about. As we speak, we are sort of extending it into various markets. So that has come from the Grupo Puma technology. There are a few other products in offering.

Let me come back now to your question on UnoFin. So UnoFin has not delivered in line with our expectations so far. Part of the reason is, it's about changing the practice of the current practice where people are happy to do the primer, putty, paint, et cetera. We are looking to change the game by actually offering this solution to people, who would want a water-resistant coating sprayable, therefore, taking much lesser time, looking absolutely very good even after 10 to 15 years. So this will typically have to be focused on buildings where owners would like to save the future maintenance costs and also the architects, who would like very beautiful looking facades. So this market, we have understood that this is the way to go about.

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We are beginning to see traction in the hotel industry, in some commercial complexes, and we have intentionally kept the team only in the Northern region to perfect this whole business model because our factory is in Rajasthan, and we do not want to transport this product all over the country because it affects the margins.

So therefore, as we call it in our language in Pidilite, the pilot is on. It has taken a little longer than what we would have ideally liked, but we are going in a very sure-shot manner. We have made one more change. We have a large user business team, which is now the go-to market. Earlier, we had a separate sales team, which was going independently. Now we have merged the sales team with a large user group. And therefore, we believe that this will lead to a better go-to-market strategy. These changes we have done in the last 1 or

2 months. So therefore, we remain clearly optimistic about creating the category. And as you know, we are pioneers in creating categories, and that's the approach that we are taking in this category. On the other hand, Nio Pro is not category creation. It is premiumization of our tile adhesive.

Sudhanshu Vats: Bharat bhai, very quickly, I think Kavinder was recently in Jaipur. So one other good news I want to give you, one of the first early projects we did, Kavinder only was telling me 2 years back or something is looking fabulous, Bharat bhai. So I think, therefore, it's giving us confidence, I think 2 to 3 years now, which is what is the promise of these vendors. They look good for very long. You know that, that is the kind of thing and as we do this, it will be good.

Bharat Sheth: So sir, just to understand, I mean, from a cost perspective, cost of ownership over life of the project. I mean how do one should think about it benefit as well as cost of ownership will be definitely a little costlier than the traditional way of going up?

Sudhanshu Vats: Bharat bhai, if I could quickly add, I think we'll need to do more math on it to give you a very specific answer. But I can tell you, one-time first-time cost is a bit of a premium. But maintenance is, if it is going to be a 20-year shelf life. I'm just thinking about it. We have a promise of whatever, at least in the European place, there's 25 plus and all that. Then the total cost of ownership or total cost of doing this, will be low. I'm saying that's what we are basically seeing there. The total cost will be low.

Moderator: The next question is from the line of Tejash Shah from Avendus Spark Institutional Equities.

Tejash Shah: A couple of follow-ups. So first, at a very broader level, government has taken several bets to revive consumption and the recent one being GST rate cut. So when you speak with your sales team, channel partners, are you seeing any visible signs of recovery, which gives us some hint that consumption is better than what it was, let's say, 6 months back or 9 months back?

Sudhanshu Vats: So as I was telling you, I think for GST 2.0, Tejash, it may be too early to call any verdict. Having said that, and I maintained this and we've been saying this for some time, it is the right step. So I think I want to congratulate the government, everyone involved and all that, making sure that all your staples and daily consumption items for common Indian, every Indian are at 5% is exactly the steps we should have taken and we have taken.

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So that's a very good step. Now as this releases some amount of income in the hands of all Indians, what is the impact of that, which discretionary category benefit? When do they benefit is, at this moment, a matter of conjecture. It will happen, but how it will happen, we'll have to see.

I think on the second part, there is also a GST change in some of the home improvement items or in general, over construction. Cement has come down from 28% to 18%. Some of our stone, marble and all have come down to 5%, if I'm not mistaken, I think that's the rate.

So therefore, the impact of this on construction and further fill to construction, we stay very optimistic on this, which you can see in our commentary as well. So I think that is the piece, which will also help us. How it plays out we have to see. Lastly, are we seeing urban demand recovering at least at Pidilite level, the answer is yes, which I spoke about earlier in the call as well, independent of everything.

Tejash Shah: Yes. So my question was also that there were a couple of interventions, which are made 6 months, 9 months back also in terms of monetary policy easing and tax rate cut. And there were a lot of hopes that they will also contribute to demand revival, but I got the answer. Sir, second, when you look at the very broader consumption space, Pidilite seems like a silver

lining in terms

of what we are delivering for a while now. And when we exchange notes with other industry leaders are not only in our sector but otherwise, what would you say that doing differently, what others are not? Because what I'm trying to understand is it more of a category-specific thing? Or is it like our own execution excellence or mix of both, which are actually helping us to deliver what we are doing?

Sudhanshu Vats: No, I think very good question, Tejash. I partly, alluded to this in earlier in the call earlier. I think I see two clear moats, which are emerging for Pidilite, which have been there, but I think which is what sort of partly explain how we've done and we are consistently delivering.

I think one is the way we go about doing things. So I do want to reiterate very few companies focus on demand generation the way Pidilite does. I think with our entire business model.

Business model is not only about cost, you are aware that we've talked about it, that there are two field forces. But how do we review, what are the linkages, how do we keep improving that as we keep going forward.

So our entire demand generation business model is one thing, which we need to keep continually keep improving, and I think that's an area. Second is, of course, the growth of our portfolio. And as our portfolio gets more diversified, it gives us better ability to maneuver some of these things. And to that extent, there is a little bit of a category play, you are right? So if you are there, that's what portfolio plays. You have some part of your portfolio in categories that grow faster, they deliver better results. And therefore, when you look at a company like Pidilite, you are able to consistently deliver. So therefore, in that sense, these are things which help Pidilite as we go forward.

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Moderator: As there are no further questions, I would now like to hand the conference over to management for closing comments.

Sandeep Batra: So thank you very much. Thank you, everybody, who's joined the call for your continued interest in Pidilite. Wishing each of you a very good evening, and we'll connect after the third quarter earnings. Thank you.

Moderator: Thank you very much. On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

(This document has been edited to improve readability)

Call: Feb 2026

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11th February, 2026
The Secretary
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Mumbai - 400 001
Mumbai - 400 051
Stock Code – 500331
Stock Code - PIDILITIND
Dear Sir,
Sub: Transcript of the Earnings Call

Dear Sir,
We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on
4th February, 2026.
A recording of the transcript is available on the website of the Company viz. www.pidilite.com .
Kindly take the same on your records.

Thanking You,
Yours faithfully,
For Pidilite Industries Limited
Manisha Shetty
Company Secretary
Encl. as above

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Pidilite Industries Limited
Q3 FY26 Earnings Conference Call
February 04, 2026
MANAGEMENT : M R.SUDHANSHU VATS –MANAGING DIRECTOR –
PIDILITE INDUSTRIES LIMITED
MR.KAVINDER SINGH –JOINT MANAGING DIRECTOR
–PIDILITE INDUSTRIES LIMITED
MR.SANDEEP BATRA –EXECUTIVE DIRECTOR
FINANCE AND CHIEF FINANCIAL OFFICER –PIDILITE
INDUSTRIES LIMITED
MR.BHAVESH JOSHI –SENIOR VICE PRESIDENT –
PIDILITE INDUSTRIES LIMITED
MODERATOR : M R.ARUN BAID –ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Pidilite Industries Limited Q3 FY '26
Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all
participant lines will be in the listen-only mode and there will be an opportunity for
you to ask questions after the presentation concludes. Should you need assistance
during this conference call, please signal an operator by pressing star then zero on your
touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Arun Baid from ICICI Securities. Thank you.
And over to you, sir.

Arun Baid: Thank you, Mark. Good afternoon, ladies and gentlemen. On behalf of ICICI
Securities, I welcome you all to the Q3 FY '26 Post Results Concall. From the
management side, we have Mr. Sudhanshu Vats, Managing Director; Mr. Kavinder
Singh, JMD; Mr. Sandeep Batra, ED and CFO; and Mr. Bhavesh Joshi, Senior Vice
President.

Now I hand over the call to Mr. Batra for his opening remarks, post which the floor will be open for Q&A. Over to you, sir.

Sandeep Batra: Thank you, Arun, and very good afternoon to all who have joined the call today. I will keep my opening remarks brief so that we have enough time for Q&A. And I have great pleasure in taking you through our Q3 and 9M results which were approved in the Board meeting yesterday.

In the current quarter, our stand-alone revenue was INR3,425 crores, nominal growth of 11%, but the underlying volume growth ('UVG') was 9.3%. Underlying volume growth for our Consumer and Bazaar business was 9.7% with B2B business underlying volume growth of 7.4%. I also wanted to add a trend on the domestic business.

If you look at our total domestic business, which is made up of both Consumer, Bazaar as well as the B2B business, that reported underlying volume growth of 11%. And I think the challenge that we faced in this quarter was on account of exports, probably the harshest quarter in terms of whatever is happening in the geopolitics world. And therefore, our exports in totality declined by 13.5%, which resulted in an overall underlying volume growth of 9%.

So, the domestic franchise remains strong and the underlying volume growth there have been inching up over the last 8 quarters. Both in Q3 and in Q2, the UVG was in excess of 11%. The impact of exports in the second quarter was not as severe as in the third quarter. And therefore, the overall underlying volume growth may have been a bit lower than Q2.

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Our gross margins at a stand-alone level improved by about 200 basis points as input prices remained benign. Just for information, VAM consumption in the quarter was at about \$830 as compared to \$884 in the same period last year. However, this benefit in the material cost was offset because of a one-time provision that we took on account of the new Wage Code.

Basically, for two elements, gratuity and leave encashment, we have recognized the impact because of the new Wage Code that resulted in a onetime charge of INR47 crores in stand-alone and about INR52 crores in consolidated. We also stepped up our advertising and sales promotion spend in the quarter, something that we have been dialling up over the last couple of quarters.

And despite all that one-offs and increased A&SP spending, our stand-alone EBITDA margins improved by about 24 basis points and stand at 24.5%. Profit after Tax grew by 12.5%. For the quarter, our domestic subsidiaries reported a sales growth of 4% with a marginal decline in EBITDA. International subsidiaries, however, grew top line by 6% and EBITDA by 19%.

Consolidated revenues, therefore, for the quarter a shade under INR3,700 crores were up by 10.2% and when you look at the 9-month period, the growth again in consolidated revenue is same at 9.2%. That is about it from the point of view

of opening

remarks and open the floor for Q&A.

Moderator: Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: Thanks, and congrats on a good set of numbers. My first question is on exports. So, do you see even Q4 and Q1, the decline continuing? And could you elaborate what exactly you mean by the geopolitical challenges? Now given U.S. tariff deal is done and dusted, although details are still awaited, do you think large part of that geopolitical is also behind or there is more to it? That is my first question?

Sudhanshu Vats: Abneesh, first of all, great to hear from you, and good to have you on the call. And I think good question. Let me first talk about exports. So see, first of all, for us, the share of business of this part of the business is not that significant.

But having said that, as you know, there is our pigments business. In our pigments business, we have a direct exposure to U.S. as in we do export to U.S. And U.S. is a large component of our pigment exports overall. So I think that is the piece. This part got affected quite a lot in Q3 of the current financial.

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Q1 had got affected a little, Q2 got affected a little bit more, but Q3 got severely affected, if I can use the word and the second area where we got a little affected in our B2B business is in the indirect sources. So, in our other B2B businesses where, for instance, we supply to footwear, we supply to some other leather chemicals or even textile.

Some of these were affected because of their export getting affected. Our own sense is that this is largely behind us. We should see action based on the new tariff rate, hopefully, maybe by the turn of this quarter itself, but definitely as we move forward. We also feel that the impact on B2B per se in this quarter and future quarters will also be minimal because of this prolonged negotiation, we had also built a few other plans, if I could say.

So there are things which we have done, which will also begin to fructify as we go forward. So, I think, therefore, to that extent, this part is largely behind us, assuming the new tariff rate, which has been announced is implemented. I think on the broader philosophical question of geopolitical uncertainty, Abneesh, we do live in a world where there is considerable geopolitical uncertainty.

Even now, it is on, and to be fair, I think some of the wars are far from over. Russia-Ukraine is not over as yet. There is also the conflict in the Middle East. There is also the overall Iran question. And some of these, while they may be political and maybe wars, but some of them are also very sensitively situated.

So there are possibilities of any kind of commercial ramifications. So the comment which you were referring to, which was also a more broader point, stems from there. So the geopolitical uncertainty in general is there, and it is something which we have to learn to live with and we are learning to live with as we go forward.

Abneesh Roy: Sudhanshu, two follow-ups. One is to understand correctly, you think in Q4 and Q1, sharp decline in exports as we speak today, that seems unlikely, right? That was my first follow-up?

Sudhanshu Vats: No, that seems unlikely. As I was telling you, I think we have other plans and all that.

So overall, our B2B we would continue to see back. By the way, domestic B2B delivered mid-teens growth. I think it is part of our commentary as well somewhere but we delivered mid-teens growth. So our domestic B2B has delivered mid-teens growth is something I want to tell you. Second is that we have got plans in place to, therefore, bring back our entire B2B back into at least mid-teens, so double digit and mid-teens. So I think those are in place.

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Abneesh

Roy: And Sudhanshu, second follow-up is, do we have clarity now almost reasonably on U.S., what kind of pricing rates, etcetera, because details have not come and any benefit from the EU trade deal or that does not change much for you?

Sudhanshu Vats: No, EU trade deal benefits will accrue to us, but there are two things on EU trade deal, perhaps maybe three. I think one is that EU trade deal till the time it is ratified by the European Parliament and all that, is at the very least, 6 months away, maybe 9 months away. So therefore, anything in that in terms of when the rubber hits the road on the ground will happen only towards the end of this year. So it is sometimes in next fiscal and all that, maybe second half of next fiscal.

But I think it benefits us. We export to EU. So therefore, there will be correct direct benefits there. Plus also, as part of our planning in general, which we were talking about in response to your earlier question on export, we have been looking at other geographies, and EU is one of them.

So therefore, the business development work which has happened, which hopefully will be further accelerated and will give us better fillip as and when some of these things play out. So therefore, we are in good position. But it is not going to impact us tomorrow or definitely not in the quarter and maybe the quarter after.

Abneesh Roy: Understood. My last question is on basically your India Consumer and Bazaar, extremely good growth, and almost 9%, 10% very, very predictable growth, which is a great achievement, given very few companies grow at this number. My question is basically in two parts.

One is, I was surprised to see mass media advertising by Roff tile cleaner. I see very good presence in e-commerce, quick commerce. The question here is how do you compete with multinational companies which have economies of scale, both in terms of raw material and finished products?

Second, they are a team. So again, do you set up the full team here? So do you have plans for more products? I do understand Roff has some level of right to win here, but Reckitt Benckiser, Unilever, ITC, they have so many cleaning products. Why will consumer buy a Roff cleaning product? That was first part.

Second is real estate slowdown is now quite real. If you see the real state stocks, most of them are Tier 1, Tier 2 markets and you are pan-India consumption. So if you could address Tier 1, Tier 2, are you seeing some level of slowdown in the real estate, that is a subset of your overall C&B? But any level of slowdown you are seeing there, which

is getting more than compensated. Your overall numbers are very good. But any anecdotal evidence you can share?

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Sudhanshu Vats: So, Abneesh, three questions there, and maybe I will answer two and perhaps touch on the third and ask Kavinder to build further. I think on the first question on Roff mass market, building the Roff brand, which is the advertising you talked about, I think that is our classic Pidilite playbook. I think Roff is our next big brand.

And when we build a brand, we built a brand holistically. We do not say we are building the brand only for applicators or vice versa only for consumers because some of them are not strictly, in any case, Bazaar brands are not strictly only, India is a DIFM country, so not strictly to be used by the consumers, but consumers are aware of them. They will ask for it. They know that they trust them, and therefore, you know. So therefore, that is a journey, and you will continue to see that. We have invested in the quarter gone by, in Q3, considerably behind Roff. Also on impact properties, including in specific geographies where we have actually been on some of the very strong impact properties like Big Boss and all that, you have seen us on cricket and all that. So therefore, we are building Roff brand.

So that is the first question.

That's a journey which will continue. It will be like our other brands, Fevicol, Dr. Fixit, Fevikwik, Roff, these are brands and you will see we will be building some of these big brands, which are going to be. So therefore, that's very clear.

And your second question was specifically to a product on Roff cleaner. So basically, our view is, we are not competing directly with the CPG or FMCG companies. But there are certain products which are relevant to our area of operation sometimes or where we have very distinct product superiority or advantage.

So when it comes to Roff Cera Clean, you will see that people swear by the efficacy of Roff Cera Clean. And there are other products, and I am not commenting on them, but people are very happy on our Roff Cera Clean. It is also a clear adjacency to basically, when you are doing tiling work or you are doing some of this work, you would like to clean it and you leave this, make the cleaning easier, educate our applicators.

So I think that is an area where I think Roff Cera Clean, definitely scores, and it could be picked up by different things. And sometimes now consumers are also picking it up, but then so be it. So I think that's the second part. On the third part, I'll tell you, I'd like to just make one quick comment and then maybe Kavinder can further develop on it.

See, first of all, our portfolio is not only new construction dependent. Our portfolio has new construction, renovation and repair. And renovation and repair account for maybe

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70% plus, I would say, 70% to 75%, and new construction is more like 25%, maybe a little higher, so depending on the cycle. So that is the ratio.

So first of all, we are well equipped even if there is a downturn in new construction.

But I will tell you, and that's the reason I'll now hand over to Kavinder to talk to you how we look at construction. It's not only a builder, which is one part, which is no doubt, and then within that also, last point I wanted to say that when you look at now new residential construction, parts of it is slowing down, parts of it is not slowing down.

So I think India is therefore, a bit like a large elephant, which one are you feeling? So ultra-high end this thing, I see no slowdown. I'd say they are selling as if you are selling, they go off the shelf like very quickly, but I think there may be small, the second home construction or large bungalows coming up, there is actually only going up. That is not slowing down at all.

So that piece, you are not seeing. But I think lastly, I also wanted to take this question of yours, Abneesh, to, once again, many people on the call to understand how we are looking at this entire piece now. This is well beyond residential builder segment, which is what you loosely refer to as construction. So with this, I will hand over to Kavinder to talk about a little bit of about this piece as to how we are looking at this.

Kavinder Singh: Yes. Thank you, Sudhanshu, for giving an overall overview of this answer to this question. I will just build on what Sudhanshu was saying. I think the way we are looking at in our construction portfolio, we span across multiple categories in construction portfolio, the waterproofing piece, there is a tile adhesive piece and there

is a flooring piece. And there are, of course, other small pieces, but let us build on these three, four things.

So first of all, we are not, let's say, focused only on residential sector. Our three lines of business focus across segments. So whether it is residential, whether it is commercial, whether it is, let's say, government segment, whether it is infra and industries, so there is an approach that we have.

And as we speak, and I think I mentioned earlier also, we are going segment out because our solutions span across segments. So for us, as of now, I can confirm to you that we haven't seen any slowdown whatsoever

even in residential. And by the way,

within the industry, we keep talking to each other who are in the allied businesses. And as of now, we do not see any slowdown in any part of the construction segment.

We are seeing right now, business as usual. And if you look at what has been spoken in the budget very recently, whether it is the city economic regions that the government

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is trying to promote, Tier 2, Tier 3, whether it is the fact that there is a desire to focus on infrastructure and urbanization, I think the next 3 to 5, maybe even 7 years, and even if you were to look at a segment like hotels, there is significant construction going on as we speak.

So when I span our businesses into multiple segments, I find that there are more opportunities that we can tap currently. So, at this moment of time, I do not think we should be worried about any particular segment slowing down. As it is, we are widespread across segments. And we have a very clear go-to-market route through the architects, structural consultants into the projects route to offer them solutions across waterproofing, across tile adhesion and flooring and few other allied products. So just to give you a bit of a reassurance that this is not a cause of worry to us at all at this moment of time.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Co Limited.

Keyur Pandya: Two questions. First, on the growth side, I mean, while it is tremendous performance versus other consumer companies for last many quarters, just one curiosity, as you are increasing or reinvesting your gross margin benefit into, say, A&SP and other retail activities also, I am sure that you are doing, why is it so that the volume growth is, say, around 9% or 10%? Shouldn't it go up if you are spending more on, say, ATL, BTL? And if that is not the case, is it not better to, say, increase the gross margin if it is not yielding the incremental volume growth? So that is first question.

Sudhanshu Vats: No, I think from where you are coming, it's a very good question and I wouldn't deny that. But let me give you a little bit of context and color to this. So I think, first of all what happens in businesses and in life, it's not a magical wand that I have increased my A&SP by so and so, and I should get results immediately. Although in e-commerce performance marketing, you would get it a little bit, but that's not what we do.

I think when you are building the brands, therefore, what happens is, it is for building it for a medium to long term. And I think that has also been our approach. Let me illustrate to your point as to what is happening. So if you look at we have started dialling up on our A&SP for some time, to like last two or three quarters, you have seen that.

If you look at our historical growth or let's look at even last year growth, forget, I'm saying let's take last year number. So if you look at our last year growth at a consolidated level, revenue growth was 6.1%. Our UVG was a bit better. There was a price thing which was coming in.

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This year, on the UVG, we have already dialled up about 100 bps. And on revenue growth, we have dialled up even higher, although that is some of it is because the pricing is coming up. So if you look at our 9 months consolidated growth, that is around 10%. So therefore, you are seeing a fillip in the growth.

Now the question is, and our desire rate to continue to maintain this growth because for us, the EBITDA corridor which we have shared is 20% to 24%. We are also very conscious that we should have right profitability, at the same time, focus on building capabilities, building brands. And all of that is leading to improved in revenue growth, as you pointed out. So the question is, from where we stand, from our vantage point, th

e way we are seeing, we are seeing improvement in top line growth. We would like to continue to improve our UVG and therefore, the top line growth as we go forward. Keyur Pandya: Understood. Just one follow-up on this. So you see as an effort of all these, I mean, say, A&SP or branding activity, volume growth can go up from here also, say, in next two, three quarters. I am not saying next quarter or this is an optimal level. That is one follow-up. And just second question, broadly from the medium-term perspective, you have given breakup of all the brands which are under core growth and pioneer? I mean many of these growth categories were, say, probably a couple of years back, were in the pioneer category and have moved up to growth. Do you think you have enough levers or enough funnel in this pioneer or the strength in the growth categories, which can continue to give double-digit kind of volume growth just from, say, next 2 years' perspective?

Sudhanshu Vats: Yes. I think on the first question, see, I have already illustrated that our underlying volume growth has gone up by almost 100 to 150 bps in this period, and we would like to continue to sustain that momentum, and we will continue to grow it in the medium term and perhaps year-on-year. So we remain confident that we should be able to do this as we go forward.

By the way, let me also tell you, because a lot of the people you may be hearing on the other company analyst con calls and all that, usually refer to volume growth as simple or what you call total volume growth, what is the word we use which is, and that number for us is a multiple of our underlying volume growth.

So therefore, that number for us is much higher. That number is further improving. So therefore, overall, are we being able to do that? The answer is yes. Two is, do we have pipeline in our pioneering businesses and even in growth? So I think there are two parts to this answer. One, we would like our growth businesses to continue to grow better.

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And I think we are seeing some evidence there. So if you look at Dr. Fixit's growth this year is better than the growth has been in the last 2 to 3 years. I can tell you that. I think it is distinctly better. So we pushed this up a little bit. Roff's growth at this moment is very robust, very good. So therefore, those growth ones.

And even within pioneering, this is a subject I wouldn't like to get in too much detail, but I can tell you our funnel on pioneering is reasonably strong. We have got a lot of things coming in there. Our sealants portfolio is doing quite well under the FeviSeal brand. There is a lot of scope in that space.

UnoFin is very early, but that has tremendous potential as we go forward. Some of our B2B spaces where we are looking at adjacencies and new categories, there is scope there. Even in consumer, there are quite a few promising, pioneering spaces, which are coming in. We just introduced our Shoefix which is now Fevicol Shoefix which can repair all kinds of shoes, not only leather, but EVA shoes and all that.

First response in the market is really good. Last quarter, we have just introduced our consumer kids portfolio under Fevicryl Yudu, very, very early, but good response in the market. So I am just giving you a few examples. But all I am telling you is that our pioneering innovation pieces and all that, quite a few of them are there.

And then we also have premiumization and new formats within our existing brands, which have potential to be pioneering and converting quickly from pioneering to growth. One quick example I want to give you here is that of our Fevicol Nail-free Ultra. That is absolutely running away, and that will be very quickly our growth product in terms of just from basically having been launched as a pioneering product. So that is the piece.

Our Litokol, which is basically Litokol joint venture, which i

s basically our epoxy

grout under Roff brand, it is called Roff Starlike, is doing very well, very well from a pioneer to growth now, and it is growing really well. We have got many of these in the pipeline. So therefore, I am just giving you a few examples.

Moderator: The next question is from the line of Arnab Mitra from Goldman Sachs.

Arnab Mitra: My first question was after a long time, you are seeing some price growth in the stand-alone P&L, revenue growth being 2.5%, 3% ahead of volume growth UVG. So just wanted to understand what are the sources of this price growth? Is it sustainable given that input cost have been benign? Is the growth giving you now confidence to also take some marginal pricing, and can we expect that going ahead also?

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Sudhanshu Vats: I think we talked about this. Arnab, thank you for the question, first of all. I think Sandeep had last time also spoken about this. I think my view is that in the zone of

about 100 to 150 bps, in and around there, I think you should continue to expect, I think it would be our endeavor, but will it flow through as a formulate number quarter-on-quarter, year-over-year, perhaps no.

So I would caution against that also. I think it is a combination of some of the times. But I think there is room and we always keep exploring opportunities for wherever there is room for pricing, price laddering corrections, a little bit of pricing room. So I think that's the way it is. Sandeep, if you want to add a little bit more.

Sandeep Batra: I mean, just to add to what Sudhanshu said that you are absolutely right, Arnab, that input costs have been benign at an overall level, but there could be a few categories where there could be input cost-led or even otherwise an opportunity to take some tactical pricing. And that is something that, given that we keep our ears very close to the ground.

We always continue to identify such opportunities where we can take pricing without actually hurting the premium that we charge, without the premium going way beyond our comfort corridor. So this kind of gap that you saw in the third quarter, as Sudhanshu said, anywhere between 100 bps or so, should get maintained.

Arnab Mitra: My second question was actually regarding water proofing to your comment that you have seen definitely improvement in Dr. Fixit growth. I am just correlating it with some of the paint companies commentary that the repainting cycle has been extending and the industry demand seems very muted in paints?

And this is one category which at least to us looks a little close to paints in terms of a lot of times it happens together, the water proofing and the painting. So are you not seeing any impact of that or would you say that your portfolio is more remedial based or like new construction based where the repainting cycle may not be a big factor in waterproofing growth for you?

Sudhanshu Vats: So yes, I cannot comment on the other, Arnab, on the commentary given by others and maybe there is some merit, and they perhaps see it more closely. But what we see is, and I think I am just building on to our earlier answer we gave to Abneesh's question, both I and Kavinder.

I think the point is, for us, water proofing has got all three components. Repair, I think that is where there is maximum or some overlap with painting. Then a slightly, I use the word renovation which goes beyond a small or simple repair. I think that is where Pidilite Industries Limited

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we become more important if it's very specific, if it's a bit more chronic. So our specialization in this space remains an important piece.

And I think the third is, of course, new construction. Now within new construction, and I think as Kavinder was saying, you may have heard, noticed that or heard that, is that we are also expanding what all areas we could be waterproofing well beyond homes a

s well. Although home is a larger state, particularly in Bazaar business, absolutely, yes, but we are going well beyond home.

I think that is an area which you will continue to see action. So Dr. Fixit as a brand, therefore, has room for growth in all aspects. And lastly, I think we continue to see reasonably robust growth in small towns and rural India. I do not know the commentary of others in that, but small town and rural India also continues to give us the fillip. So we have seen a fillip particularly this year in that space as well.

So it's a combination of the distributor strength basically being there in repair, renovation and new construction, and overall construction, the way we are beginning to look at now as a company, which gives us a much wider addressable market, if I can use the term, which I think all you guys use. So therefore, that is the piece which we have seen robust growth. We would like to continue to see this growth, and we are confident that we will.

Moderator: The next question is from the line of Jay Doshi from Kotak.

Jay Doshi: Congratulations on good set of numbers. I have a quick follow-up on the previous response. Do you think that you have started to gain market share in waterproofing once again? Maybe there was a phase of 2 or 3 years where you lost out to new entrants, largely decorative paint companies. Do you think we are seeing some reversal of the market share trends?

Sudhanshu Vats: It is a very good question. I think with the growth which we are seeing, I think that definitely would be the case in my sense. And I can tell you now for both Kavinder and me, I think that is why our focus is a lot on growth. We want to have growth, which is very clear, which is a standout growth if I can use the word meaning which is not like in the zone of the market.

You would like to say, okay, whatever you assume the market is growing, we would

like to grow well ahead of that so that you are in the business of continuously gaining the share as we also build the market. We are all both in waterproofing and even tile adhesives and all, there is a large job to be done to even develop the market. There is no debate about that. There is a lot of scope to be done. But in developing that market, we will continue to do. I will ask Kavinder to add on this.

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Kavinder Singh: Thanks Sudhanshu. Just to build on your question, I think I will just once again talk about what we are doing, and in a way, I think it will answer your question, hopefully.

So what's happening is that in waterproofing, we have two components. One is the retail component and other is the projects component.

The retail component, as Sudhanshu was saying, has started growing. And that is where your question of gaining market share is probably even more valid. Again, these are early days. We are doing our bit to get our act together, both in terms of our reach distribution and solutioning that we are doing across waterproofing solutions that we provide, including a few new products that we have launched, which are gaining some level of traction, but again, in the waterproofing space.

Parallely, we are driving the projects business much more than probably we have been able to drive by following the segment out kind of an approach and solution out kind of an approach. You may remember, we have talked about Pidilite Professional Solutions, which is doing a very good job in terms of getting ourselves specified for various solutions at various stages of construction for various segments, whether it is commercial, residential, et cetera, et cetera.

So one side, we are going out on specification. Second side, we are going out on solutioning. Third side, we are definitely gaining share in the project space probably faster than retail. The combined effect of that is what is visible, obviously, because there is a large market, and we are not a v

ery big player, though we have a very huge

top of mind, but our, let's say, presence is, there is a lot that we can do and we are doing and therefore, whatever paint companies may say with regards to their situation, at least we are not seeing that situation for us in the space of waterproofing that your question was all about. So I hope this gives you a flavor as to what we are trying to do in waterproofing.

And therefore, we believe that our own act of driving projects penetration, getting into markets where we have not been present, including the lower pop strata markets, and that is where, again, we are seeing huge growth. And the fact that Dr. Fixit, the retail piece, even in urban is beginning to look up again in terms of the various initiatives that we have taken with regards to the way we are going into the market.

And there are certain things that we are doing, which we believe are working. And as a result of which we are seeing the growth that we are seeing in Dr. Fixit. Obviously, when we talk of construction, while you have been talking about waterproofing, tile adhesive is another story. And of course, it is also linked to construction, largely new construction and that is where, again, good growths are seen because this is more like a category creation activity that we are doing. And there, again, the trajectory is good,

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which again, was mentioned earlier. So, I hope you got the answer that you were looking for.

Jay Doshi: That is very encouraging to know, especially the retail piece of water proofing. Now my second question is on Roff. Do you think that there is potential to double even from current levels or you think that the current scale the growth may start tapering off?

Kavinder Singh: Let me just give you a bit of a perspective on tile adhesive category. I do not know, we may have talked about it earlier as well. But in case it is a repetition, than others should sort of hopefully, excuse me for that. See, tile adhesive as a category is a replacer of cement, as you know.

And it is definitely more expensive than cement, okay, and significantly expensive. So while the conversion from cement to tile adhesive is going on reasonably well in the vertical surfaces, the conversion on the flooring piece is not as good as it could be because people do not see the need to replace cement on the floor.

Of course, there is a need, but that is more technical, so we will talk about that maybe some other time. But right now it is important to know that the category creation is not happening automatically. There's a lot of work that needs to be done with the contractors, tiling contractors and Pidilite, all of us are wedded to the idea of working very closely with the user.

So we are working with these contractors and actual tile layers to show them the advantage of how the tile adhesives improve the performance of tile laying so that there is no de-bonding, etcetera. And we are in a position to do that through actual working on the ground. Parallely, we work on building the brand as we have been talking, ATL spends have been reasonably good, which again, Sudhanshu was alluding earlier. So there is a focus on making tile adhesive as an important part of tile laying, which is category creation is what I am saying. But if you look at in India, the growth of tile business is about 8%, 9%, maybe 10%. So it is not that tile laying is increasing dramatically. What is happening is the penetration of tile adhesive and tile laying is growing pretty fast, at least we believe in high double digits in terms of about 18%, 20%, roughly to that effect. So it is a game of penetration. In the tile fixing, the penetration is increasing, and that is where and more so in the vertical structures. And that is where the opportunity for all the players in tile adhesive, not just us. And now here, I mean, it is a question of what each

h one of us do, which will help to open the category, meaning unlock the category even more.

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And also what acts we do with regards to go-to-market and ensuring that we are able to deliver the tile adhesive at a competitive cost because this is a very, very price-sensitive category. And here, if you do not play your cards well in terms of distributed manufacturing, getting the product right in the first time, ensuring that the brand is sort of preferred, so there's a lot of act that needs to be done.

So saying I am giving an answer to your question, whether it could double, I mean, very difficult to say. It's very important to note that this is a category which can be grown and we are growing the category apart from growing our share. And that is what we will keep doing.

And whatever we double or whatever the number is, I think there will be an outcome. In Pidilite, we are very focused on what we do and normally, outcomes would follow in line with what we are aiming. So I would say that that is the way to look at this category. Slightly long answer to your short question, but I thought let me give you a bigger picture.

Jay Doshi: So let me ask a follow-up there. You did mention that the category itself, tile adhesive, is growing at 18%, 20% and that is broadly 8%, 10% sort of tile growth and then balance is penetration. Do you think that the category growth can continue at this rate for another 2, 3 years? And I can understand that your growth market share will be a function of competitive landscape and how you play the portfolio. But are you confident that the category can grow at 18%, 20% for the next 3 years?

Kavinder Singh: So I think the answer to that is how the players play the game. If the players play the game of creating great consistent products, if they continue to work with people on the ground, the answer is yes. So in lot of times, when category is growing fast, sometimes, you will see players coming and actually thinking that it is a cake walk and sometimes, that can actually lead to a different kind of a situation where some players may not give the products that are, let's say, going to perform. And sometimes it hurts category's growth.

So I think it is important that all the players in this category are sort of playing their game right in terms of giving users too the amount of transaction and a reason to invest more money in tile adhesion versus cement. We need to constantly give them the reason so that is the core play that everyone must do to be able to grow the business.

Sudhanshu Vats: Jay, to just quickly build on what Kavinder said and sum it up for you, I think the category is growing robustly, as Kavinder explained to you. Do we see this momentum in the category? Yes, I think. So that is clear. And within that, are we beginning to play this reasonably well? The answer is yes. Kavinder explained it in some detail to you.

So do we have the right to win? I think, yes.

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We need to be at it. We need to do the right thing, to Kavinder's point, and therefore, be able to see this. I just wanted to add one more data point for you here. If you remember last quarter, we had talked about our new premium range of tile adhesives called NioPro. And we had just introduced it. I want to share it on behalf of the team that NioPro is doing very well. Jay.

So therefore, I just want to leave you with saying that as we are in this game, we will have a Roff range of products and premium NioPro range of products, which will be

selectively available, available to very select dealers and to the project teams. So we are excited by this play. Growth at about 18% to 20% of the category. We want to grow well ahead of the category. I leave your simulation and answers to you. Thank you.
Moderator: The next question is from the line of Tejash Shah from Avendus Spark

Institutional
Equities.

Tejash Shah: Congrats on good set of numbers in this environment. So my question pertains to VAM prices. Now historically, we, the analysts have been programmed to say that or see that this commodity remains very volatile, so \$800 per tonne can actually jump to \$1,600. And if my memory serves me right, it has gone north of that also? But last few years, the last few quarters, the range of volatility has come down. So just wanted to understand, are there any structural changes on the demand supply side globally that this commodity is not as volatile especially in this kind of macro environment as it used to be earlier?

Sandeep Batra: Sure. Tejash, thanks for the question. So VAM, I think while it has always moved within a range, but the kind of spike that we saw post COVID, I think one of it probably coincided with the Russia-Ukraine conflict. And there, of course, the prices went up, but it was for a very brief period of time because they corrected as fast as they had gone up.

Historically, the range has been much narrower than what you saw during that disruption. And one of the reasons that you could ascribe to it is that there has been significant capacity expansion in China, and that capacity is not getting consumed locally. And maybe that is why one of the reasons why overall prices remain a bit subdued.

Plus, I think the feedstock for VAM, which may be you all know, oil derivative, but the two key raw materials being acetic acid, they have not seen any big upward movement. And likewise, even oil has remained kind of range bound. So that is why we see prices remaining at the kind of levels that they are. They could be 4%, 5% up
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or down but VAM today is maybe even less than 10% of our raw material basket. So even movements are not going to be so impactful as far as our margins are concerned.

Tejash Shah: Yes. Very helpful. Second question is on, when we look at our distribution landscape, there's a lot of overlap between paints players and us and looking at where the paint segment is going through the rough phase right now, is it easier for us to, let's say, convert some of the paint players to house our products or convert them in terms of pushing some of our products because they are not seeing that much growth in the existing line of the business?

Sudhanshu Vats: Our distribution, Tejash, we follow a distribution model to the market and we go much deeper. Most paint companies follow direct-to-dealer model, and I think they are, if I could use the word, slightly more urban-centric by definition, a little bit more urban. So the two are different.

I think we always believe to continue to play our game, to continue to do our things well and to continue to basically focus on our product range and all that with the set of dealers which we visit. And some of them, there is an overlap, as you rightly said. But I think to each of the dealers that we visit, basically, we would like to grow our range. What I mean by that is to be able to sell more products to them, to be able to share with them the value which comes with premiumization and the quality of our products and therefore, continue to drive our sales in that way.

Sandeep Batra: And I may add, Tejash, the overlap that you mentioned is only in paints and hardware outlets. Our GTM is not 100% paints and hardware. Our GTM has about 7 or 8 different types. You have a building material, you have tile outlets, you have outlets for plywood which keep Fevicol and a large number of other GTM where paints products are not sold.

Sudhanshu Vats: Our GTM, our reach is order of magnitude higher to the paint leader in terms of direct reach to dealers, order of magnitude.

Tejash Shah: Yes. Clear, sir. Sir, and the last one, it has been our focused initiative for the last many years on distribution-related initiatives, both in a numeric footprint and refo

rm. So any

new projects or any specific projects you would like to call out?

Sudhanshu Vats: Basically, when we go deep down, we have been looking at what we have been talking about Pidilite Ki Duniya(PKD). I think there is continuous work happening on basically making sure that we go deeper in PKD and there is also pilot happening on what we call super PKD.

So therefore, how are we able to build greater depth and also better information and capability for demonstration as we go deeper as in by demonstration, I mean, user education, trying to make sure that some of our these things are available, both. So I would use the word phygitally, some of it digitally, some of it physically.

So that is the next step in this distribution. So therefore, making distribution and demand generation sort of go along even better than what they have been in the past. And that work is happening as I speak to you. So we are going deeper, but we are also going into this, what we call super PKD.

Tejash Shah: Sir, just one follow-up there. If we have to look at growth from the lens of distribution expansion and billing more from the same existing distribution, I know it's very difficult in your line of business, but what would be that rough breakup that how many new touch points or how many new, I would say, accounts you are adding versus you are going deeper with your portfolio innovation and more volume growth from the existing distribution?

Sudhanshu Vats: So I think bulk of it is from the latter, which is basically distribution from our existing points, basically, so for a like-for-like growth, some of it is coming through premiumization, some of it is coming through range. A small component is through expansion. And while we do both, because the other thing is also, I mean, that basically we'll go deeper, but when we go deeper, you would realize that realization per unit as you keep going deeper is much lower. And that has to be built for the future as we go forward.

Moderator: The next question is from the line of Latika Chopra from JPMorgan.

Latika Chopra: My questions, a lot of them have been already answered, but I just wanted to get some color from you on any updates that you could share on some of the new ventures on Haisha Paints and electronic adhesives? And also on the core adhesives portfolio, could you give us some color on how the savings for this portfolio has trended over the last few years, given pioneer and growth categories have continued to accelerate?

Electronic adhesives, the new pioneering segment that we are seeing?

Sudhanshu Vats: Yes, both these pioneering segments. So on the Haisha Paints, we were present in TAO-TK, as you would remember, and many of the people on the call perhaps would remember, is that we were present in what is in most of the Southern states, Telangana, Andhra, Odisha and then Tamil Nadu and Karnataka, we call that TAO-TK. We have gone to the Eastern states as well, two or three of those states.

We continue to progress well but we are still not and I keep saying this, sorry, for it may seem like a repetition of what I said, but then that is the case. I think we are making

steady progress, but we are not being able to ascertain for ourselves as to what our right-to-win model is. Actually, what is this business model which will give us very clear right to win before we go to all-India in all the small towns and Rurban.

So while our play and license to play is small town to Rurban, we are clear of that, but our right-to-win model needs to be polished a little bit more, Latika. But progress is on, it's a relatively steady progress, and we want to sort of continue to build on that and we will sort of take our time to sort of strengthen this as we go forward.

I think on electronics as well, a lot of work is happening. We are also expand

ing the

equivalent of TAM. So we are now looking at not only consumer electronics, but we are also, as I speak to you, looking at some of the automotive and some of the other spaces and I think we are beginning to do specification work there.

But a lot of this work, which we are doing here is quite laborious and it takes time.

And therefore, when and as we get it right, it will be a little bit more geometric in terms of the outcome that you will see. So it's a bit like that keep working, keep working and then we will start once we get those some of the large orders, some small commercial orders are coming, but large orders will need specifications.

Testing in most of these spaces, whether it's consumer electronics, electronic autos is very rigorous. It goes through a couple of rounds, but each of the round could be 12 months, 12 to 18 months. So this is a rigorous process. We are at it though. There is a lot of work happening in this space as well. We continue to remain excited in this space. And there is a lot of work. So we are peddling very hard. You are not seeing it above the water, but we continue to do that. I think that is the piece which is happening.

Latika Chopra: Sure. Just last bit, Sudhanshu, was just trying to get some thoughts around the core adhesive portfolio, anything on how is the growth trajectory there? Is it more like high

single digit? Is it very volume driven? Is it very niche driven?

Sudhanshu Vats: Adhesive portfolio is, again, Latika, is a very wide turf because we have all kinds of adhesive but I think to be fair, a lot of it is core, as you rightly pointed out, our Fevicol adhesives, even our Fevicol for the kids, MR and all that. I think in all these spaces, we are seeing robust single-digit growth. I think more like 1.2 to 1.4x of the GDP. So in the zone. Could it be a bit better? Yes, I think that is an area we would like to continue to strive for, but I think that is the piece, but even here, what we are continuously doing is a lot more innovation, a bit more premiumization, a lot of projects and pilots are on. Unfortunately, I do not want to elaborate on this at this moment.

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But across the board, there is a lot of work on this. And in subsequent quarters, we will be able to share with you also some really exciting work happening in this space as well, so which I think will give us fillip as we go ahead in some of these areas as well. Some of the stuff is very exciting. That is what I can share with you. And we are piloting it as we speak to you. So that gives us a lot of confidence to continue to maintain, more than maintain, inch up these growth a little bit more.

Moderator: The last question is from the line of Avi Mehta from Macquarie.

Avi Mehta: I just had one clarification and just trying to understand. See, if I were to adjust for this one-off Labour Cost, Labour Code impact, and we are already at almost about 25.5% EBITDA margin. Your input costs are benign. Your demand momentum is actually doing very well. Is it fair or is it a possibility that near term, we could kind of breach that 20% to 24% range significantly upwards?

Sandeep Batra: So, I think if you look at our last few quarters, we have. Even last quarter, it was above the 24% range. This quarter, again, because of benign input prices and even if you adjust and after adjusting for the one-off, it was higher. But as I said, our objective is to drive for faster growth. So we will continue to be on the lookout for opportunities where we can reinvest whatever gains we are getting from margin expansion. And again, just a word of caution, do not look at our numbers on a quarterly basis. Look at a slightly longer term, look at a full year as a basis. In this one quarter, yes, it may appear to be ahead of or above the comfort corridor. But if you look at full year, we are confident that we will be at the upper end of this 20%,

24% range.

Avi Mehta: Got it, sir. That's all from my side. Thank you very much.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

Sandeep Batra: Thank you very much for your continued interest in Pidilite and wish each of you a very great evening. Thank you.

Sudhanshu Vats: Thank you.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

(This document has been edited to improve readability)

Call: May 2026

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Mumbai - 400 001
Mumbai - 400 051
Stock Code – 500331
Stock Code - PIDILITIND
Dear Sir,
Sub: Transcript of the Earnings Call

Dear Sir,
We enclose herewith, a transcript of the Earnings Call held with Analyst/Investors on
8th May, 2026.
A recording of the transcript is available on the website of the Company viz. www.pidilite.com .
Kindly take the same on your records.

Thanking You,
Yours faithfully,
For Pidilite Industries Limited
Manisha Shetty
Company Secretary
Encl. as above

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"Pidilite Industries Limited
Q4 & FY26 Earnings Conference Call"
May 08, 2026
MANAGEMENT : M R.SUDHANSHU VATS –MANAGING DIRECTOR –
PIDILITE INDUSTRIES LIMITED
MR.SANDEEP BATRA –EXECUTIVE DIRECTOR
FINANCE AND CHIEF FINANCIAL OFFICER –PIDILITE
INDUSTRIES LIMITED
MR.BHAVESH JOSHI –SENIOR VICE PRESIDENT
DOMESTIC ACCOUNTS AND TAXATION –PIDILITE
INDUSTRIES LIMITED
MODERATOR : M R.JAY DOSHI –KOTAK SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Pidilite Industries Limited Q4 and FY26 Earnings Conference Call hosted by Kotak Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jay Doshi from Kotak Securities. Thank you, and over to you sir.
Jay Doshi: Thanks, Swapnali. Good afternoon, everyone. On behalf of Kotak Institutional Equities, I welcome you all to Q4 FY26 Earnings Call of Pidilite. We have with us Mr. Sudhanshu Vats, Managing Director; Mr. Kavinder Singh, Joint Managing Director; Mr. Sandeep Batra, Executive Director, Finance and CFO; Mr. Bhavesh Joshi, Senior VP, Domestic Accounts and Taxation.
I'll now hand over the call to Mr. Batra for opening remarks. Over to you, sir.
Sandeep Batra: Thank you, Jay, and good afternoon, everybody, on the call. I take great pleasure in

taking you through the Q4 and FY '26 results, which were approved by our Board at its meeting yesterday. A quick summary of the performance for the quarter. In the Current quarter, our stand-alone revenue at INR 3,272 crores grew by 15.3% in value terms and was underpinned by underlying volume growth of 15.3%.

This compares to underlying volume growth of 9.8% that we had delivered till December and 9.3% UVG that we delivered in FY '25. Both our Consumer and Bazaar and B2B businesses recorded strong UVG. Consumer and Bazaar was 15.4% and B2B was 14.8%. I think the only area line of business that saw some disruption was in exports. Both for Consumer & Bazaar and B2B, where in the month of March because of the conflict in Gulf and West Asia, supply chains were disrupted and our export revenues got impacted. However, till February, the performance had been strong. Our gross margins also improved versus Q4 last year by 100 basis points and were kind of in line with the immediately preceding quarter.

Our control on costs, where total costs despite a little bit of extra charge on account of wage code, all our costs below margin increased by only 9.2% compared to a sales growth of 15.3%. And you can see this operating leverage flowing back to the EBITDA. And EBITDA margin at 23.4% expanded by 280 bps versus same period last year. And for the quarter, EBITDA grew by 31.1%. PAT growth was slightly slower largely because of timing differences regarding dividends that we get from our subsidiaries. In the last year, in Q4, we had received some dividend, which in this current year, either would have come in the previous quarter or will come subsequently.

As well as there was a little bit of impact on our treasury income owing to rising bond yields, which caused some mark-to-market impact. However, the YTM's remain strong

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on all our investments. The Board also approved a final dividend of INR11.5 per share on an expanded share capital.

You may note that last year, we had announced a 1:1 bonus. This dividend will be paid subject to approval by the shareholders at the AGM and is in addition to the special dividend that we had given of INR 5 a share. So including the special dividend, the payout ratio will be around 70%.

If I look at how our subsidiaries performed, the international subsidiaries in the quarter grew by 8% and domestic subsidiaries grew 5.3%. In domestic subsidiaries, the waterproofing business, which is under the name of Nina had some headwinds because of environmental challenges in getting work front where they could do waterproofing. So the Nina waterproofing business would have declined by 16%, but the rest of the businesses, which

are largely Consumer and Bazaar recorded very strong growth and very strong profitability.

Consequently, our total consolidated revenue grew by 14.1%. EBITDA margin expanded by 310 bps. All of it flows down to PAT, which grew by 36.6%. For the full year, again, consolidated revenue at INR 14,553 crores was up by 11.1% and EBITDA margin expanded by 120 bps over all of FY '25. And PAT grew by 17.9%. The performance on cash, including working capital continues to remain strong. And we continue to invest behind capacity as well as other initiatives. So our capex in the year also was higher than what we had spent in the previous year. With this, I open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question from the line of Abneesh Roy from Nuvama Institutional Equities.

Abneesh Roy: Congrats on very strong numbers. My first question is on the share swap that you have done with JSW One. Why transfer your BuildNext platform, BuildNext Construction Solutions. And is this a financial investment in JSW One given there is a plan for an IPO? And you do compete in paints, I think. So could there be some kind of a strategic tie-up in paints also? Is that possible?

Sudhanshu Vats: So Abneesh, I think the reason is that we found strategic synergies in doing this transaction. I think BuildNext basically has a good home in JSW One. And yes, you are right, post the transaction, we will be shareholders of JSW One as well. As far as the other synergies are concerned, we will explore them as we go along. I think that is where we are, Abneesh.

Abneesh Roy: That is a very significant statement. You'll explore. So you do compete in paints. In fact, you have bidded against each other in paints to acquire Akzo. So that option is there, right?

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Sudhanshu Vats: As these marketplaces come up, Abneesh, I think the spirit in which you should take it is that as these marketplaces come up, and I think JSW One and there's also Birla Pivot and all that, I think these will go well beyond their own products for them to be successful marketplaces. And there is always inquiry on that sort of other products, including ours. So what our point of view is that we will keep evaluating it in a manner of speaking and see when it is right for us to be on one or many of these marketplaces.

Abneesh Roy: And my question, whether this is a financial investment. Historically, I have seen that Pidilite likes to have stake in these kind of distribution/new consumer platforms to get access to data, to get some preferential orders, et cetera. So is this a financial investment? Or is it more strategic?

Sudhanshu Vats: So see, it is at this moment through the transfer of BuildNext financial investment. We will own shares in JSW One, therefore. I think the point is because in these kind of places, I think what you rightly speak about is correct, that when we look at very new start-ups or we always want to take a deeper look at them.

We have some investment in these cases. But in this one, that philosophy applies to BuildNext. Where we had indeed invested, you are absolutely right. Now having seen that for some time, we think JSW One is the right home for BuildNext to take BuildNext further as we go forward. And I think in that context, with this transaction, we will become a small shareholder with JSW One.

Sandeep Batra: Our shareholding in JSW will be quite insignificant. So BuildNext was strategic for us. And for JSW One also, BuildNext was strategic. And we felt that the business is best served with an owner like JSW who can provide its scale and profitability. So we were very happy to swap our shareholding there. Our shareholding will be insignificant in JSW One.

Abneesh Roy: My second question is on demand side. So we have seen a very good recovery across

most of the FMCG. And Sudhanshu, you have worked obviously in FMCG and now in Pidilite. So are you seeing a genuine demand recovery because in those case, there was obviously no GST direct benefit of any cut?

Plus biscuit company today in the call said that some of their Oman manufacturing has been transferred to India. So any one-off in this quarter, 15% volume growth extremely impressive, but that's way ahead of what we have delivered in the past few quarters, 9% to 11% range. So is there anything new, anything one-off? Any Oman business, Middle East business has been transferred to India?

Sudhanshu Vats: No, no. First of all, there are no one-offs. I can ask Sandeep to further elaborate, but absolutely no one-offs. I think on the demand recovery, I have been saying this, and I said this in the morning in media interactions also, Abneesh. I definitely believe that in the quarter that is gone by Q1 calendar and Q4 financial I think there has been a buoyancy in urban demand.

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And we have seen it, and you have seen it across the sector and across other companies in FMCG sector. I think some of it is flowing through, in my opinion, from the actions taken in the past, basically the GST 2.0 and also in our case, in discretionary categories, I think the budget announcements which happened in previous year by Honorable Finance Minister and you know that basically where she gave in arguably about INR 100,000 crores in the hands of taxpaying Indians.

I think so that you are seeing in discretionary as well. So coupled with both, and while we have no direct benefit on GST as a company, you are absolutely right. But I think GST reduction, coupled with some other environment, gave a fillip to discretionary sector and we had a combination of both classic consumer goods and a little bit of discretionary. I think that has helped, Abneesh.

So these are all these numbers. And before March disruption and the West Asia conflict, we saw some very good numbers in February as well and both in January and February. As a matter of fact, we had a very good February. I can share that with you now that the quarter is over.

So I think therefore, it is irrespective of any of these things, I think there has been a buoyancy. As I travel across the country, both large cities and small towns, I continue to see a buoyancy in demand. And I think we have to wait and watch as to how long it continues. And if at all, any of the West Asia conflict would be a headwind to it as we go forward.

Abneesh Roy: One last follow-up and I'll end there. So if the entire company has seen 15% volume growth, will it be fair to say that even the core part, overall Fevicol including the recent innovations past 2 years, that also would have grown high single to double digit, or near double digit?

Sudhanshu Vats: Absolutely. As a matter of fact, I think you have may have not been following, I have been saying this. So maybe this question will come by many people, let me just spend a minute on sort of talking about the quarter that went by or the quarter we are talking about that is Q4.

So I think we have delivered this 15.4% in C&B and overall 15.3%. If I was to look at it, our growth categories and growth brands, first of all, delivered continued the momentum, but delivered at the higher end of the growth band we talk about. So that is Roff, Dr. Fixit, both of them delivered very well, Abneesh.

But coupled with that, our core businesses delivered well, especially Fevicol delivered a double-digit growth in the quarter that went by. So you are absolutely right. And it is a combination of basically the portfolio in general is firing quite uniformly in this case. And Sandeep was jokingly saying that all our batsmen played quite well.

So I think that is the thing which has happened. So therefore, I think that is the case. But having said that, Abneesh, if you look

at it, we have been talking about this for some

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time. And I think as a company, we would like to continue to raise the growth as we go forward. And what I am happy about here is to talk about the FY '26 UVG growth numbers, which is about 11.1%.

That has come in at about 100, 120 bps higher than the previous year. So our desire and our planning is to, therefore, keep raising this systematically. And I think as we go forward, we will see that. The other thing which you see in EBITDA margins, which Sandeep talked about, which is basically we delivered about a 300 bps expansion in EBITDA margins.

See 100 of that is coming through gross margin, which is largely material benefit, which has flowed through. But the balance is also coming through operating leverage. And that's an interesting point again. So the moment we lift our growth, I think our operating leverage kicks in better and sharper. So that's the piece. So that in some ways is the story of the quarter, and I think may be relevant to some of the other questions which come in later as well.

Moderator: We will take the next question from the line of Sonali Salgaonkar from Jefferies.

Sonali Salgaonkar: Congratulations on a great set of numbers. Sir I have 3 questions. Firstly on the Middle East supply chain disruption, as we are standing May what is the extent of supply chain disruption mainly in Jan. We understand that there was a significant jump in operating margin in Q4 probably because we have earlier lower cost inventory, but right now the data suggest that VAM prices have surged, so how do we foresee to navigate the situation? So my first question is regarding the Middle East disruption. The VAM prices have surged. So right now, it has almost surged by 70% since the start of the conflict. So how do we foresee to navigate the situation right now?

Sudhanshu Vats: Yes. Sonali, so when you look at West Asia conflict as a management team and as a company, we have 3 key priorities. I think our first and foremost priority is the safety of our people there. You know we have an operation in Dubai. So I am very happy to report that we are doing well on that count. So I think that is our top priority.

Our second and a very important priority is supply security and perhaps that's what your question is about. So I think what we have done is to sort of look at all our raw material and therefore map out everything which we sort of consume and see how each one of them gets affected.

Fortunately, for us, we started discussing a possible Iran conflict almost a month before actually the conflict happened. So therefore, we have basically been able to map some of these things out. We have been constantly looking at alternate supplies, if possible, wherever possible. So I think as a company and in this, what we are doing is we basically take this day by day, every day, but more importantly, weekly, monthly, quarterly.

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And I am again happy to report that in the quarter that we are in, we secured ourselves on almost everything. There are a few surprises that keep coming up, but we are finding very innovative solutions. We are extensively in touch with people where we can get the thing. So supply security is largely taken care of.

And lastly, to the point of inflation, which is a third point, I think inflation is real on our weighted average raw material basket, inflation is anywhere between 40% to 50%. And therefore, we are looking at that. Here, our strategy is very clear. Our strategy is that we will first pass on the absolute increase in our raw material prices in rupee terms in a

calibrated fashion because our focus will remain growth and disciplined demand generation in the market.

So I think we want to sort of continue to drive growth and continue to sort of build demand for the products we have. And in this context, we hav

e taken one price increase

in early to mid-April. And we have taken another price increase in early May. So I think therefore, we are doing this, and we will keep watching this situation.

I think there are 2 possible scenarios. One is that West Asia perhaps has a pause or a solution in the month of May itself, more likely a pause. And therefore, if you come back to somewhat normalcy, so that is likely scenario in the month of May. We are hopeful on that scenario, to be honest with you.

The other scenario is that this conflict continues for longer. It is a conflict. In the first scenario, we feel that the demand is likely to remain buoyant in a country like India and the inflation will be manageable as we go forward, although there will be inflation in the year. In the second scenario, we will cross the bridge when we come to it, but we are doing a little bit of scenario planning from a supply security point of view, and we remain quite confident of our disciplined execution in this space.

Sonali Salgaonkar: Understood, sir. May I ask what is the quantum of the 2 price hikes that you have taken in April and May?

Sudhanshu Vats: So the price hikes are different by category, and you will get that information from the market as well. But there are certain categories where there is not that much increase in the raw material prices, a few categories, but they are there as well, where the price increase is very muted.

But there is on the other extent, the VAM pricing, which I am sure you have already heard from Sandeep, I think it's already hovering around \$1,800. In that case, it's Fevicol as a brand and that of our Fevicol division. There, we have taken about a 5% increase in April, and we have followed it up with another 7% to 9%, again, varies from product to product within the Fevicol division as well in early May. So I would suffice to say about 12% to 15% price increase.

Sonali Salgaonkar: Understood.

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Sandeep Batra: And also, Sonali, I think the raw material situation is changing every day. There was a period where costs were only going up. But if I look at last week to 10 days, given that oil also has corrected from \$110 to below \$100, we have also seen some reversal of some of the increases that we had factored in.

So it is a very dynamic situation, something that we are watching very, very closely on a weekly basis. And suffice to say that for now, a significant amount of the cost increase in rupees terms has been factored in. It is not that we have run down all our low-cost inventory in March.

We have a very healthy inventory and particularly in some critical raw materials like VAM, we carry much higher than normal covers. So we have some protection against inventory even going into the first quarter. And it is something in a situation that we continue to watch very, very closely.

Sonali Salgaonkar: Sir, my second question is regarding Roff, which is especially healthy application towards tiles. Now I do cover other building material sectors like tiles as well. Which is why I would also be aware that in March, April as these 2 months, there was severe shortage of gas supply, especially for the Morbi cluster where many of the organized tile players also have their plant.

So the production and the capacity utilization has been severely impacted. It is interesting to understand that Roff as a category has grown very well for us throughout Q4. So would you help us understand exactly where the end demand was for Roff, which categories, which regions so that we can help bridge this gap?

Sudhanshu Vats: Yes, Sonali. So first of all, let me comment. And as I was saying earlier also, I keep traveling all over the country. So your point that Morbi got affected is absolutely correct.

As a matter of fact, most industries that are gas-powered did get affected in a reasonably significant way. That's correct, absolutely correct.

Ho

wever, I want to make a small correction that when it comes to tiles, the stock in the pipeline, first and foremost, with the dealer and a little bit otherwise as well, is very, very high. It is considerably higher than most other categories. So my understanding is at least for the formal players who are in the formalized sector, those players, the stock cover is quite high.

So therefore, the impact of that immediate impact of that on demand is not likely to be

seen and will be an impact only if it's a protracted West Asia conflict with a severe gas issue even then. So therefore, the fact that gas-powered industries have got affected, absolutely correct. They were operating at a very low capacity utilization in this period, absolutely correct. But is there stock available in the market? Absolutely, yes. Is construction going on and therefore, tile getting fixed and therefore, Roff getting used? Absolutely, yes. So I think that is how I would see. And all these things will

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change, suppose it's a protracted and a severe West Asia conflict, so the probability of that at this moment is a little low in our judgment or in everyone's judgment.

Sonali Salgaonkar: Understood, sir. Very clear. And last question from my end, any update on Paints?

Sudhanshu Vats: Yes. So paints, what is happening on paints is two, three things. I think one, as we look at our business, we are seeing better or good traction, if I can use the word, in Rurban India, which is rural and very, very small town. So that part of the business is doing well. We were there in the 5 Southern states TAO-TK as you guys know, but we've gone into West Bengal, gone into Bihar.

So our Rurban piece is doing okay. I think when we start looking at slightly bigger towns, what we call internally small town India, I think that is where what is the uniqueness which Pidilite has to bring in, what is the tweak needed in the business model, what will be our USP as Pidilite to give us that right to win is something still work in progress.

And I think once we are able to solve for that is when you will see a full-scale expansion.

Other than that, we are sort of at it. There is growth, as I told you, good growth in Rurban, I can tell you. And so we will keep working towards finding that unique Pidilite signature and therefore, our right to win.

Moderator: Thank you. We will take the next question from the line of Percy Panthaki from IIFL Capital.

Percy Panthaki: Sir, continuing on the cost inflation part, could you help us with understanding at the current spot prices for your product portfolio bucket, what is the overall weighted average inflation in the COGS?

Sudhanshu Vats: So I spoke about it some time back Percy. I think first of all, good to hear from you. But Percy this is a range of 40% to 50% as our weighted average raw material basket. So I think that's where it is. That is at the current replacement price. But as Sandeep very rightly pointed out, just in the previous question, I think if I not mistaken, the situation is rather dynamic Percy.

So I think the point is if you were to look at the peak, this is the number. But I think we are seeing a few raw materials coming off the peak. So therefore, that's why I tell you the approach, which I highlighted and maybe I'll repeat it and at the risk of repetition for everyone is that the our approach is that we are looking at this replacement margin, so to say, at the current cost and saying that first and foremost how do we transfer these costs in a calibrated fashion into the market, calibrated and sort of staggered a little bit. And we have done 2 routes, one in mid-April and one in early May. And then we will keep watching the situation as we go forward to take any further action because our top priority is to continue basically our focus on growth and continue to do all the demand generation activities, which we need to do.

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And as a matter of fact, you may have seen that we have continued with our big campaign on Fevicol in this environment. I think that is, of course, above the line, but we are doing a lot of the stuff below the line as well, which is our field marketing activities. So our focus is on continuing to remain steadfast on delivering double-digit underlying volume growth and do demand generation appropriately as we go forward.

Percy Panthaki: Just a clarification, this 40% to 50% was for the COGS of Fevicol or the company as a whole?

Sudhanshu Vats: Weighted average company my dear.

Percy Panthaki: Okay. Got it. Second question is in the past, based on your experience for your product portfolio, what is the price elasticity of demand? So what I am trying to say is that, let's say, in an environment of close to 0 pricing growth last year, you did a volume of, let's say, 10%. Now supposing this year also, if the inflation was flat and the growth was 0, assuming demand being similar, like that is the base case that 0 pricing and 10% volume.

But if, let's say, the pricing goes from 0 to, let's say, 10% or 15%, the volume which is at 10%, that comes down to how much. So is it 50% of the price increase, which is a volume backlash? Is it 20%? Is it 80%? What is your experience? And what is your expectation given the current macro situation?

Sudhanshu Vats: The current macro situation, first of all, is rather unique. It is different from anything which has happened in the past, including COVID. Because I was recently in the market, there is 30% increase in pipe. There is about 15% increase in paints. We are around similar zone. And as of now, cement is not declared, but there would be increase in cement as we go forward.

There will be increase in fuel prices as we go forward, which have not yet been declared. So the cumulative impact of a lot of this on demand is something which needs to be studied, needs to be understood. And as I was saying in the previous question, see, my request to you all is that there are basically 2 scenarios: scenario 1, which is that West Asia conflict is contained or at least partly resolved in the month of May and there is a good chance of that, to be honest with you. That's our understanding. Scenario 2 is West Asia conflict continues for much longer. And it is longer and it is tougher, whatever word I can use. So basically, in the case of scenario 1, I think we are going with the hypothesis that the demand buoyancy which India saw in the last quarter of FY26 will more or less sustain.

And therefore, in that case, if we then manage the inflation better as we go forward, inflation will also hopefully come down in the second half of the year, although you have to manage inflation through this year. I think in the combination of these 2, you have got to do from a demand generation point of view and growth treated as business as usual. That is our going-in position. Now what happens if the scenario 2 plays out, I

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think we are currently focused on supply security in that scenario, and we will talk about it if that scenario plays out.

Percy Panthaki: So as of now, should we just assume that whatever pricing you take is completely incremental to the top line and there is no volume backlash that you expect?

Sudhanshu Vats: This I leave to you. I will not be able to give you your formula for the thing. But, so some of it to be pretty honest with you, with this kind of inflation, Percy, to be honest, and again, now on a more serious note, if you were to look at FY '27, with the kind of inflation across categories, across businesses, there will be some demand compression. What will be the quantity of demand compression and when will it come is difficult to predict at the moment. I can tell you for the quarter, I can tell you for the period which we have seen. So

what I have seen up to now, and we have been traveling quite extensively because of this dynamism in the situation.

I can tell you, as of now, it seems rather intact. But with this kind of inflation, once it settles in fully, should there be any kind of demand contraction, how much will it be and when will it be is something to be watched out for. So to be fair to say that the full year, should you assume that it will be the same? My answer is no.

But should we continue to see the momentum in the Q1? My answer is perhaps, yes. So I think here now, as we go forward, I think you have got to look at month, maybe ideally week, month and a quarter and then see and then keep revising it as you go forward. So a week, month, quarter, again, a week, month, quarter, and that's the way you're going to decide here. Here, you cannot talk of 2 years full of this year because it's very, very dynamic my friend.

Percy Panthaki: Last question on margins. Assuming that we settle, let's say at 85% to 90% kind of crude level for the rest of the year, what kind of margin can we expect? Do we expect it at the lower end of your band which you said you earlier said that you want to maintain a 20% to 24% kind of band. So do we expect it closer to 20% this year if the crude sort of remains at 85%, 90% level?

Sudhanshu Vats: So it depends on the crude is one marker. But as Sandeep was saying, I think some of the other raw materials are linked to crude, but not entirely. So it depends on what is the inflation because some of the inflation could be much higher than crude as well or in many cases, it could be lower.

So it depends on that. As far as we are concerned, at this moment, I would say we have guided a corridor of 20% to 24%. We stay committed to that guidance. And last year, of course, with benign input costs, we delivered at the higher end of the guidance. This year, with the raw material inflation, it will be different, but we stay committed to that kind of number. So I think you are right, it will depend as we go forward. It's very difficult to say for the year, and I think these things are only meaningful for the year, not for a quarter or anything.

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Moderator: We will take the next question from the line of Naveen Trivedi from Motilal Oswal

Financial Services.

Naveen Trivedi: My first question is on the Consumer and Bazaar. Can you give us a bit more understanding about this sharp 15% volume growth which we have witnessed in the 4th quarter? Was there any trade channel stock benefit or build up in the fourth quarter? And how should we see the trend going ahead?

Sudhanshu Vats: What benefit, I couldn't get that. What did you say?

Naveen Trivedi: Some trade channel benefits in anticipation of price hike we would have been seen.

Sudhanshu Vats: Trade stock. Okay. So as I was saying in response to an earlier question, I think, first of all, we have been seeing reasonable buoyancy in demand. And I can share with you that we had a very robust February. And I can also share with you that at Pidilite, we have continued with our philosophy of not loading in any form in the month of March. So we always have and which is a well-tested old Pidilite practice, which is to sort of towards the second half of March, contrary to what many other companies may do, we not only not load, we go a little slow. And then we start fast in April. That is the pattern we follow, and that's what we have been doing.

This year has been very similar, I can tell you that. I think it is 0.5% here and there. Some of that could have happened somewhere. You can't vouch for every 100%. But the point is that we followed this philosophy and the same has been practiced as we went into March and the same has also with data being seen with our start to April. So I think, therefore, to answer your question, no, if I could say so. This is a buoyancy. And as we were saying earlier, see, t

he thing is that we have seen this buoyancy and therefore, what has happened is that our growth categories have delivered very well on growth. So that momentum has continued, has only accelerated. And some of our growth brands have delivered at the higher end of our growth band guidance. And our core categories have also done well, including our big brands, which delivered double digit. There are things like innovation, things like field marketing, many of those. So I don't want to get into that detail. So all that work is happening. We have been continuously doing some of this, and we've been lifting it up. Between you and me, I think I and Sandeep have been talking about lifting our growth for some time now. And I think what I want to do share is that for the year, I think that's the way to look at it. In the year, we have managed to lift our underlying volume growth, which is most important, forget price here, the price there. Underlying volume growth by about 100-plus bps and that's the journey we would like to stay steadfast on.

Naveen Trivedi: And any color about the market share point of view also. So although Consumer and Bazaar is a very diversified portfolio. But any core categories where you can give us some sense about how has been our market share during this period? Or how has been Pidilite Industries Limited

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the kind of industry growth during this time, especially the core categories, if you can give us some color?

Sudhanshu Vats: Yes. So I think as I said at the same point, there's been a buoyancy in the market. So there the market would have grown a bit better. But I think our performance is a combination of 3 things. I think a natural buoyancy, particularly a little bit more buoyancy in urban India. And therefore, for us, while our rural growth have come in ahead actually, again, like year-on-year, even in this year and this quarter, but our urban growth have picked up. So I think therefore, there is buoyancy.

The second piece, which is there is that all the work which we do, we have intensified in several areas our work on demand generation and field marketing. And I think that's bearing some fruit, particularly in construction chemicals and Dr. Fixit. And lastly, I think there is some market share gain as well because the kind of growth we are seeing, we are clearly growing ahead of the market in some of our growth categories and maybe in some of our core categories.

Naveen Trivedi: Sure. And in terms of the price hike, you mentioned about you will take very calibrated approach this time despite this sharp headline inflation. How are you seeing the competition side? Are they also following a similar approach or you see that there can be an opportunity given you may have a cost efficiency and like Sandeep was mentioning about you also have inventory in your hand. So do you think that these are the times when you can further look for a market share gain?

Sudhanshu Vats: No. I think the way we are looking at it, first of all, I think factually, the competition has done similar kind of price increases. A few of them actually did it in March as well.. So therefore, price increase has been commensurate. It's not similar or comparable. I think the point is that we would like to continue to do what is right to gain share.

And I think we would not do anything just tactical, to be honest with you. And as far as we are concerned, to Sandeep's point as well, see, we are initially passing on the

increase in raw material costs in absolute rupee terms. So therefore, some of the cushion which we have comes in handy in managing the margin also as we go forward.

Naveen Trivedi: Sure. Just last one bookkeeping. The employee expenses up only 3% in the stand-alone this quarter. Despite that this year, we have seen double-digit growth. And even if I look at the annualized number, it is kind of 8% up. How should we look at this expense going ahead? And an

y one-off in this quarter?

Sandeep Batra: Yes, there was a little bit of one-off. So first of all, I think the right way to look at manpower cost is to take the full year manpower cost. And from that, you strip out all the impact of this wage code. That I think will give you the comparable full year manpower cost number. And that for your projections, you could divide it by 4, and that's your base for next year.

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Specifically in this quarter and compared to the base quarter, which was fourth quarter of last year. So what we had done was in the fourth quarter of last year, we had recognized a provision of about INR 17-18 crores towards the discretionary benefit to be given to employees. Because of the new wage code, we felt that there was no need to continue with that discretionary benefit given that everybody's gratuity benefits will get elevated under the new wage code.

So that discretionary benefit we rolled back in the fourth quarter. Both amounts are, if I round off, around INR 20 crores. So for sake of comparison, you subtract INR 20 crores from Q4 last year, add INR 20 crores to Q4 this year, and you'll get about 11%-11.5% increase in wage costs, which would be the right number. So take the full year number, take out the one-off because of wage code, and that becomes your base for FY 26 - 27. And specifically for Q4, I've addressed your housekeeping question. The actual comparable growth is about 11.5%.

Moderator: The next question is from the line of Rajeshvari from iThought PMS.

Rajeshvari: I got three questions. So for the first is on the manufacturing capex. I understand that the growth in pioneer category would be more investment. But in third category, can we say that we have invested ahead of demand? Or is there still continuous expansion.

First is on the manufacturing capex, so understand that growth in pioneer category should be more investment in terms of manufacturing. But in core categories, are you sure that you invested ahead of demand or it still need continues expansion. And also I would like to know the level of automation you have done in manufacturing?

Sudhanshu Vats: So first question, I think we have talked about it in the past also. Our capex tends to be actually 3% to 5% of our revenue turnover. I think Sandeep also alluded to it in his opening commentary and last year, we have come in at about the median of that number or an average of that number.

So I think that's the thing. And as far as our capex philosophy is concerned, there are 3 buckets in which we do capex. One is classic growth capex, we anticipate our growth in different growth categories and in general as growth and see how we are placed and do we have the right capacity and therefore, there is capex to augment and be ready for the growth.

The second capex, which we do incur and is around basically automation, consolidation and major renovation of some of our existing core categories, especially premium white glue. So I think that is one area where as we speak in this quarter one of FY '27, we will be commissioning a large plant in West India for our premium white glue and Fevicol.

I think so that's an area which we keep doing from time to time. And third is for newer categories or newer areas we get into. So those are the 3 buckets. We will continue to invest in all 3 buckets appropriately. But suffice to say the band is 3% to 5%. And I think we'll remain in that band. Sandeep you want to add?

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Sandeep Batra: No, no, I think you've covered it. So capex is something that, as our capacity planning is something that we do very, very rigorously because the last thing we want is not being able to put material on the shelf because we run out of capacity. Obviously, the growth businesses will require more capex because they will run out of capacity faster. But even in core, we would d

o capex, not only to augment capacity, but also to automate

and to make the whole manufacturing process efficient. And last year, we would have spent close to INR 570 crores on capex compared to INR 430 crores in the prior year.

Rajeshvari: Yes, that helps. And my second question is that we have around 6 segments, right? 3

in Consumer and Bazaar and 3 in B2B. So how many of these 6 segments we have export exposure, like the B2B pigments & preparations we are already exporting, but I want to understand a bit the rest of the segments and the geographical coverage?

Sudhanshu Vats: Yes. So our major export exposure is in pigments, as you rightly pointed out, Rajeshvari. Although having said that, we do export our finished goods to many countries. But that export basically did not follow the West Asia route all the time. There is some export to West Asia directly. So therefore, our direct exposure on exports is pigments.

And in finished goods, there is West Asia export, but then there are export to other places which are perhaps independent of this conflict. So therefore, overall, suffice to say that our exposure to exports is small as a company, as Pidilite. And therefore, exports not coming through will not dent the overall performance of our company in any significant measure. If exports come through, that will be the icing of the cake.

Rajeshvari: And my last question is that I would like to know how much percentages our raw material basket constitutes VAM, to understand the input volatility in margins better?

Sandeep Batra: So if you look at last year, it would be less than 10% and I'm expressly calling out that if you look at FY '25-26, VAM would be under 10% of our raw material consumption for the company. This year, it would be a different story, but last year was less than 10%.

Moderator: We will take the next question from the line of Jay Doshi from Kotak Securities.

Jay Doshi: See, for the past 11 quarters, you were consistently delivering 8%, 10% UVG, which accelerated to 15% in 4Q. So if one assumes that West Asia situation probably stabilizes and raw material prices normalize in the next 2, 3 months, should we expect FY '27 UVG to be higher than FY '26, say, somewhere between 11% to 15%.

Sudhanshu Vats: So Jay, to answer your question, this is our stated position. If you look at, of course, you have talked about last 8, 10 quarters and then a blip in this quarter. That is also right, and that's one way to look at it. The way I am looking at it is a bit more, if you look at year-on-year, so therefore, we have expanded by about 100, 120 bps in FY '26 in terms of UVG. So therefore yes, I think this about 100-odd bps expansion as we go forward is something we are planning for and we would like to deliver.

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Sandeep Batra: I think if I may add, Jay, I think this question would have been asked for the last 2 years that your margins are expanding, input costs are benign. So what are you doing? And our response has always been that our first endeavour will be to reinvest all the headroom that we have in margin behind getting faster growth because there is no substitute for growth and I think if you see the result over the last 7 or 8 quarters, each quarter last year, our UVG was more than 9%.

And for the year, we were nearly 200 bps higher than what we declared in FY '25. So the endeavour from our side is to drive investments so that we can get faster growth. So that as an intent has not changed. It remains, we saw results all of last year, and we saw very healthy results in the last quarter. So that remains our endeavor.

What will be the outcome? I think given the situation that we are in, it will be very difficult to hazard a guess as to what will happen in this year. It's not a normal year. If it was a normal year, maybe yes, what you are saying would have been something that we could have agreed to. But this year is v

ery unique and special. So I don't think we will hazard

a guess as to what will be the UVG for this year. It's too early to say.

Jay Doshi: Understood. One bookkeeping question. So UVG is basically volume and mix, right?

Now if Roff is growing much faster than the company and because it's a low-value product, basically, is your tonnage growth even growing faster than UVG?

Sandeep Batra: Absolutely.

Sudhanshu Vats: We have talked about it many times. So what you call total volume growth is order of magnitude different from our UVG. And that's a great question you asked Jay. Most people treat our UVG as volume growth. This is not volume growth. This is turnover growth at constant price. And our total volume growth is order of magnitude different.

Sandeep Batra: It's been multiples of that.

Sudhanshu Vats: Yes, it will be multiple. Absolutely.

Jay Doshi: Understood. A couple of more questions. One is, are you seeing unorganized players sort of struggle a little bit because of supply chain disruptions hurting them more than a large organization like yours? And if so, then have you started seeing some market share gains in some categories where your market share are still sort of not as high as, let's say, 80%, 90% that you may have in some record?

Sudhanshu Vats: There are market share gains in tile adhesive, but that does not have that much of an unorganized play. The top 4, 5 players pretty much account for 80% to 90%. I think your point is generally correct, Jay, which is that basically the unorganized sector struggles a little bit in this kind of volatility without doubt and basically compared to more

organized players. I think it's very early at this moment to comment on this.

But we are ready to and we stay focused on securing supply, making sure that we have goods available and servicing the demand. So therefore, to that extent, we are very well
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equipped. And if some of this gives us some additional gains in the market, then so be it. I think that's the piece which is there. But a lot of it is it's slightly early, I think in my opinion.

Sandeep Batra: I just want to correct you Jay, we don't have 80%, 90% share in Fevicol. I don't want that to go on record. I'll correct it. We have a healthy share.

Jay Doshi: Maybe we'll ask you offline. One final one. I think FY '26 was a year where there was acceleration in waterproofing and you had called out a couple of quarters back, 3, 4 years prior to that, waterproofing was not growing as fast as what perhaps we would have liked. Does that momentum continue? And in that case, why is it that Nina Percept is still sort of having volatility from quarter-to-quarter and not being that great.

Sandeep Batra: No. So I think the first part of your question is affirmative that indeed, we have seen our waterproofing business get back to the kind of levels that a growth category should grow at and that growth rates have improved every quarter. I think the issue with Nina is not about lack of orders.

We have a very, very healthy order book. I think what happens in winter period, particularly end of Q3, beginning of Q4 is that because of this pollution restrictions, a lot of construction sites don't get permission to do work. So you may not get workfront availability. So in cities like Delhi, Bombay, Hyderabad, the local authorities will impose restrictions.

You are aware of this GRAP 1, GRAP 2, GRAP 3 that happens in Delhi. So a lot of activity gets curtailed. And that construction is one activity that gets impacted. It's not waterproofing that gets impacted. But overall, if that site is not allowed to do any work, they can't do waterproofing also. Not that our processes are not creating dust pollution or anything of that sort. But the overall site work comes to a bit of a halt.

Sudhanshu Vats: Yes, that's a great point, Sandeep. And just to build on it, Jay, so retail waterproofing and th

erefore to Sandeep's point, and therefore, you are seeing very good growth in Dr Fixit retail waterproofing and smaller jobs, which are done at homes and all that. Continue but all these construction jobs, which Sandeep referred to, which is where Nina steps in. Nina steps in for more specific apply and supply kind of jobs. So that's where it gets a little bit slightly seamless. The order book is there. We will deliver. So I think the fundamentals are all okay. I don't think there's anything to worry about.

Sandeep Batra: In fact, also our projects waterproofing. That has grown even faster than retail because we were a late starter in that category. So the waterproofing product sales have done exceptionally well. It's just that the application in some sites has got impacted because of these local restrictions.

Moderator: We will take the next question from the line of Avi Mehta from Macquarie Capital.

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Avi Mehta: Sir, just one question conceptual. While we look at consumer staple companies, we do understand price hikes tend to be relatively favorable from a revenue growth perspective. For our categories because Pidilite is not one category, it's multiple categories that we understand. How would you classify this? Would you say that price hikes are neutral, negative, positive? How should we look at it? And I'm not talking about very sharp price increases, obviously, but assuming this West Asia conflict kind of cools off?

Sudhanshu Vats: Yes. So Avi, I think like you said for CPG companies or FMCG companies, even for Pidilite, we have a consumer business, but also the Bazaar business, not sharp price increases, which you yourself qualified also, but price increases, that inflation, you can get that price increase with demand situation remaining the same, you will get your UVG and on top of that, you will get the prices. Absolutely, yes Avi.

Avi Mehta: Perfect. And just second bookkeeping question. I missed this VAM number for the quarter. Apologies if you had shared this, if you could kind of just highlight that. That's all from my side?

Sandeep Batra: VAM for the last quarter was around \$840 a tonne, pretty much in line with the previous quarter.

Moderator: Will take the last follow-up question from the line of Abneesh Roy from Nuvama Institutional Equities.

Abneesh Roy: Yes. Very quick follow-up given one hour is up. So first is VAM supply demand, any

change to any factory has gone out of production or anything in Middle East, U.S. or Iran has hit? Any clarity on the demand side, any acceleration globally?

Sandeep Batra: So VAM, yes, there were some supply disruptions from vendors who are located in that area. So we had a supply source in Saudi Arabia, which obviously got impacted. But I think there is abundant supply globally. I mean, or in the region from which we would be most cost effectively sourcing. So we have in the past also looked at such supply sources. And particularly a lot of it will be in China. So those are the sources that we are now exploring in terms of ensuring our supply continuity. So there is no concern on availability now.

Abneesh Roy: Last time we have seen VAM remain inflationary for a fairly long time. So this time, it's basically geopolitical issue. So that gets resolved. So it could cool off also very quickly, right? I am not saying it can go back to the earlier price, but current prices can cool up significantly.

Sandeep Batra: Yes, yes. The answer is yes.

Sudhanshu Vats: Yes, Abneesh.

Abneesh Roy: Now last quick question. Essentially, you mentioned on pricing on Fevicol. But as a portfolio also, you have seen 40%, 50% RM inflation. So as an analyst, it will be very

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good to understand overall consol price hike, will it be more like 7% to 8% in the India business?

Sandeep Batra: No, higher than that. I think Sudhanshu mentioned at a compa

ny level, we have taken

in April around 4% to 5%. And in early May, another 7% to 8%. And these are blended at company level. It will be different for different categories. But at a blended company level, that's the quantum of pricing that has already gone in.

Sudhanshu Vats: Just a quick one to add to Sandeep's point. So while actually exactly correct, and that's what we have been saying. But you see in our Bazaar business, the situation is a bit dynamic. So now therefore, for the year, and I want to be clear because I am being honest.. So for the year, depending on how the raw material will behave, if suppose, as you asked in your first question, which you said could it cool off quickly?

If it indeed cools off quickly, it will have to be passed back in some form. So therefore, can you build in that for the year? The answer at this moment is no. But let's see how the things play out and therefore, that equation. And our focus, Abneesh, as I'm telling again and again, Sandeep and I have been absolutely reiterating is to drive underlying volume growth to drive demand and to stay steadfast on growth. So not try and do some short-termism on any kind of price.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, that concludes the question-and-answer session. I now hand the conference back to the management for closing comments.

Sandeep Batra: No further closing comments. Thank you, everybody, on the call for their continued interest in Pidilite, and we'll see you again around our Q1 results. Thank you. Bye.

Moderator: Thank you, members of the management. On behalf of Kotak Securities, we conclude the Pidilite Industries Limited conference call. Thank you all for joining with us today, and you may now disconnect your lines.

(This document has been edited to improve readability)